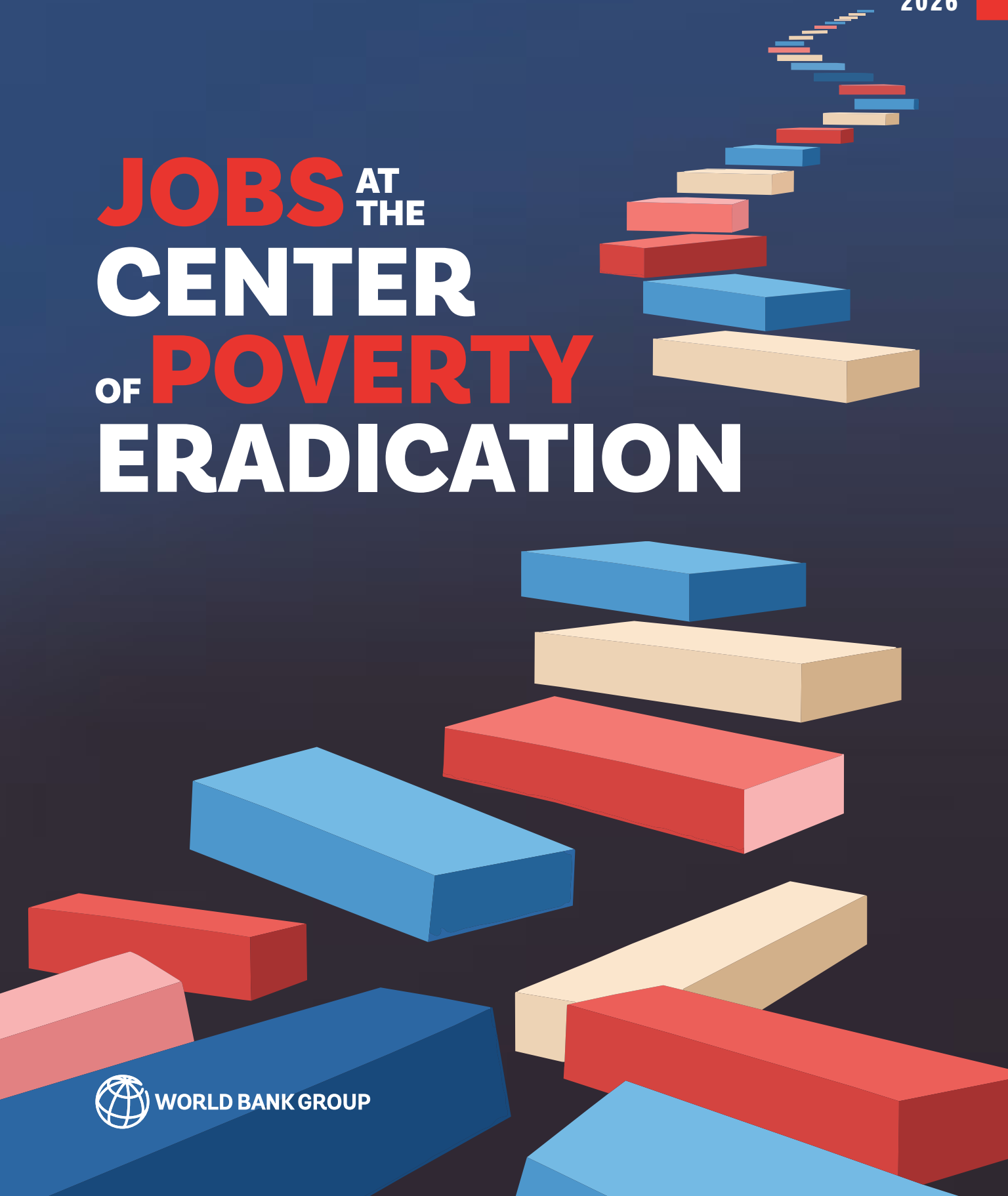
POVERTY, PROSPERITY, AND PLANET REPORT 2026

JOBS AT THE CENTER OF POVERTY ERADICATION



WORLD BANK GROUP

Jobs at the Center of Poverty Eradication

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POVERTY, PROSPERITY, AND PLANET REPORT 2026

Jobs at the Center of Poverty Eradication

WORLD BANK GROUP

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ISBN (paper): 978-1-4648-2342-8
ISBN (electronic): 978-1-4648-2343-5
DOI: 10.1596/978-1-4648-2342-8

Artificial intelligence: If AI tools were used in the development of this work, page ii of this work will have further information.

Cover image: Carlos Reyes, Norglyph Publishing Systems, Sweden
Cover design: Bill Pragluski, Critical Stages, LLC

Library of Congress Control Number: 2026923632

The manufacturer's authorized representative in the European Union for product safety is
Mare Nostrum Group B.V., Doelen 72, 4831 GR Breda, The Netherlands. Email: gpsr@mare-nostrum.co.uk.

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Foreword

Decades of remarkable progress against poverty and inequality have given way to a period of slower and more uneven gains. Between 1990 and 2020, the share of the world's population living in extreme poverty fell from 43 percent to 11 percent, driven largely by gains in large middle-income economies. The number of economies with high inequality, measured by a Gini index above 40, declined from 70 in 2000 to 42 in 2024. But progress has slowed, and extreme poverty is increasingly concentrated in a few economies, most of them in Sub-Saharan Africa and in fragile and conflict-affected situations.

In 2026, an estimated 811 million people, 1 in 10, live below the international extreme poverty line of $3.00 a day, a rate unchanged since 2019. Without faster growth, the number will rise as populations grow more quickly where poverty is highest.

Escaping extreme poverty does not guarantee economic security. Nearly half of humanity, 3.7 billion people, live below the $8.30-a-day poverty line typically used to measure poverty in upper-middle-income countries, leaving many vulnerable to falling back into extreme poverty after a shock. Weather-related shocks add to this vulnerability: 1.5 billion people, most living above the extreme poverty line, are exposed to climate hazards but lack the means to cope with these hazards. At the same time, the growth needed to end extreme poverty in the poorest countries would add little to global emissions.

This edition has a thematic focus on jobs, which the World Bank Group has made central to its development agenda toward a world free of poverty on a livable planet. Drawing on new data for more than 130 economies, it provides the first global profile of the work done by poor and nonpoor adults.

Jobs are the most direct pathway out of poverty for most households. Poor and nonpoor adults have similar employment rates. One in three adults in poor households are not employed, many of whom are women. Poor workers not only earn less, they also support more dependents. This means that reducing poverty requires both more jobs and better-paying jobs. Expanding employment can make the greatest difference for households living between the $3.00 and $8.30 poverty lines, while raising the earnings of poor workers can have the greatest impact on the poorest households.

How to achieve this differs across countries. Where farms and household enterprises account for most jobs, raising productivity must go hand in hand with creating opportunities for wage employment. Where wage employment is established, access to better-paying jobs can lift households out of poverty. Jobs also help families that have escaped poverty withstand shocks and avoid falling back and, with this help, build a stronger middle class.

Reducing poverty requires both expanding opportunities to earn a living and increasing the returns to the work poor people already do. By bringing together new evidence on poverty, inequality, climate risks, and jobs, this report seeks to help chart a path toward renewed progress in ending extreme poverty and boosting shared prosperity on a livable planet. Building on a decade of evidence and analysis, it seeks to help turn this knowledge into lasting progress.

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Acknowledgments

The preparation of this report was co-led by Kathleen Beegle and Maurizio Bussolo. The core team included Alejandro De la Fuente, Miki Khanh Doan, Ebad Ebadi, David Groves, Christoph Lakner, Gabriel Lara Ibarra, Jonas Helth Lønborg, David Newhouse, Minh Cong Nguyen, Aissatou Ouedraogo, Henry Stemmler, Samuel Kofi Tetteh-Baah, and Hernán Winkler. The extended team included Yuki Kimura, Daniel Gerszon Mahler, Aneysha Roy, Daylan Alberto Salmerón Gómez, Ivan Torre, and Nishant Yonzan. Ben Brunckhorst and Andres Castaneda, as well as the Global Economic Prospects team, contributed to the production and update of the poverty and inequality data used for the report. Karina Brito and Claudia Gutierrez provided valuable general support to the team.

The authors are especially appreciative of the Global Poverty and Inequality Data team and the Global Monitoring Database team—including the World Bank's regional statistical teams—for their work to ensure consistency and accuracy in global poverty monitoring and projections and in compiling the unique harmonized household survey data used to explore the link between poverty and jobs.

This work was conducted under the general direction of Deon Filmer, Haishan Fu, Luis Felipe López-Calva, and Aaditya Mattoo, with additional input from Gabriela Inchauste and Umar Serajuddin. The team is also grateful for the overall guidance received from Richard Damania, Indermit S. Gill, Stéphane Hallegatte, Aart Kraay, and Pablo Saavedra.

The team gratefully acknowledges the advice from peer reviewers and other advisers and the consultations with many colleagues throughout the World Bank. Peer reviewers for this report included Wendy Cunningham, Leonardo Iacovone, and Nistha Sinha. The team appreciates the valuable feedback and insights from Anna Fruttero, María Eugenia Genoni, Luciana De la Flor Giuffra, Ana María Muñoz-Boudet, Ana María Oviedo, and Janaki Shibu.

The report would not have been possible without the communications, editorial, and publishing teams. Christine Montgomery led the communications strategy and engagement, with support from Inaê Riveras and Nick Nam. The report was edited by Michael Harrup and

Robert Zimmermann, and the cover and many of the report's figures were designed by Carlos Reyes. Patricia Katayama, Jewel McFadden, Stephen Pazdan, and Yaneisy Martinez from the Publishing Program managed the production, printing, and dissemination.

Financing from the government of the United Kingdom helped support analytical work through the Data and Evidence for Tackling Extreme Poverty Research Programme.



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Main Messages

Ten facts on poverty, prosperity, planet, and jobs

Poverty

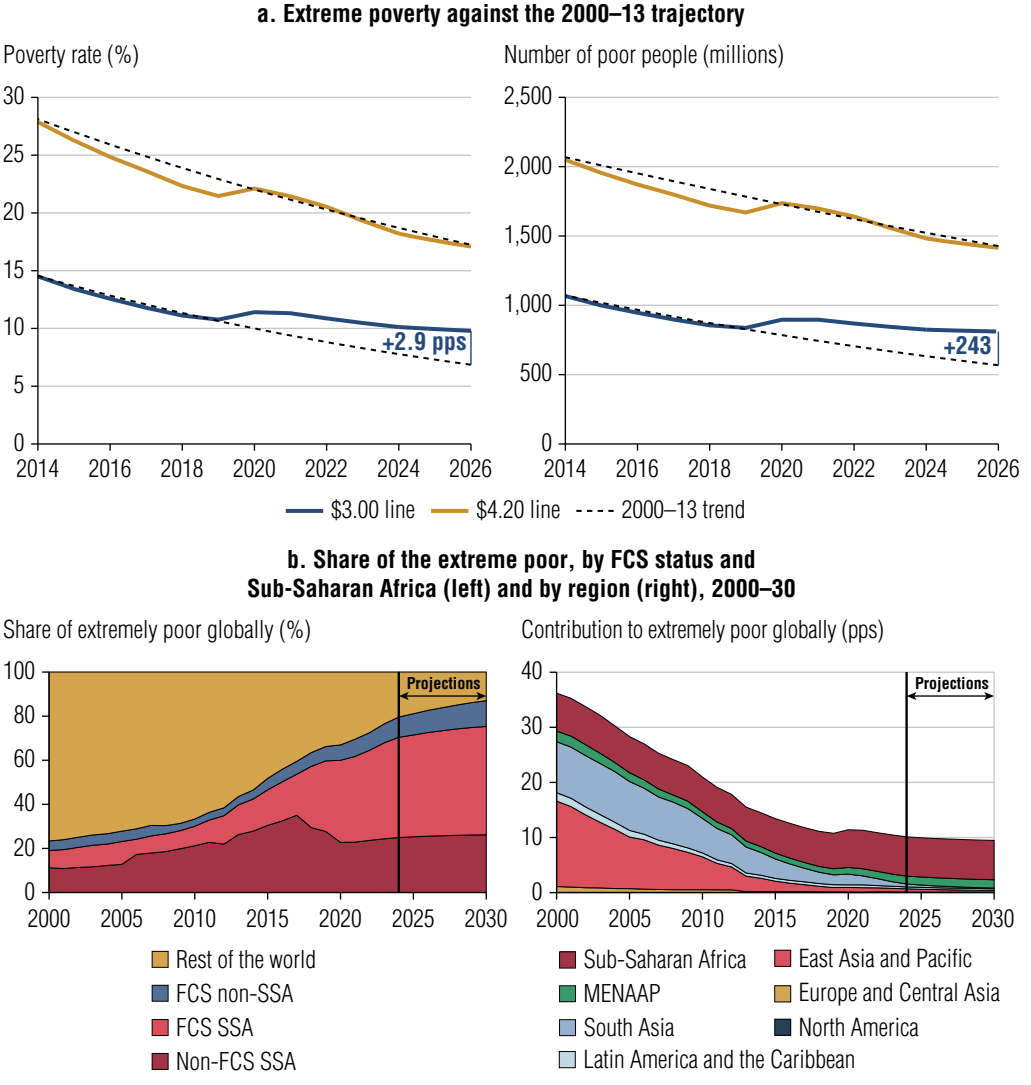
1. The decline in extreme poverty has stalled. In 2026, 811 million people, 1 in 10, are living on less than $3.00 a day, a rate unchanged since 2019. Had the 2000–13 pace been maintained, 243 million additional people would have escaped poverty. The stagnation is confined to the extreme line; at $4.20 and $8.30, poverty reduction has kept the earlier pace (refer to figure 1, panel a).

2. Extreme poverty is concentrated, and demographic patterns will concentrate it further. More than half the extreme poor are living in nine economies, and, by 2030, 87 percent will be living in Sub-Saharan Africa, in a fragile and conflict-affected situation, or both (refer to figure 1, panel b). The population is growing most quickly where poverty rates are the highest; so, at the 2015–24 pace of economic growth, the global rate and the number of the extreme poor will be higher in 2030 than today.

3. Escaping extreme poverty has not meant reaching the middle class. Nearly half of humanity, 3.7 billion people, is still living on less than $8.30 a day, the poverty line in upper-middle-income economies. Most people who have left extreme poverty since 2000 have moved only into the $3.00–$8.30 band: no longer extremely poor, but not economically secure, and one shock away from falling back into extreme poverty. The size of the global middle class—people living on between $8.30 a day and the $28.00 prosperity standard—has roughly doubled as a share of the world's population over the same period, but its expansion has been concentrated in today's upper-middle-income economies, where the middle class is now the majority. In lower-middle-income economies, the vulnerable group living on between $3.00 and $8.30 a day is still the largest, and, in low-income economies, the middle class remains a small minority (refer to figure 1, panel c).

FIGURE 1

Extreme poverty has stalled, is concentrating, and has not given way to a middle class



Sources: Panels a and b reproduce figures 1.1 and 1.11, respectively, from the full report; refer to those figures for detailed source information.

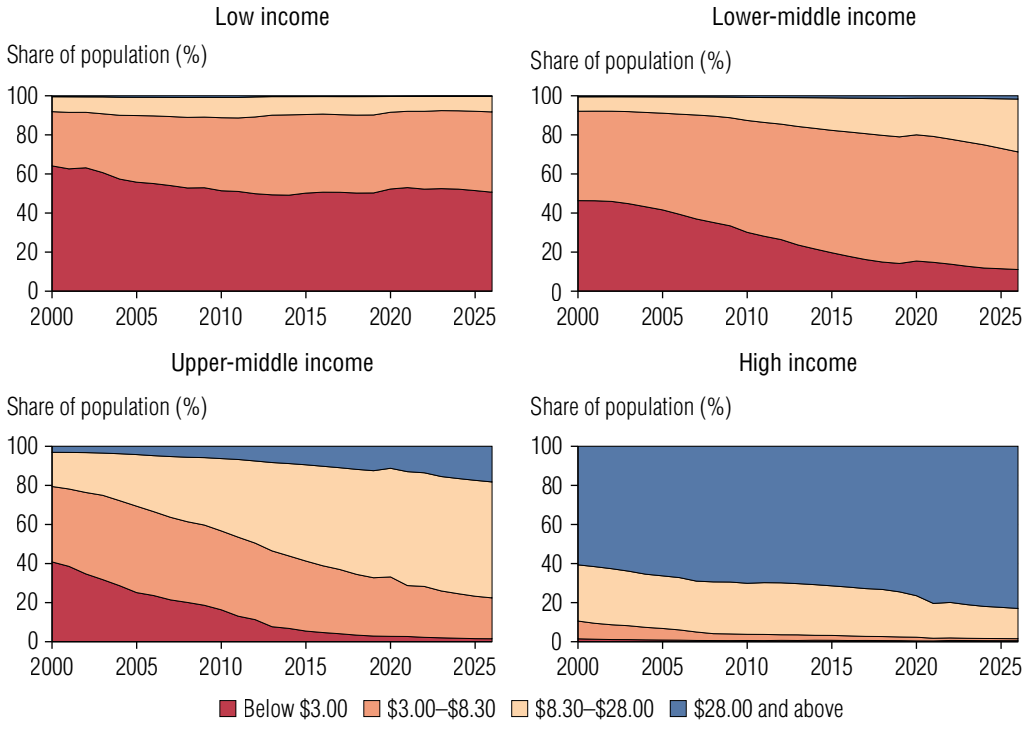
Note: Panel a: The figure reports poverty rates and the number of poor for the $3.00-a-person-a-day and $4.20-a-person-a-day poverty lines (in 2021 PPP terms). Dashed lines show counterfactual projections based on the log-linear trend observed between 2000 and 2013, anchored at 2013 values. For the full 1990–2026 series over which the pre-2013 trend can be observed, refer to annex 1B in the full report. Data for 2025 and 2026 are nowcasts (refer to annex 1A in the full report). Values for 2019 are considered projections because survey data in 2019 represent less than 50 percent of the population of low-income and lower-middle-income economies (refer to box 1.4 and annex 1A in the full report). Panel b: The figure reports poverty rates for the $3.00-a-person-a-day poverty line (in 2021 PPP terms). Poverty rate projections for 2025–30 are based on historical GDP per capita growth rates of economies in 2010–19 (refer to figure 1.9 in the full report). Economies are classified as FCS using the World Bank classification of FCS from each year until 2025 (fiscal year 2026). The classification is fixed after 2025. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of this report. FCS = fragile and conflict-affected situations; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan; PPP = purchasing power parity; pps = percentage points; SSA = Sub-Saharan Africa.

(continued)

FIGURE 1

Extreme poverty has stalled, is concentrating, and has not given way to a middle class *(continued)*

c. Population, by welfare group and income group, 2000–26



Source: Panel c reproduces figure B1.3.1 from the full report; refer to that figure for detailed source information.
Note: The panels report the distribution of the population across four welfare groups in 2000–26. The groups are defined by the $3.00-, $8.30-, and $28.00-a-person-a-day lines (expressed in 2021 purchasing power parity terms). Economies are grouped according to the World Bank income classification for 2024, and the grouping is held fixed over the period. Because economies are classified by their status at the end of the period, those in the upper-middle-income group are the ones that grew most quickly over these years, and the improvement shown for the group partly reflects this selection. Data for 2025 and 2026 are nowcasts (refer to annex 1A in the full report).

Prosperity

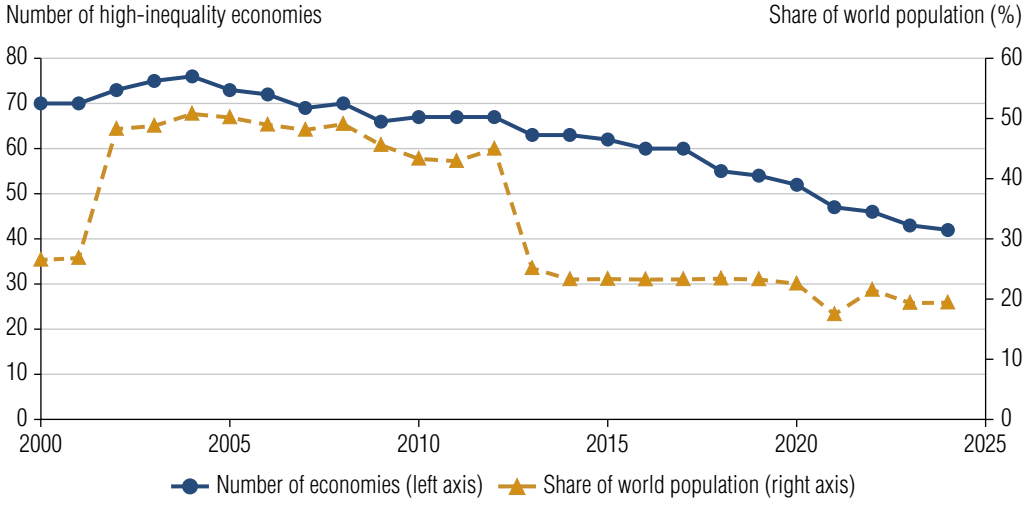
4. High inequality is retreating across economies but persists across people. The number of economies with a Gini index above 40 fell from 70 in 2000 to 42 in 2024, and those economies still above the threshold cut their average Gini from 51 to 46. Nonetheless, one in five people worldwide is still living in a high-inequality economy, a share unchanged since 2013 (refer to figure 2, panel a), and 37 economies have never left the above-40 group in 25 years. The concentration of the extreme poor is happening here, too. The share in high-inequality economies nearly doubled, to 36 percent.

5. The Prosperity Gap halved and then stalled. In 1990, incomes worldwide needed to rise 10.5-fold, on average, to reach the $28.00-a-person-a-day prosperity standard. By 2013, the Prosperity Gap had fallen to 5.5, and it stood at 4.5 in 2026 (refer to figure 2, panel b, left panel). Almost all the progress occurred before 2013. Over the latest decade, the gap has narrowed by only about 1.2 percent a year (refer to figure 2, panel b, right panel). The gap in Sub-Saharan Africa is at 11.1, twice the global average and roughly where the world stood in 1990.

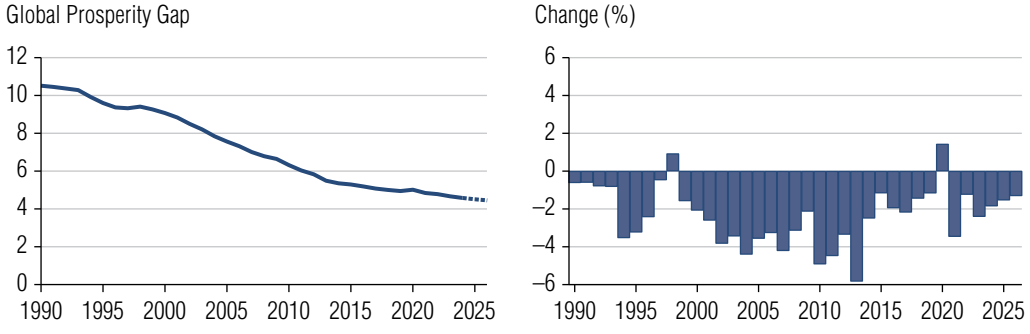
FIGURE 2

Inequality and the Prosperity Gap have improved slowly

a. Economies with high inequality and the population living in them, 2000–24



b. Global Prosperity Gap, level and annual percentage change, 1990–2026



Sources: Panels a and b reproduce figures 2.2 and 2.7, respectively, from the full report; refer to those figures for detailed source information.

Note: Panel a: *High-inequality economies* are defined as economies for which the Gini indexes are above 40. If no survey is available for a particular economy in a given year, data are used from the most recent survey in that economy prior to the given year. To ensure a balanced sample, data from the earliest survey in an economy are backcasted if the first available survey is after 2000. Panel b (left): The dashed line for 2025–26 indicates nowcasted values.

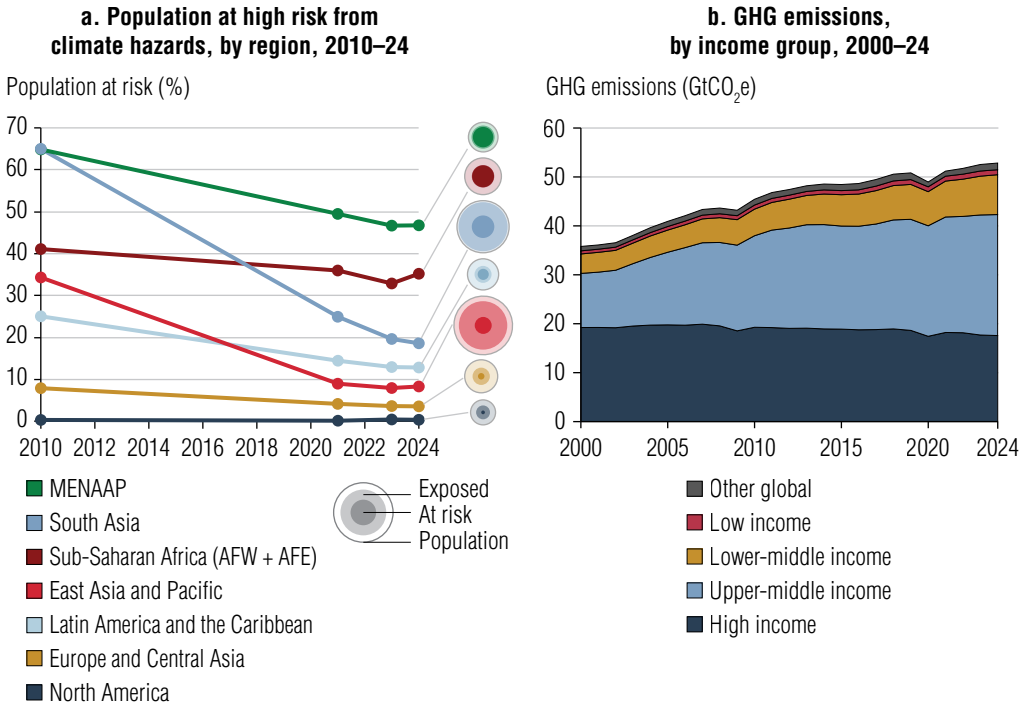
Planet

6. Climate risk reaches well beyond the poor. Of the 4.5 billion people exposed to a major climate hazard, 1.5 billion are also highly vulnerable because they lack social protection or access to basic infrastructure, and most of the highly vulnerable live above the extreme poverty line. The risk is concentrated in the Middle East, North Africa, Afghanistan, and Pakistan and the Sub-Saharan Africa regions, where nearly half and over a third of the population, respectively, are at high risk, and almost everyone who is exposed is also vulnerable. In South Asia, by contrast, the share of the population at risk has been brought below 20 percent by reducing vulnerability (refer to figure 3, panel a). Globally, the share of people at high risk fell from one in three in 2010 to one in five in 2021, although the number of such people rose by 461 million.

7. Emissions are still rising, but not where the poor are. Global greenhouse gas emissions, excluding those from land use, land use change, and forestry, reached 52.8 metric gigatons of carbon dioxide equivalent ($GtCO_2e$) in 2024, 48 percent above the levels in 2000. Nearly all the increase is accounted for by upper-middle-income economies, where emissions more than doubled, while emissions in high-income economies edged down as the economies grew (refer to figure 3, panel b). Emissions per unit of output have fallen in almost all major emitters, middle-income and

FIGURE 3

Climate risk is widespread and emissions are rising where the poor are not



Sources: Panels a and b reproduce figures 3.4 and 3.5, panel b, respectively, from the full report; refer to those figures for detailed source information.

Note: Panel a: The trends in the share of people at risk only reflect changes in vulnerability. The underlying calculations assume that fixed shares of people are exposed to hazards. Because of data availability limitations, the same set of countries may not be included within each region in all years. Concentric circles depict the overall population in the data sample (lightest color), the share of that population exposed to any type of hazard (intermediate color), and the share of that population that is exposed to any type of hazard and that is also vulnerable along at least one dimension (darkest color). All regions include three circles, but, in the case of regions in which high shares of the population are exposed, the lightest circle is not easily visible. The vertical placement of circles is ordered by the share of people at risk in 2024. Panel b: *Other global* reflects (a) aviation and maritime transportation emissions that are not assigned to a country; (b) nontropical forest, also not generally attributable to countries; and (c) remaining residuals between the global emissions numbers reported in 2025 by M. Crippa, D. Guizzardi, F. Pagani, et al. (*GHG Emissions of All World Countries 2025*, Joint Research Centre Science for Policy Report, European Union). The sums of country-level emissions were reported by the same authors. Fixed income-group classifications for 2025 are used. AFE = Africa Eastern and Southern; AFW = Africa Western and Central; GHG = greenhouse gas; $GtCO_2e$ = metric gigatons of carbon dioxide equivalent; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

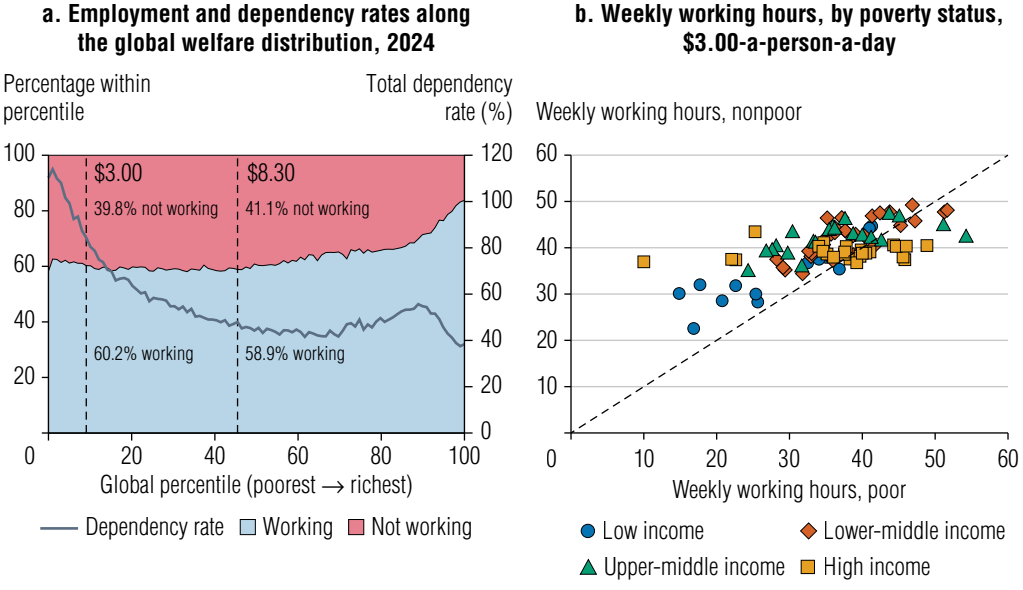
high-income alike. Low-income economies, home to a rising share of the extreme poor, account for a sliver of the total, and the growth needed to end extreme poverty would add less than 5 percent to global emissions.

Jobs

8. Labor is the main and often only asset of the poor, but their work yields less income per household member than the work of the nonpoor. Working-age adults in poor households are employed at rates only 6 percentage points below the corresponding rates in nonpoor households, but poor workers put in three to four fewer hours a week and support three times as many dependents as workers in the richest households (refer to figure 4, panels a and b). The gap is widening. Employment among the poor fell in 88 of 138 economies over 2003–24, and earnings growth, not employment, delivered all growth in consumption per capita at the bottom of the distribution.

FIGURE 4

The poor work nearly as much as the nonpoor, and more jobs and better pay reduce poverty through different routes



Sources: Panel a reproduces figure 4.2, panel b, and panel b is a combination of figures B4.1.1a and B4.1.1b, from the full report; refer to those figures for detailed source information.

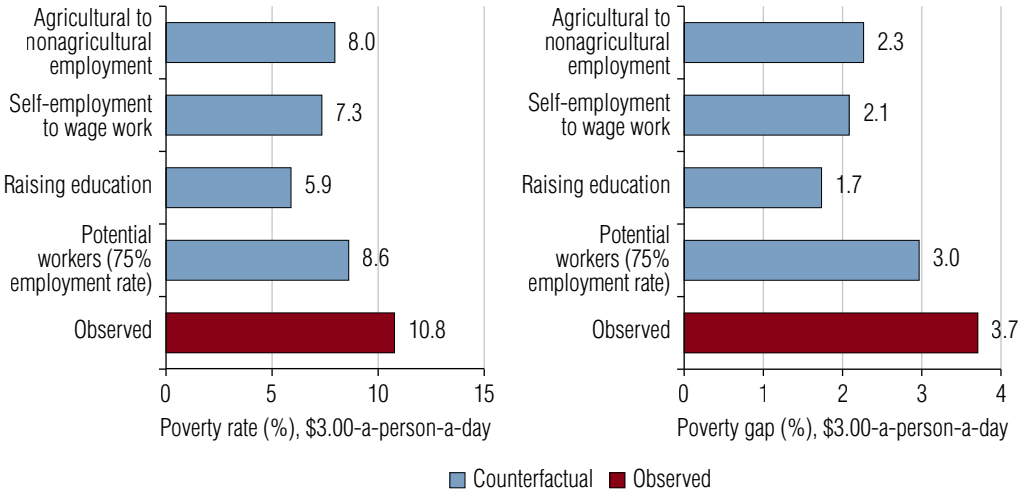
Note: Panel a: Employment rates give the share of the working-age population in work. Working-age population is defined as ages 15–64. The dependency rate is the number of dependents (ages 0–14 and 65+) per 100 working-age adults [(0–14) + (65+)] / (15–64) × 100. The global welfare distribution ranks individuals by household consumption or income per capita. Vertical dashed lines denote the $3.00- and $8.30-a-person-a-day poverty lines (in 2021 PPP terms). Panel b: Each shape represents a country. The axes are the mean weekly working hours of poor (at the $3.00-a-person-a-day line, in 2021 PPP terms) and nonpoor workers (including wage and self-employed workers). The points above the 45-degree line are countries in which the nonpoor work more hours than the poor. PPP = purchasing power parity.

(continued)

FIGURE 4

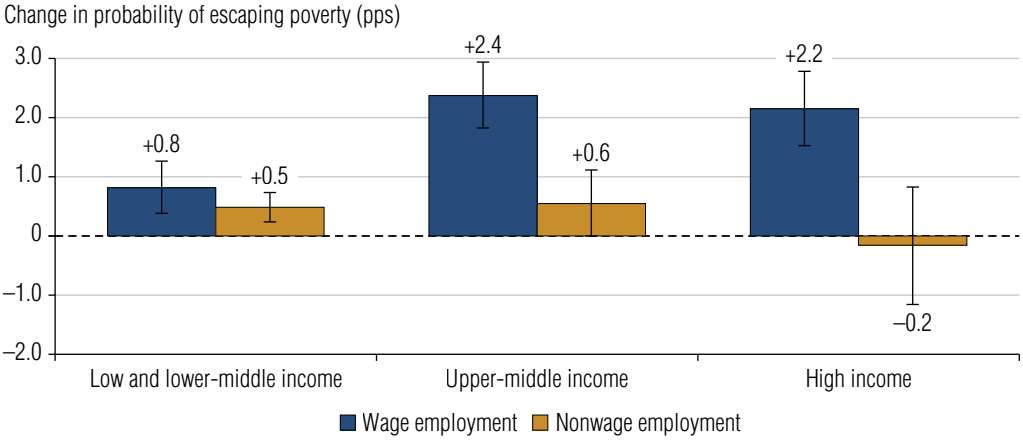
The poor work nearly as much as the nonpoor, and more jobs and better pay reduce poverty through different routes *(continued)*

c. Extreme poverty rates and poverty gaps under employment and earnings simulations



Sources: Panel c is a combination of figures 4.6 and 4.7 from the full report; refer to those figures for detailed source information.
Note: Each panel shows observed and counterfactual poverty rates and poverty gaps at the $3.00 line (in 2021 purchasing power parity terms). Two sets of counterfactuals are shown. In the first set (potential workers), employment is increased by assigning nonworking adults (ages 20–64) in poor households to work, each at the household's observed welfare per worker, up to a household employment rate of 75 percent (in a gender-blind fashion). In the second set, earnings are changed by assigning poor workers the average education of nonpoor workers (raising education) or by assigning poor workers in the origin group the earnings predicted for the relevant profile on the destination terms (agricultural to nonagricultural employment or self-employment to wage work), through Mincer regressions, holding other characteristics fixed (refer to annex 4D in the full report). The exercises hold wages fixed, and no worker in receiving activities is displaced.

d. Change in the probability of escaping poverty from a move into wage employment, by income group



Source: Panel d reproduces figure 4.11 from the full report; refer to that figure for detailed source information.
Note: The figure illustrates the change in the probability of escaping poverty (pps). Bars: ordinary least square coefficients (×10) from linear probability models of exiting poverty (poor at baseline, nonpoor at endline) on the change in the household share of working-age members (ages 15–64) in wage employment and in nonwage employment (self-employment in agriculture, self-employment in nonagriculture, and employer, consolidated into one variable). Poverty status is measured against the income-group–specific international poverty line (in 2021 purchasing power parity terms). Whiskers are 95 percent confidence intervals. Sample: initially poor households. pps = percentage points.

9. More jobs and better-paying jobs both reduce poverty, but they reach different people. Raising employment in poor households to 75 percent, the rate poor men already attain, cuts extreme poverty by a fifth; raising education to the nonpoor average cuts extreme poverty by nearly half; and switching poor workers into nonagricultural employment or into wage work cuts it by a quarter to a third. All these simulations reduce the depth of poverty as well (refer to figure 4, panel c). The gains from better pay accrue mainly to the poorest. The gains from more work accrue mainly to the near-poor, among whom the nonworking adults are mostly women.

10. Poverty falls as the work of the poor becomes more productive, and, in the poorest economies, the work is mostly on farms and in household enterprises, not in wage jobs. In richer economies, households that move into wage employment are much more likely to escape poverty, while those that move into self-employment are not. In the poorest economies, the gain from wage employment is about a third as large, and the gain from self-employment, on the farm or off the farm, is not far below (refer to figure 4, panel d). The lowest rung of the ladder out of poverty is work on the farm, where higher yields raise earnings. Each step up represents a higher-productivity activity. The reach of the ladder is limited only by the ability of firms on the upper rungs to create jobs. So far, in the poorest countries, most of the movement upward has ended in microenterprise or self-employment activities rather than higher-earning wage jobs. Jobs matter in a second way as well: They keep households from falling back into poverty. It is this protection that transforms the exits from extreme poverty into a growing middle class.

Abbreviations

AFE	Africa Eastern and Southern
AFW	Africa Western and Central
AI	artificial intelligence
API	average percent increase
b	billion
CO_2	carbon dioxide
FCS	fragile and conflict-affected situation
GHG	greenhouse gas
GMD	Global Monitoring Database
$GtCO_2e$	(metric) gigatons of carbon dioxide equivalent
IDA	International Development Association
LIS	Luxembourg Income Study
LULUCF	land use, land use change, and forestry
MENAAP	Middle East, North Africa, Afghanistan, and Pakistan
MPM	Multidimensional Poverty Measure (World Bank)
PG	poverty gap
PIP	Poverty and Inequality Platform
$PM_{2.5}$	fine particulate matter
PPG	percent poverty gap
PPP	purchasing power parity
pps	percentage points
SPL	societal poverty line
SSA	Sub-Saharan Africa
tCO_2e	(metric) tons of carbon dioxide equivalent
WASH	water, sanitation, and hygiene

All dollar amounts are in US dollars unless otherwise indicated.

The term *country*, used interchangeably with *economy*, does not imply political independence but refers to any territory for which authorities report separate social or economic statistics.

Overview

The reduction in global poverty over the past generation ranks among the great global achievements of economic development in the postwar era. In 1990, 43 percent of the world's population was living in extreme poverty. By 2020, the share was about 11 percent, and, now, more than two-thirds of humanity is living in economies in which extreme poverty has effectively ended, up from a fifth in 2000. This achievement is the standard against which the present situation must be measured, and the present falls short. Progress against extreme poverty has come to a standstill. After rising during the COVID pandemic and then recovering, the extreme poverty rate has remained essentially unchanged. In 2026, an estimated 811 million people—one person in 10—were living below the international poverty line of $3.00 a day. The slowdown predates the pandemic and has persisted since. Had poverty continued to fall at the 2000–13 pace, roughly 240 million fewer people would be poor today.

The picture is different at higher poverty lines. At $4.20 and $8.30 a day (the standards typical of lower-middle- and upper-middle-income economies), poverty reduction has broadly maintained the earlier pace. Even so, nearly half of humanity—3.7 billion people—are still living on less than $8.30 a day. The share has fallen modestly, but population growth has offset much of the gain, keeping the absolute number stubbornly high.

Many people who have escaped extreme poverty are also living only slightly above the $3.00 line and are therefore vulnerable to falling back after a major economic or climate shock. El Niño illustrates this risk in real time. Still intensifying toward a projected peak in late 2026 and already approaching record levels in the modern period, it is already driving emerging impacts on food security, incomes, and livelihoods across the globe, with effects on nutrition and human capital that could persist for years. The conflict in the Middle East is a second source of pressure, raising energy prices and, with them, the cost of fertilizer and of transporting food. Before the conflict, extreme poverty in 2026 was projected to affect 808 million people rather than the 811 million people now estimated (refer to box 1.2).

With a global median income of $9.20 a day, most of the world's population is living below or only slightly above the $8.30 line. The world's middle class—the population between this line and the prosperity standard of $28.00 a day—remains a minority of humanity (refer to box 1.3). It has roughly doubled as a share of the world's population since 2000, with almost all of the

expansion in middle-income economies, but the group that has escaped extreme poverty without reaching security has remained close to a third of humanity throughout. Without a change in the trajectory of poverty reduction, the 2020s will close as the first decade in more than a generation without meaningful progress against extreme poverty.

Read together, the findings of this report form a single argument, summarized as 9 facts in the main messages section and developed in the sections that follow. On poverty, the stagnation at the extreme line is compounded by concentration: The extreme poor live increasingly in a small group of economies, in Sub-Saharan Africa, and in fragile and conflict-affected situations, where populations are growing most quickly, so the global poverty rate will rise even as most national rates edge down. On prosperity, most people who have escaped extreme poverty have not reached the middle class, and nearly half of humanity is still living on less than $8.30 a day and remain vulnerable to falling back. Fewer economies are now highly unequal, but the share of the world's people living in these economies has not fallen, and the closing of the Global Prosperity Gap has slowed to a fraction of the earlier pace. On the planet, climate risk is reaching people far above the poverty line: while emissions are growing in economies where the poor do not live, ending extreme poverty would add little to global emissions. On jobs, the poor rely almost entirely on their labor; work nearly as much as the nonpoor, but earn less per household member; and their employment has been eroding. More jobs and better-paying jobs both reduce poverty, but the gains from better pay accrue mainly to the extreme poor, and the gains from more work accrue mainly to the near-poor. In the poorest economies, the route out of poverty runs through leaving low-return agriculture rather more than through wage work. In poorer and richer economies alike, the source of the exit is productivity growth on farms, where higher yields allow workers to move into nonfarm work, and in firms, which expand and hire wage workers.

Tracking the global path to ending extreme poverty, with jobs at the center

The *Poverty, Prosperity, and Planet Report* tracks the progress in the effort to reduce extreme poverty and boost shared prosperity on a livable planet through eight vision indicators: the global poverty rates at the $3.00- and $8.30-a-person-a-day poverty lines, the Global Prosperity Gap, the count of high-inequality economies, and five planetary indicators—greenhouse gas emissions, people at high risk from climate hazards, the health of key ecosystems, food and nutrition insecurity, and access to water and sanitation—that track the natural conditions on which well-being depends. In the spirit of the earlier reports, this edition has a thematic focus: jobs and their role in poverty reduction.[1]

Most of the eight indicators change slowly year-on-year. Each edition of the report strives to dig more deeply than the often slowly changing headline statistics. This edition confirms well-established findings on education and access to better jobs, the vulnerability of children,

the persistence of inequality, the exposure to climate risk, the difficulty of creating better jobs in rural areas, and the concentration of poor workers in subsistence agriculture and nonfarm self-employment. At the same time, this report has three new elements worth highlighting. First, it presents new data. The coverage of household surveys has been expanded in regions that earlier survey editions could not observe; the five planetary indicators are included for the first time; and a global database merging labor market indicators and poverty status—a combination no earlier collection provided—has been assembled to unpack the links between poverty and jobs. Second, this report offers new analysis: decompositions that separate progress within countries from the changing composition of the world; duration analysis of inequality; subnational trajectories and household typologies; the first global jobs profile of the poor based on a comparison of working hours by poverty status; panel survey evidence on labor transitions; and counterfactual simulations that assess the employment and earnings barriers the poor face. Third, it offers new findings, including that poor workers average fewer rather than more weekly hours on the job relative to nonpoor workers and that shifts into wage employment yield less poverty reduction in low-income economies than in richer economies.

This report opens with a sobering projection. If economies grow over the coming years at the per capita economic growth rates experienced from 2015 to 2024, both the global extreme poverty rate and the number of people living in extreme poverty will be higher in 2030 than today. This would not represent a mere pause, but a stunning reversal of the improvement in well-being of the preceding decades. Only sustained annual global economic growth of around 4 percent per capita would bring the global extreme poverty rate down to near the 3 percent target by 2050. However, this rate would be double the average country growth rate observed over the past 25 years.

The mechanism behind the projected reversal is linked to demographic trends (specifically population growth) and insufficient economic growth. Poverty rates in most high-poverty economies are projected to decline, though only marginally. The weight of these economies as a share of the world's population is expected to rise. The population is growing most quickly precisely in the locations that exhibit the highest poverty rates and that also often face conflict, fragility, and climate vulnerability. Thus, the global extreme poverty rate would be pulled upward even as the extreme poverty rates in most economies would hold steady or improve. The distinction matters for policy: The challenge is not a diffuse global failure of development, but the clustering of clear needs in an identifiable group of economies.

Concentration is a key fact of global extreme poverty and inequality

Concentration recurs across the findings of this report. More than half the world's extreme poor live in only 9 economies, while three-quarters live in 20 economies. Global poverty is concentrated both from a regional perspective and in terms of fragility. By 2030, 87 percent of

the world's extreme poor will be living in Sub-Saharan Africa or in fragile and conflict-affected states in Sub-Saharan Africa or elsewhere.

The places where extreme poverty persists are also increasingly places characterized by high inequality. One in five people in the world are living in economies classified as highly unequal. Among the world's extreme poor, the share is two in five, and this share has nearly doubled since 2000. The overlap compounds the challenge because high inequality weakens the poverty-reducing power of growth: The same rate of economic growth produces less poverty reduction in highly unequal economies.

The report's count of high-inequality economies illustrates what a headline figure may conceal. The count fell from 70 in 2000 to 42 in 2024, a decline of more than one-third. Underlying this trend, the report's fresh duration analysis reveals two findings that emphasize the stubborn persistence of inequality. In 2000–24, the Gini index never rose above 40 in 79 economies and never fell below 40 in 37 economies. The middle is thin. Few economies spent between 5 and 20 years above the threshold before falling below the threshold. High inequality is apparently not a transitory state through which economies pass. It is a chronic condition either avoided or endured for decades. The fall in the count of high-inequality economies should thus not be read as evidence that escape from high-inequality status is easy.

More encouraging is the fact that, among the 37 economies in which high inequality has endured, the average Gini index has declined from about 51 to about 46, and the decline has been broad across the distribution. Roughly a quarter of these economies now stand within three points of the threshold of 40. Transitions from high to moderate inequality are rare, but the progress that precedes an exit from high inequality accumulates across years before it is registered in a headline figure. Read together, these two findings demonstrate that it is more difficult to exit a situation of high inequality than the falling count suggests and that more exiting is under way than the count reveals.

The report's second prosperity indicator corroborates the diagnosis reached through the poverty data. The Global Prosperity Gap—the average factor by which incomes must be multiplied to reach a dignified and secure daily standard of living—has narrowed by half since 1990, but the narrowing in the gap has slowed appreciably since 2013. Of note, the countries in the East Asia and Pacific region have achieved remarkable improvements toward closing the gap by a 4.4 percent reduction per year. China accounts for much of the progress. In Sub-Saharan Africa, consistent with the stalling poverty reduction, the pace is 0.7 percent a year. The region's three most populous economies, the Democratic Republic of Congo, Ethiopia, and Nigeria, account for 40 percent of the regional Prosperity Gap. All three are currently classified as fragile and conflict-affected states. Larger populations are only part of the story. Nigeria accounts for 18 percent of the population and 16 percent of the gap, and Ethiopia, for 10 percent and 8 percent, respectively. Yet, the Democratic Republic of Congo makes up 9 percent of the region's population, but accounts for 16 percent of its Prosperity Gap.

Deprivations extend beyond monetary measures: A deteriorating planet threatens the gains against poverty

Measured across 103 economies, 17 percent of people are multidimensionally poor, that is, they are deprived in at least one of three dimensions (monetary welfare, education, and access to basic infrastructure), while 11 percent are deprived according to the monetary welfare dimension alone. This difference between multidimensional and monetary poverty is widest in Sub-Saharan Africa and South Asia, where it is driven by deprivations in education and sanitation.

The five planetary indicators tracked in this report reveal a further source of vulnerability. On balance, the situation is deteriorating: Greenhouse gas emissions are at record levels; ecosystems are shrinking; and food insecurity remains above prepandemic levels in many regions. Access to water and sanitation has improved steadily, and the share of people at high risk from climate hazards has fallen even as the absolute number of people facing such risk has grown. But progress is uneven; the gaps that remain are vast; and the pressures are affecting disproportionately the poor and those people who have only recently climbed out of poverty, thereby eroding the foundations on which durable poverty reduction depends.

Climate risk is an important direct channel through which a deteriorating planet impacts poor households. The report's climate risk indicator combines exposure to damaging climate hazards—such as flooding, drought, tropical cyclones, or extreme heat expected over a lifetime—with vulnerability, that is, a lack of capacity to cope if a hazard strikes. The vulnerability can be physical (limited access to water and electricity or limited mobility) or economic (low income, little education, no social protection, no access to financial services). Around 4.5 billion people live in exposed areas, and 2.8 billion live in highly vulnerable conditions; about 1.5 billion people experience both types of vulnerability. The drivers of multidimensional poverty also drive climate vulnerability. The same lack of schooling and missing infrastructure that identify a household as multidimensionally poor can convert a flood or a drought from a hazard into a catastrophe.

Globally, greenhouse gas (GHG) emissions continue to increase year on year. GHG emissions, excluding those from land use, forestry, and changes in land use, reached 52.8 metric gigatons of carbon dioxide equivalent ($GtCO_2e$) in 2024, about 48.0 percent above the levels in 2000, although they rose by only 0.6 percent in 2024. While the rate of increase seems to be declining since 2000, emissions have yet to peak and decline. This will lead to continued global temperature increases and global impacts, including increased damages from weather events, rising costs of adaptation, and exposure of more people to risks they may not be able to absorb. Emissions per unit of gross domestic product are nonetheless declining. Almost all major emitters have reduced emissions intensity in recent years, and several of the largest emitters

(Japan, the United States, and several European Union countries) have been reducing the level of absolute emissions over the past decade.

The health of key ecosystems is also deteriorating. Tropical primary forest loss reached 6.7 million hectares in 2024, nearly twice the level of 2023. Fires overtook agriculture as the leading driver of loss. Forests, wetlands, and other ecosystems support livelihoods and economic activity by regulating water, sustaining agricultural production, storing carbon, and reducing exposure to environmental hazards. These services are especially important in poorer economies, where renewable natural capital represents a large share of national wealth. If ecosystems are degraded, poor households lose resources and forms of protection that are difficult to replace.

Food and nutrition insecurity remain widespread. In 2024, 2.3 billion people experienced moderate or severe food insecurity, while around 150 million children under 5 years of age were stunted, which is associated with consequences that can persist throughout life. Climate shocks, ecosystem degradation, and food price volatility can deepen these deprivations, especially among households that spend a large share of their incomes on food and have few assets available to cope.

Progress on water and sanitation is also too slow. Around 2.1 billion people still lack access to safely managed drinking water. Rural populations and people in Sub-Saharan Africa face the largest gaps. These deficits are a form of deprivation, and they also raise the vulnerability to climate shocks. Droughts, floods, and extreme heat place the greatest strain on communities where water and sanitation systems are already weak.

The planetary indicators contradict the widely held presumption that there is a conflict between the goal of ending extreme poverty and the goal of protecting the climate. The effort to eradicate extreme poverty is estimated to add less than 5 percent to global emissions. The extreme poor contribute the least to global emissions, but are the most vulnerable to the consequences of climate change. A benefit-cost comparison makes the asymmetry explicit. Weighing the people whom a percentage point of economic growth lifts out of poverty on a scale against the people who may be pushed into poverty by the emissions associated with the economic growth yields a benefit-cost ratio above 100 in the poorest countries and a corresponding ratio below 1 in many of the richest countries. Economic growth in places where the poor are concentrated has poverty reduction benefits that dwarf the near-term costs of the associated emissions.

More and better jobs are needed to tackle global poverty

Poor households have—almost without exception—only a single productive asset: human capital. Land, physical capital, and savings are scarce at the bottom of the distribution, and the routes to acquiring these assets are limited. Since it was initiated in 2016, this report series has

recorded the traits in the global profile of the poor, such as rural residence, low educational attainment, and the high share of children in the household, but has not detailed the link to jobs. This shortcoming has been caused by the lack of a sufficient database combining information on poverty and information on jobs at a global scale. This report has relied on the construction of such a database, which covers 96 percent of the world's population. The jobs profile complements the familiar profile of the traits of poverty.

Rural poverty is associated with agricultural work. Two-thirds of extremely poor workers are in farm jobs and are among the most exposed to climate variability and ecosystem stress. The education deficit becomes an earnings deficit among these workers. Poor workers earn little because the skills and knowledge they have are poorly matched to the demands of higher-paying labor markets. The demographic profile illustrates a dependency burden. A working adult in a poor household supports roughly three times as many dependents as a working adult in a rich household. The missing second earner in poor households is most often a woman. Employment among women is lowest globally among households in the lower middle of the distribution. Low female labor market participation is a structural driver of household poverty.

Labor income is the product of two factors: the amount of work a household supplies and the amount of earnings people receive if they work. This report examines poverty through each of these factors. It finds that neither factor alone accounts for the persistence of poverty and that addressing only one of these factors is insufficient to end poverty.

On employment rates, the poor fall only slightly short of the nonpoor. About three in five working-age adults in poor households are employed, some 6 percentage points below the rate among adults in nonpoor households. Joblessness thus accounts for only part of global poverty. The near parity in employment rates is a global average. The employment gap between the poor and the nonpoor is small or absent in poorer economies and wide in richer economies. It also conceals two shortfalls. Poor workers put in about three to four fewer hours a week relative to nonpoor workers, whether wage earners or self-employed, and the gap is largest in the poorest countries and among the self-employed. So, more work means not only a job but sufficient hours in the job. In poor households, the shortfall in employment is concentrated among women. Men are employed at rates of about 75 percent; women at far lower rates.

Over the past two decades, the gap between the poor and the nonpoor has widened. From 2003 to 2024, employment rates among the poor fell in 88 of 138 countries, and, in 99 of 137 countries, they grew more slowly or fell more quickly than the rates among the nonpoor at the $8.30-a-person-a-day poverty line (in 2021 purchasing power parity terms). Longer schooling among the young does not account for the decline, which is present among adults ages 25–64 as well. This report points to three mechanisms that it does not test directly. First, agriculture has shed workers more quickly than other sectors have absorbed them, and the poor, concentrated in agriculture, have been the first to be affected. Second, technical change may have lowered the demand for less well educated workers. Third, women leaving agriculture face constraints in taking up other work, ranging from care responsibilities and social norms to transport. Among the poor, the exit from farming may more often therefore end in nonemployment.

Combining both employment rates and earnings, this report shows that, over these two decades, growth in earnings per worker accounted for essentially all the welfare growth among the poorest households, while declines in employment rates reduced welfare growth. Poverty continued to decline as long as the growth in earnings more than offset the shrinking employment rate among the poor. The past two decades thus represent a missed opportunity rather than a verdict on employment. Had the level of employment among the poor been maintained, the same earnings growth would have reduced poverty more quickly.

How much can more jobs and better-paying jobs contribute to poverty reduction? Simulations undertaken for this report show that raising the employment rate among poor households to a benchmark of 75 percent of working-age adults would reduce the global poverty rate by a fifth. This is roughly the employment rate already observed among men in poor households, among poor households two decades ago, and in the richest quintile of the global population. Reaching this rate would therefore require closing much of the gender gap in employment because nearly all the shortfall is among women. Raising the earnings associated with the jobs held by the poor would reduce poverty further. Lifting the educational attainment of poor workers to the nonpoor average would cut the extreme poverty rate by nearly half. Labor movements out of agriculture and out of self-employment into wage work would contribute additional rate reductions.

In these simulations, the additional employment and the higher earnings reach different populations. The earnings gains are proportionally greatest among the poorest. The simulations assign broadly similar absolute gains to workers with similar characteristics, and, so, the gain is proportionally largest among the poorest workers. Meanwhile, the employment gains are concentrated among the near-poor, among whom the nonworking adults are disproportionately women. Better pay or higher returns to work (such as among smallholders or microenterprises) benefits the destitute the most. More work benefits the near-poor the most.

Better-paying work depends on productivity growth and the jobs that firms create

The simulations reported above draw on household surveys, which describe the labor market from the viewpoint of households. The employment and earnings the surveys record represent the joint product of the labor that households supply and the demand for this labor. Household surveys provide information on workers and their families, but only limited information on the firms that might employ these people or on the smallholder and microenterprise ecosystems

in which the self-employed work. The simulations also hold wages fixed and displace no incumbents. So, the impacts they report represent upper bounds.

What has happened over the past two decades shows why these limits matter. The contraction of subsistence farming has fed mostly into nonagricultural forms of microenterprise or self-employment, mostly in services, rather than into higher-paying wage work. This represents a pattern of incomplete structural transformation. The distinction matters because a given rate of growth reduces poverty more quickly if it is accompanied by a movement of workers and earnings out of low-return agriculture than if the sectoral composition of the movement is neutral. Whether the poor can reach better-paying work depends on two factors: whether such work is created and whether workers have the skills and qualifications employers in higher-paying work require. Raising the productivity of the work the poor already do, especially on smallholder farms, is a route that does not depend on the creation of such jobs, and it is the route with the shortest horizon.

The simulations are not the only evidence. Additional evidence is supplied by household surveys that track job transitions into wage jobs and self-employment, out of farming, or into or out of work altogether and that track whether households escaped poverty or fell into poverty during the same years. Longitudinal surveys in 41 economies confirm that both more work and better-paying work are associated with poverty reduction. However, the job transitions that drive this result vary. A transition into a wage job is associated with poverty reduction in richer economies, while a transition out of agriculture into nonagricultural work of any kind matters most in poorer economies. If the share of a poor household's working-age members in wage employment rises by 10 percentage points, the household's chance of escaping poverty increases by 2.4 percentage points in upper-middle-income economies and by 2.2 percentage points in high-income economies, but by only 0.8 percentage points in low- and lower-middle-income economies. A shift into nonwage work raises the chance of escaping poverty by 0.5 percentage points in the poorest economies, not far below the corresponding effect of wage employment in these same economies, while the estimate is not distinguishable from zero in upper-middle-income economies and negative in high-income economies. Poor households in the poorest economies are held back twice over. The wage work within their reach may not generate the income necessary to lift these households out of poverty, as these estimates show, and such work is also scarce. Over the period under observation, the share of working-age adults in wage employment rose by 3.4 percentage points among poor households in the poorest economies, against 7.7 percentage points in high-income economies. Access to a job and access to decent pay are both needed, and, in the poorest economies, both are in short supply.

The longitudinal data also show that, in addition to lifting households out of poverty, employment helps keep households from sliding into poverty, though not always through the same type of work. Self-employment in agriculture and outside agriculture protects households against falling into poverty in rich and poor economies alike.

Concentrated poverty can be tackled, but progress is unlikely to be swift

The findings of this report support neither complacency nor despair. Most of the world has left extreme poverty behind, and the poverty that remains is concentrated geographically, socially, and across the dimensions of deprivation. Concentration establishes where the remaining poverty is located and who suffers from this poverty. Designing policies to reduce poverty depends on understanding both dimensions. The task will not be easy. This report documents that poverty is concentrated among the countries and the households that have been the hardest to reach; in fragile states; in regions vulnerable to climate risks; and in families with low education, low skills, and many dependents.

The challenge of concentrated poverty cannot be separated from the condition of the planet on which the poor live. The coming decades will bring continued warming, mounting pressure on ecosystems, and growing food and water stress. At the same time, poverty reduction must accelerate. Investments in climate resilience can therefore also be investments in poverty reduction. Protecting ecosystems helps preserve the natural asset base on which many poor households depend. Limiting the peaks and duration of warming reduces the risks borne disproportionately by people who have contributed the least to the problem and possess the fewest resources to cope.

Each route out of poverty examined above—employment restored to a level the poor attained two decades ago, schooling raised to the level the nonpoor already have, shifts into better-paying jobs, and the economic growth needed for all three—can be quantified: how much poverty each would remove and which poor households each would reach. Such change rarely occurs quickly. Education among the poor typically yields impacts only after the poor cohorts successfully complete the transition from school to work. The barriers are great. Employment rates among the poor, especially poor women, are stagnant or falling. In some regions, a sizable share of the population remains vulnerable to climate hazards. Inequality is often persistent. Still, progress is possible even under such challenging circumstances, as demonstrated by the improvements in well-being over the last three decades. The broad focus of this report, to monitor this progress, is not meant to be a passive record of slowly moving numbers, but a road map that keeps the conditions and the opportunities for poverty reduction in view.

Note

1. These are biennial reports. The *Poverty, Prosperity, and Planet Report 2024* is the new edition of the *Poverty and Shared Prosperity Reports* 2016, 2018, 2020, and 2022.

1

Global Poverty: Stalled Progress and Rising Concentration

Summary

- *The global extreme poverty rate fell steadily for three decades, from 43 percent in 1990 to 11 percent in 2020. This was an incredible accomplishment. However, progress has since come to a standstill. The extreme poverty rate has remained essentially unchanged after an increase during the COVID pandemic and the subsequent recovery. In 2026, 811 million people—1 in 10 globally—were living in extreme poverty, defined as living on less than $3.00-a-person-a-day in 2021 purchasing power parity (PPP) terms.*
- *Extreme poverty is increasingly concentrated. More than half the extreme poor globally are living in only nine economies, and three-quarters in 20 economies. Of the nine economies, six are in Sub-Saharan Africa, where the extreme poverty rate has remained near 44 percent since 2014. Only in 2026 did poverty rates in Sub-Saharan Africa return to prepandemic levels, while this is still not the case in the Middle East, North Africa, Afghanistan, and Pakistan (MENAAP) region.*
- *Fragility is the defining feature of global poverty. The share of the extreme poor living in a fragile and conflict-affected situation (FCS) rose from 12 percent in 2010 to 57 percent in 2026, as more high-poverty economies became fragile and because extreme poverty fell more quickly in non-FCS economies. By 2030, 87 percent of the extreme poor globally will be living in Sub-Saharan Africa or in an FCS economy or both.*
- *If the per capita economic growth rates observed over 2015–24 persist, the global extreme poverty rate and the number of people living in extreme poverty will increase by 2030: an unprecedented reversal of the decades-long decline. Population growth in high-poverty economies is a key factor in the potential increase.*

A reproducibility package is available for this book in the Reproducible Research Repository at https://reproducibility.worldbank.org/catalog/659.

- *People living in poor households are disproportionately young, rural, and less educated. Eighteen percent of children under the age of 18 are living in extreme poverty, compared with 6 percent among adults, and individuals with no formal education have a poverty rate of 22 percent. Extreme poverty rates in rural areas are more than three times higher than urban rates. Although extreme poverty declined across most demographic groups between 2013 and 2023, progress was slowest among households caring for children in which none or only one working-age adult was working.*
- *Subnational data reveal that poverty is concentrated not only in specific economies, but in specific regions within these economies. Poverty has been stagnating or rising in many regions within economies in Sub-Saharan Africa and MENAAP over the past decade.*
- *Broadening measurement beyond absolute monetary thresholds—to relative poverty lines and to multidimensional deprivation—reinforces the existence of these patterns: Across 103 economies, 17 percent of people were multidimensionally poor in 2023, compared with 11 percent based on the $3.00-a-person-a-day line. The largest differences are across poverty measures in South Asia and Sub-Saharan Africa.*

Gains in global poverty reduction could be reversed in coming decades

Following the decades during which global extreme poverty fell at historic rates, the decline has come to a dramatic stop.[1] Extreme poverty is increasingly concentrated in economies in Sub-Saharan Africa and in economies experiencing fragility, conflict, and violence. In these economies, poverty rates have generally stagnated or risen. Population growth in these economies, combined with rates of poverty reduction that are insufficient to sustain the progress achieved during the preceding years, means that the number of people living in extreme poverty globally is projected to increase in coming decades.

After decades of progress, the reduction in extreme poverty has ground to a halt

After decades of significant and steady progress, the reduction of global poverty has reached a critical juncture. In 1990, nearly 2.3 billion people—43 percent of the global population—were living in extreme poverty, defined as living on less than $3.00-a-person-a-day (in 2021 PPP terms) (refer to box 1.1). By 2019, the number had fallen dramatically, to 837 million people, or 10.8 percent of the global population. But, since then, virtually no progress on reducing extreme poverty has been made. The COVID-19 pandemic triggered the largest setback in decades (Mahler et al. 2022). In 2026, 811 million people—1 in 10 globally—were living in extreme poverty, and this rate has remained essentially unchanged since 2020. Factoring in the economic growth and price impacts of the conflict in the Middle East suggests that the extreme poverty rate may be even higher (refer to box 1.2).

BOX 1.1

Updated poverty lines carry important implications

This report relies on updated global poverty lines to incorporate the latest available data on purchasing power parities (PPPs), as compiled by the International Comparison Program. In June 2025, the base year for comparing price levels across economies was updated from 2017 to 2021 (Alfani et al. 2025). PPPs are used to convert welfare data and national poverty lines from local currency units into dollars.[a]

As part of the update, the global poverty lines were revised to reflect updated national poverty lines set by national authorities around the world. The World Bank's global poverty lines are based on the national poverty lines that are used by governments to monitor poverty within national borders. The international poverty line is the median national poverty line among low-income economies. It thus reflects the typical standard by which governments in the poorest economies define poverty at the national level. Upward revisions in national poverty lines, especially in West Africa, have stemmed from improvements in household survey methodologies that have resulted in higher measured consumption and thus also upward revisions in national poverty lines. These higher national poverty lines do not reflect a more generous standard of what it means to be poor. They reflect better data to assess the cost of basic needs for a minimum food bundle and an allowance for essential nonfood consumption.

Combined, the 2021 PPPs and the latest national poverty lines have contributed to higher global poverty lines (refer to table B1.1.1). They do not constitute a movement of the goalpost in poverty measurement. Rather, they reflect evolving standards of how the poorest countries measure consumption and evolving differences in the cost of living across countries as captured by an established methodology (World Bank 2025d).

TABLE B1.1.1

Revised global poverty lines

Economy group	Previous poverty line (2017 PPPs)	Revised poverty line (2021 PPPs)
Low-income economies	$2.15	$3.00
Lower-middle-income economies	$3.65	$4.20
Upper-middle-income economies	$6.85	$8.30

Source: Alfani et al. 2025.

Note: The economy income groups have been updated as needed, and the sample of economies on which information is available has expanded. However, these changes have had only a small effect on the poverty data overall. PPP = purchasing power parity.

(continued)

BOX 1.1

Updated poverty lines carry important implications *(continued)*

Foster et al. (2025) show that long-run regional and global poverty trends remain consistent irrespective of which PPP series is applied. A legacy series for the previous poverty lines remains available on the World Bank's Poverty and Inequality Platform (https://pip.worldbank.org/home) for the purposes of comparison.

a. Welfare is measured by either consumption or income as available in the survey sources of an economy. Throughout the chapter welfare is used.

BOX 1.2

Tracking the impact on poverty of the conflict in the Middle East

The conflict in the Middle East and the associated increase in energy prices impacted projected economic growth in 2026. Nearly two in three countries were facing weaker growth prospects in June 2026 compared with the outlook in *Global Economic Prospects, January 2026* (World Bank 2026b, 2026c). According to the projections of *Global Economic Prospects, June 2026* (World Bank 2026c), commodity prices were expected to rise by 22 percent in 2026, while, according to earlier projections in January 2026, they had been expected to decline by 7 percent in 2026 (World Bank 2026b). The higher commodity prices led to a resurgence of inflationary pressures similar to the situation observed at the start of the Russian Federation's invasion of Ukraine, which resulted in a reduction in food production, particularly of wheat. What was different this time was that the shock has primarily affected energy prices, and these exert an impact on household budgets directly, but also indirectly through, for example, higher transport costs for food. Furthermore, there has been a significant rise in fertilizer prices, which has affected food production throughout 2026. More generally, energy intensity varies by economic sectors. So, household income can be affected differentially depending on the sector of employment.

Record maize harvests in South Africa (Crop Estimates Committee 2026) fixed fertilizer prices in some countries, such as India (PIB 2026), and the low take-up of fertilizers in Sub-Saharan Africa (FAO 2025) generally could mitigate the impact on food prices. Furthermore, the overall effect of higher food prices on extreme poverty is complicated by the fact that many of the poor are food producers and could thus benefit from higher food prices (Ivanic and Martin 2008). It is thus crucial to understand what happens to input costs. If the increase in food prices is driven by input costs (for instance, fertilizer or transport costs), there are no net benefits among food producers, who may even be less well off if there is a reduction in food demand.

(continued)

BOX 1.2

Tracking the impact on poverty of the conflict in the Middle East *(continued)*

The 2026 nowcasts for poverty presented throughout this report use the growth rates in real per capita gross domestic product (GDP) of *Global Economic Prospects, June 2026* (World Bank 2026c).[a] The baseline estimates assume that the incomes of everyone in the country grow at the same rate. However, higher prices for food and energy will affect households to a varying degree. Typically, poorer households spend a larger share of their budgets on food and energy and are thus more sensitive to price changes for these items.

To investigate the disproportionate impact, two methods allow variation in the intensity of the shock faced by households (Kimura et al. 2026). In both cases, the average growth of the economy is maintained at the level indicated in *Global Economic Prospects, June 2026* (World Bank 2026c), which captures the aggregate income and price shock. First, households are allocated sectoral growth rates based on their sector of employment. Second, inflation is allocated to households depending on their budget's exposure to food and energy. Poorer households typically spend a greater share on food and energy and thus receive lower real income if the prices of these items rise. A distribution-neutral assumption, which is used as the baseline throughout the report, would instead assume the equal distribution of inflationary shocks.

The baseline using projections of *Global Economic Prospects, June 2026* (World Bank 2026c) provides estimates of the number of people living in extreme poverty at 811 million people in 2026 (refer to figure B1.2.1). This is an increase of 2.5 million people relative to the preconflict growth projections of *Global Economic Prospects, January 2026* (World Bank 2026b). While these differences are not solely attributable to the conflict, the numbers confirm a worsening outlook.

Allowing for distributional impacts either from uneven income shocks or price shocks leads to a further increase compared with the preconflict projections and essentially a stagnation in extreme poverty relative to 2025 (when the number was 816.9 million people). Taking the differential impact of sectoral growth rates into consideration reveals that 816.6 million people were estimated to be living in extreme poverty in 2026. One of the main reasons is that projected agricultural growth is much lower than the growth projected in the service and industrial sectors in 2026. Because a larger share of the extreme poor work in the agricultural sector, poverty reduction is muted because of the low agricultural growth. This also highlights that it is important for the poor to engage in resilient high-growth sectors to favor poverty reduction (refer to chapter 4).

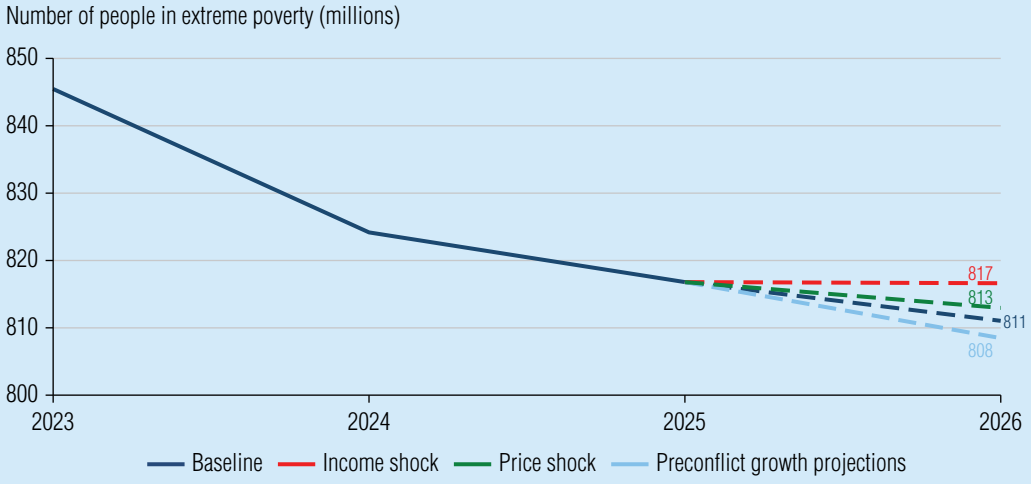
(continued)

BOX 1.2

Tracking the impact on poverty of the conflict in the Middle East *(continued)*

FIGURE B1.2.1

Projected extreme poverty increases because of the growth and price impacts of the conflict



Sources: Kimura et al. 2026; World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home; World Bank 2026b, 2026c.
Note: The figure reports the trend in millions of poor people from 2023 to 2026, as assessed against the international poverty line of $3.00-a-person-a-day. Data for 2025 and 2026 are nowcasts and are represented by dashed lines in the figure (refer to annex 1A). The baseline scenario relies on distribution-neutral growth forecasts in *Global Economic Prospects, June 2026* (World Bank 2026c) to nowcast poverty for 2026. The income shock scenario allows for distributional changes by combining household employment data with sectoral growth rates, while the price shock scenario captures disproportionate household impacts based on the household exposure to food and energy spending. The preconflict scenario applies the forecasts in *Global Economic Prospects, January 2026* (World Bank 2026b). In both the income and price shock scenarios, the growth in average income or consumption matches the forecast of the World Bank in June 2026 (World Bank 2026c).

The differential price shock adjusts the real growth rates faced by households based on their food and energy expenditure. Growth is downgraded among households that have above average food and energy exposure, while it is revised upward for the rest to match the overall mean growth in the baseline. With these price shock assumptions, the number of people living in extreme poverty in 2026 is estimated at 813 million people, slightly below the 817 million in 2025.

(continued)

BOX 1.2

Tracking the impact on poverty of the conflict in the Middle East *(continued)*

Since January 2026, the global economy has experienced a series of significant developments. There is currently great uncertainty regarding the trajectory of the conflict in the Middle East and its implications for the global economy in 2026, as well as any potential recovery beyond that. Furthermore, El Niño is still intensifying toward a projected peak in late 2026 and already approaching new records. This is driving impacts in food security, incomes, and livelihoods across the globe, including effects on nutrition and human capital that could persist for years.

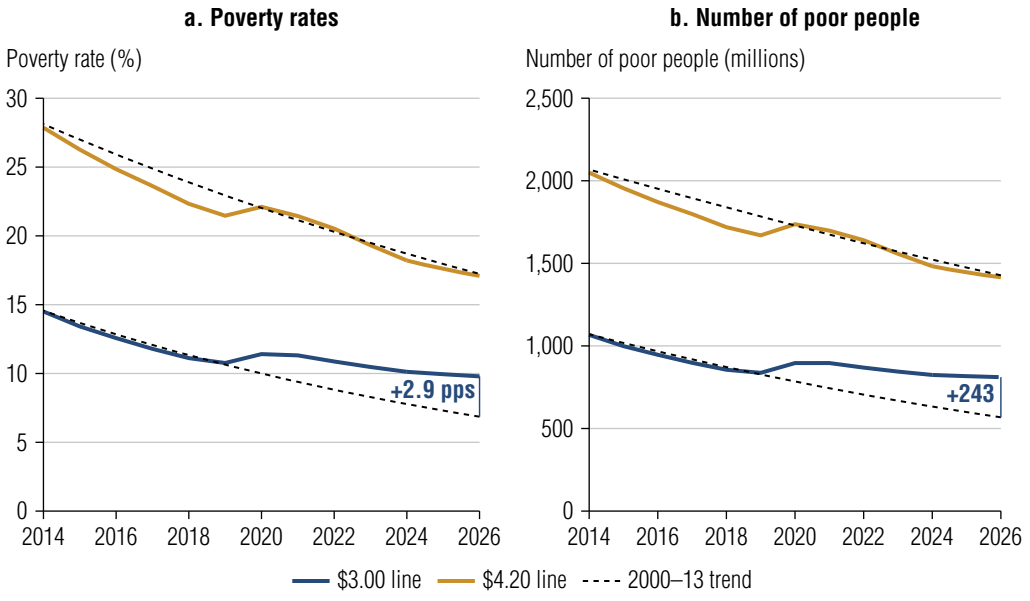
a. In the case of economies that use a consumption aggregate, a pass-through rate of 0.7 is applied, compared with a rate of 1.0 (full pass-through) in the case of economies that rely on an income aggregates based on the empirical evidence provided by Mahler et al. (2022).

The speed of extreme poverty reduction has shifted markedly over time. Between 1990 and 2004, the global rate of extreme poverty fell from 43 percent to 30 percent, with hundreds of millions of people pulled out of extreme poverty. As the fight against extreme poverty gained momentum in populous economies, most notably China, the global rate of extreme poverty fell starkly in the years after 2004, delivering substantial progress toward the goal of reducing extreme poverty across the globe. However, the momentum shifted in the late 2010s, even before the onset of the COVID-19 pandemic. The slowdown reflected persistently low economic growth in low-income economies leading to an increasing concentration of the global poor in these economies (World Bank 2018, 2024a). After a rise in the incidence of extreme poverty in 2020, poverty rates began to decline, though at a slower pace than previously.

Had poverty continued to decline at the pace observed between 2000 and 2013, the extreme poverty rate would have reached roughly 7 percent by 2026, some 3 percentage points below the actual rate (refer to figure 1.1). In absolute terms, this gap represents approximately 240 million more people living in extreme poverty than would have been the case under the earlier trajectory of poverty reduction. The slowdown relative to the 2000–13 trend is only observable at the $3.00 line. At the higher poverty lines (for example, $4.20), actual poverty reduction has broadly kept pace with the pre-2013 trend.

FIGURE 1.1

Extreme poverty has fallen less relative to the pre-2013 trajectory



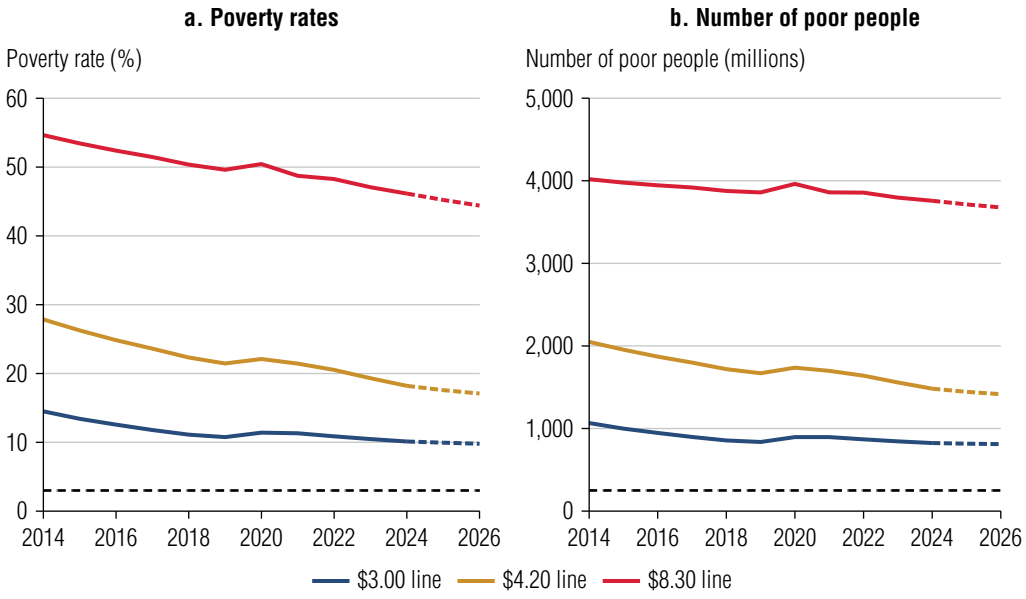
Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports poverty rates and the number of poor for the $3.00-a-person-a-day and $4.20-a-person-a-day poverty lines (in 2021 purchasing power parity terms). Dashed lines show counterfactual projections based on the log-linear trend observed between 2000 and 2013, anchored at 2013 values. For the full 1990–2026 series over which the pre-2013 trend can be observed, refer to annex 1B, figure 1B.6. Data for 2025 and 2026 are nowcasts (refer to annex 1A). Values for 2019 are considered projections because survey data in 2019 represent less than 50 percent of the population of low-income and lower-middle-income economies (refer to box 1.4 and annex 1A). pps = percentage points.

Despite this progress in reducing the poverty rates at higher poverty lines, nearly half the world's population in 2026, approximately 3.7 billion people, were living on less than $8.30-a-person-a-day, that is, the value of the poverty line typically associated with upper-middle-income economies (refer to figure 1.2). Thus, although the share of people living below this line dropped from 70 percent in 1990 to 44 percent in 2026, the number of people living below the line did not decline (World Bank 2024a). This stagnation reflects both the fact that the population grew in low- and middle-income economies over the period and the fact that the global progress in pushing incomes above the revised and higher poverty lines has been slower (refer to box 1.1). Many of the people living between the international poverty line (the $3.00-a-person-a-day line) and the $8.30 line have escaped extreme poverty without attaining economic security. The world's middle class is concentrated in middle-income economies (refer to box 1.3).

FIGURE 1.2

Extreme poverty reduction has come to a standstill



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports poverty rates using 2021 purchasing power parities (refer to box 1.1). In panel a, the horizontal dashed line is drawn at 3 percent in 2030, which is the World Bank's target for ending extreme poverty. In panel b, the horizontal dashed line is drawn at 256 million, which represents 3 percent of the global population projected for 2030. Data for 2025 and 2026 are nowcasts and are represented by dashed lines in the figure (refer to annex 1A). Values for 2019 are considered projections because survey data in 2019 represent less than 50 percent of the population in low-income and lower-middle-income economies (refer to box 1.4 and annex 1A).

BOX 1.3

The global middle class has grown, but economic security remains out of reach for many

Living above the poverty line does not necessarily mean one has achieved middle-class status. A household that has escaped poverty may still face a substantial risk of falling back into poverty after an illness, a job loss, or a bad harvest, and this risk is what distinguishes the vulnerable from the middle class. In the approach developed by López-Calva and Ortiz-Juárez (2014), a household is middle class if the probability it will fall into poverty is low. The income level at which this probability becomes low is the economic security threshold, which marks the lower boundary of the middle class. Between the poor and the middle class lies a third group that is living above the poverty line, but does not enjoy sufficient security to have middle-class status. A large middle class is widely regarded as a foundation of stable growth because it helps sustain

(continued)

BOX 1.3

The global middle class has grown, but economic security remains out of reach for many
(continued)

domestic demand, investment in education, and support for institutions that mediate distributional tensions (Banerjee and Duflo 2008; Easterly 2001). It is also a product of growth. As an economy's average income rises, so does the share of the population that has attained economic security. The middle-income economies, home to about three-quarters of the world's population (World Bank 2024b), are precisely the ones in which this transition is under way and far enough along that extreme poverty has receded, but not so far that security is the norm.

The thresholds used in this report can serve as approximate class boundaries. Each of the three poverty lines is the typical national poverty line of an income group: $3.00 a day for low-income economies, $4.20 for lower-middle-income economies, and $8.30 for upper-middle-income economies (refer to box 1.1). Households living on less than $3.00 a day are extremely poor by any standard. Those living on between $3.00 and $8.30 are above the extreme poverty line, but would count as poor in a middle-income economy and, for the most part, remain short of economic security. Those living on between $8.30 and $28.00 a day are above the poverty line of every developing economy and constitute a global middle class; and those above $28.00 a day exceed the prosperity standard this report uses to gauge shared prosperity (refer to chapter 2). These thresholds are proxies. Ongoing work indicates that the income required for security is higher than any poverty line. Applying the vulnerability approach to the World Bank's harmonized household surveys—estimating, for each economy, the probability that a household is living on less than the poverty line of the relevant income group over a few years, and identifying the consumption level at which this probability becomes low—yields economic security lines of about $6.00, $7.00, and $14.00 a day for the three income groups. This is roughly twice the corresponding poverty lines, but with wide variation across economies (Bolch et al. 2026). The threshold also shifts with the risks households face. In Europe and Central Asia, the income needed to maintain a low probability of falling into poverty rose by about 10 percent in real terms between 2008 and 2018 as the shocks pushing households into poverty grew larger (Bussolo et al. 2025). There is no fixed income at which security begins. The boundary of the middle class shifts with the environment in which households live.

Measured against these thresholds, the global middle class has grown substantially since 2000, roughly doubling as a share of the world's population. The group living on between $3.00 and $8.30 a day, however, has remained close to a third of the world's population throughout the period. Among large numbers of people, the exit from extreme poverty has thus represented an exit into vulnerability rather than into security.

(continued)

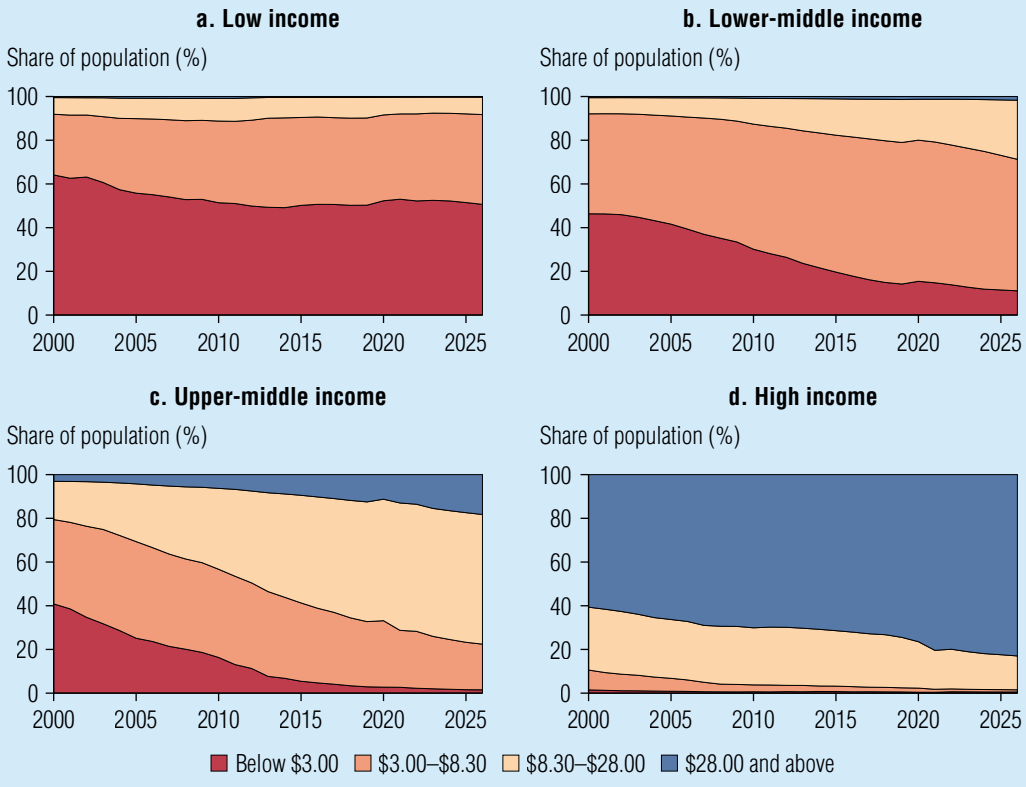
BOX 1.3

The global middle class has grown, but economic security remains out of reach for many *(continued)*

The expansion of the middle class has been concentrated in middle-income economies (refer to figure B1.3.1, panels b and c). In today's upper-middle-income economies, the middle class has grown from a small minority of the population

FIGURE B1.3.1

The global middle class has grown, mostly in middle-income economies



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports the distribution of the population across four welfare groups in 2000–26. The groups are defined by the $3.00-, $8.30-, and $28.00-a-person-a-day lines (expressed in 2021 purchasing power parity terms). Economies are grouped according to the World Bank income classification in 2024, and the grouping is held fixed over the period. Because economies are classified by their status at the end of the period, those in the upper-middle-income group are the ones that grew most quickly over these years, and the improvement shown for this group partly reflects this selection. Data for 2025 and 2026 are nowcasts (refer to annex 1A).

(continued)

BOX 1.3

The global middle class has grown, but economic security remains out of reach for many *(continued)*

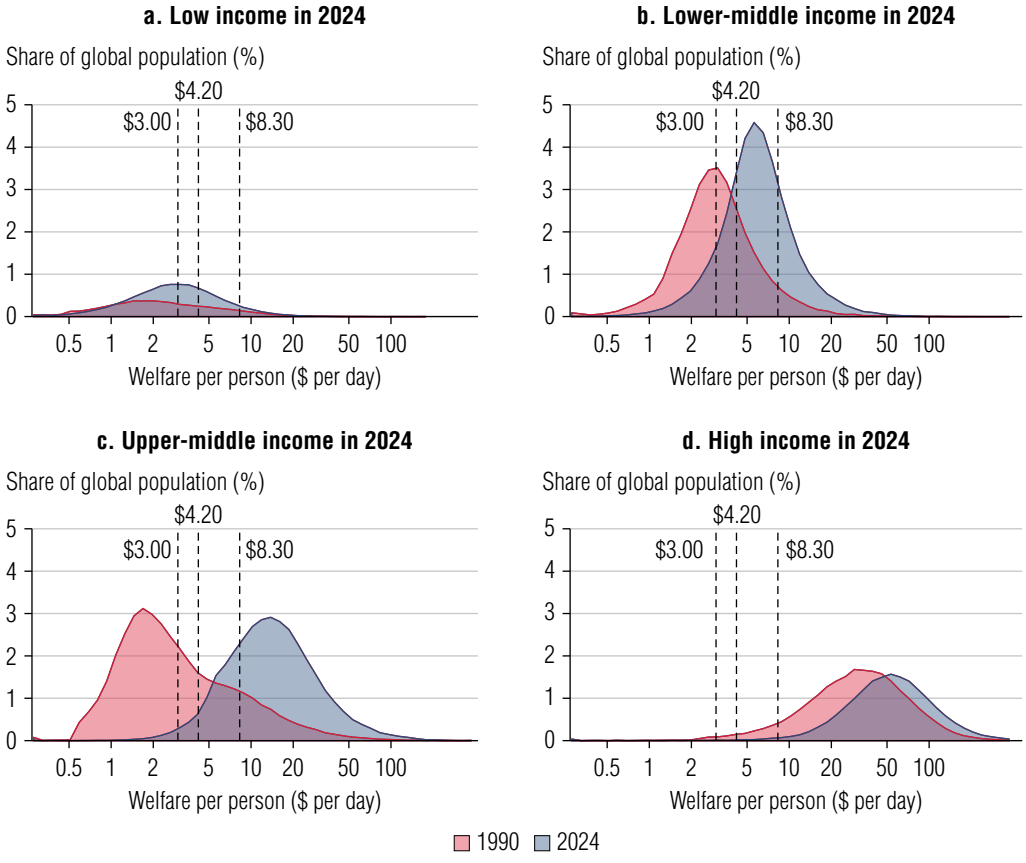
in 2000 to a majority by 2026, and extreme poverty has all but disappeared. In today's lower-middle-income economies, the group living on between $3.00 and $8.30 a day is now the largest, and the middle class, though growing, remains a minority. In low-income economies, the distribution has barely shifted. About half the population is still living on less than $3.00 a day, and the middle class is negligible. High-income economies, by contrast, are composed almost entirely of households living on more than $8.30 a day, and the majority are above the prosperity standard.

These patterns connect the report's monitoring to the concerns of middle-income economies. More work and better-paying work help people escape poverty (refer to chapter 4). Stable, well-paid jobs also protect against falling back into poverty, and they therefore help households climb from vulnerability to security, an agenda that has particular force in locations where the vulnerable group is largest. Vulnerability to climate-related hazards—a distinct concept, reflecting the lack of the means to cope if a hazard strikes rather than the risk of falling back into poverty—extends well above the poverty line (refer to chapter 3). Vulnerability in this case means that middle-class households are also exposed to risk if social protection and financial services are lacking. The $8.30 line and the $28.00 prosperity standard are precisely the boundaries within which the middle class is found.

The upward shift in the global distribution of welfare between 1990 and 2024 that resulted in poverty declines was highly uneven across income groups (refer to figure 1.3). In 1990, the global distribution was heavily concentrated at the lowest income levels. Half the world was living on less than $3.55 a day. By 2024, however, many people had moved above the international poverty line, and the median income had risen to $9.20 a day, reflecting substantive improvements in living standards across much of the globe. Yet, in today's low-income economies, the welfare distribution has shifted only slightly in a more positive direction over the past three decades. Meanwhile, in the lower- and upper-middle-income economies of today, populations that were clustered around or even below the $3.00 thresholds in 1990 have, since then, shifted substantially in a positive direction. This partly reflects the dramatic welfare increases in China and India.

FIGURE 1.3

The welfare distribution in low-income economies shifted little between 1990 and 2024

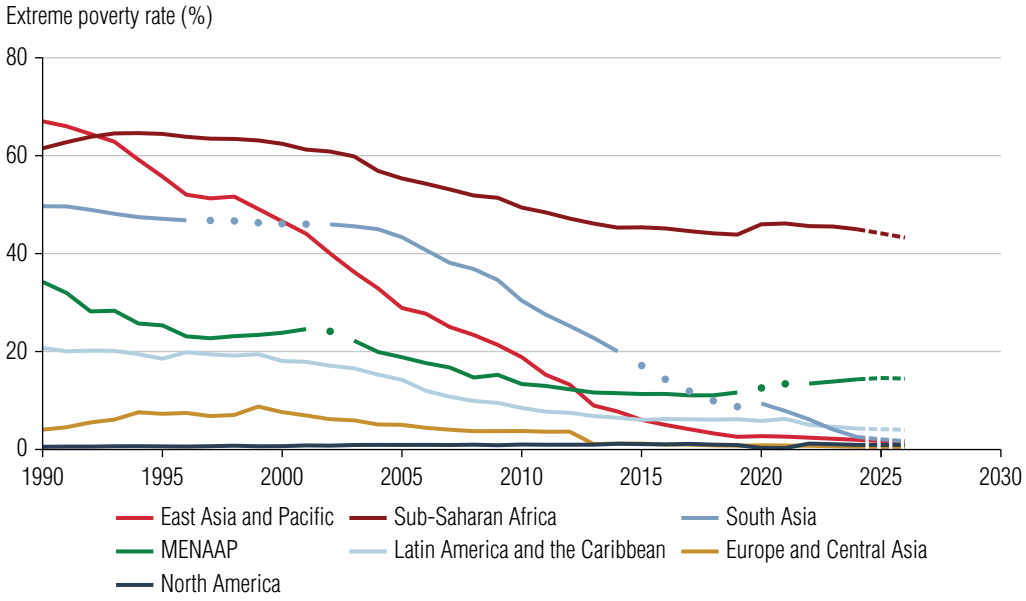


Source: World Bank calculations based on data from 1000 Binned Global Distribution, 1990–2026 (version September 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0064304/1000-binned-global-distribution.
Note: The figure shows the welfare distribution of the combined population of the economies in each of the four income classification groups in 1990 and in 2024. Income group classifications reflect each economy's status in 2024. So, the countries considered in each group is held constant over time. The figure reports welfare using 2021 purchasing power parity dollars.

Overlapping crises and stagnation in some regions may explain these patterns and the global slowdown in poverty reduction (Bussolo et al. 2008; Imam and Temple 2026). In previous decades, rapid poverty reduction in East Asia and Pacific and, more recently, in South Asia, where rates of extreme poverty fell from above 50 percent to low single digits, largely drove progress in reducing global rates of extreme poverty (refer to figure 1.4). Latin America and the Caribbean also experienced substantial declines, though progress in that region has stagnated in the most recent decade.

FIGURE 1.4

The rate of extreme poverty remains high in Sub-Saharan Africa and has stagnated in the Middle East, North Africa, Afghanistan, and Pakistan



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports extreme poverty rates ($3.00-a-person-a-day poverty line in 2021 purchasing power parity terms). Dots within lines indicate that surveys around the corresponding year covered less than 50 percent of a region's population (refer to box 1.4 and annex 1A). Dashed portions of lines show data that are nowcasts (refer to annex 1A). The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

Sub-Saharan Africa, in contrast, experienced much more modest improvement.[2] There, extreme poverty rates declined from 62 percent in 1990 to 43 percent in 2026. The extreme poverty rate has declined little in the region since 2014. In the Middle East, North Africa, Afghanistan, and Pakistan region (refer to box 1.4 for information on World Bank regional classifications), extreme poverty has been increasing in recent years. In both regions, low rates of per capita economic growth have undermined efforts to reduce poverty (Beegle et al. 2016). The COVID-19 pandemic has had a particularly persistent impact in these regions, where low rates of economic growth make recovery from such shocks a lengthy prospect. In MENAAP, poverty rates at the $3.00 and $4.20 lines have not yet returned to prepandemic levels, while 2026 is the first year in which poverty rates at the $3.00 line are projected to be back at the prepandemic level in Sub-Saharan Africa (World Bank 2024a) (refer to figure 1.4). The world's low-income economies are overwhelmingly concentrated in these two regions.[3] Meanwhile, the conflict in the Middle East has generated new economic strains. Rising energy, food, and fertilizer prices are projected to have slowed the pace of poverty reduction additionally between 2025 and 2026 (refer to box 1.2).

BOX 1.4

The Poverty and Inequality Platform has been updated with new data and revised regional classifications

The data on poverty and inequality used throughout the report are available through the World Bank's online tool for statistics on poverty, inequality, and shared prosperity: the Poverty and Inequality Platform (PIP). The PIP data build primarily on national household surveys and are usually updated twice a year as national statistical offices around the world make new data available. The availability of recent survey data is crucial for the accuracy and reliability of the platform's estimates of poverty and shared prosperity.

Any specific region is considered covered by data in a given year if the economies with at least one survey within a three-year window on either side of the year account for at least 50 percent of the region's population. Because of a lack of data, neither the Middle East and North Africa nor Sub-Saharan Africa were included among the post-2020 data in *Poverty, Prosperity, and Planet Report 2024* (World Bank 2024a). Since then, more recent data have become available for a number of populous economies, greatly increasing the regional and global coverage in the post-COVID years. The updates include data on Ethiopia (2021) and Nigeria (2022/23), which results in coverage for Sub-Saharan Africa up to 2024, as well as new data for the Arab Republic of Egypt (2021/22), India (2022/23, 2023/24), and Pakistan (2024/25).

As part of the September 2025 PIP update, new regional groupings were implemented to align with the revised World Bank regional groups. First, until then, some high-income economies had been excluded from the geographic regions, but included as a separate group referred to as Other High Income or Rest of the World. Now, all high-income economies are included in the corresponding geographic regions, which means that a new region, North America, has been added. Second, the World Bank recently moved Afghanistan and Pakistan from the South Asia region to the Middle East and North Africa region, now labeled Middle East, North Africa, Afghanistan, and Pakistan (World Bank 2025d). The only World Bank region in which the composition did not change in the revision is Sub-Saharan Africa. Up-to-date estimates for the previously used regional classifications are available on the PIP website to allow for comparisons with previous editions of the report.

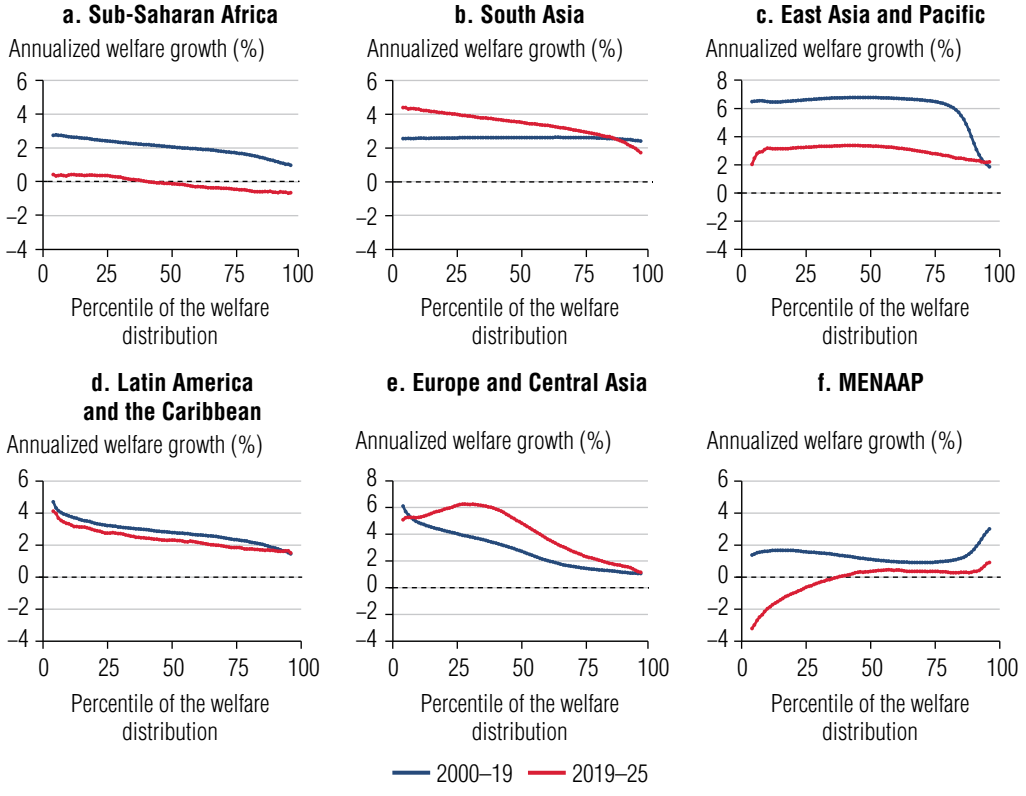
Annex tables 1C.1–1C.3 provide an overview of poverty rates, numbers, and shares by region.

The disparities are even more pronounced at higher global poverty lines, which show that poverty rates are stagnating or rising in MENAAP and Sub-Saharan Africa, indicating that, even if households escape extreme poverty, they remain vulnerable to falling back into extreme poverty (refer to box 1.3 and annex 1B, figure 1B.1). These higher poverty lines highlight significant challenges in other regions as well. In South Asia, for instance, more than 70 percent of the population is living on less than $8.30 a day.

The growth patterns underlying these trends reveal why progress has stalled. Growth incidence curves show that, between 2000 and 2019, most regions experienced positive welfare growth across the distribution. East Asia and Pacific recorded the strongest and most broad-based gains, followed by the Europe and Central Asia region and the Latin America and Caribbean region (refer to figure 1.5). In Sub-Saharan Africa, welfare grew at around 2 percent annually across the distribution. Since 2019, welfare growth in the region has averaged near zero among the poorest and turned negative across the upper half of the distribution (Wu et al. 2024).

FIGURE 1.5

Welfare growth varies across welfare distribution in all regions



Source: World Bank calculations based on data from 1000 Binned Global Distribution, 1990–2026 (version September 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0064304/1000-binned-global-distribution.

Note: The growth incidence curves depicted in this figure are calculated between 2000 and 2019 and between 2019 and 2025 based on the welfare distribution in each region. They reflect the growth reported in household surveys, which may not coincide with national accounts. The panels do not account for any breaks in comparability in the surveys during 2000–25. The figure excludes the bottom and top three percentiles of the welfare distribution. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

Welfare growth in MENAAP has shown a concerning pattern. Between 2000 and 2019, welfare grew modestly, at around 1.5 percent annually, across most of the distribution. However, welfare growth among the poorest percentiles has turned negative since 2020, even as incomes higher in the distribution have continued to grow modestly. This means that the poorest are not only failing to escape poverty, but are falling farther behind. Both insufficient growth and high levels of inequality limit how effectively growth translates into poverty reduction. Since 2010, per capita incomes in low-income economies have barely risen, averaging less than 0.1 percent growth annually (World Bank 2025a). The sustained growth accelerations that have historically driven large poverty reductions in low-income economies have largely disappeared (World Bank 2025b). Global per capita income growth in low-income countries is projected to slow to its weakest pace since the COVID-19 pandemic, amid renewed energy-price shocks from the conflict in the Middle East (World Bank 2026c). Elsewhere, growth has remained stronger and more inclusive. South Asia, in particular, has shown strong, broad-based welfare gains across the distribution.[4]

Poverty is now concentrated in economies where progress has stopped

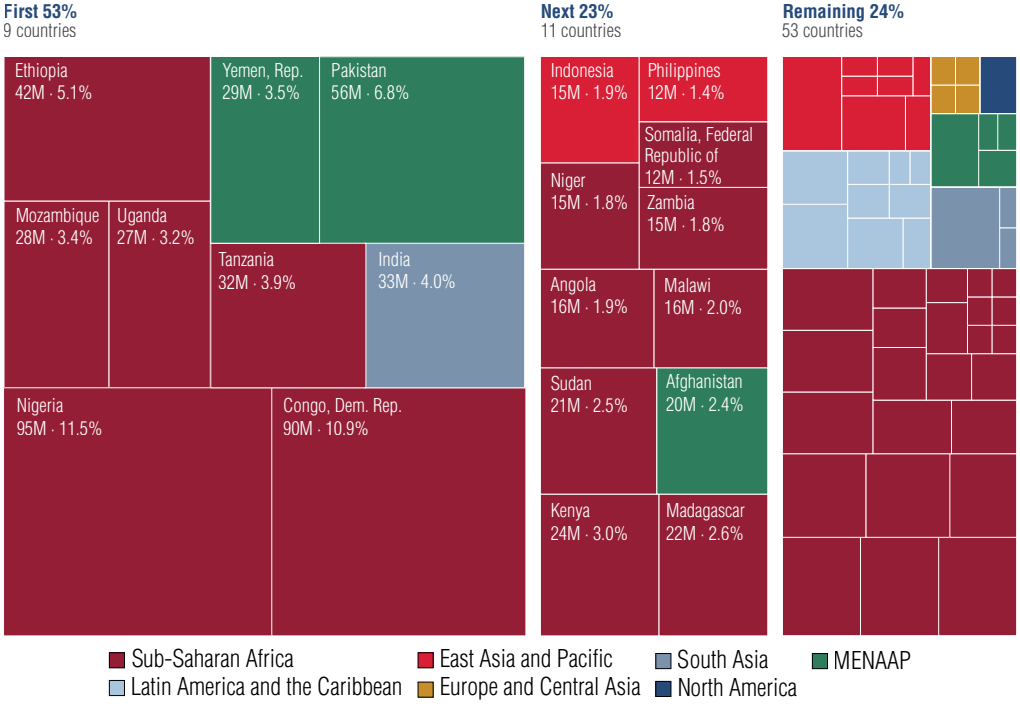
Extreme poverty is highly concentrated geographically. More than half the extreme poor across the globe are concentrated in only 9 economies, and three-quarters are living in 20 economies (refer to figure 1.6).[5] Of the nine economies, six are in Sub-Saharan Africa; the others are India, Pakistan, and the Republic of Yemen.

The countries with high populations of poor people are on the list because of large populations or because of high poverty rates, or both. For example, India is among the top nine economies by poor population not because of a high extreme poverty rate, but because it is the most populous country in the world. Whereas India's extreme poverty rate has decreased substantially over the last 15 years, poverty rates have either stagnated or increased in the remaining eight economies. These statistics are subject to uncertainty, however. In some of these economies, such as Afghanistan and the Federal Republic of Somalia, no survey data exist, and poverty estimates must therefore be imputed (Mahler et al. 2026). In others, such as the Republic of Yemen, the last survey with relevant data is several years old, and estimates must be extrapolated forward.

The concentration of poverty shifts at higher poverty lines (refer to annex 1B, figure 1B.2), and Sub-Saharan Africa becomes less dominant. More populous economies, notably India, make up a larger share of the global poor if poverty is measured at $4.20- or $8.30-a-person-a-day.

FIGURE 1.6

Extreme poverty is concentrated in a few economies, 2024



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports the number of people living in extreme poverty, that is, below the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms) and the global share of extreme poverty. The 20 economies with the largest share of poor people are labeled. The figure reports the estimates that underlie the global and regional aggregates. These have been extrapolated or interpolated to a common year if a survey is unavailable in 2024 (refer to annex 1A). For example, in the case of the Republic of Yemen, the latest available survey has been extrapolated from 2014. Furthermore, countries without any available surveys in the Poverty and Inequality Platform, such as Afghanistan and the Federal Republic of Somalia, have been imputed following the method of Mahler et al. (2026). The Philippines collects survey data on both household income and consumption expenditure. World Bank aggregates choose consumption over income if both are available. If the income-based estimates were used instead, the number of people living in extreme poverty in the Philippines would be 6 million in 2023. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report.

This unevenness in the location of the poor partly reflects the size of populations across economies. A dissimilarity index has been developed to measure the extent to which the concentration of poverty exceeds estimates based on population size alone if poverty rates were evenly distributed across economies by population size (refer to annex 1D). If an economy has a share of the global poor that is equal to its share of the global population, the index is 0. The closer the index is to 1, the more skewed poverty is relative to an economy's population size. Globally, the index rose from 0.31 in 2000 to 0.33 in 2010 and 0.65 in 2024, more than doubling in a quarter century. The 20 percent of the global population living in the economies with the

highest rates of poverty accounted for roughly 37 percent of the extreme poor in 2000; by 2024, the share had risen to around 85 percent.

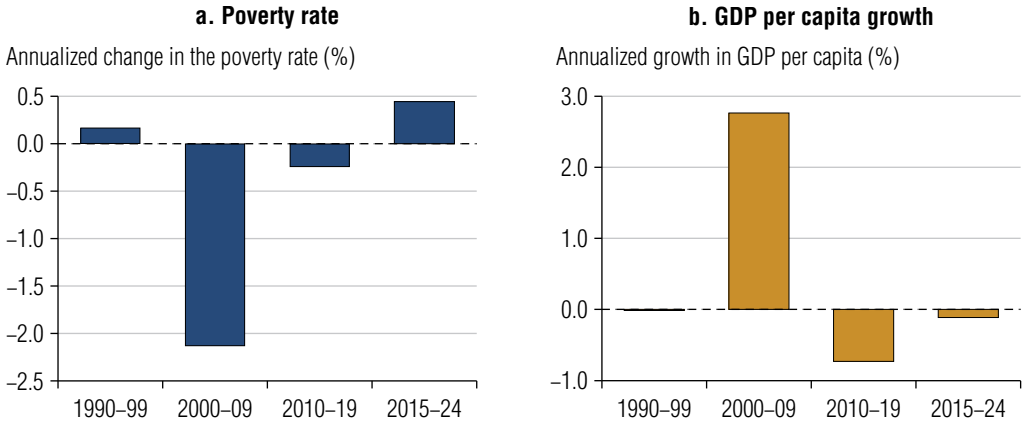
Today's low-income economies face greater obstacles than their predecessors. In 2000, today's low-income economies had per capita incomes around 60 percent of the mean per capita income in economies that have since graduated to middle-income status. By 2023, the ratio had fallen to 30 percent, as incomes in low-income economies stagnated, while those in economies that have since graduated continued to grow (World Bank 2025a).

Today's low-income economies are also doing worse than they did in the past. The 26 economies classified as low-income economies today reduced extreme poverty at more than 2 percent annually during the 2000s, with average gross domestic product (GDP) per capita in each growing at a rate close to 3 percent (refer to figure 1.7). Progress has since slowed sharply. Poverty reduction nearly stalled between 2010 and 2019, and, in the decade ending in 2024, extreme poverty in these economies rose, while GDP per capita declined. The progress of the 2000s has thus not been sustained.

While extreme poverty is increasingly concentrated in low-income economies, half the world's poor continue to live in middle-income economies. In 2025, low-income economies accounted for 49 percent of the world's extreme poor at the $3.00 line, up from 18 percent in 2010. This shift was driven largely by rapid poverty reduction in large middle-income economies, particularly China and India. The share of the extreme poor in today's lower-middle-income economies declined by 8 percentage points, to 44 percent, in 2010–25 (refer to figure 1.8). At higher poverty lines, poverty is even more highly concentrated in middle-income

FIGURE 1.7

Progress in reducing extreme poverty has stalled in low-income economies

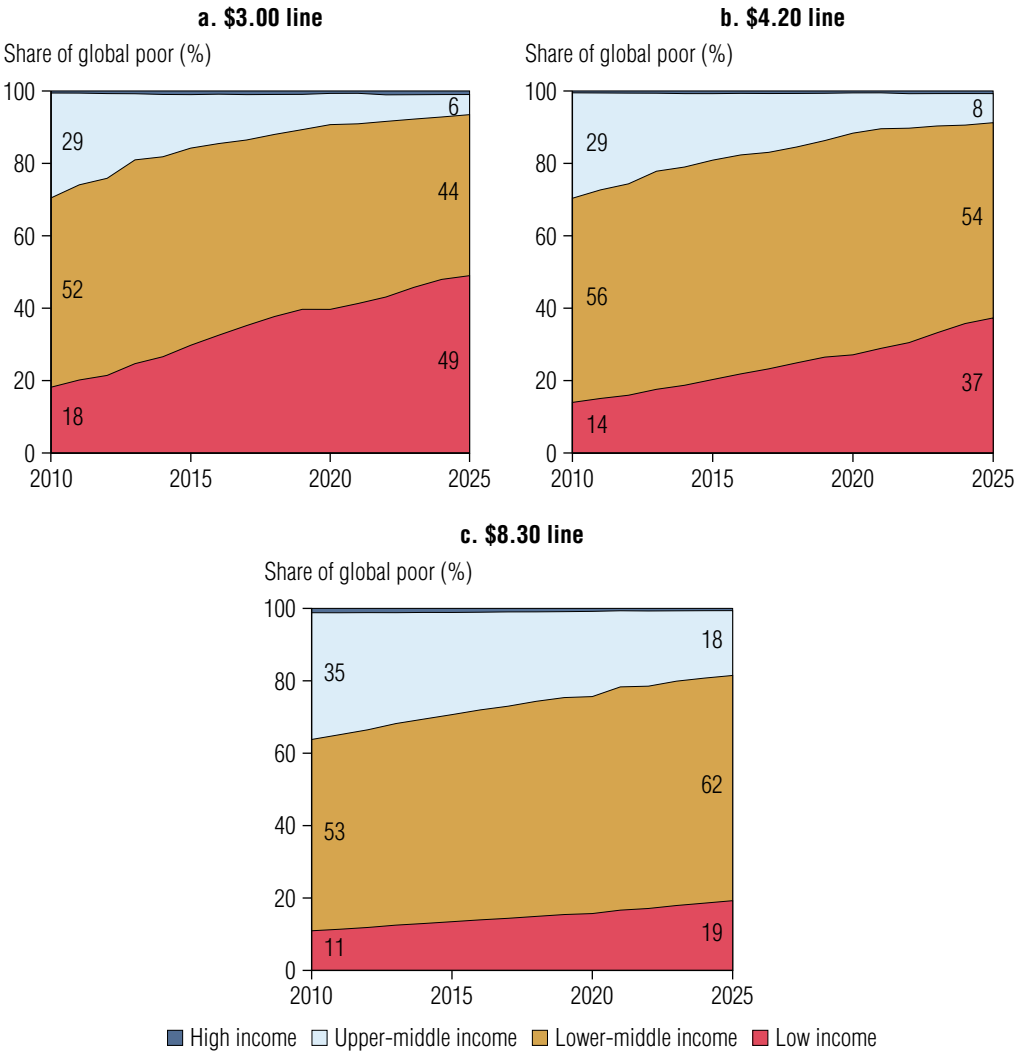


Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: Annualized changes are shown as population-weighted averages for the 26 economies the World Bank classified as low income in fiscal year 2026. Poverty rates are reported for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). GDP per capita growth is based on constant prices.

FIGURE 1.8

Most of the world's poor live in middle-income economies, especially at the higher poverty lines



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports the share of the global poor living in each income group at three poverty lines (in 2021 purchasing power parity terms). Economies are classified into income groups according to the World Bank classification in fiscal year 2026.

economies. At the $4.20 line, nearly two-thirds of the global poor live in middle-income economies (54 percent in lower-middle-income economies). At the $8.30 line, 80 percent of the poor are living in middle-income economies. A handful of large middle-income economies drive these numbers. At the $4.20 line, India, Nigeria, and Pakistan, together, account for more than a third of the global poor. At the $8.30 line, India alone accounts for over 1 billion people

(refer to annex 1B, figure 1B.2). Across all poverty lines, the shares of the poor have risen in low-income economies, while they have fallen in upper-middle-income economies. Continued progress in middle-income economies, where structural growth challenges can impede sustained poverty reduction (World Bank 2024b), therefore remains pivotal to reducing global poverty. Many of the people who have escaped extreme poverty in middle-income economies are still living close to the $3.00 line. Incomes are clustered between $3.00 and $4.20 a day, well short of the economic security that defines the middle class (refer to box 1.3 and figure 1.3). This concentration means that the recent gains are fragile. Economic downturns, climate shocks, or conflict could push large numbers of people back into poverty, as the COVID-19 pandemic demonstrated (Mahler et al. 2022).

After decades of progress, global extreme poverty is projected to rise

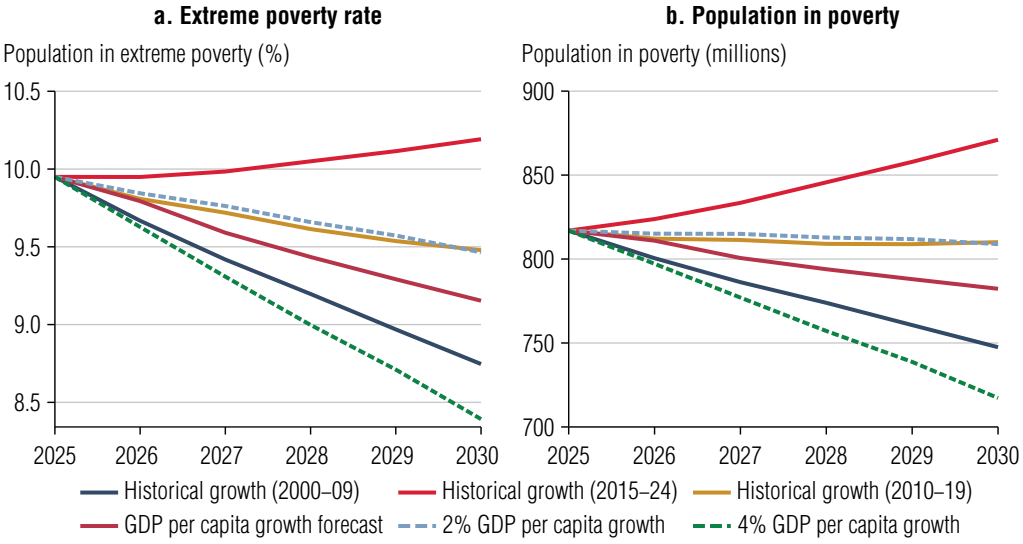
That poverty is now concentrated in economies where progress has stalled has profound implications for the outlook on extreme poverty. Because the population is also growing most rapidly in these same economies, the rising share of the global population in these economies is pulling the global poverty rate upward, even if national rates do not worsen. The stalled reduction in poverty may not merely be a temporary setback.[6] If per capita growth in these economies continues at the pace observed over 2015–24, the global extreme poverty rate and the number of people living in extreme poverty will increase by 2030 (refer to figure 1.9). This would represent an unprecedented reversal of the decades-long decline in the global number of the extreme poor.

If these economies were to achieve the growth rates they experienced during 2000–09, the global poverty rate would still remain above 8 percent in 2030 even under these more optimistic assumptions. Current GDP forecasts show slower poverty reduction, resulting in a poverty rate above 9 percent in 2030. Only under sustained annual global GDP growth of 4 percent would the extreme poverty rate approach the ambitious 3 percent goal by 2050, two decades later than the initial target year. These simulations hold within-country inequality constant at today's level. If economies manage to achieve pro-poor growth, the projected poverty rates would be lower.[7] For example, growth in agriculture has been shown to benefit the poorest relatively more, although this effect dissipates as economies become richer (Beegle and Christiaensen 2019).

Poverty rates in many low-income economies, particularly those in a fragile and conflict-affected situation, are projected to decline only marginally.[8] These same economies are projected to experience substantial population growth (refer to figure 1.10).[9] Thus, it is the growing population in economies with high poverty rates, not the rising poverty rates, that give these economies greater weight in the aggregate poverty rate and that is driving the projections of rising global poverty rates. Fragile economies that are involved in conflict are at the center of this pattern. Economies such as the Central African Republic, the Democratic Republic of Congo, Mozambique, Niger, Sudan, and the Federal Republic of Somalia combine some of the highest current poverty rates with some of the most rapid projected population growth.

FIGURE 1.9

Extreme poverty is projected to increase under current conditions



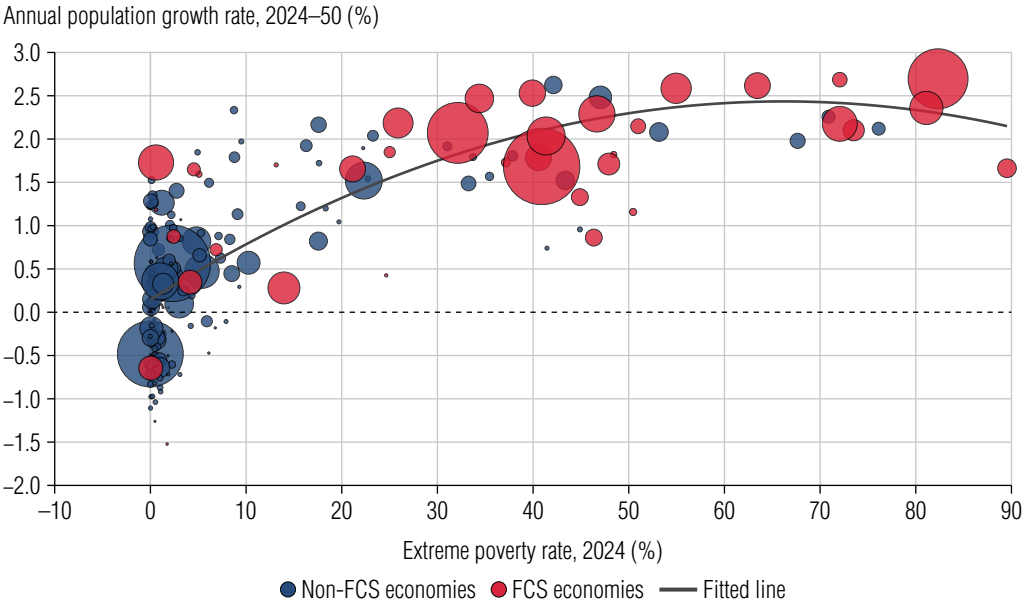
Sources: World Bank calculations based on data from 1000 Binned Global Distribution, 1990–2026 (version September 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0064304/1000-binned-global-distribution; Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home; Poverty and Inequality Platform Poverty Projections, World Bank, https://datacatalog.worldbank.org/int/search/dataset/0067066/pip_poverty_projections.

Note: The figure reports extreme poverty rates for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). Historical growth scenarios apply each economy's observed GDP per capita growth during the stated period. GDP per capita growth forecasts use each economy's projected GDP growth in the coming years from *Global Economic Prospects, June 2026* (World Bank 2026c) for 2026–27, combined with growth projections from the International Monetary Fund for 2028–30 (IMF 2025, 2026). The 2 percent and 4 percent GDP per capita growth scenarios assume growth in all economies at 2 percent or 4 percent a year.

Poverty reduction is especially difficult in economies affected by conflict and institutional weakness, which typically face compounding challenges even after the conflict has subsided (Corral et al. 2020; Federle et al. 2024; Korn and Stemmler 2025; Novta and Pugacheva 2021; World Bank 2025b). Conflict destroys assets and disrupts livelihoods, whereas poverty fuels grievances and weakens the capacity of the state to prevent violence (Corral et al. 2020). These challenges are compounded by the current global environment, in which economies dependent on energy imports and economies directly affected by conflict face the weakest growth prospects (World Bank 2026c). Furthermore, when a population grows quickly, the economy must expand even more quickly to deliver the same level of improvement in per capita welfare.

FIGURE 1.10

The population is expected to grow most quickly in high-poverty economies and those affected by fragility, conflict, and violence



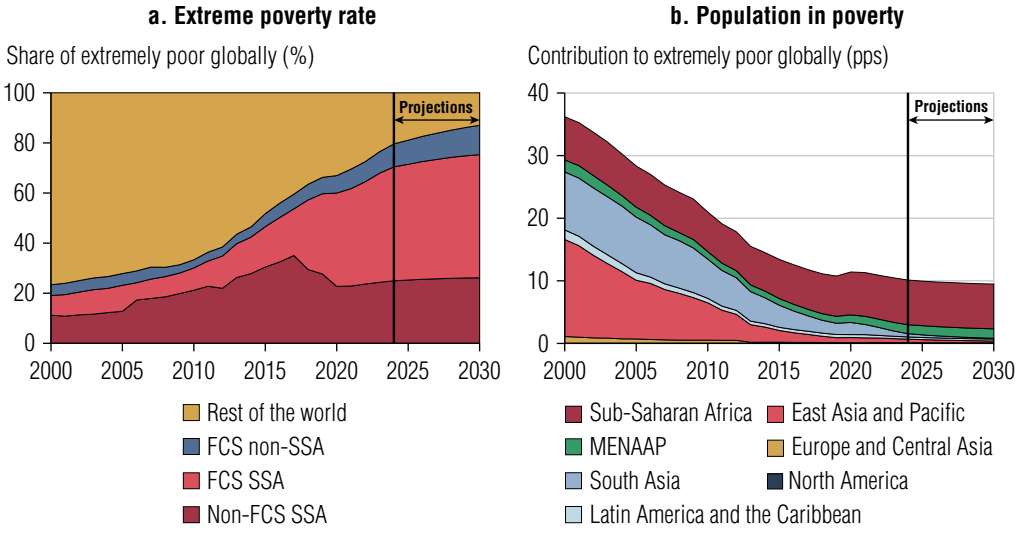
Sources: UN DESA 2024; World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: Each bubble in the figure represents an economy. The horizontal axis shows the rate of extreme poverty in 2024 at the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). Bubble sizes reflect expected population numbers in 2050. Economies are considered to be in fragile and conflict-affected situations (FCS) based on the World Bank's classification in 2025.

The global population living in FCS economies more than doubled between 2010 and 2025, rising from 6.0 percent to 13.5 percent. Over this period, a growing number of economies with large populations and high poverty rates became fragile or affected by conflict and violence.[10] At the same time, poverty rates fell more rapidly in non-FCS economies, thereby increasing the share of FCS economies in the global total. As of 2026, more than half the extreme poor globally, 57 percent, were living in an FCS economy, up from 12 percent in 2010 (refer to figure 1.11, panel a).

The extreme poverty rate in Sub-Saharan Africa is projected to decline by about 3 percentage points by 2030. Yet, the region's share of the global population is projected to rise over the period, thereby pushing the global poverty rate upward. The same holds for the MENAAP region, where poverty rates are projected to increase and the population continues to expand (refer to figure 1.11, panel b). By 2030, 87 percent of the extreme poor globally will be living either in Sub-Saharan Africa or in an FCS economy (refer to figure 1.11, panel a).

FIGURE 1.11

The concentration of extreme poverty in FCS economies and in Sub-Saharan Africa will increase



Sources: IMF 2025; UN DESA 2024; World Bank 2025b; World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: The figure reports poverty rates for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). Poverty rate projections for 2025–30 are based on historical GDP per capita growth rates of economies in 2010–19 (refer to figure 1.9). Economies are classified as FCS using the World Bank classification of FCS from each year until 2025 (fiscal year 2026). The classification is fixed after 2025. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. FCS = fragile and conflict-affected situations; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan; pps = percentage points; SSA = Sub-Saharan Africa.

Poverty persists unevenly across people and places

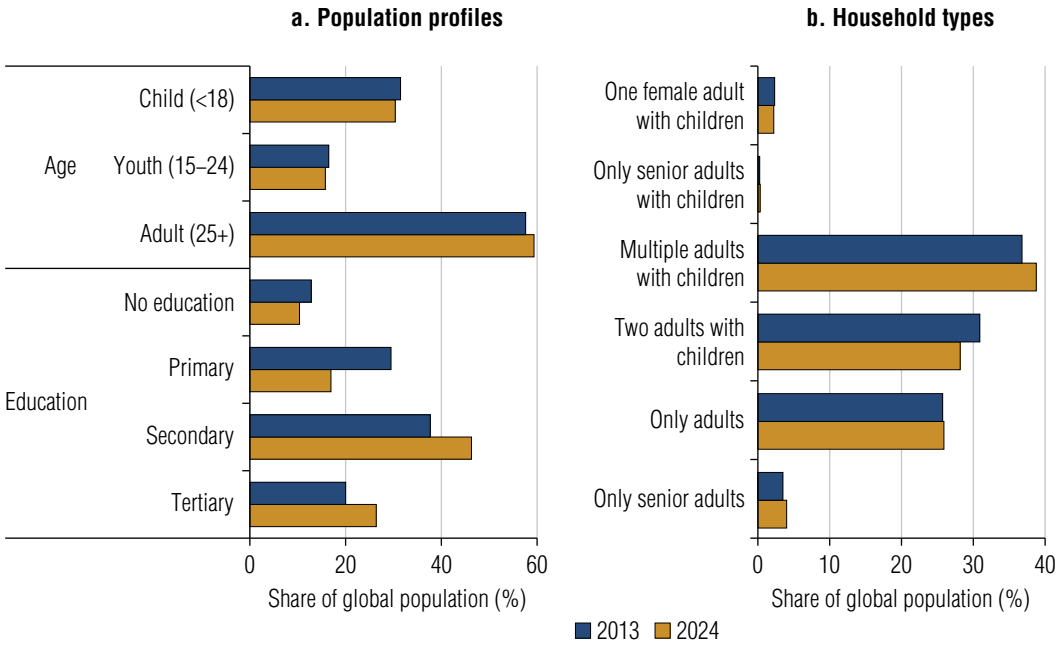
This section examines who the poor are by education, age, residency in urban or rural areas, and subregions within economies. It relies on investments in expanded databases to explore these links. The poverty estimates are constructed from household measures of consumption or income and assume an equal allocation of resources within households, regardless of age and gender.[11]

Poverty is highest among young people, people with low educational attainment, and in households caring for children without two working-age adults

Globally, populations are becoming more educated, and age composition is changing only slightly (refer to figure 1.12, panel a).[12] As of 2024, almost three in four people globally were living in households with children, 39 percent in multiple-adult households, and 28 percent in two-adult households; only 2 percent were living in households with one female adult and children, and fewer than 1 percent in households in which senior adults alone cared for children (refer to figure 1.12, panel b).

FIGURE 1.12

Global populations are becoming more educated



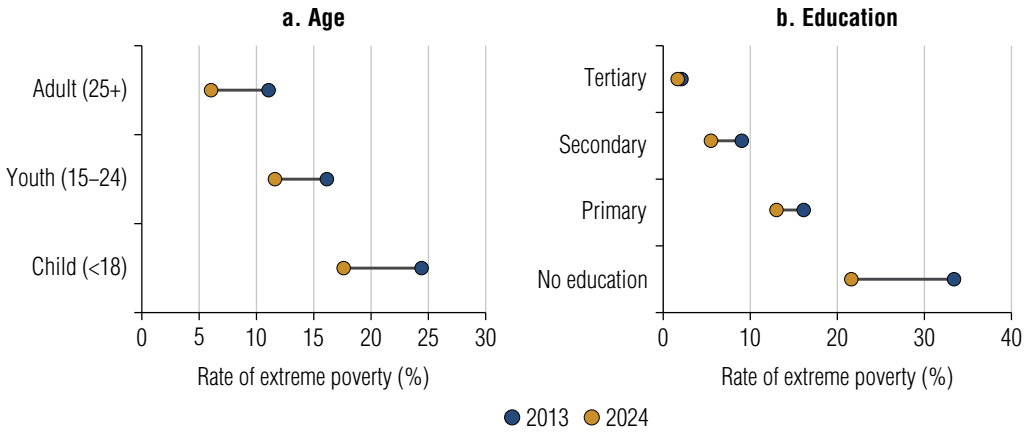
Sources: Panels a and b: Global Monitoring Database (version September 2026), internal database, World Bank. Panel a: Luxembourg Income Study Database (May 2026 vintage), LIS Cross-National Data Center, https://www.lisdatacenter.org/our-data/lis-database/.

Note: The analysis uses data aligned with 2013 and 2024 (refer to annex 1A). Panel a: Population shares by age-group do not sum to 100 percent because the children and youth categories overlap slightly. Panel b: Households are grouped into six types based on the age and sex of adult members and the presence of children following De la Flor Giuffra et al. (2025). Households not falling into any of the six types account for less than 1 percent in the data. The household typology data show less coverage (refer to annex 1A), notably among high-income economies, than the data used to construct profiles in panel a. Child = ages 0–17. Adult = ages 25–64. Senior adult = ages 65+.

Poverty varies sharply across these groups, even within economies at similar income levels (World Bank 2018). Children under age 18 face the highest rates of extreme poverty of any age-group. Individuals with no formal education face the highest rates of any educational group. Across these groups, rates of extreme poverty vary substantially, though all groups experienced declining poverty rates between 2013 and 2024. Age represents a stark divide. Children under age 18 were the most likely age-group to live in poor households in 2024, at 18 percent, compared with only 6 percent among adults (refer to figure 1.13, panel a). Poverty rates declined steadily with age, reflecting the vulnerability of households with many young dependents. The high share of children among the extreme poor reflects and reinforces the population growth challenge, that is, high child dependency ratios mean that the same level of economic growth translates into smaller gains in per capita welfare, requiring more rapid aggregate growth merely to keep pace with population expansion (Cruz and Ahmed 2018; World Bank 2016).

FIGURE 1.13

Rates of extreme poverty are high among youth and people with no education



Sources: Global Monitoring Database (version September 2026), internal database, World Bank; Luxembourg Income Study (May 2026 vintage), LIS Cross-National Data Center, https://www.lisdatacenter.org/our-data/lis-database/.
Note: The figure reports poverty rates for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). The analysis uses data that are aligned with 2013 and 2024 (refer to annex 1A).

Educational attainment is strongly associated with poverty incidence. Individuals with no formal education in 2024 faced poverty rates of 22 percent, compared with only 6 percent among individuals with secondary education and 1 percent among individuals with tertiary education (refer to figure 1.13, panel b). Poverty declined by the greatest amount in absolute terms—12 percentage points—between 2013 and 2024 among individuals with no formal education. A Shapley decomposition of this decline reveals that, within economies, the poverty rate among individuals with no formal education fell by 15 percentage points (refer to annex 1B, figure 1B.3).[13] This within-economy progress was highly concentrated. India alone accounted for roughly 70 percent of the progress, and five economies—Bangladesh, China, India, Indonesia, and Pakistan—accounted for nearly all the progress. The increase in the concentration of the people with no schooling globally in higher-poverty regions slightly countered this reduction. In Sub-Saharan Africa, the region's rising share of the global population with no schooling more than offset modest within-economy progress. The decline in poverty rates observed among individuals with no formal education would have been larger if not for this global shift toward Sub-Saharan Africa (which exhibits high poverty rates overall) in terms of the share of the global population with no schooling. A similar pattern holds in primary, secondary, and tertiary education. Thus, within-economy declines in poverty rates dominate, but are partly offset by compositional shifts across education levels.

The profile of poverty in Sub-Saharan Africa differs markedly from the profiles in other regions. Although poverty rates are substantially higher across all groups in Sub-Saharan Africa relative to the same groups in other regions, children under age 18 living in poor households account for more than half the extreme poor in MENAAP and Sub-Saharan Africa, compared with

30 percent to 46 percent in other regions. A decomposition of changing demographic profiles into geographic and within-region components reveals how these regional differences are reshaping the global profile (refer to annex 1B, figure 1B.4). The geographic concentration of poverty in Sub-Saharan Africa, which has a younger population structure relative to other regions, is entirely driving the rising share of children among people living in poor households globally. Within regions, the child share of the poor population has actually declined slightly.

Globally, households with children face substantially higher poverty rates than households without children (De la Flor Giuffra et al. 2025), and the relevant trends diverged across different household types in 2013–24 (refer to figure 1.14, panel a). Poverty rates fell across all household types globally, but the pace varied. Declines were most rapid among two-adult households with children (18 percent to 12 percent) and among multiple-adult households with children (22 percent to 14 percent), as well as among households without children, which already had low rates. By contrast, declines were slower among households with one woman adult and children (24 percent to 21 percent). As a result, the gap in poverty rates between these household types and two-adult households with children widened over the decade, underscoring how the absence of a second working-age adult is an increasingly important correlate of poverty.

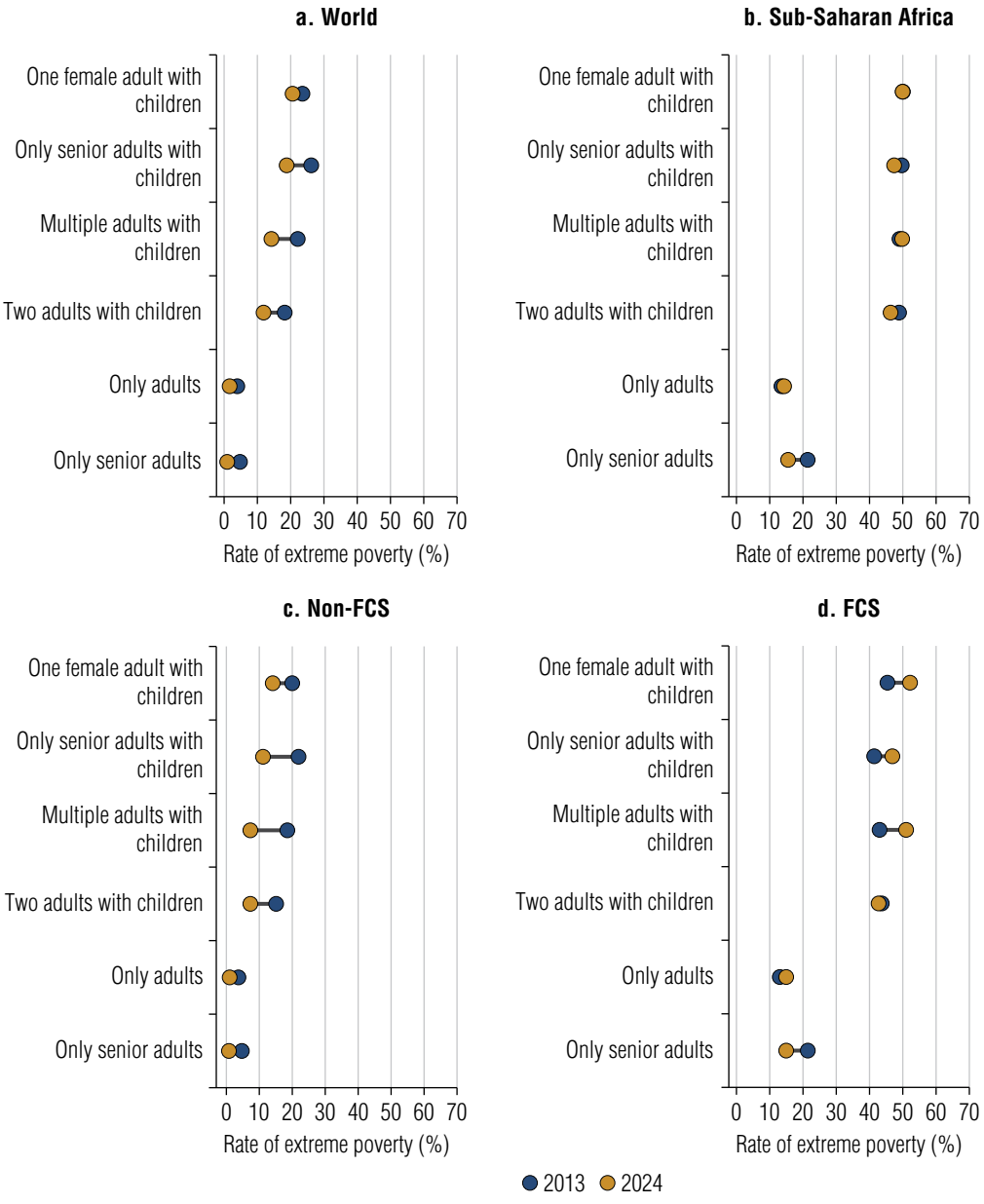
These patterns should be interpreted with caution. Because poverty is measured on a per capita basis, household needs increase one-for-one with the number of household members, ignoring any household economies of scale that arise from resource-sharing within the household. Jolliffe and Tetteh-Baah (2024) show that incorporating household economies of scale substantially changes the identification of who is poor and that the largest effects are in regions where the households are the largest.

Trends in Sub-Saharan Africa differ slightly from the global pattern. There, households with children exhibit broadly similar poverty rates across household types, ranging from 46 percent to 50 percent in 2024, and barely changed over the preceding decade (refer to figure 1.14, panel b). The trends were mixed among households without children. Poverty among adult-only households was steady at near 14 percent, whereas rates among senior-only households without children fell from 21 percent to 16 percent.

The conflict and fragility dimension reinforces the diverging progress. In non-FCS economies, poverty rates declined substantially between 2013 and 2024 across all household types (refer to figure 1.14, panel c). In FCS economies, by contrast, poverty rates rose among most household types with children (refer to figure 1.14, panel d). The increases were largest among households with one woman adult and children, in which poverty rose from 45 percent to 52 percent, and among multiple-adult households with children, from 43 to 51 percent. Households in which senior adults alone care for children also experienced a substantial rise, from 41 percent to 47 percent, whereas poverty in two-adult households with children was steady at 44 percent. In FCS economies, poverty among senior-only households without children, a category with few households, showed a substantive decline. As a result, household types with children in FCS economies now face poverty rates roughly four to seven times the rates in non-FCS economies.

FIGURE 1.14

Households with children face poverty rates four to seven times higher in FCS economies than elsewhere, and the gap widened in 2013–24



Source: Global Monitoring Database (version September 2026), internal database, World Bank.

Note: The figure reports poverty rates for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). The analysis uses data that are aligned with 2013 and 2024 (refer to annex 1A). Households are grouped into six types following De la Flor Giuffra et al. (2025). Economies are classified as in a fragile and conflict-affected situation (FCS) based on data for 2024. Child = ages 0–17. Adult = ages 25–64. Senior adult = ages 65+.

Subnational disparities reveal persistent pockets of extreme poverty

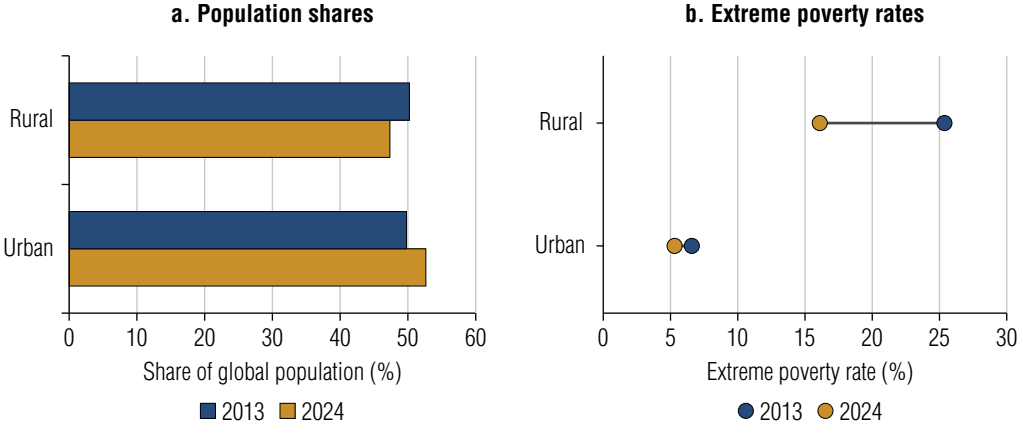
Although more people are now living in urban areas than in rural areas, poverty remains an overwhelmingly rural phenomenon (refer to figure 1.15). In 2024, 16 percent of rural residents were living in extreme poverty, compared with 5 percent of urban residents, a ratio of more than three to one. Both rates fell between 2013 and 2024, from 25 percent and 7 percent, respectively, but the gap remains wide. As a result, three-quarters of the global poor today reside in rural areas.

However, because of increasing urbanization, the share of poor people living in urban areas is expanding globally. In Sub-Saharan Africa, the share rose from 18 percent in 2013 to 26 percent in 2024, and elsewhere, from 22 percent to 28 percent. The urbanization of poverty reflects changes within regions—urbanization is advancing more quickly than the reduction of urban poverty—rather than the geographic shift of poverty toward Sub-Saharan Africa (refer to annex 1B, figure 1B.4, panel b).

This rural-urban disparity, however, is only the first layer of spatial concentration. Subnational poverty estimates reveal even sharper disparities within economies and regions (refer to figure 1.16 and annex 1B, figure 1B.5).[14] In Sub-Saharan Africa, national averages mask enormous within-economy heterogeneity. In Nigeria, subregional rates range from 8 percent to 80 percent, and, in Kenya, from 5 percent to 85 percent, illustrating how much regions within an economy can differ. In the Democratic Republic of Congo, by contrast, poverty is pervasive. Even the least-poor province has an extreme poverty rate of nearly 50 percent, and, in most provinces, the rate exceeds 90 percent.

FIGURE 1.15

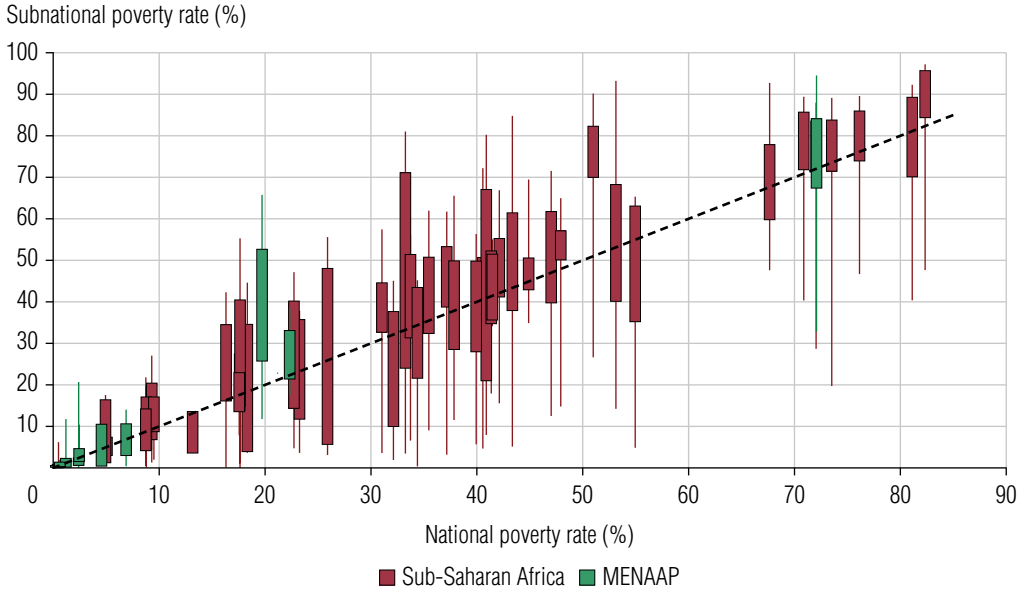
Extreme poverty rates are higher in rural areas



Source: Global Monitoring Database (version September 2026), internal database, World Bank.
Note: Poverty rates are reported for the $3.00-a-person-a-day poverty lines (in 2021 purchasing power parity terms). The analysis uses data that are aligned with 2013 and 2024 (refer to annex 1A). The data follow economy-specific definitions of urban areas and urban residence.

FIGURE 1.16

Subnational poverty rates vary widely in MENAAP and Sub-Saharan Africa, 2024



Sources: World Bank calculations based on data from the Global Subnational Poverty Atlas (version April 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0042041/global-subnational-poverty-atlas-gsap; Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: Each vertical line in the figure represents an individual economy. Poverty rates are reported for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). The analysis uses data that are aligned with 2024 (refer to annex 1A). The thicker column boxes depict the range between the first and third quartile. The lower end of the vertical line represents the 10th percentile, and the upper end represents the 90th percentile. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

The East Asia and Pacific region and the Latin America and Caribbean region also display considerable within-region heterogeneity (refer to annex 1B, figure 1B.5). Although the median poverty rates there are modest (4 percent and 3 percent, respectively), both regions include subregions with rates comparable with those in Sub-Saharan Africa, about 60 percent or higher in parts of Haiti, the Solomon Islands, and Timor-Leste. South Asia exhibits a more compressed distribution. Poverty rates in most subregions are clustered below 10 percent. In Europe and Central Asia and in North America, rates are uniformly low. Medians are below 1 percent, and there are few outliers, except in Central Asia.

Subnational data reveal diverging trajectories that mirror global patterns of uneven progress. The Kyrgyz Republic and the Philippines exemplify successful broad-based poverty reduction. In the Kyrgyz Republic, nearly all regions experienced dramatic declines in poverty in 2015–23 (refer to map 1.1, panel a). Rates fell to single digits in regions that had previously shown poverty rates exceeding 40 percent, and several regions nearly eliminated extreme poverty. The Philippines showed a similar pattern. Poverty rates declined throughout the country in

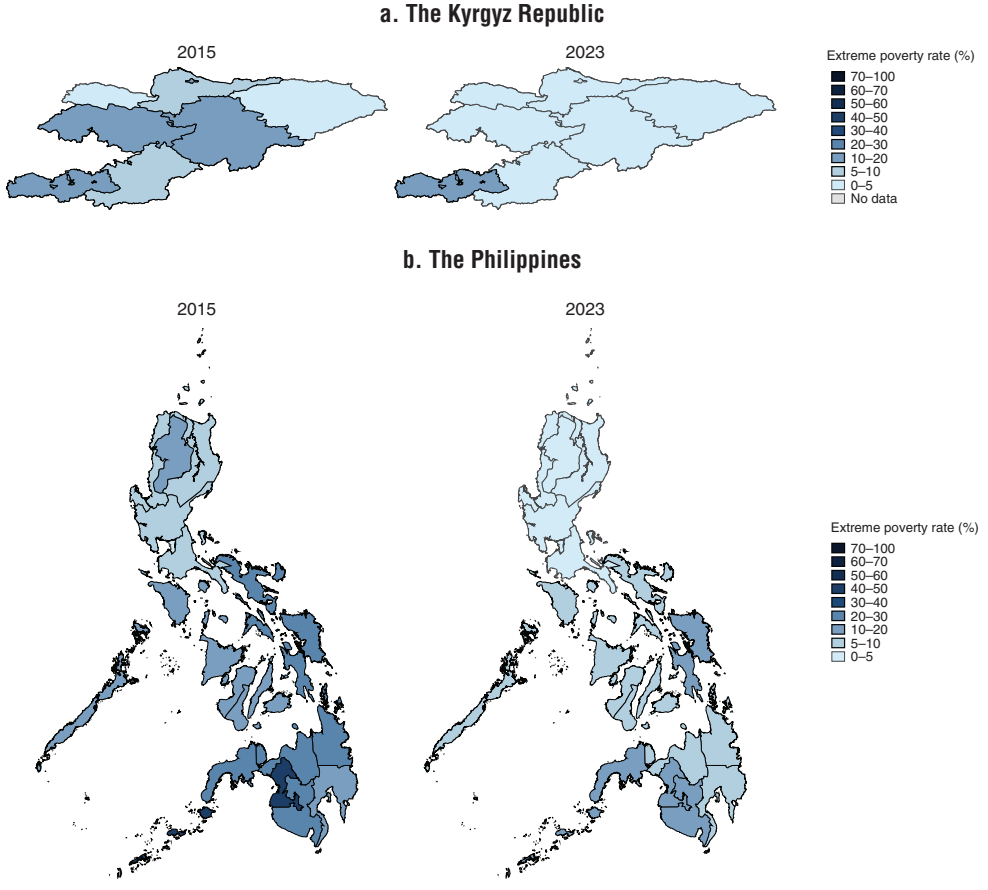
2015–23, though pockets of higher poverty persisted, especially in the south (refer to map 1.1, panel b).

Nigeria stands in contrast to these success stories (refer to map 1.1, panel c). Between 2018 and 2022, subnational poverty rates showed little improvement in the country. Though the gap was only four years, poverty rates worsened considerably in many states. The rates continued to climb in 2022 in the north, where poverty already exceeded 50 percent, and several states registered rates above 70 percent or 80 percent. This stagnation illustrates why Nigeria now hosts the largest population of the extreme poor globally.

Guatemala also presents a more concerning picture of stagnation and reversal (refer to map 1.1, panel d). Between 2014 and 2023, the extreme poverty rate rose substantially in several departments, and only a handful achieved meaningful reductions. This mixed performance highlights that progress can stall even in middle-income economies.

MAP 1.1

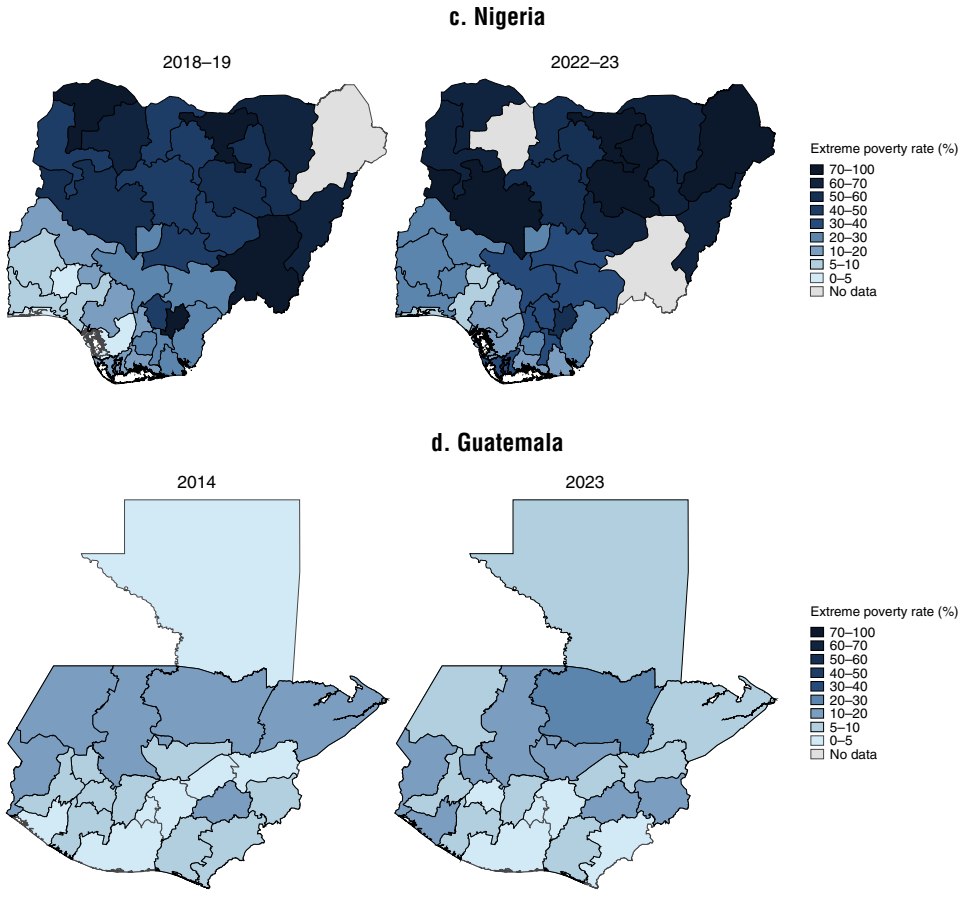
Subnational poverty trends vary widely, ranging from broad-based declines in the Kyrgyz Republic and the Philippines to stagnation or reversal in Guatemala and Nigeria



(continued)

MAP 1.1

Subnational poverty trends vary widely, ranging from broad-based declines in the Kyrgyz Republic and the Philippines to stagnation or reversal in Guatemala and Nigeria *(continued)*



Source: World Bank calculations based on data from the Subnational Poverty and Inequality Database (version October 2025), World Bank, https://datacatalog.worldbank.org/search/dataset/0064796/subnational-poverty-and-inequality-database-spid.

Note: Poverty rates are reported for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). This line does not necessarily reflect the poverty line typically used at the country level. Welfare aggregates are comparable in all economies between the two years depicted. Gray shading indicates regions in which data quality is insufficient for analysis. Both income and consumption data are available for the Philippines. Income data are used to remain consistent with national reporting conventions. The subnational estimates in the Subnational Poverty and Inequality Database directly use the available household surveys (for example, NLSS 2018/19 and 2022/23 in the case of Nigeria). Given survey availability, periods differ across countries.

Poverty extends beyond absolute welfare thresholds

Poverty can be described along other dimensions besides poverty thresholds set according to monetary measures of welfare relying on consumption or income. Deprivation can be defined by considering a cutoff determined using basic needs, and it can be defined in relative terms through a comparison among peers. Measurement along nonmonetary dimensions can be useful and revealing.

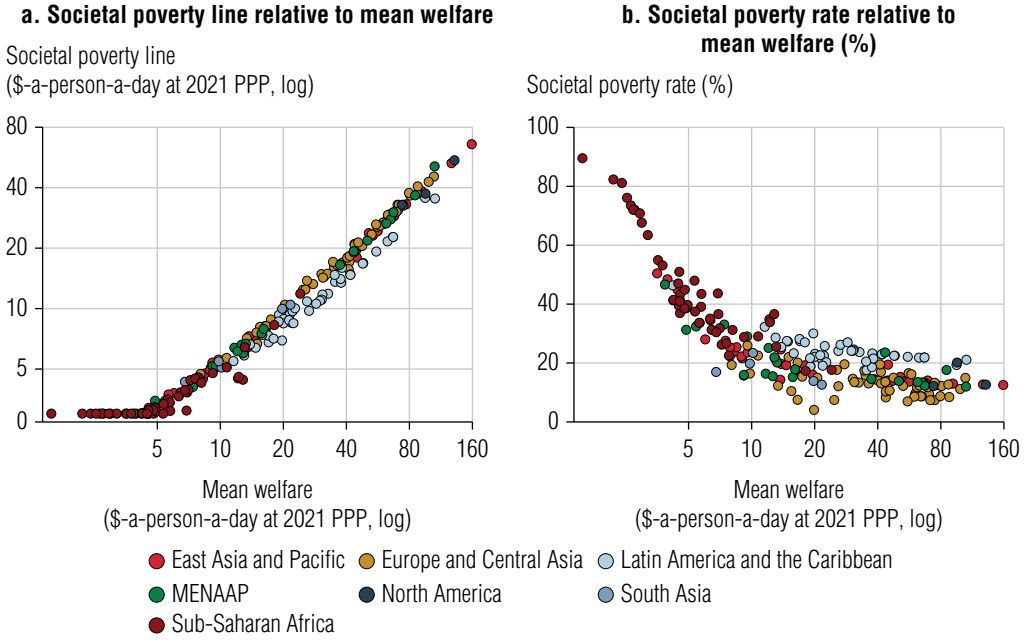
The $3.00 international poverty line measures deprivation with respect to the most basic needs as defined across low-income economies. As an economy's income level increases, the perception of the composition of these basic needs may evolve (Herforth et al. 2020; Jolliffe and Prydz 2016; World Bank 2024a). Measurement might shift to the application of relative poverty lines that establish the poverty threshold not only according to the requirements to satisfy basic needs, but typically relative to the average level of income or consumption.

The societal poverty line, a relative measure of poverty, was developed to capture the shifting nature of deprivation across income levels. Following the recommendations of the Atkinson Commission on Global Poverty (World Bank 2017), the societal poverty line varies according to the living standards in an economy. It is set equal to $1.30, plus half the median consumption or income in the economy, with a floor at the $3.00 international poverty line (Foster et al. 2025) (refer to annex 1A). This (weakly) relative approach reflects a recognition that poverty partly involves exclusion from a normal life in a given society. It also allows the poverty line to be specific to an economy. Globally, the societal poverty line varies with average income in a way that approximately corresponds to the way national poverty lines vary with average income across countries (Foster et al. 2025; Jolliffe and Prydz 2021).

Regional patterns in societal poverty, as measured by the societal poverty line, mirror the patterns observed in extreme poverty rates. Although the measure is only weakly relative (refer to figure 1.17, panel a), economies with high societal poverty lines tend to exhibit lower societal poverty rates. Sub-Saharan Africa accounts for most economies with high societal poverty rates, consistent with the concentration of extreme poverty in the region (refer to figure 1.17, panel b). Higher-income economies typically exhibit lower societal poverty rates, despite their higher societal poverty lines. These comparisons depend on the level of inequality in an economy and, in particular, the concentration of people at the bottom tail (refer to chapter 2).

FIGURE 1.17

Societal poverty is high in economies with lower societal poverty lines



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: MENAAP = Middle East, North Africa, Afghanistan, and Pakistan; PPP = purchasing power parity.

Multidimensional deprivations add depth to the poverty profile

The World Bank's absolute and societal poverty lines rely on the measurement of household monetary welfare through the level of consumption or income. The World Bank Multidimensional Poverty Measure (MPM), by contrast, incorporates measures of nonmonetary deprivation (World Bank 2026e). In addition to extreme poverty, which is measured in monetary terms, the MPM includes deprivations in education and access to basic infrastructure services (Lara Ibarra et al. 2026) (refer to annex 1A). (The components of the MPM are among the indicators discussed in chapters 3 and 4.)

The MPM defines a household that is deprived along at least one of these three dimensions—monetary welfare, education, and access to infrastructure—as multidimensionally poor. Any person identified as poor using the international poverty line is also identified as poor using the MPM. In education, household deprivation is defined according to whether any children up to the age of grade 8 in the household is not enrolled in school or whether no adult in the household has completed primary education. In the case of infrastructure, household

deprivation is defined according to whether a household lacks access to one or more of the following: clean drinking water, sanitation, or electricity.

To calculate the measure, the MPM requires more data than the monetary poverty measure. Data on the MPM are therefore available only for a smaller sample of economies. If economies with information available for any year after the onset of the COVID-19 pandemic are considered (2020 or more recently), the MPM covered 103 economies as of September 2026. Across these 103 economies, 16.7 percent have been identified as multidimensionally poor, compared with 11.3 percent using the international poverty line of $3.00-a-person-a-day (refer to table 1.1).

Extreme poverty rates generally coincide with deprivations in other dimensions (World Bank 2026e) (refer to figure 1.18). There may be wide variations, however, whereby economies associated with high monetary extreme poverty rates nonetheless exhibit low rates of nonmonetary deprivation.

TABLE 1.1

Poverty beyond monetary definitions, by region, circa 2023

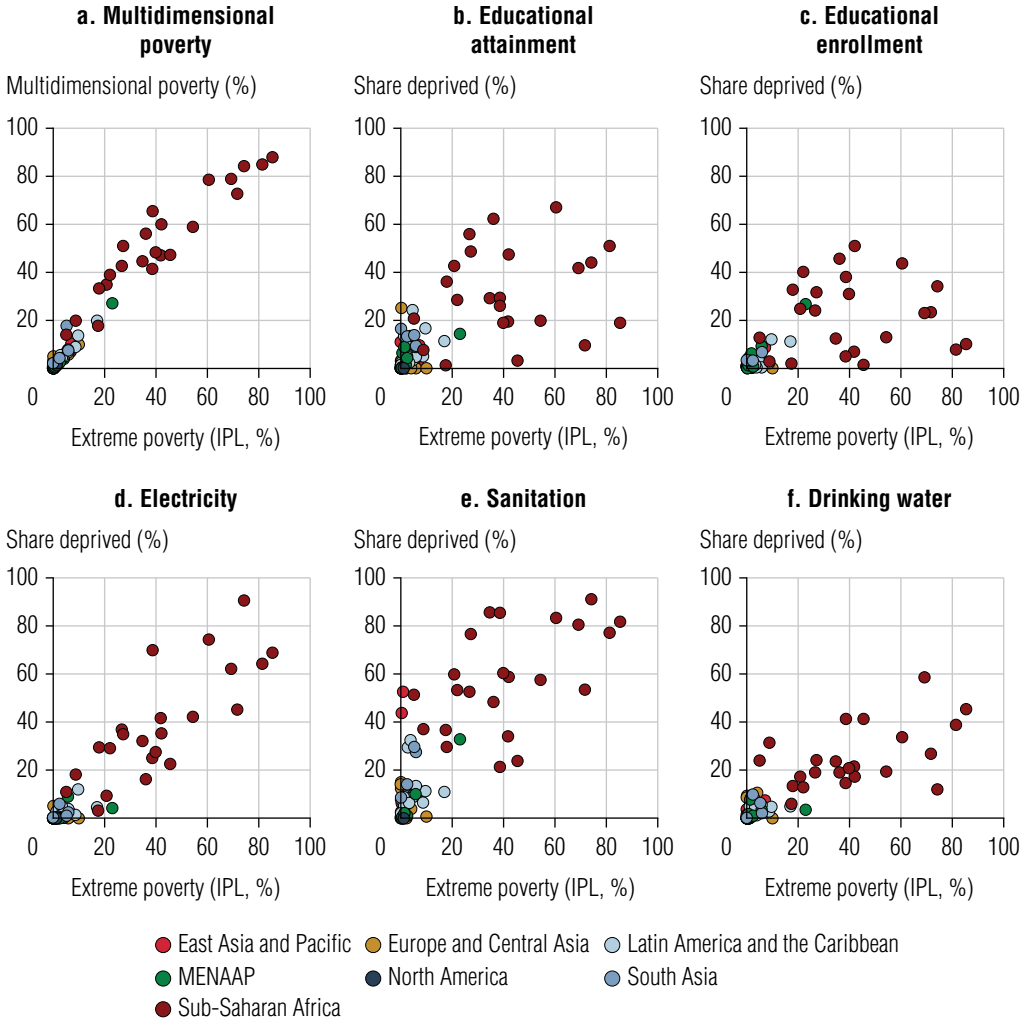
Region	Number of economies	Extreme poverty (%)	MPM (%)	Population covered (millions)	Coverage (%)
East Asia and Pacific	13	3.4	3.8	840.4	35
Europe and Central Asia	36	0.6	2.2	747.9	81
Latin America and the Caribbean	18	3.9	4.5	593.3	90
Middle East, North Africa, Afghanistan, and Pakistan	8	12.8	15.1	485.9	61
North America	1	1.2	1.4	336.8	89
South Asia	4	5.3	16.4	1,625.3	98
Sub-Saharan Africa	23	47.0	56.7	887.8	70
World	103	11.3	16.7	5,517.4	68

Source: World Bank calculations based on data from the Multidimensional Poverty Measure database (September 2026), World Bank, https://www.worldbank.org/en/topic/poverty/brief/multidimensional-poverty-measure.

Note: The table includes only economies on which data are available for at least one year in 2020–26. The international poverty line measures poverty rates at $3.00-a-person-a-day (in 2021 purchasing power parity terms). The Multidimensional Poverty Measure (MPM) expresses rates of multidimensional poverty. An economy is considered covered (that is, data are available on the rate) in a particular reference year if a nationally representative survey has been conducted within three years on either side of the reference year. Population values for survey years have been used to aggregate monetary and multidimensional poverty rates across countries. For the region highlighted in gray, population coverage is below 50 percent, which is the threshold used for coverage throughout the report. Columns may not sum to the exact total of the constituent data elements because of rounding.

FIGURE 1.18

Extreme poverty often, but not always, tracks with multidimensional deprivation

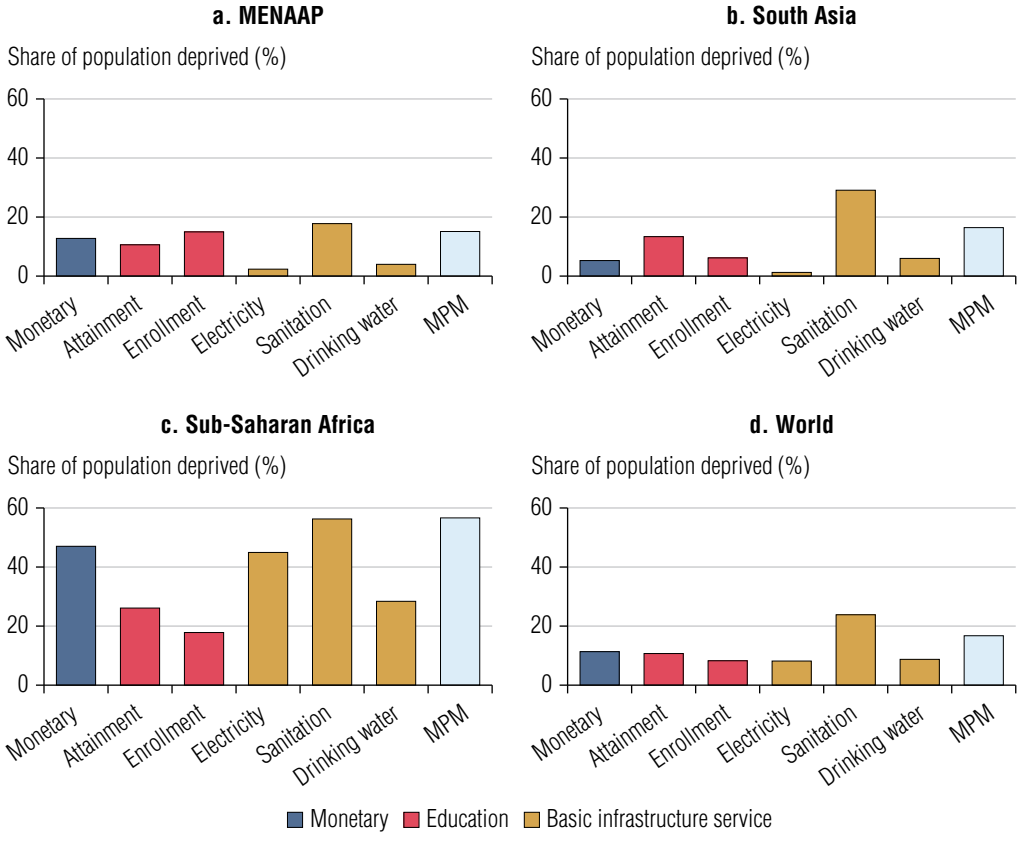


Source: World Bank calculations based on data from the Multidimensional Poverty Measure database (September 2026), World Bank, https://www.worldbank.org/en/topic/poverty/brief/multidimensional-poverty-measure.
Note: Each dot in the figure represents an individual economy. The rate of multidimensional poverty is the share of the population defined as multidimensionally poor. Panels b–f show the share of the population in each economy deprived along one of the five indicators used in the Multidimensional Poverty Measure (MPM). Because the MPM is estimated for all economies that are covered by at least one indicator within each dimension, the number of economies in each of the six panels varies. The lowest number of economies covered by data refers to educational enrollment (available on 72 economies) (Lara Ibarra et al. 2026). The extreme poverty rate is based on the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). By definition, the MPM cannot be lower than the extreme poverty rate. IPL = international poverty line; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

In some regions, a significant share of households are deprived according to the nonmonetary measures, and the MPM rate may be much higher than the extreme poverty rate. Three times more households are classified as MPM poor in South Asia (where monetary poverty has fallen to relatively low levels), whereas the differences are less stark in Sub-Saharan Africa, and the Middle East, North Africa, Afghanistan, and Pakistan region (refer to figure 1.19). In South Asia, higher MPM rates are driven largely by deprivations in education and sanitation.

FIGURE 1.19

Nonmonetary deprivations provide a broader view of poverty



Source: World Bank calculations based on data from the Multidimensional Poverty Measure database (September 2026), World Bank, https://www.worldbank.org/en/topic/poverty/brief/multidimensional-poverty-measure.

Note: The figure shows regional average deprivations across the three dimensions of the Multidimensional Poverty Measure (MPM) in regions in which the MPM is above 5 percent, circa 2023. The global profile is included for comparison. Each color represents one of the three dimensions of the MPM. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

The ongoing mission to end extreme poverty

This chapter tracks the progress and setbacks on the path to ending extreme poverty. After falling steadily for three decades, from 43 percent in 1990 to 11 percent in 2020, and then bouncing back after the COVID-19 pandemic, the extreme poverty rate has stalled. In 2026, 811 million people—1 in 10 globally—were living in extreme poverty, defined as living on less than the international poverty line of $3.00-a-person-a-day, expressed in 2021 PPP terms. This rate has remained essentially unchanged over the past six years (refer to figure 1.1). However, extreme poverty has become increasingly concentrated geographically. More than half the extreme poor globally are living in only 9 economies, and three-quarters in 20 economies. Of the nine economies, six are in Sub-Saharan Africa, where the extreme poverty rate has remained near 44 percent since 2014. Only in 2026 was the extreme poverty rate for Sub-Saharan Africa projected to return to its prepandemic level, while the rate for MENAAP remained above its prepandemic level. Fragility and conflict are additional key defining features of global poverty, driven by two factors: more high-poverty economies became fragile, and extreme poverty fell more quickly in non-FCS economies.

The global poor are disproportionately young, rural, and less educated. Although the extreme poverty rate declined across most demographic groups between 2013 and 2023, progress was slowest among households caring for children, but without two working-age adults. The MPM reinforces the awareness of the severity of these patterns and suggests that the challenges are even more daunting. Across 103 economies, 16.7 percent of people are multidimensionally poor.

Delivering more rapid and more inclusive economic growth is imperative to bringing poverty reduction back on track. This growth is most needed in contexts in which peace and stability are lacking, making growth more difficult to achieve. Rapid population growth presents an additional challenge in high-poverty economies, particularly if economic growth has been insufficient to generate sustained gains in income per capita.

Annex 1A. Data and methodology

Poverty and Inequality Platform data and the methodology of global poverty measurement

The data used to measure poverty in this report are taken from the World Bank's Poverty and Inequality Platform (PIP), which aggregates welfare data from household surveys. The platform includes data from more than 2,500 household surveys in 172 economies representing

97 percent of the world's population. Statistics from most of the surveys are included in the World Bank Global Monitoring Database, which is described below. This report relies on 2,588 survey-years of data, or an additional 204 surveys relative to the data available for the *Poverty, Prosperity, and Planet Report 2024* (World Bank 2024a). This increase in the coverage of survey data has made reporting possible on global poverty up to 2024, a two-year lag from 2026, the publication year of this report. The nowcasts presented for 2025 and 2026 require additional assumptions, as explained below.

The report measures welfare using either household consumption or income data depending on which type of data is available for each economy. Slightly more than half the economies on which the platform reports rely on consumption data. Economies in Latin America and the Caribbean and the high-income economies account for the majority of the economies that rely on household income data. An extensive literature explores and compares consumption and income measures in household surveys and the respective benefits and limitations (World Bank 2016).

Survey data are converted to internationally comparable welfare measures using 2021 PPP dollars (refer to box 1.1). As of the June 2025 update, PIP uses the 2021 PPPs, replacing the 2017 PPPs (Alfani et al. 2025; Foster et al. 2025). The global poverty lines have been updated accordingly. The international (extreme) poverty line is $3.00-a-person-a-day. The $4.20- and $8.30-a-person-a-day lines reflect the median national poverty lines of lower-middle-income and upper-middle-income countries, respectively (Foster et al. 2025). Welfare values of less than $0.28-a-person-a-day (in 2021 PPP terms) have been replaced with $0.28 because of the significant measurement errors at such low consumption or income levels (Yonzan et al. 2026).

For economies on which no survey data are available for a particular year, PIP includes estimates of poverty rates on the basis of the most recent available survey data. If survey data are available through the platform only prior to a particular reference year, the most recent welfare distribution is extrapolated forward using growth rates from national accounts, either real GDP per capita or real household final consumption expenditure per capita. Because of its close conceptual relation with the welfare aggregate, the latter, if available, is generally the preferred national accounts variable in PIP. However, for low- and lower-middle-income economies, GDP per capita is preferred because household final consumption expenditure per capita is often calculated as the residual component of GDP in the case of economies with low statistical capacity (Mahler and Newhouse 2024).

Not all economic growth feeds into growth in household income. Pass-through rates between national accounts data and household welfare are assumed in PIP based on estimations of Mahler et al. (2022) of 0.7 if the last household survey in an economy uses a consumption aggregate and 1.0 if the last survey uses an income aggregate (Mahler and Newhouse 2024). The extrapolation is distribution neutral, that is, no change in inequality is assumed.

For the years between two surveys, poverty is interpolated in PIP on the basis of the data from the two surveys using data from national accounts, while assuming the same pass-through rates. The World Bank (2026a) provides more technical details on the extrapolation and interpolation methods.

Although PIP includes data from a large number of surveys, poverty cannot be estimated directly in the case of several economies (less than 3 percent of the global population) because of the lack of survey data, unreliable purchasing power parities, missing national accounts data, and so on. For these economies, an imputation approach developed by Mahler et al. (2026) is applied. The approach relies on a small set of variables on which data are widely available—GDP per capita, under-5 mortality rates, life expectancy, rural population share, income group, and region—to predict full welfare distributions. The model used in this case has two tiers. The choice of the tier to be used in the case of a particular economy depends on whether data on GDP per capita are available. The distributions predicted by the model are used on the platform solely to include data on the economy in regional and global aggregates. The resulting poverty rates are not reported individually on the platform's website because of the large possible errors involved in any imputation model. With the September 2025 update to the platform, this approach replaced the previous practice of assigning any economy on which data are missing the population-weighted average poverty rate for the region in which the economy is located.

Regional poverty estimates for a particular reference year are presented in PIP only if survey data are available for that year on at least 50 percent of the regional population. A global poverty estimate for a particular reference year is reported in PIP only if survey data are available that cover at least 50 percent of the world's population and at least 50 percent of the population of low- and lower-middle-income economies in that year. An economy is considered covered (that is, relevant data are available) in a particular reference year if a nationally representative survey has been conducted within three years on either side of the reference year. As an exception, however, surveys conducted before the COVID-19 pandemic are not counted in PIP for coverage in 2020 or later. Likewise, surveys conducted after the onset of the COVID-19 pandemic are not counted for coverage in 2020 or earlier.

Alongside the inclusion of new survey data on India, the survey source used for India in recent years has also changed relative to the previous edition of the report. Estimates previously based on data from the Consumer Pyramids Household Survey, conducted by a private survey firm, which covered the years 2015 to 2021, have been removed from PIP because of concerns regarding comparability with data from the newly incorporated Household Consumption Expenditure Survey released by the government of India. As a result, survey data on India are no longer available on the platform for 2015–21. This means that the coverage of South Asia in 2015–19 and globally for the reference year 2019 has been lost.

The societal poverty line is defined for an economy as max ($3.00, $1.30 + 0.5 × *median*), which means that it is the greater of either $3.00-a-person-a-day (that is, the international poverty line) or $1.30, plus half the median consumption or income of the economy (depending on the type of data used in the economy to calculate welfare measures). For economies with sufficiently high median consumption or income, this is a relative poverty measure, reflecting the fact that national poverty lines rise as economies grow. The societal poverty line approximately reflects how national poverty lines vary with average income around the world (Foster et al. 2025; Jolliffe and Prydz 2021).

The Multidimensional Poverty Measure indicates the share of a population that is defined as multidimensionally poor based on the three separate dimensions of poverty it encompasses. Each of the three dimensions of poverty covered weighs equally (one-third) in the final measure, and each indicator within a dimension of poverty weighs equally within that dimension. Monetary poverty, based on one indicator (the $3.00-a-person-a-day international poverty line), accounts for one-third of the total score. Education poverty also contributes one-third. Each of the two education indicators (attainment and enrollment) account for one-sixth of the total score. Basic infrastructure services contribute the final third. Each of the three associated infrastructure indicators (electricity, sanitation, and water) account for one-ninth of the total score. A household is identified as multidimensionally poor if it is deprived in indicators whose weights sum to one-third or more of the total possible score across all dimensions.

Projection methods

Sufficient survey data are currently available in the Poverty and Inequality Platform to support data coverage through 2024. The report uses projections to generate poverty numbers for 2025 and beyond. In this report, *nowcasting* refers to the method used to generate data for 2025 and 2026, and *forecasting* refers to the corresponding method for subsequent years, that is, the future at the time of publication of the data. Poverty is nowcast and forecast using growth rates of GDP per capita, computed using methods similar to those employed in earlier years in cases in which no survey data were available for a particular economy. Projections based on per capita GDP growth predict poverty nearly as well as projections using a combination of 1,000 economy-level development outcome indicators (Mahler et al. 2022).

Projecting poverty rates on the basis of GDP per capita growth rates involves making two key assumptions. First, as in interpolation, distribution neutrality is assumed, meaning that all households in an economy benefit equally from economic growth in the economy. Each household's welfare is scaled by the GDP per capita growth rate, and, so, there is no change in inequality. Second, the report applies the same pass-through rates to the growth rate of an economy's GDP per capita as in the imputation of poverty rates in the previous

subsection: 0.7 if the most recent survey available for the economy has consumption data, and 1.0 if it has income data. The report applies the methodology used to nowcast and forecast consistently across all economies to ensure comparability; so, economy-specific adjustments are not made. Alternative nowcasts using a range of methods with assumptions specific to each economy are available in the World Bank's *Macro Poverty Outlook* (World Bank 2025c).

To analyze the potential impact of the conflict in the Middle East, the report also includes estimates that relax the assumption of distribution neutrality (refer to box 1.2). In particular, sectoral growth rates and differential spending patterns are used to model household-specific income and price shocks. Kimura et al. (2026) provide more details.

To extend the series through 2030, growth rates for GDP per capita are taken from *Global Economic Prospects, June 2026* (World Bank 2026c), supplemented with the April 2026 *Macro Poverty Outlook* (World Bank 2026d) or the April 2026 *World Economic Outlook* (IMF 2026). If growth data are unavailable, average annual historical GDP per capita growth rates (over 2015–24) presented in the World Development Indicators of the World Bank are used.

The Global Monitoring Database

The Global Monitoring Database is the World Bank repository of nationally representative household surveys conducted by national statistical offices. These surveys all include information on welfare (whether household income or consumption) and household size (to adjust to per capita levels). The database is the main source of data for the poverty and inequality estimates published in PIP. The database also includes other harmonized variables, such as the age, sex, and education levels of members, the rural or urban location of households, and household access to basic infrastructure services (for example, electricity and improved sanitation).

Because survey instruments differ across economies, data are harmonized to the degree possible. Researchers can access the estimates through PIP, and they can access microdata through PIP's Statistics Online tool as long as agreements permit data sharing.[15] Both the database and platform are updated periodically. This report uses the latest version of data available (September 2026).

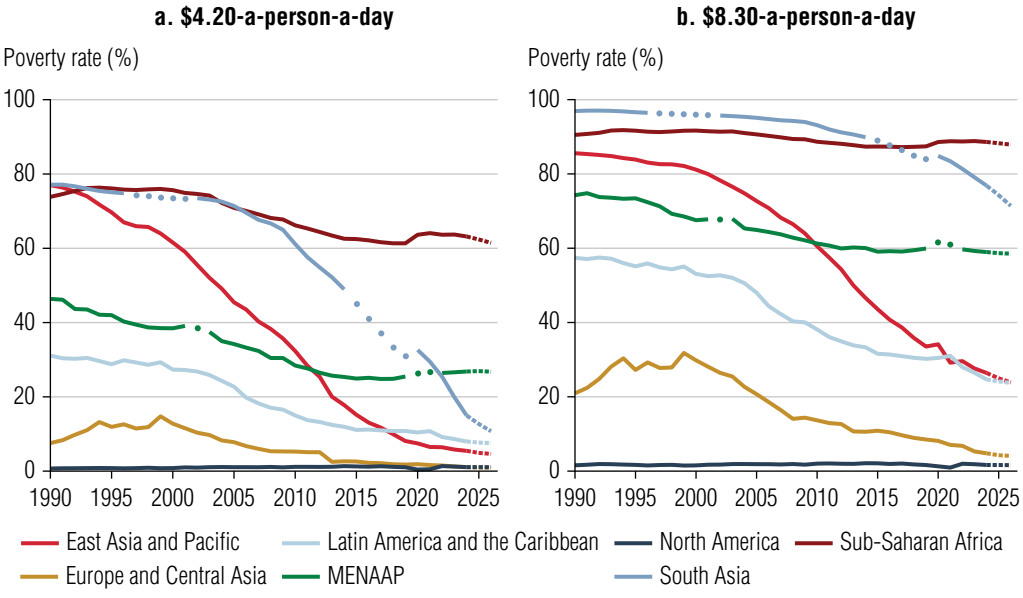
The Global Subnational Poverty Atlas

The World Bank's Global Subnational Poverty Atlas combines household survey data in the Global Monitoring Database and data on administrative boundaries to provide visualizations of extreme poverty at the subnational level. The Atlas includes custom shapefiles that can be linked to the subnational geographic units in the database. These shapefiles follow a harmonized spatial hierarchy across economies consisting of four administrative levels, from the whole economy to district and finer units.

Annex 1B. Additional figures

FIGURE 1B.1

Higher poverty lines reveal gaps in eradicating poverty in several regions



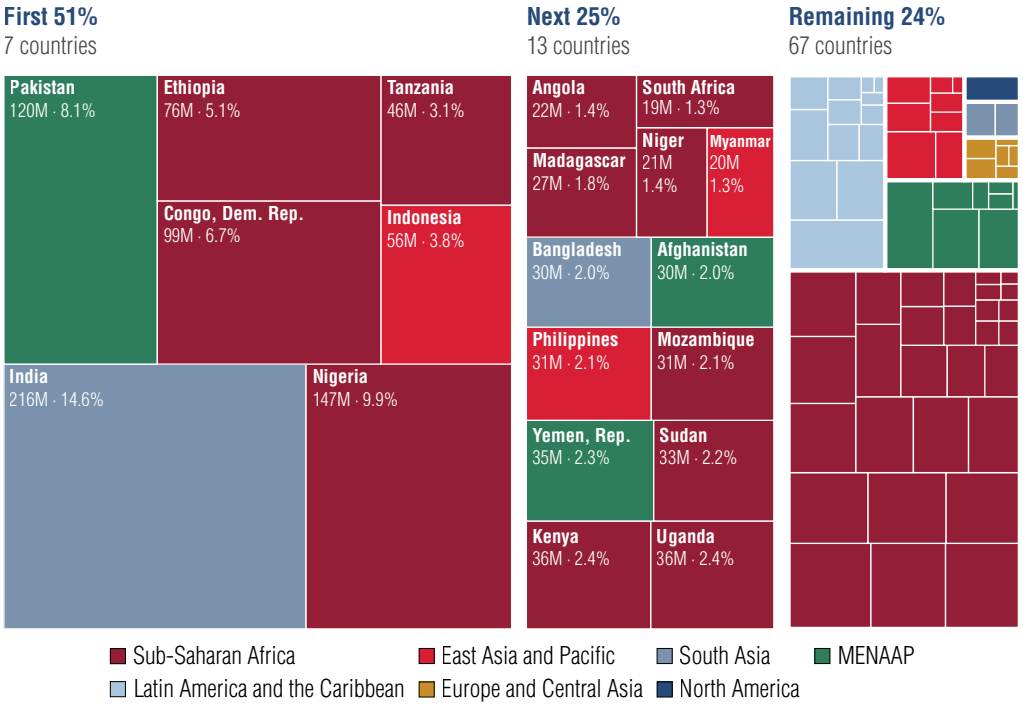
Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports poverty rates for the $4.20- and $8.30-a-person-a-day poverty lines (in 2021 purchasing power parity terms). Dots within lines indicate that less than 50 percent of the population in the region depicted was covered by a survey in or around the associated year. Dashed portions of lines indicate that values are nowcasts (refer to annex 1A). MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

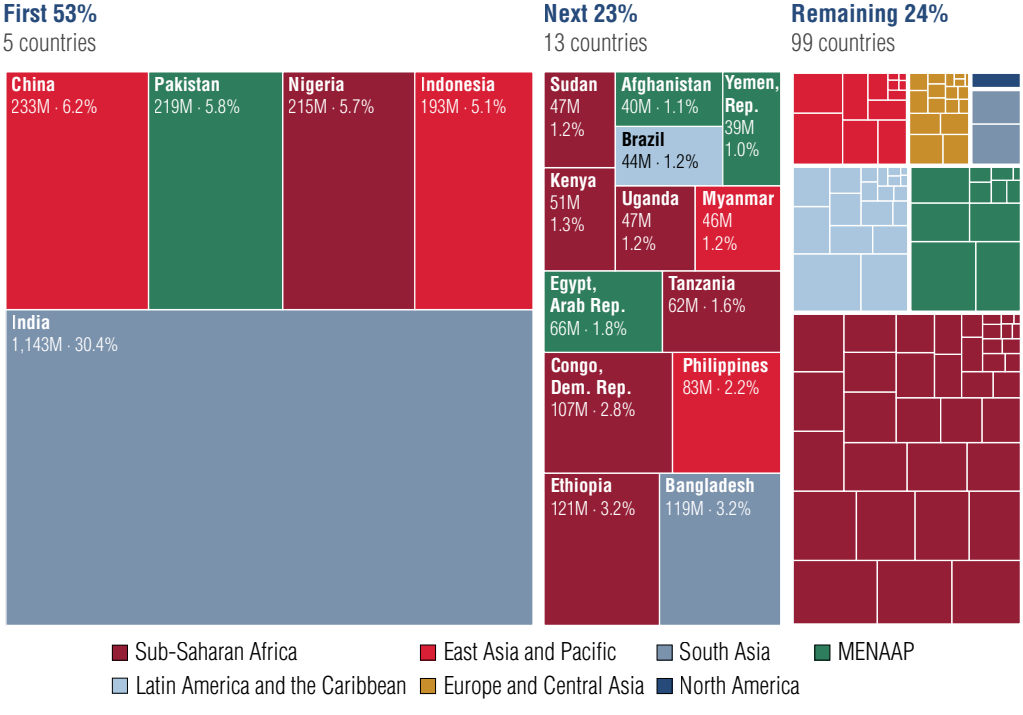
FIGURE 1B.2

The distribution of the number of poor shifts at higher poverty lines

a. $4.20-a-person-a-day, 2024



b. $8.30-a-person-a-day, 2024



(continued)

FIGURE 1B.2

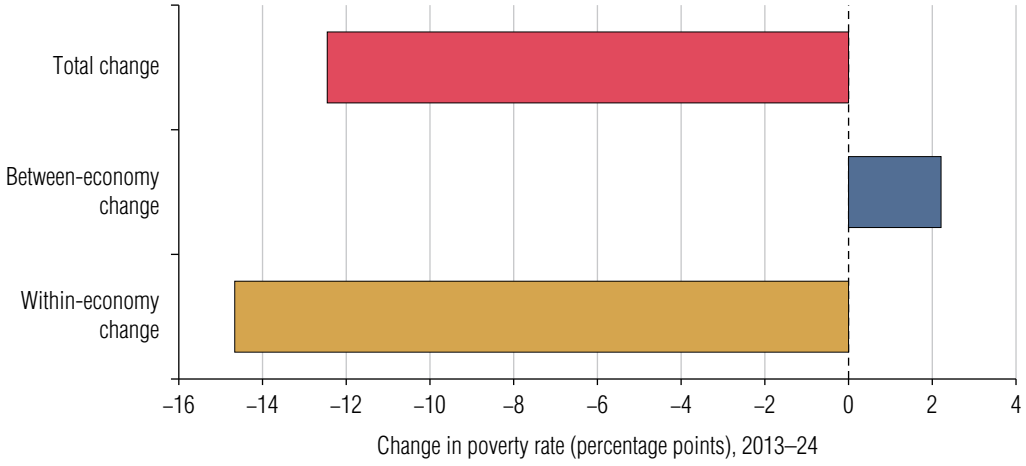
The distribution of the number of poor shifts at higher poverty lines *(continued)*

Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports the number of people living in poverty according to the $4.20- and $8.30-a-person-a-day poverty lines (in 2021 purchasing power parity terms) and the global share of poverty. For some economies, no survey is available (for example, Afghanistan), and estimates are based on the methodology described by Mahler et al. (2026). The Philippines collects survey data on both the income and the consumption expenditure of households. World Bank aggregates choose consumption over income if both are available. If the income-based estimates were used instead, the number of people living in poverty in the Philippines would be 19 million (at the $4.20 line) and 67 million (at the $8.30 line) in 2023. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

FIGURE 1B.3

Within-economy progress drove the decline in extreme poverty among people with no formal education between 2013 and 2024 but was partly offset by a compositional shift

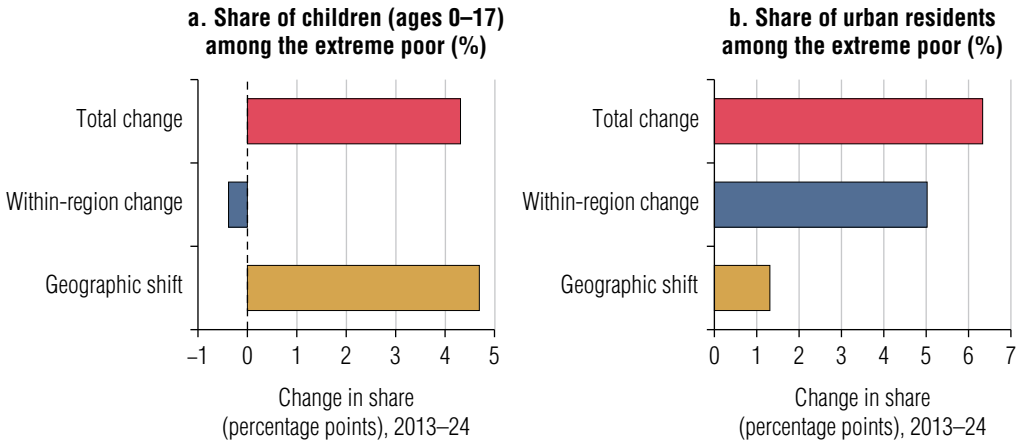


Source: World Bank calculations based on data from the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: The figure decomposes the change in the extreme poverty rate among people with no formal education globally between 2013 and 2024 into two components: a within-economy effect (the change in poverty rates among those with no schooling within each economy, with each economy's share of the global population with no schooling held constant) and a between-economy effect (the change in the distribution of the global population with no schooling across economies, with economy-level poverty rates among the population with no schooling held constant). The decomposition follows a Shapley-symmetric form, evaluating each component at the average of the 2013 and 2024 values. It measures poverty at the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms).

FIGURE 1B.4

Geographic concentration is driving the increasing share of children among extremely poor people, whereas the urbanization of poverty reflects within-region changes

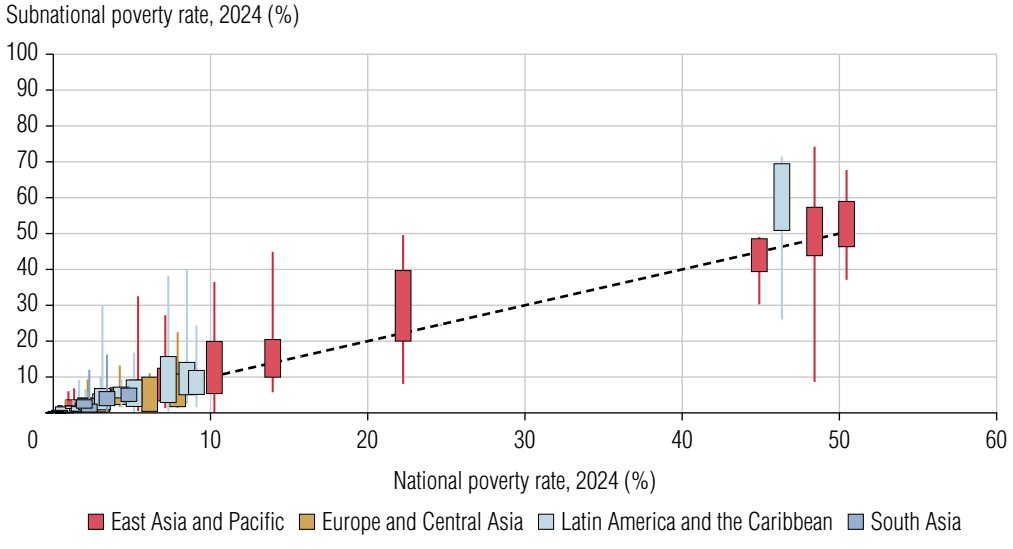


Source: World Bank calculations based on data from the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: The figure decomposes the change in the share of children (ages 0–17) and urban residents among extremely poor people globally between 2013 and 2024 into two components: a geographic-shift effect (the change in each region's share of global poverty, with within-region demographic composition held constant) and a within-region composition effect (the change in the demographic composition within regions, with the regional distribution of poverty held constant). It measures poverty at the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms).

FIGURE 1B.5

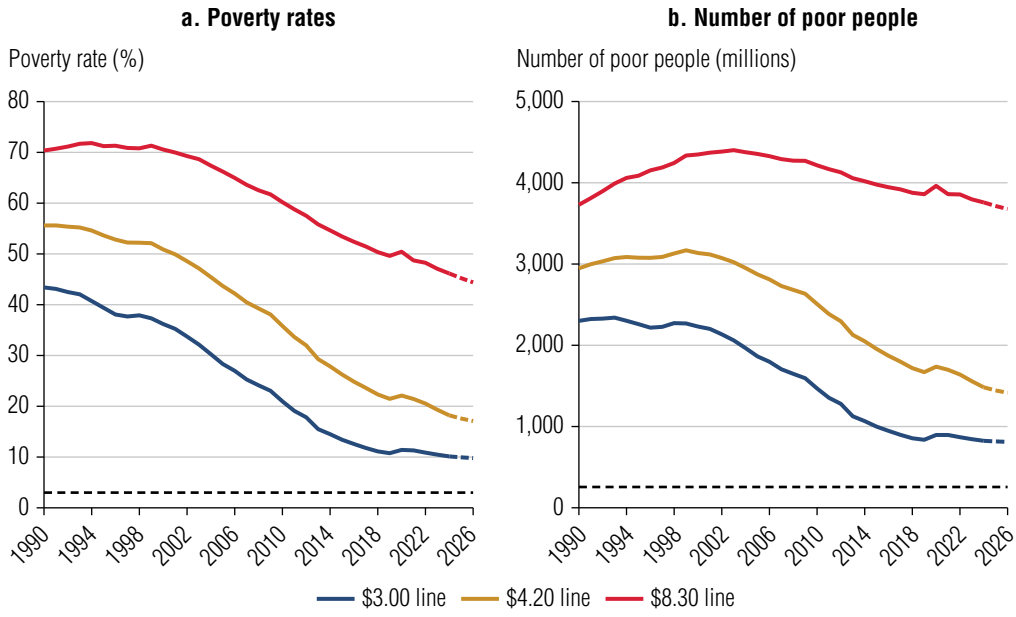
Subnational poverty rates are high in some countries in East Asia and Pacific and in Latin America and the Caribbean



Sources: World Bank calculations based on data from the Global Subnational Poverty Atlas (version April 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0042041/global-subnational-poverty-atlas-gsap; Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

FIGURE 1B.6

Extreme poverty reduction has come to a standstill



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports poverty rates using 2021 purchasing power parity terms (refer to figure 1.1 for more details). In panel a, the horizontal dashed line is drawn at 3 percent in 2030, which is the World Bank's target for ending extreme poverty. In panel b, the horizontal dashed line is drawn at 256 million, which represents 3 percent of the global population projected for 2030. Data for 2025 and 2026 are nowcasts and are represented by dashed lines in the figure (refer to annex 1A). Values for 2019 are considered projections because survey data in 2019 represent less than 50 percent of the population in low-income and lower-middle-income economies (refer to box 1.4 and annex 1A).

Annex 1C. Global, regional, and group-specific poverty estimates, 1990–2026

TABLE 1C.1

Percentage of population living in poverty

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
a. Poverty line: $3.00-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	67	47	19	3	3	3	2	2	2	2	2
Europe and Central Asia	4	8	4	1	1	1	1	1	1	1	1
Latin America and the Caribbean	21	18	8	6	6	6	5	5	4	4	4
MENAAP	34	24	13	12	13	13	13	14	14	15	14
North America	1	1	1	1	0	0	1	1	1	1	1
South Asia	50		30	9	9	8	6	4	3	2	2
Sub-Saharan Africa	62	62	49	44	46	46	46	46	45	44	43
Eastern and Southern Africa		63	52	51	52	52	52	52	51	50	50
Western and Central Africa	61		46	34	37	37	37	37	36	35	34
World	**43**	**36**	**21**	**11**	**11**	**11**	**11**	**10**	**10**	**10**	**10**
Economies affected by FCS			42	39	41	41	41	42	42	41	41
Economies eligible for IDA assistance		53	36	34	36	37	36	36	36	35	35
b. Poverty line: $4.20-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	77	62	32	8	7	7	6	6	5	5	5
Europe and Central Asia	8	13	5	2	2	2	2	1	1	1	1
Latin America and the Caribbean	31	27	15	11	10	11	9	9	8	8	8
MENAAP	46	38	28	25	27	27	26	27	27	27	27
North America	1	1	1	1	0	1	1	1	1	1	1
South Asia	77		61	31	33	29	25	20	15	13	11
Sub-Saharan Africa	74	76	66	61	64	64	64	64	63	62	61
Eastern and Southern Africa		75	67	67	68	69	68	68	68	67	66
Western and Central Africa	75		65	54	57	57	57	57	56	55	54
World	**56**	**51**	**36**	**21**	**22**	**21**	**21**	**19**	**18**	**18**	**17**
Economies affected by FCS			57	54	58	58	58	59	59	58	58
Economies eligible for IDA assistance		75	61	53	55	55	54	54	54	54	53

(continued)

TABLE 1C.1

Percentage of population living in poverty *(continued)*

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
c. Poverty line: $8.30-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	86	81	61	34	34	29	30	28	26	25	24
Europe and Central Asia	21	30	14	9	8	7	7	5	5	4	4
Latin America and the Caribbean	57	53	38	30	30	31	28	26	25	24	24
MENAAP	74	68	61	60	62	61	60	59	59	59	59
North America	2	2	2	2	1	1	2	2	2	2	2
South Asia	97		93	84	85	83	81	79	77	74	71
Sub-Saharan Africa	91	92	89	87	89	89	89	89	89	88	88
Eastern and Southern Africa		91	88	89	89	90	89	90	90	89	89
Western and Central Africa	92		90	86	87	88	88	88	87	87	86
World	**70**	**71**	**60**	**50**	**50**	**49**	**48**	**47**	**46**	**45**	**44**
Economies affected by FCS			83	81	84	83	83	84	84	84	84
Economies eligible for IDA assistance		94	90	86	86	86	85	85	85	84	84

Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org.

Note: The definitions of *Economies affected by FCS* and *Economies eligible for IDA assistance* are kept fixed across time, using the World Bank fiscal year 2026 classifications. The table does not report poverty estimates for years on which data coverage is insufficient (that is, data cover less than 50 percent of a region's population); missing observations are shown as empty cells. However, poverty estimates are presented for recent years (2019–26) using nowcasting methods, even if data coverage is insufficient. These data are shaded in gray (for example, those for MENAAP in 2020–21 and economies affected by FCS in 2019). Estimates presented for all regions and groups of economies for 2025 and 2026 are based on poverty nowcasts and are also shaded in gray. Refer to annex 1A for details about coverage rules and the methodology for projecting or nowcasting poverty. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. FCS = fragile and conflict-affected situations; IDA = International Development Association; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

TABLE 1C.2

Millions of people living in poverty

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
a. Poverty line: $3.00-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	1,218	955	417	61	65	62	57	52	47	41	39
Europe and Central Asia	34	66	34	7	8	7	7	6	5	5	5
Latin America and the Caribbean	91	94	50	40	38	41	33	30	28	27	27
MENAAP	131	118	84	86	95	103	105	111	116	121	122
North America	2	2	3	3	1	1	4	4	4	4	4

(continued)

TABLE 1C.2

Millions of people living in poverty *(continued)*

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
South Asia	503		439	140	152	129	101	68	43	35	29
Sub-Saharan Africa	321	425	442	500	538	553	561	574	581	584	586
Eastern and Southern Africa		63	256	273	343	364	373	378	387	395	401
Western and Central Africa	129		169	157	174	180	183	186	185	186	185
World	**2,301**	**2,231**	**1,469**	**837**	**896**	**896**	**869**	**845**	**824**	**817**	**811**
Economies affected by FCS			178	323	396	419	425	440	450	456	460
Economies eligible for IDA assistance		1,336	1,002	592	636	660	669	686	697	704	705
b. Poverty line: $4.20-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	1,400	1,262	716	191	177	155	153	139	130	117	111
Europe and Central Asia	64	111	47	16	17	15	14	12	10	9	9
Latin America and the Caribbean	137	142	88	69	67	70	60	57	53	51	51
MENAAP	178	190	178	189	201	206	207	212	218	223	225
North America	2	3	4	4	2	2	5	5	4	4	4
South Asia	782		884	501	529	482	419	332	252	215	183
Sub-Saharan Africa	385	515	592	699	744	768	782	803	816	825	833
Eastern and Southern Africa		306	357	451	475	489	498	512	523	530	537
Western and Central Africa	156		235	248	269	279	285	291	293	295	296
World	**2,947**	**3,136**	**2,509**	**1,670**	**1,737**	**1,698**	**1,640**	**1,558**	**1,483**	**1,444**	**1,416**
Economies affected by FCS			244	452	559	589	601	622	637	647	655
Economies eligible for IDA assistance		1,883	1,696	919	973	1,000	1,015	1,038	1,053	1,065	1,071
c. Poverty line: $8.30-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	1,556	1,664	1,341	791	809	693	705	659	631	597	571
Europe and Central Asia	177	258	122	78	75	65	63	49	44	40	38
Latin America and the Caribbean	253	276	224	194	197	202	183	174	163	161	159
MENAAP	285	334	383	445	466	467	467	473	480	485	492
North America	4	5	7	6	5	4	7	7	6	6	6
South Asia	982		1,346	1,349	1,375	1,364	1,341	1,315	1,289	1,257	1,219
Sub-Saharan Africa	472	624	793	996	1,036	1,065	1,091	1,119	1,144	1,168	1,191
Eastern and Southern Africa		368	467	599	621	639	654	673	689	704	720
Western and Central Africa	194		327	397	414	426	437	447	455	463	471
World	**3,729**	**4,348**	**4,215**	**3,859**	**3,962**	**3,860**	**3,857**	**3,796**	**3,758**	**3,714**	**3,677**
Economies affected by FCS			354	674	812	842	864	888	909	929	950
Economies eligible for IDA assistance		2,368	2,509	1,475	1,525	1,557	1,594	1,623	1,650	1,673	1,698

(continued)

TABLE 1C.2

Millions of people living in poverty *(continued)*

Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org.
Note: The definitions of *Economies affected by FCS* and *Economies eligible for IDA assistance* are kept fixed across time, using the World Bank fiscal year 2026 classifications. The table does not report poverty estimates for years on which data coverage is insufficient (that is, data cover less than 50 percent of a region's population); missing observations are shown as empty cells. However, poverty estimates are presented for recent years (2019–25) using nowcasting methods, even if data coverage is insufficient, and these data are shaded in gray (for example, those for MENAAP in 2020–21 and economies affected by FCS in 2019). Estimates presented for all regions and groups of economies for 2025 and 2026 are based on poverty nowcasts and are also shaded in gray. Refer to annex 1A for details about coverage rules and the methodology for projecting or nowcasting poverty. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. FCS = fragile and conflict-affected situations; IDA = International Development Association; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

TABLE 1C.3

Percentage of poor people globally

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
a. Poverty line: $3.00-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	53	43	28	7	7	7	7	6	6	5	5
Europe and Central Asia	1	3	2	1	1	1	1	1	1	1	1
Latin America and the Caribbean	4	4	3	5	4	5	4	4	3	3	3
MENAAP	6	5	6	10	11	12	12	13	14	15	15
North America	0	0	0	0	0	0	1	0	0	0	0
South Asia	22		30	17	17	14	12	8	5	4	4
Sub-Saharan Africa	14	19	30	60	60	62	65	68	70	71	72
Eastern and Southern Africa		11	19	41	41	42	44	46	48	49	49
Western and Central Africa	6		11	19	19	20	21	22	22	23	23
World	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**
Economies affected by FCS			12	39	44	47	49	52	55	56	57
Economies eligible for IDA assistance		60	68	71	71	74	77	81	85	86	87
b. Poverty line: $4.20-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	48	40	29	11	10	9	9	9	9	8	8
Europe and Central Asia	2	4	2	1	1	1	1	1	1	1	1
Latin America and the Caribbean	5	5	4	4	4	4	4	4	4	4	4
MENAAP	6	6	7	11	12	12	13	14	15	15	16
North America	0	0	0	0	0	0	0	0	0	0	0
South Asia	27		35	30	30	28	26	21	17	15	13

(continued)

TABLE 1C.3

Percentage of poor people globally *(continued)*

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
Sub-Saharan Africa	13	16	24	42	43	45	48	52	55	57	59
Eastern and Southern Africa		10	14	27	27	29	30	33	35	37	38
Western and Central Africa	5		9	15	15	16	17	19	20	20	21
World	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**
Economies affected by FCS			10	27	32	35	37	40	43	45	46
Economies eligible for IDA assistance		60	68	55	56	59	62	67	71	74	76
c. Poverty line: $8.30-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	42	38	32	21	20	18	18	17	17	16	16
Europe and Central Asia	5	6	3	2	2	2	2	1	1	1	1
Latin America and the Caribbean	7	6	5	5	5	5	5	5	4	4	4
MENAAP	8	8	9	12	12	12	12	12	13	13	13
North America	0	0	0	0	0	0	0	0	0	0	0
South Asia	26		32	35	35	35	35	35	34	34	33
Sub-Saharan Africa	13	14	19	26	26	28	28	29	30	31	32
Eastern and Southern Africa		8	11	16	16	17	17	18	18	19	20
Western and Central Africa	5		8	10	10	11	11	12	12	12	13
World	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**
Economies affected by FCS			8	17	20	22	22	23	24	25	26
Economies eligible for IDA assistance		54	60	38	38	40	41	43	44	45	46

Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org.

Note: The definitions of *Economies affected by FCS* and *Economies eligible for IDA assistance* are kept fixed across time, using the World Bank fiscal year 2026 classifications. The table does not report poverty estimates for years on which data coverage is insufficient (that is, data cover less than 50 percent of a region's population); missing observations are shown as empty cells. However, poverty estimates are presented for recent years (2020–25) using nowcasting methods, even if data coverage is insufficient, and these data are shaded in gray (for example, those for MENAAP in 2020–21 and economies affected by FCS in 2019). Estimates presented for all regions and groups of economies for 2025 and 2026 are based on poverty nowcasts and are also shaded in gray. Refer to annex 1A for details about coverage rules and the methodology for projecting or nowcasting poverty. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. FCS = fragile and conflict-affected situations; IDA = International Development Association; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

Annex 1D. Measuring the geographic concentration of global poverty

To measure the extent to which global poverty is concentrated in a small number of economies disproportionate to their population, this annex applies the dissimilarity index (Duncan and Duncan 1955), a standard measure of spatial concentration. The index compares the distribution of the extremely poor population across economies with the distribution of the total population. It is computed as follows:

$$D = \frac{1}{2}\sum_i \left| \frac{p_i}{P} - \frac{n_i}{N} \right|, \tag{1D.1}$$

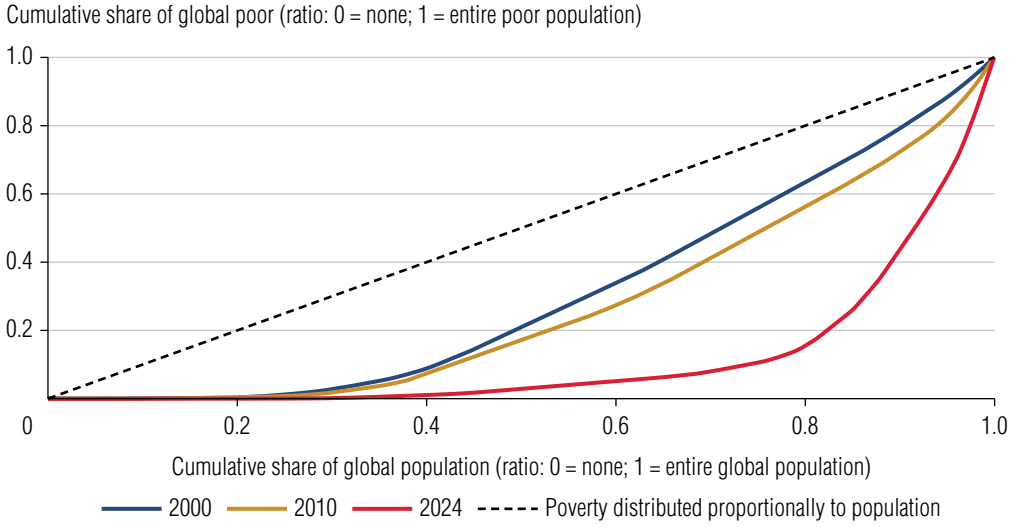
where p_i is the number of the extreme poor in economy i; P is the total population of the extreme poor globally; n_i is the total population of economy i; and N is the total global population. The index ranges from 0 (the poor in a particular economy are distributed exactly in proportion to the population across all economies) to 1 (all poor people in the world are in one economy).

The dissimilarity index measures the share of the global poor population who would need to relocate across economies to equalize the distribution of poverty to reflect the share of a economy's population to the global population. The index rose from 0.31 in 2000 to 0.33 in 2010 and 0.65 in 2024. The geographic concentration of poverty, not explained by population size, thus more than doubled over the quarter century between 2000 and 2024.

Figure 1D.1 illustrates this shift. It ranks countries from lowest to highest according to poverty rates, plotting the cumulative share of the global population against the cumulative share of the global poor population. The farther the curve bows below the 45-degree diagonal, the more concentrated poverty is in fewer economies, independent of the population size of those economies. In 2000, the curve already bowed below the diagonal, but, by 2024, the concentration became extreme: The 2024 curve traces the horizontal axis for much of its length. This reflects the fact that 30 percent of the global population in that year were living in economies with effectively zero extreme poverty, up from 9 percent in 2000. The 2024 curve then rises steeply at the far right. Economies with the highest extreme poverty rates and a population share of 20 percent in the world accounted for roughly 37 percent of the extreme poor in 2000. By 2024, economies with the highest extreme poverty rates and 20 percent of the global population accounted for roughly 85 percent of the extreme poor.

FIGURE 1D.1

Global poverty has become increasingly concentrated in a small number of economies



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: Economies are ranked from lowest to highest rate of extreme poverty at the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). The farther a curve is from the diagonal dashed line, the more disproportionate the number of the poor is to the total population of the economy.

Notes

1. Poverty is measured using household consumption or income per capita from household surveys, depending on the type of data that are available for each economy. Refer to annex 1A for details.
2. Figure 1.4 reports regional aggregates drawn from the Poverty and Inequality Platform (PIP). When no survey is available for a country in a particular year, PIP interpolates and extrapolates the existing surveys (refer to annex 1A for further details). PIP uses a method that is common across countries and uses national accounts growth adjusted by a pass-through rate. The World Bank publishes an alternative set of poverty nowcasts through the Macro Poverty Outlooks (MPOs). The MPOs are the preferred estimates for country-specific analyses, since they follow country-specific methodologies. As a result of the distinct projection methods, the nowcasts can differ between PIP and the MPOs. For example, in the case of Nigeria, the MPO uses a Nigeria-specific microsimulation that projects nominal consumption by households' sectoral income sources and applies household-specific inflation based on purchased food, nonfood, and own-produced food. It therefore captures uneven sectoral growth and inflation-driven losses in purchasing power, resulting in a different poverty trajectory.
3. As of the end of fiscal year 2026, the 26 economies classified as low-income are, in Sub-Saharan Africa, Burkina Faso, Burundi, the Central African Republic, Chad, the Democratic Republic of Congo, Eritrea, Ethiopia, The Gambia, Guinea-Bissau, Liberia, Madagascar, Malawi, Mali, Mozambique, Niger, Rwanda, Sierra Leone, the Federal Republic of Somalia, South Sudan, Sudan, Togo, and Uganda; in MENAAP, Afghanistan, the Syrian Arab Republic, and the Republic of Yemen; and the Democratic People's Republic of Korea. Note that 22 of the 26 are in Sub-Saharan Africa.

4. In Europe and Central Asia, the pronounced growth at the lower percentiles in 2019–25 was broad-based across the region, whereas Central Asian economies also experienced marked growth at upper percentiles.
5. The 9 economies with the most poor (poverty percentages at the $3.00-a-person-a-day line in 2024 in parentheses) are the Democratic Republic of Congo (82 percent), Ethiopia (32 percent), India (2 percent), Mozambique (81 percent), Nigeria (41 percent), Pakistan (22 percent), Tanzania (47 percent), Uganda (53 percent), and the Republic of Yemen (72 percent). The other 11 making up the top 20 are Afghanistan (47 percent), Angola (42 percent), Indonesia (5 percent), Kenya (43 percent), Madagascar (68 percent), Malawi (76 percent), Niger (55 percent), the Philippines (10 percent), the Federal Republic of Somalia (63 percent), Sudan (41 percent), and Zambia (71 percent). The estimates reported in this footnote are the poverty rates that underlie the global and regional aggregates. These have been extrapolated or interpolated to a common year if a survey is unavailable in 2024 (refer to annex 1A).
6. Of the 26 economies classified as low income in fiscal year 2026, only 6 are projected to transition to middle-income status by 2050 (World Bank 2025a).
7. Earlier versions of this report have also included scenarios that modeled reductions in inequality (for instance, refer to World Bank 2024a, figure 1.3). Lakner et al. (2022) model the complementary effects of growth and changes in inequality on poverty.
8. There is a complex bidirectional relationship between poverty and conflict (Fuseini et al 2025). For a more detailed discussion of the topic, refer also to Corral et al. (2020).
9. For more discussion of the evidence on the slow or, sometimes, stalled fertility transition in Sub-Saharan Africa in particular, refer to Büttner et al (2024).
10. Thus, for example, Nigeria was classified as FCS until the 2008 fiscal year and again from 2020 onward, and Ethiopia became classified as FCS in fiscal year 2022.
11. All members of a given household therefore have the same poverty status. Differences in poverty rates across men and women will thus necessarily reflect household composition patterns related to the extent to which women (men) reside in households with no men (women). Research has shown that differences in poverty rates between men and women are sensitive to the life cycle and to household composition patterns, especially among adults ages 25–34 (refer to Muñoz-Boudet et al. 2021). In this report, poverty rates by age and by household composition are reported, but not poverty rates among men and women. This might be misleading given the strong assumption of the equal sharing of resources within households.
12. The analysis captures changes over the last decade. This is too short of a period to pick up population aging effects, although the direction of the observed changes is consistent: The share of children falls, while the share of adults (25+) increases.
13. A Shapley decomposition can be used to break down the total change in the global poverty rate into two components: changes in poverty rates within economies and changes in the distribution of the population across economies and regions. The contributions of the two components sum to the total observed change.
14. The World Bank's Global Subnational Poverty Atlas provides poverty estimates for 1,900 subregions across more than 170 economies based on representative subregions from official household surveys. In many countries, these subregions correspond to the province or state level, that is the first or second government administrative levels. Refer to Global Subnational Poverty Atlas (version April 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0042041/global-subnational-poverty-atlas-gsap.
15. Refer to SOL (Statistics On-Line), World Bank, https://pip.worldbank.org/sol/sol-landing.

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2

The Path to Shared Prosperity Is Bumpy and Uneven

Summary

- *The shared prosperity measures used in this chapter focus on the distribution of welfare in an economy (as captured by the Gini index) and on the average gap between the welfare of individuals and a global prosperity standard of $28.00-a-person-a-day (the Global Prosperity Gap).*
- *The number of economies classified as highly unequal (Gini above 40) has fallen substantially since 2000, from 70 to 42 economies. Even the economies that remained above the high-inequality threshold throughout 2000–24 narrowed inequality. Their average Gini index fell from about 51 to about 46.*
- *Since 2013, at least one in five people worldwide have been living in economies characterized by high inequality. The number jumps to nearly one in three people in the world without the large populations of China and India.*
- *The overlap between high inequality and poverty has deepened. Between 2000 and 2024, the share of the world's extreme poor—defined as the people living below the $3.00-a-day poverty line measured in 2021 purchasing power parity (PPP) terms—who are living in high-inequality economies nearly doubled. In 2000, slightly more of the extreme poor were living in low-inequality economies than in high-inequality economies. By 2024, more than six of the extreme poor were living in a high-inequality economy for every one person living in a low-inequality economy.*
- *The Global Prosperity Gap narrowed by more than half between 1990 (when it was 10.5) and 2015. Incomes around the world in 2015 would have had to increase by fivefold, on average, to reach the standard of $28.00-a-person-a-day.*

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- *Progress has slowed in the most recent decade. The Global Prosperity Gap fell only slightly, to 4.5, between 2015 and 2026. Incomes would still have had to increase by a factor of 4.5, on average, if everyone in the world were to reach the threshold of $28.00-a-person-a-day.*
- *Progress in narrowing the Global Prosperity Gap has been uneven across regions. East Asia and Pacific made the largest gains, reducing the average gap by more than 80 percent between 1990 and 2026. In other regions, the gap has been far more stagnant. The Middle East, North Africa, Afghanistan, and Pakistan (MENAAP) region exhibited little improvement after 2015 when the gap stood at around 5, while Sub-Saharan Africa remained farthest from the prosperity standard in 2026, with a gap of 11.1, more than twice the global average in 2026 and about the same level as the Global Prosperity Gap in 1980.*

Inequality matters for development

The World Bank has a dual mission: to end extreme poverty and to boost shared prosperity on a livable planet. The objectives are closely intertwined, but also possess intrinsic value each on their own. The importance of shared prosperity in development is thus the subject of several World Bank publications (World Bank 2005, 2016, 2022, 2024).

To monitor the progress in shared prosperity, the World Bank uses two indicators: the Global Prosperity Gap and the number of economies exhibiting high inequality. The Global Prosperity Gap is a distribution-sensitive measure that captures the average global shortfall with respect to a global prosperity standard of $28.00-a-person-a-day. The measure captures both average welfare (measured as household consumption or income, depending on the survey source) and the distribution of welfare, placing greater weight on poorer individuals. The number of economies exhibiting high inequality is measured by using a threshold of 40 for the Gini index. This means an economy with a Gini of above 40 is considered a high-inequality economy. The number directs the focus toward the distribution of welfare within economies.

The case for monitoring inequality has deepened over the past three decades, shaped by three shifts in economic thinking. Early thinking often treated inequality as a temporary by-product of development, but later work showed that high inequality can become self-reinforcing and can slow progress in reducing poverty. If poor households cannot invest in education or productive opportunities, inequality can trap economies in low-human-capital, low-growth equilibriums. More broadly, growth tends to reduce poverty less if inequality is greater, meaning that poverty reduction and inequality reduction are closely linked rather than separate policy agendas.

The first major shift challenged the idea that inequality naturally rises and then falls because of development. Kuznets (1955) proposes the well-known inverted-U, suggesting that inequality would increase as economies industrialize before declining as they mature. For decades, this framing implied that inequality would be transitional and likely to self-correct over time.

Subsequent work has cast doubt on this view. Galor and Zeira (1993) show how inequality can persist if credit constraints prevent poor households from investing in education, leading to underinvestment in human capital and low-growth traps. Bourguignon (2003) clarifies that poverty reduction depends on both mean income growth and the distribution of income. So, growth reduces poverty less if inequality is greater, a relationship formalized through the decomposition of changes in poverty into growth and redistribution components first proposed by Datt and Ravallion (1992). In practical terms, poverty reduction and inequality reduction are closely linked. Cross-country evidence supports this finding. Economies exhibiting greater initial inequality tend to reduce poverty less at the same rate of growth in gross domestic product (Fosu 2009, 2017). More recent calibrations suggest the existence of a double dividend produced by lower inequality. Lower inequality reduces poverty directly and also increases the poverty-reducing effect of growth (Bergstrom 2022).

The second major shift relocated the analysis from the country to the global level. Inequality may be reframed by treating the world as a single distribution of individuals rather than a collection of national averages (Milanović 2016). This approach is able to probe the uneven development path globally in terms of household welfare, thereby highlighting the large gains for much of emerging Asia, the weaker gains for parts of the lower-middle and middle classes in richer economies, and the large gains at the top of the global distribution (Lakner and Milanović 2016). Related work shows that wealth can become more highly concentrated if the returns to capital outpace economic growth (Piketty 2014). This perspective also broadens what should be measured. Focusing only on the extreme poor or only on the bottom 40 percent of the income distribution can generate analyses that miss both the hollowing out of the middle and the concentration of gains at the top.

The third major shift was the recognition that inequality has consequences beyond income. Acemoglu and Robinson (2008) show how economic inequality and political power can reinforce one another through institutions, while Stiglitz (2012) links tighter concentration to weaker aggregate demand and greater financial fragility. Corak (2013) documents the Great Gatsby curve, showing that higher inequality tends to go hand in hand with lower intergenerational mobility. The policy question is therefore not whether inequalities arise, but whether they are managed in ways that allow more people and places to benefit from growth over time. If they are not so managed, Hirschman and Rothschild's (1973) tunnel effect suggests that an initial tolerance of inequality can turn into frustration and resentment, undermining the social foundations of development. This is the logic behind a progrowth equity agenda that corrects distortions in access to education, credit, and productive opportunities so that structural transformation becomes more inclusive (López-Calva and Rodríguez-Castelán 2016).

This chapter tracks two complementary dimensions of shared prosperity. The first dimension is high inequality, defined as a Gini index greater than 40 in an economy. The Gini index is one of the most familiar measures of within-economy inequality. The second dimension is

the Global Prosperity Gap, which captures the distance separating people from a globally defined standard of secure and resilient living. Understanding the source of deprivation and of unequal opportunities is a crucial first step toward addressing such issues in the pursuit of shared prosperity.

High inequality still affects at least one in five people worldwide

Inequality is high in 42 economies

Based on the most recently available household survey for the 169 economies for which data are available, the Gini index in 42 economies worldwide as of 2024 was greater than 40, the World Bank's threshold for high inequality (Haddad et al. 2024) (refer to boxes 2.1 and 2.2).[1] Of the remaining 127 economies, 94 were classified at moderate inequality (a Gini index above 30 and up to 40), and 33 economies were classified at low inequality (a Gini index of 30 or less).

BOX 2.1

The Gini is the basis of the World Bank measure of high inequality

The World Bank tracks the number of economies with a Gini index greater than 40 as one of two indicators of shared prosperity, thereby providing a simple and widely comparable measure of the number of economies with high inequality (refer to annex 2A).

The Gini index summarizes the distribution of welfare within an economy on a scale from 0 (a society in which everyone has the same income or welfare, that is, a society with perfect equality) to 100 (a society in which one person has all the income, that is, a society with perfect inequality). The Gini is one of the most familiar measures of inequality. It has a long history of use and recognition among the widest audience, and it satisfies standard axioms for inequality measures (Haddad et al. 2024). Most alternative inequality measures are also highly correlated with the Gini index, meaning that conclusions drawn from the Gini are unlikely to differ substantially from findings based on other commonly used measures (Haddad et al. 2024).

There are no universally recognized standards for defining high levels of inequality. In the absence of predefined standards, the World Bank has chosen a Gini index of 40 as the threshold of high inequality. An economy with a Gini

(continued)

BOX 2.1

The Gini is the basis of the World Bank measure of high inequality *(continued)*

above 40 is thus regarded as a high-inequality economy. This threshold was selected on the basis of several considerations, as follows. United Nations reports have long used this value to define high inequality; it separates approximately the top third of all Gini indexes observed across economies globally in 2000–22 from the bottom two-thirds; and expert consultations within the World Bank in 2024 found that the median expert regarded a Gini index greater than 40 to be an indicator of high inequality if consumption-based measures of inequality were used (Haddad et al. 2024).

The Gini index is calculated from household survey data. Such data are associated with several well-documented measurement limitations (refer to annex 2B). Four limitations matter most for purposes of this chapter. First, the Gini index is based on either consumption or income depending on the type of survey in each economy. Consumption-based values are systematically lower. Given that economies in Latin America and the Caribbean rely on income-based measures, while economies in Sub-Saharan Africa predominantly use consumption-based measures, part of the measured gap between the two regions reflects the welfare concept rather than the underlying distribution. Adjusting all economies to an income basis would lead to a classification of more economies as highly unequal. Most of these economies would be in Sub-Saharan Africa. This would mean that Sub-Saharan Africa is more unequal, on average, than Latin America and the Caribbean, which would reverse what unadjusted survey data suggest (Deudibe et al. 2026) (refer to annex 2B). Second, surveys underestimate the incomes at the top of the distribution. So, the true level of inequality is likely higher than the measurements indicate, and part of the observed decline could reflect growing difficulty in capturing top incomes as economies develop. Third, trends in income or consumption inequality may not align with trends in wealth inequality, which has risen in most economies since the 1990s even in cases in which income inequality has declined (Disslbacher et al. 2026). Fourth, welfare is measured at the household level, which assumes that income or consumption is shared equally among household members. Evidence on allocation by sex and age indicates that this is not so (Doss 1996; World Bank 2018). Measured inequality therefore understates inequality across individuals, and the understatement is not uniform across economies.

Map 2.1 reveals a striking geographic concentration. High-inequality economies are clustered predominantly in two regions: Latin America and the Caribbean and Sub-Saharan Africa. In contrast, the Europe and Central Asia region and South Asia exhibit predominantly low or moderate inequality. This regional pattern has been resistant to change over the past two and a half decades. There are important methodological caveats in making this global comparison (refer to box 2.1 and annex 2B). In particular, the data combine Gini indexes measured in terms of income and consumption, which is a function of the survey practice across economies. Inequality in income tends to be greater than inequality in consumption, and this may affect relative economy rankings.

BOX 2.2

Tracking high inequality beyond the index threshold of 40

Identifying economies with values above a threshold on a particular measure offers simple, compelling messaging. The meaning of the sentence, 42 economies remain highly unequal, is more readily understandable than the sentence, the global unweighted mean Gini index is 37. But a threshold-based metric has limitations. First, it can obscure progress. A Gini index that has been reduced from 55 to 45 demonstrates that substantial progress has been achieved in reducing inequality even though the country might still be classified as highly unequal. Second, it can amplify the noise near the threshold. Small measurement changes or survey comparability issues can cause economies to switch classifications without any meaningful underlying change.

To tell a more complete story, this chapter uses two complementary approaches. First, the chapter reports on threshold-based counts, such as the number of economies for which the Gini indexes are above 40 and the share of the global population living in high-inequality economies. Second, the chapter examines the level of the Gini index itself.

Figure B2.2.1 shows that the decline in the share of economies exhibiting high inequality is robust to small adjustments around a Gini index of 40. The figure divides economies into four groups: those with Gini indexes of at least 38 and no greater than 40, those with values above 40 and no greater than 42, those with values greater than 42, and those with values less than 38. (Note that 38 and 42 represent plus or minus 5 percent of 40.) The share of economies with Gini indexes greater than 42 fell from 34 percent in 2000 to 19 percent in 2024, and the share with Gini indexes less than 38 rose from 49 percent to 63 percent.

(continued)

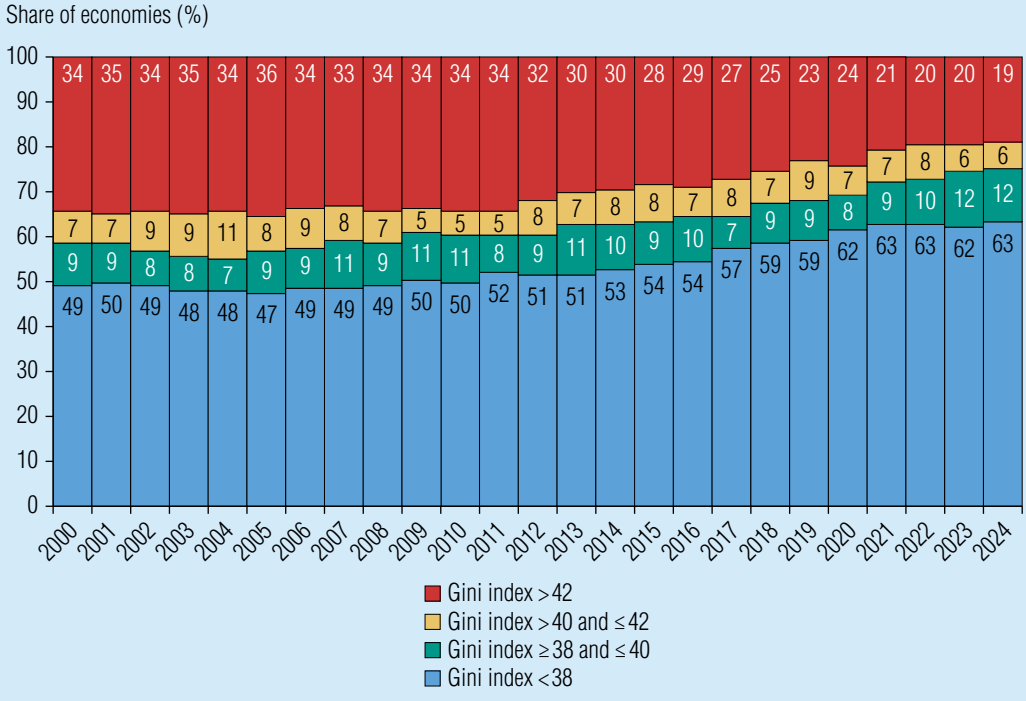
BOX 2.2

Tracking high inequality beyond the index threshold of 40 *(continued)*

The composition of the two bands immediately around the threshold (Gini indexes of 38–40 and 40–42) remained relatively stable throughout the period (2000–24), suggesting that marginal cases clustering near the cutoff were not driving the overall trend.

FIGURE B2.2.1

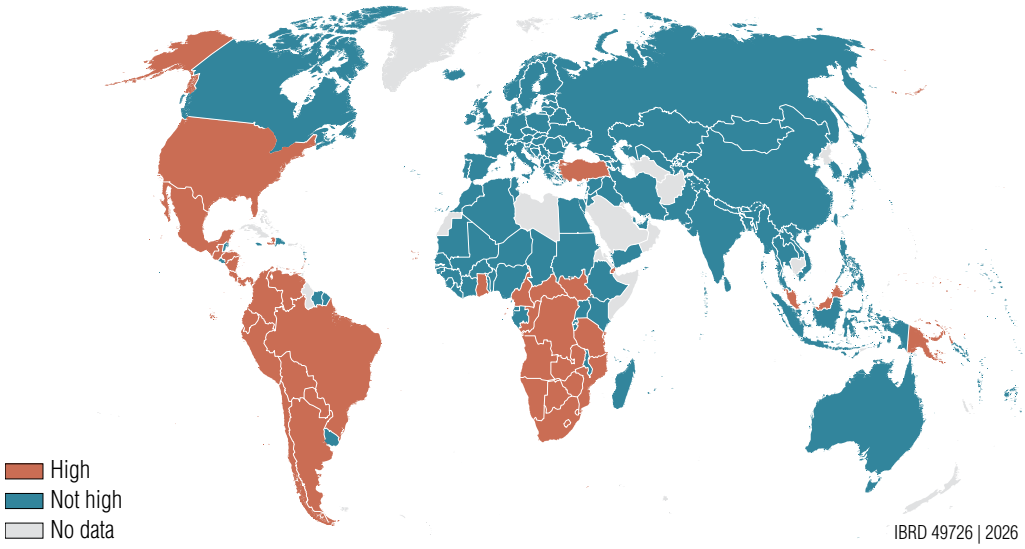
Small changes in Gini indexes around the high-inequality threshold did not drive the decline in the number of economies with high inequality



Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: If no survey is available for a particular economy in a given year, data are used from the most recent survey in that economy prior to the given year. To avoid missing values, data from the earliest survey in an economy are backcasted if the first available survey is after 2000. The figure covers 169 economies for which data are available from at least one household survey collected from the Poverty and Inequality Platform between 2000 and 2024. The label values may not sum exactly to 100 percent because of rounding.

MAP 2.1

High-inequality economies in 2024 were predominantly located in Latin America and the Caribbean and in Sub-Saharan Africa



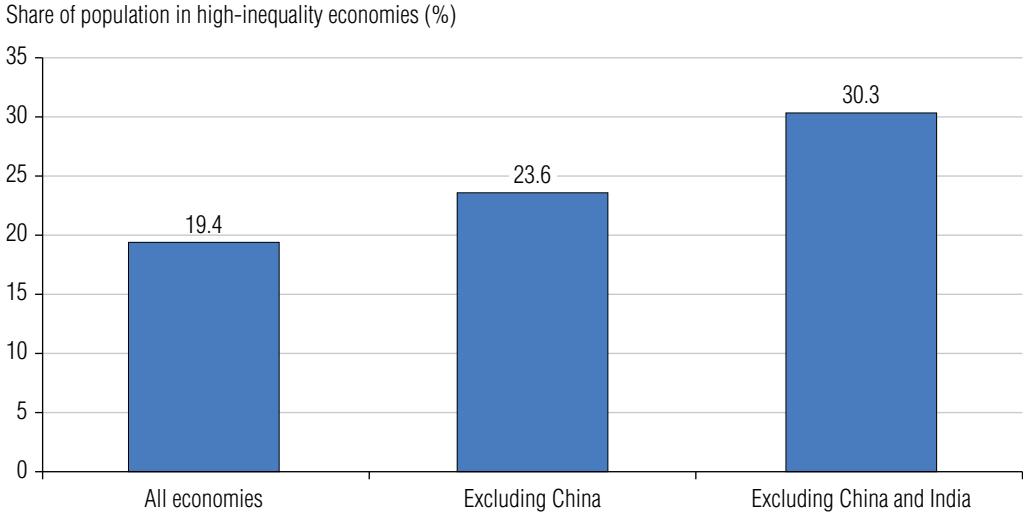
Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: High-inequality economies are defined as economies for which the Gini indexes are above 40. The latest available survey (after 2000) is used for each economy. Depending on availability and the survey practice within economies, the Gini index refers to income or consumption.

At least one in five people are living in economies classified as highly unequal

Counting economies tells only part of the story. A focus on people rather than economies reveals that, in 2024, one in five people globally, approximately 1.6 billion people, were living in economies in the high-inequality classification (refer to figure 2.1). Because the indicator classifies economies rather than people, the global population share is sensitive to the classification of populous economies. Specifically, China and India have large populations, but are not classified as highly unequal economies. If China is excluded from the calculation, the share of people living in high-inequality economies in the remainder of the world increases to about one in four, and, if India is also excluded, nearly one in three people in the remainder of the world were living in such economies in 2024.[2]

FIGURE 2.1

The demographic weight of China and India masked the prevalence of high inequality in 2024



Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: High-inequality economies are defined as economies for which the Gini indexes are above 40. The latest available survey (after 2000) is used for each economy.

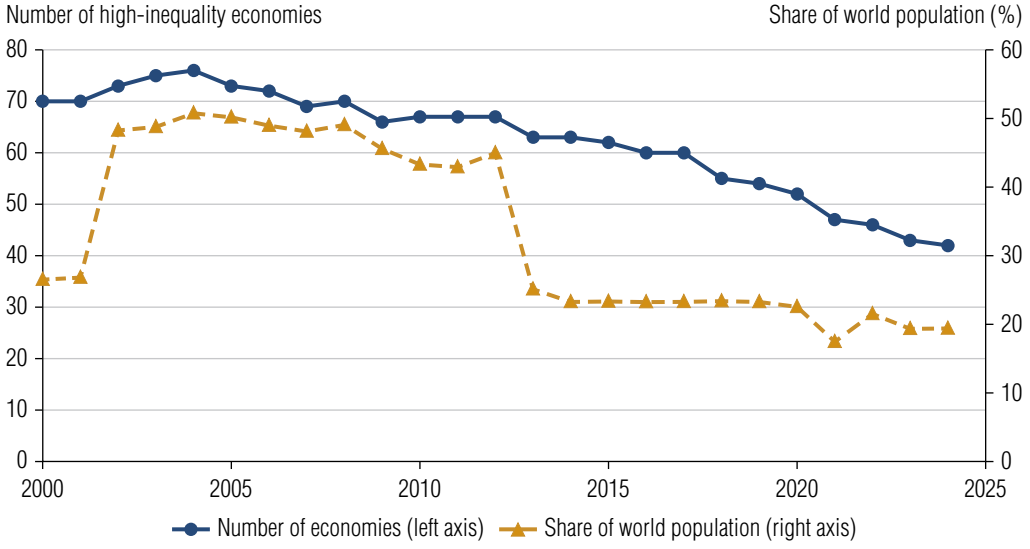
The number of high-inequality economies has fallen by more than one-third since 2000

The status of inequality today reflects the accumulation of decades of movement of economies in and out of the high-inequality classification. The number of high-inequality economies has fallen substantially over the past two and a half decades (refer to figure 2.2). In 2000, the Gini index was above 40 in 70 economies worldwide. The count rose in the early 2000s, peaking at 76 in 2004, before declining steadily thereafter. By 2024, the count had declined to 42, a reduction of more than one-third from the number in 2000.

While the number of high-inequality economies fell by more than a third in 2000–24, the share of the world's population living in such economies has remained near 20 percent since 2013 (refer to figure 2.2). The steep decline from roughly 50 percent in the early 2000s to 25 percent by 2013 (and, similarly, the steep increase in 2002) was driven almost entirely by China. The shift of China to below (above) the threshold moved more than a billion people out of (into) the high-inequality population count in a single step.

FIGURE 2.2

The number of economies with high inequality has decreased since 2000



Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: High-inequality economies are defined as economies for which the Gini indexes are above 40. If no survey is available for a particular economy in a given year, data are used from the most recent survey in that economy prior to the given year. To ensure a balanced sample, data from the earliest survey in an economy are backcasted if the first available survey is after 2000.

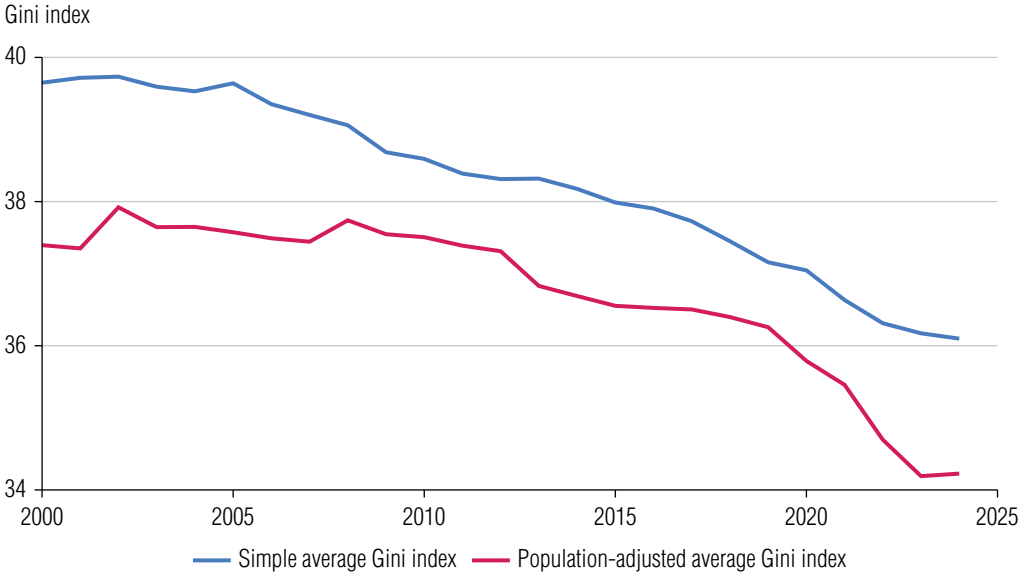
The decline in the number of high-inequality economies is measured using the welfare concept available in each economy, that is, by combining consumption-based and income-based Gini indexes. Such differences in welfare concepts affect measured inequality and thus the number of economies that are classified as highly unequal, particularly because consumption-based measures typically yield lower Gini index values relative to income-based measures. However, economies generally rely on a consistent welfare concept over time. So, the observed decline is not driven by systematic swapping between income- and consumption-based measurement. Deudibe et al. (2026) show that expressing consumption distributions on a comparable income basis would raise measured inequality and increase the number of economies classified as highly unequal, particularly in Sub-Saharan Africa (refer to annex 2B).

Average inequality has declined since the mid-2000s, whether economies or people are counted

Beyond the fall in the number of high-inequality economies, the average Gini index also improved (refer to box 2.2). There are at least two ways to view the Gini index across economies: the simple average across economies without taking population size into account (the simple average) or an average accounting for population size (the population-adjusted average). In either case, the average Gini index has declined substantially since the mid-2000s (refer to figure 2.3).

FIGURE 2.3

There was a general decline in average inequality across economies



Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: If no survey is available for a particular economy in a given year, data are used from the most recent survey in that economy prior to the given year. To avoid missing values, data from the earliest survey in an economy are backcasted if the first available survey is after 2000. The figure covers 169 economies for which data are available from at least one household survey collected from the Poverty and Inequality Platform between 2000 and 2024.

This is consistent with the trend in the number of economies and the number of people living in high-inequality economies.

The simple average Gini index was relatively stable at between 39 and 40 from 2000 through 2005, then declined to about 36 by 2024. The population-adjusted average Gini index shows a slightly different pattern. It was stable at between 37 and 38 from 2000 to 2013, then fell to about 34 by 2024. This reflects the influence of large, populous economies in the global distribution. During the earlier period, rising inequality in economies, such as China, offset declines elsewhere, while, during the later period, declining inequality in the same economies (such as China) contributed to a fall in the population-adjusted average.

The gap between the simple and population-adjusted average Gini indexes narrowed from 2000 until roughly the end of the decade. The gap between the two means remained relatively stable for much of the 2010s until approximately the start of the COVID-19 pandemic. The simple average Gini index remained consistently above the population-adjusted average because small high-inequality economies receive the same weight as large economies in the simple average, but exert little weight in the population-adjusted series. The early narrowing suggests that some reduction occurred in the influence of smaller high-inequality economies, while the generally parallel movement thereafter indicates that inequality was not skewed by country population.

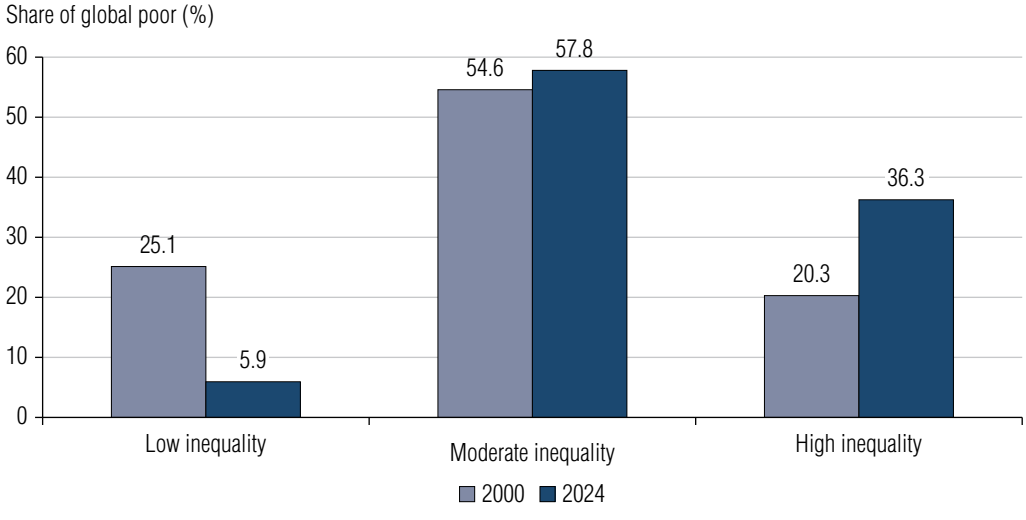
The share of the global extreme poor living in high-inequality economies nearly doubled in 2000–24

The World Bank goals of ending extreme poverty and boosting shared prosperity are intertwined. The global poor are increasingly concentrated in highly unequal economies. Between 2000 and 2024, the share of the extreme poor—that is, people living on less than $3.00 a day—in high-inequality economies nearly doubled, from about a fifth to about two-fifths (refer to figure 2.4). Over the same period, the share of the poor in low-inequality economies fell from roughly a quarter to under 6 percent, while the share in moderate-inequality economies remained stable at roughly more than half the global poor population.

The shift reflects two dynamic factors: the movement of some economies out of the high-inequality category and slower poverty reduction in the economies that remained in it. First, in several economies, rapid poverty reduction was accompanied by declining inequality, and the economies were no longer in the high-inequality category. China is the clearest example. The Gini index in China fell below 40 in 2013, and this transition coincided with an exceptionally large reduction in poverty. This meant that the number of poor people living in high-inequality economies overall declined sharply (World Bank and DRC 2022). Second, many economies

FIGURE 2.4

The ratio of the poor in low-inequality economies to the poor in high-inequality economies fell from slightly more than 1:1 in 2000 to about 1:6 in 2024



Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: Poverty is measured at the $3.00-a-person-a-day international poverty line (in 2021 purchasing power parity terms). High inequality: Gini index greater than 40. Moderate inequality: Gini index greater than 30 and up to 40 (inclusive). Low inequality: Gini index 30 or less. If no survey data are available for 2000 or 2024, data from the most recent survey year prior to 2000 or 2024 are used.

that remained above the high-inequality threshold throughout the period (concentrated in Sub-Saharan Africa) showed much slower poverty reduction or stagnant poverty rates (refer to chapter 1).

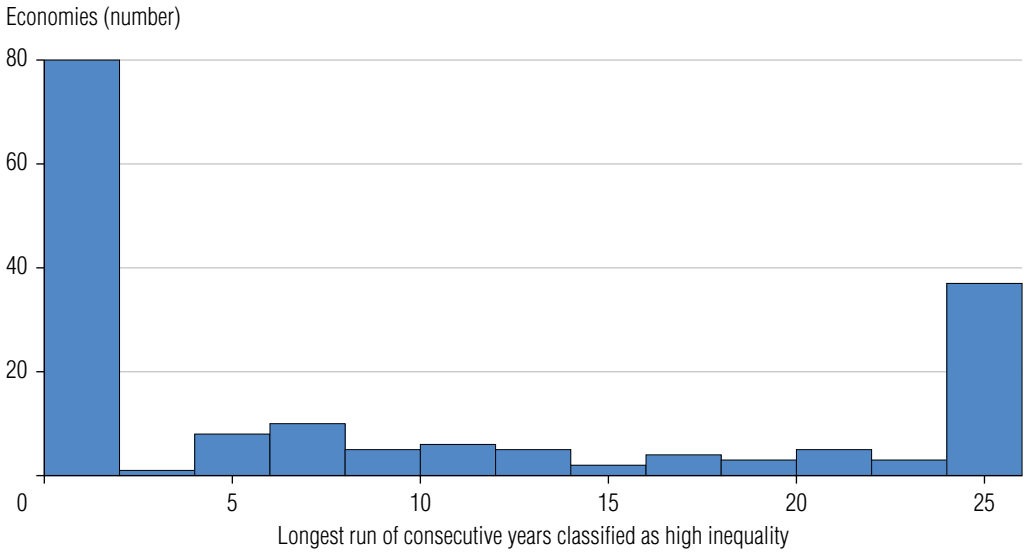
Together, these trends mean that extreme poverty has become increasingly concentrated in economies in which inequality is high, even as the global population share of the extreme poor has shrunk. In 2000, the number of the extreme poor living in high-inequality economies was roughly matched by the number living in low-inequality economies. By 2024, more than six of the extreme poor were living in a high-inequality economy for every one person living in a low-inequality economy. The pattern is consistent with the more rapid progress in poverty reduction in economies with lower measured inequality, while also reflecting the passage of economies across the high-inequality threshold.

The stickiness: Once inequality is high, it remains high for decades

In many economies, high inequality is not transitory, but chronic. The spell length of high inequality, that is, the duration of the high-inequality status of a particular economy, is defined here as the longest run of consecutive years within the 2000–24 window in which the Gini index for the economy was above 40. The distribution of spell lengths across the sample

FIGURE 2.5

High inequality is bimodal: The spell length was either zero years or 25 years among most economies in 2000–24



Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: Spell length represents the longest run of consecutive years in 2000–24 in which an economy exhibited a Gini index above 40. A spell length of 25 therefore indicates an economy with high-inequality status throughout the period, while a spell length of 0 indicates that the economy never had a Gini index above 40 during the period. The figure covers 169 economies for which data are available from at least one household survey collected from the Poverty and Inequality Platform between 2000 and 2024.

of economies reveals two main distinct sets of economies (refer to figure 2.5).[3] One set consists of 79 economies with a spell length of zero, that is, they never experienced high inequality during the period. The other set consists of 37 economies that remained above the high-inequality threshold for all 25 years, thereby registering the maximum spell length. Between these poles lies a notably thin middle. Few economies spent between 5 and 20 years in high-inequality status.

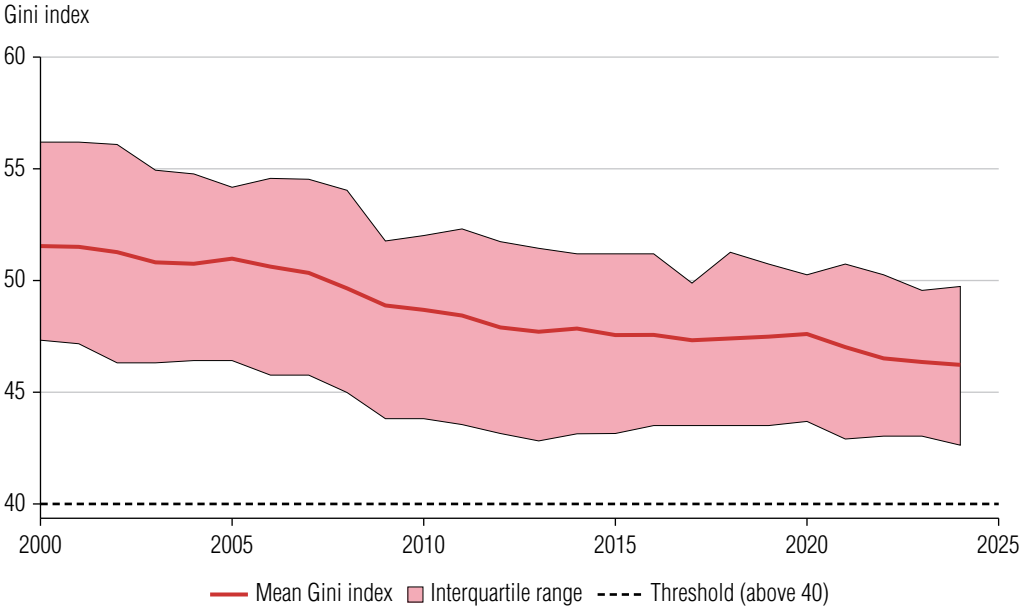
Silver lining: Progress among persistently high-inequality economies

The stickiness in 2000–24 does not mean there was no progress among the persistently high-inequality group. Among the 37 economies that remained above the high-inequality threshold throughout 2000–24, the average Gini index (not accounting for population size) fell from approximately 51 to approximately 46, a reduction of 5 Gini points (refer to figure 2.6).[4]

The decline in the average Gini was broad-based: The average Gini value among economies that were more unequal than 75 percent of the high-inequality economies fell from about

FIGURE 2.6

The trend among economies with persistent Gini indexes above 40 was downward in 2000–24



Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: The figure reports the average Gini index across economies without taking population into account. High inequality is defined as a Gini index above 40. The shaded area represents the interquartile range (25th to 75th percentiles). If no survey is available for a particular economy in a given year, data are used from the most recent survey in that economy prior to the given year. To avoid missing values, data from the earliest survey in an economy are backcasted if the first available survey is after 2000. The figure covers 37 economies exhibiting Gini indexes above 40 throughout 2000–24.

56 to about 50, and the average value among economies that were more unequal than only 25 percent of these economies fell from roughly 47 to roughly 43. By 2024, the Gini value in an economy at the 25th percentile was only 3 points above the threshold of 40, indicating that the lower end of the persistently high-inequality group had moved much closer to the exit point of the high-inequality category in the intervening years since 2000. This is consistent with the ongoing decline in the overall number of high-inequality economies, which fell from 62 in 2015 to 52 in 2020 and then to 42 in 2024. Even many economies that remain classified as highly unequal have thus continued to make gradual progress toward lower inequality.

This progress represents an important caveat in any consideration of the count of high-inequality economies, which is a headline indicator that tracks shared prosperity. An economy with a Gini index that declines from 55 to 45 has made substantial progress in reducing inequality, but contributes identically to the headline count as an economy that has stagnated at a Gini index of 55 (refer to box 2.2). Taken together, figures 2.5 and 2.6 tell a more complete story than the count alone. The global stock of high-inequality economies is shrinking slowly, and the economies that remain high in inequality are also making real progress toward exiting high-inequality status, even if the progress is not yet sufficient to exit (Alvaredo et al. 2026).

The Global Prosperity Gap has been closing but remains wide

The Gini index is an indicator of the distribution of welfare within a population. However, it does not offer insights into the overall level of welfare among the population. Meanwhile, extreme poverty measures the extent to which a population is deprived of basic needs (refer to chapter 1), but yields no information on whether people are living only slightly above a specific poverty threshold or are experiencing a comfortable level of welfare. In 2024, for instance, Mexico and the United States had similar Gini indexes: 42.6 and 41.8, respectively. Extreme poverty had also been all but eradicated in both economies, at 1.7 percent in Mexico and 1.1 percent in the United States. Nonetheless, despite the similarities in the scores across the two metrics, the average level of welfare among the populations of the two economies differed substantially. In 2024, the average daily income per person amounted to $96.00 in the United States, almost five times the $20.00 average daily income per person in Mexico (both measured in 2021 PPP terms).

The Prosperity Gap combines information on the level and on the distribution of welfare. It offers insights into the depth of vulnerability in a population and the status of households within the same population with respect to secure, resilient living standards. It accomplishes this by measuring the amount of income required among a population to reach an average, globally defined level of prosperity. The global prosperity standard is set at $28.00-a-person-a-day (in 2021 PPP terms), which is the income of a typical person living in a country at the threshold of high-income status (refer to box 2.3).[5]

BOX 2.3

The Global Prosperity Gap measures inequality and the level of welfare

The Global Prosperity Gap is one of two measures the World Bank uses to track shared prosperity. The Prosperity Gap represents the number of times an average person's income would need to be multiplied to reach a globally defined prosperity standard of $28.00-a-person-a-day (in 2021 purchasing power parity [PPP] terms). It is the average of these values among all individuals across the world. The Prosperity Gap measure therefore captures both the level of income in a population of interest and the level of inequality (Kraay et al. 2023). It is defined as follows:

$$PG = \frac{1}{N}\sum_{i=1}^{N}\frac{z}{y_i}, \qquad \text{(B2.3.1)}$$

where z is the prosperity standard; y_i is the welfare of individual i; and $i = 1, \ldots, N$ indexes the N people living in the population of interest (for the Global Prosperity Gap, this would be the entire population of the world).

An individual experiencing a welfare level above (below) the $28.00-a-person-a-day standard would be associated with an individual Prosperity Gap below (above) a value of 1. The threshold of $28.00 reflects the income of a typical person living in an economy graduating from middle-income to high-income status. Seeking to raise everyone in the world to this level of prosperity is a substantially more ambitious target than seeking to support everyone in meeting or exceeding the poverty lines for low-income, lower-middle-income, and upper-middle-income economies—that is, $3.00-, $4.20-, and $8.30-a-person-a-day, respectively (in 2021 PPP terms)—which are used to assess global progress (refer to chapter 1).

The World Bank introduced the Global Prosperity Gap in 2023 as a vision indicator to measure progress toward the World Bank's vision and mission of ending extreme poverty and boosting shared prosperity on a livable planet. The measure was developed to address several issues. First, the Prosperity Gap can be aggregated across economies to provide regional or global estimates of shared prosperity. This ability to aggregate and decompose the measure facilitates valuable insights on progress in shared prosperity across, for example, regions or demographic groups. Second, the Prosperity Gap assigns greater importance to the bottom of the income distribution, thereby emphasizing the part of the population of greatest importance to the World Bank mission.[a] Third, while other measures, including the growth of the bottom 40 percent of the welfare distribution, require at least two rounds of comparable

(continued)

BOX 2.3

The Global Prosperity Gap measures inequality and the level of welfare *(continued)*

data over a specific time frame, the Prosperity Gap can be measured based on a single representative survey, thereby allowing for timelier monitoring on shared prosperity even in economies for which data are limited. Changes in the growth of the bottom 40 percent nonetheless align closely with changes in the Prosperity Gap. So, the new measure preserves comparability with the World Bank's previous shared prosperity indicator (World Bank 2024).

a. The Prosperity Gap is pro-poor in the sense that the contribution to the measure increases proportionally to the reduction in income. For example, consider a person living on $7.00 a day and another on $14.00 a day. Their Prosperity Gaps are 4 and 2, respectively, meaning that the person with half the income contributes twice as much to the average Prosperity Gap of society. Similarly, people living below the prosperity standard ($28.00 a day) contribute relatively more than people living above the prosperity standard. For instance, consider two individuals, one living on $18.00 and another living on $38.00 a day. Both have welfare that is $10.00 from the prosperity standard. However, the Prosperity Gap of this two-person economy is 1.1, not 1, showcasing the pro-poor nature of the measure.

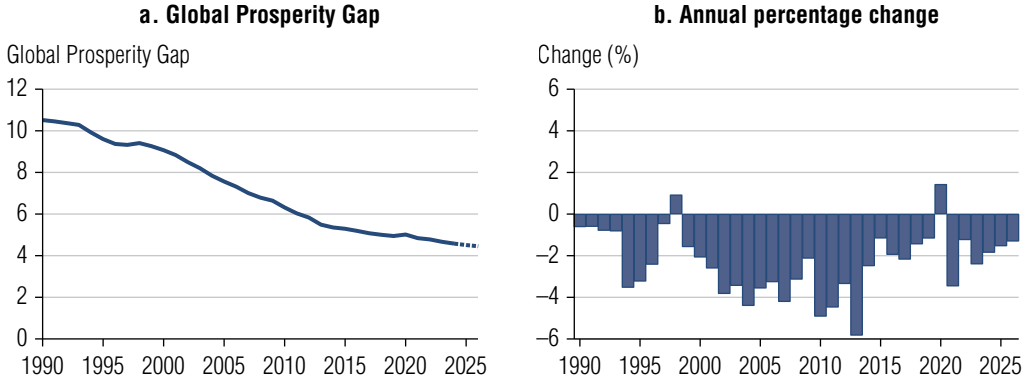
The Global Prosperity Gap has narrowed by more than half since 1990

Significant progress has been made since 1990 in closing the Global Prosperity Gap. Starting from a level of 10.5 in 1990, the gap was cut by more than half during the following two and a half decades and reached 4.5 in 2026. Improvements were most prominent until 2013, when the Global Prosperity Gap stood at 5.5 (refer to figure 2.7, panel a). Although the Prosperity Gap has continued to narrow since then, it has done so at a slowing rate, with annual improvements of approximately 1.2 percent during the latest decade (refer to figure 2.7, panel b). The 2026 gap of 4.5 means that incomes would, on average, need to be multiplied by a factor of 4.5 to lift everyone in the world to the prosperity standard of $28.00-a-person-a-day.

Because the Prosperity Gap reflects both inequality and the level of welfare within a population, changes in either or both components may drive changes in the gap over time. These changes may be decomposed between inequality effects and welfare effects to gain insight into the drivers of the changes over a period (World Bank 2024). Figure 2.8 shows the average annual change in the Global Prosperity Gap in each period, decomposed into these two factors. Growth in welfare has contributed to closing the Global Prosperity Gap in every decade since 1990, and its contribution has grown since 2000. Since 2020, it has been the sole driver of the decline.

FIGURE 2.7

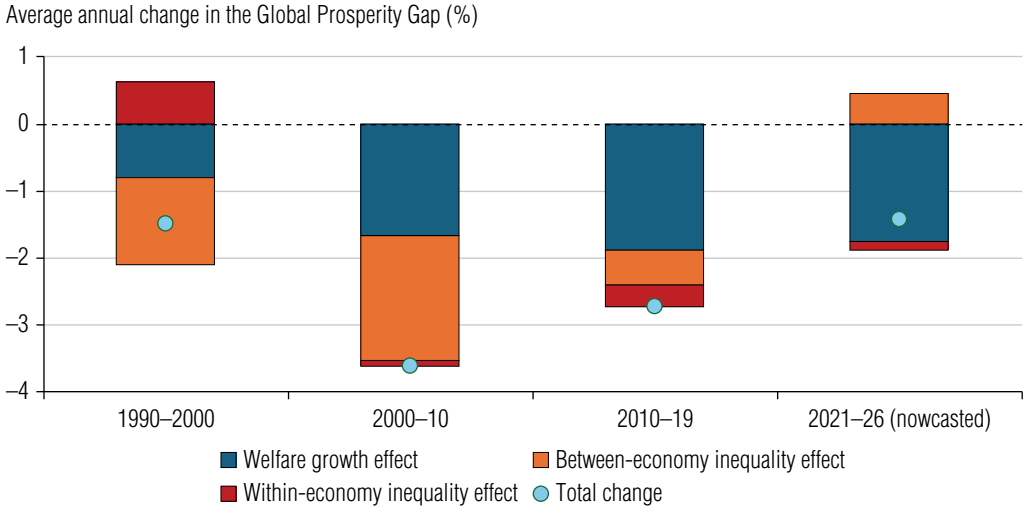
The Global Prosperity Gap has declined from 10.5 in 1990 to 4.5 in 2026



Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: The dashed line at 2025–26 indicates nowcasted values.

FIGURE 2.8

Welfare growth and narrowing inequality are drivers of the decline in the Global Prosperity Gap



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: The decomposition in the figure follows the methodology described in Kraay et al. (2023). A decrease in the Prosperity Gap is an improvement in welfare. Positive growth in welfare decreases (improves) the Prosperity Gap. The figure thus illustrates the contribution of growth as the negative of mean growth, that is, across all periods shown, welfare growth was positive. This is displayed as a negative contribution. Inequality is measured using the inequality measure related to the Prosperity Gap. The change in total inequality is the sum of changes in between-economy and within-economy inequality. The year 2020 is excluded because of the impact of COVID-19 on economic growth during that year. The decomposition in the 2010s therefore relies on data from 2010–19, whereas the decomposition of the 2020s relies on data from 2021–26. Estimates for 2025 and 2026 are based on nowcasted numbers of the Poverty and Inequality Platform.

The role of inequality may be separated into inequality between economies and inequality within economies (Bourguignon and Morrisson 2002; Lakner and Milanović 2016). Declines in inequality between economies have contributed substantially to the narrowing of the Global Prosperity Gap because more populous poorer economies have experienced years of growth rates above the global average, thus closing the gap between poor and rich economies. The growth experiences of China and other economies in the East Asia and Pacific region in particular have driven this pattern (Bussolo et al. 2012; Mahler et al. 2022).[6] Changes in inequality levels within economies have contributed both positively and negatively to the narrowing of the Global Prosperity Gap in recent decades.

The declining trend in the Global Prosperity Gap since 1990 can be divided into two main periods. In the decades up to 2010, average welfare across all economies and in the poorest economies was catching up relative to the average welfare in richer economies (declining between-economy inequality), contributing to a narrowing Global Prosperity Gap. However, within-economy inequality also widened during this period, that is, the richer parts of the population within economies grew at more rapid rates relative to the poorer parts of the population, which hindered additional narrowing in the gap. Since 2010, however, welfare growth has been the predominant driver of reductions in the gap. The contribution to the reduction in the gap has been small from poorer economies catching up to richer economies (which would show up as a reduction in between-economy inequality) and from poorer individuals within economies catching up to richer individuals in the same economies (which would show up as a reduction in within-economy inequality). This is despite the substantial decline in the number of economies considered as high-inequality economies during this period (refer to figure 2.2). Indeed, since 2021, between-economy inequality has driven the widening in the Global Prosperity Gap for the first time. This may be linked to the uneven recovery from COVID-19 whereby advanced economies have managed to rebound strongly, but many emerging markets and developing economies are still struggling to regain lost ground (Kose et al. 2026).

Progress toward shared prosperity has varied across regions

The simplicity of the Prosperity Gap facilitates its usefulness in multiple types of analysis. In addition to the decomposition described above, the gap may easily be aggregated and disaggregated across different subpopulations within a particular population. For example, population-adjusted averages of national Prosperity Gaps provide regional Prosperity Gaps, which again may be averaged into the Global Prosperity Gap.

Disaggregating the trends in the Global Prosperity Gap by region makes evident that positive developments in the East Asia and Pacific region largely account for narrowing in the global gap since 1990 (refer to figure 2.9, panel a). During the period, the Prosperity Gap in the region narrowed from the second widest in the world to one of the narrowest, behind only the North America region and the Europe and Central Asia region. In 1990, the East Asia and Pacific region accounted for half the Global Prosperity Gap (refer to figure 2.9, panel b).

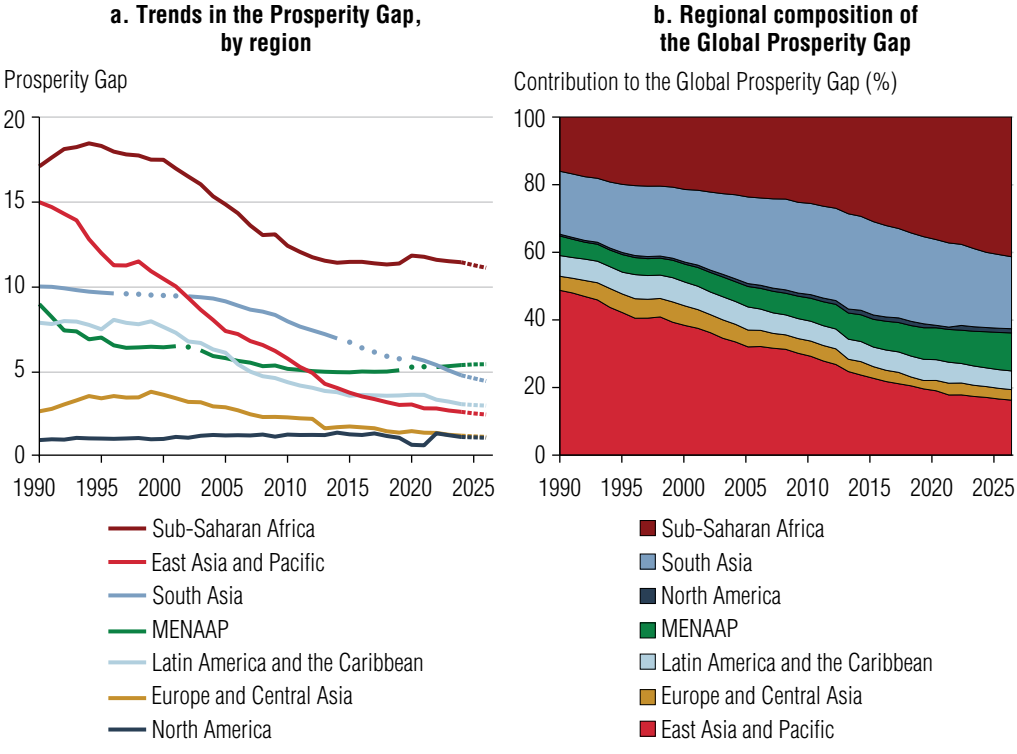
Since then, the average Prosperity Gap in East Asia and Pacific has narrowed by more than 80 percent, from 15.0 in 1990 to 2.5 in 2026.

Throughout the period, Sub-Saharan Africa has had the highest regional Prosperity Gap, despite a narrowing from 17.1 in 1990 to 11.1 in 2026. In 1990, the average Prosperity Gap was only slightly larger in Sub-Saharan Africa than in East Asia and Pacific. In addition to exhibiting the widest regional Prosperity Gap in 2026, Sub-Saharan Africa accounts for 41 percent of the Global Prosperity Gap.

Although Latin America and the Caribbean has consistently been the region with the greatest inequality, progress toward closing the Prosperity Gap has been substantial (Alvaredo et al. 2023). Other regions, such as Europe and Central Asia, as well as North America, have had persistently narrow regional Prosperity Gaps throughout the period. This

FIGURE 2.9

The world's regions have shown great diversity in closing regional Prosperity Gaps



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: Panel a: Dots within lines indicate that less than 50 percent of the population in the region depicted was covered by a survey in or around the associated year. The dashed lines at 2025–26 indicate nowcasted values. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

is because high-income economies feature heavily in these latter regions, and the prosperity standard by which the Prosperity Gap is defined is the income of a typical person in an economy transitioning into the high-income classification. The high average welfare in these regions thereby ensures narrow regional Prosperity Gaps, irrespective of the levels of inequality in the regions. The Middle East, North Africa, Afghanistan, and Pakistan region stands out for its lack of recent progress. Its regional Prosperity Gap has hovered around 5 since 2015, making it the only region other than Sub-Saharan Africa where the past decade brought essentially no improvement (refer to figure 2.9, panel a).

Although all regions have experienced progress in narrowing the Prosperity Gap, this does not mean all economies have made progress. Indeed, in 1990–2026, the Prosperity Gap widened in 18 economies, representing approximately 10 percent of all economies and home to around 10 percent of the global population. Most of these are in Sub-Saharan Africa (where the gap increased in 6 of 48 economies), Europe and Central Asia (an increase in 5 of 48 economies), and MENAAP (an increase in 4 of 17 economies).

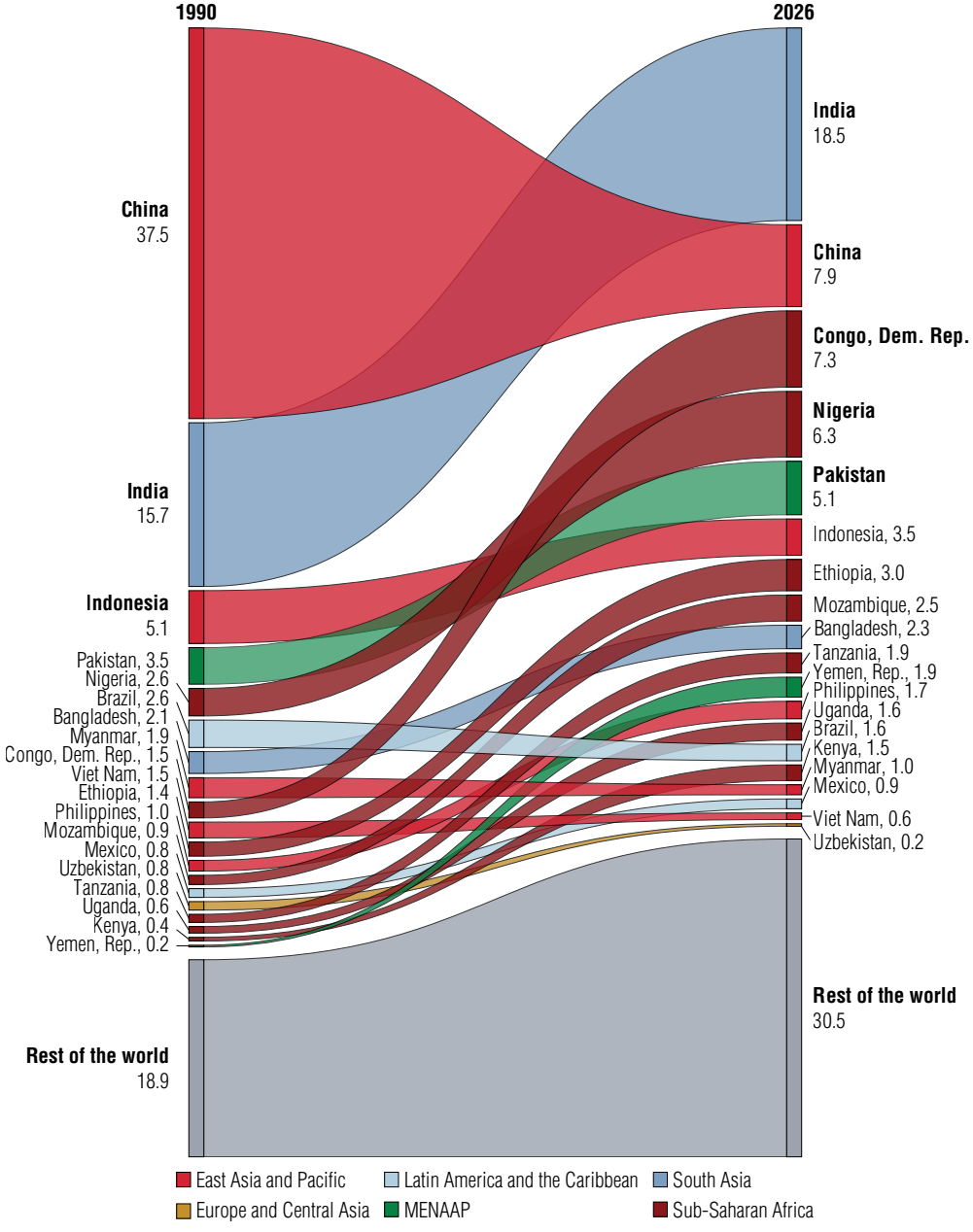
The gap in global prosperity has been concentrated in a few regions throughout the period, although the composition has changed. As of 2026, South Asia and Sub-Saharan Africa together accounted for 62.8 percent of the gap, but only 37.0 percent of the global population. In 1990, the size of the population and the average income meant that China dominated in the Global Prosperity Gap (refer to figure 2.10). China alone accounted for 37.5 percent of the global gap. Together, China and India accounted for more than half the global gap in 1990. However, following China's substantial economic progress since then, the share of China in the global gap has declined substantially. In 2026, seven economies accounted for more than half the global gap (India, China, the Democratic Republic of Congo, Nigeria, Pakistan, Indonesia, and Ethiopia, in order of the size of the contribution). Despite the significant progress toward the eradication of extreme poverty (refer to chapter 1), India still weighs heavily in the global gap. Of the 10 economies that contribute the most to the global gap relative to population size, 9 are in Sub-Saharan Africa.[7] The tenth is the Republic of Yemen. These 10 economies account for 15.7 percent of the global gap, but are home to only 3.6 percent of the global population.

Beyond national numbers: The subnational variations

As the availability and quality of the data improve, more highly granular estimates of many measures, including the Prosperity Gap, become possible. This not only provides better information on the reach of development issues, but also enables policies and interventions to be targeted more effectively. Map 2.2 provides insights on subnational Prosperity Gaps in economies in which subnational data are accessible.

FIGURE 2.10

The Global Prosperity Gap is shifting southward and spreading across more economies

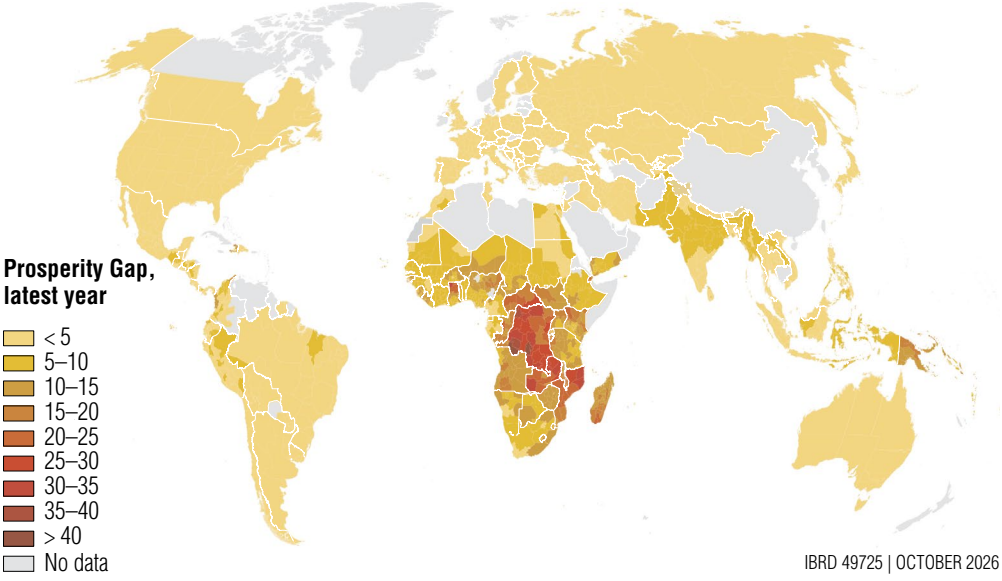


Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The width of the ribbon shows the economy's share of the Global Prosperity Gap in a given year. The vertical position shows the economy's rank as a contributor to the Global Prosperity Gap in a given year. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

MAP 2.2

Subnational Prosperity Gaps show substantial variation within economies

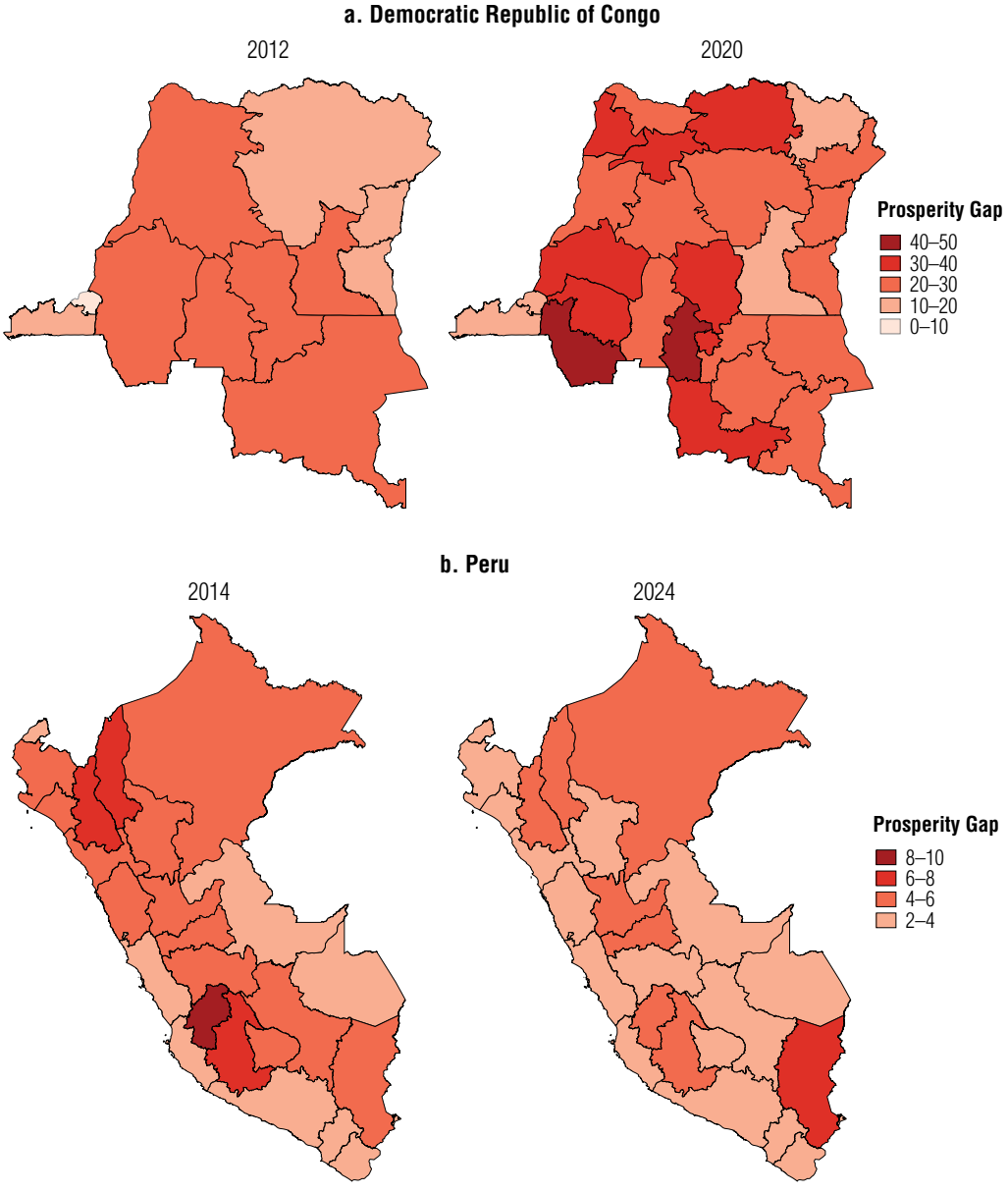


Source: World Bank calculations based on data from the Global Subnational Atlas of Poverty, Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/map.
Note: The map shows subnational Prosperity Gaps estimated based on the most recent available data on each economy. It does not include economies for which no subnational poverty estimates are available.

Map 2.3 illustrates insights on recent trends in subnational Prosperity Gaps in the Democratic Republic of Congo and Peru. The subnational data indicate that Prosperity Gaps tend to be wider in areas of economies that are more distant from coastlines, particularly in Sub-Saharan Africa. The Democratic Republic of Congo is one of six Sub-Saharan African economies in which the average Prosperity Gap has widened since 1990, including during the most recent decade. In 2012, the average Prosperity Gap within the country was 22.8, but it had increased to 26.0 by 2020 (refer to map 2.3, panel a). However, not all parts of the country contributed to this increase. In some areas, the average Prosperity Gap narrowed during the same period. In contrast, Peru made progress in closing the Prosperity Gap during the most recent decade for which data are available. In 2014, the average Prosperity Gap in the country was 3.9; it had fallen to 3.5 by 2024, a decade later (refer to map 2.3, panel b). However, not all areas of the country experienced improvements. The Prosperity Gap widened in some parts of the country.

MAP 2.3

The Prosperity Gap has evolved in different ways in two selected economies



Source: World Bank calculations based on data from the Global Subnational Atlas of Poverty, Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/map.

Note: Subregional granularity may eventually improve. This has been the case for the data on the Democratic Republic of Congo. The 2012 map is based on data on administrative division 1. The 2020 map is based on data on administrative division 2.

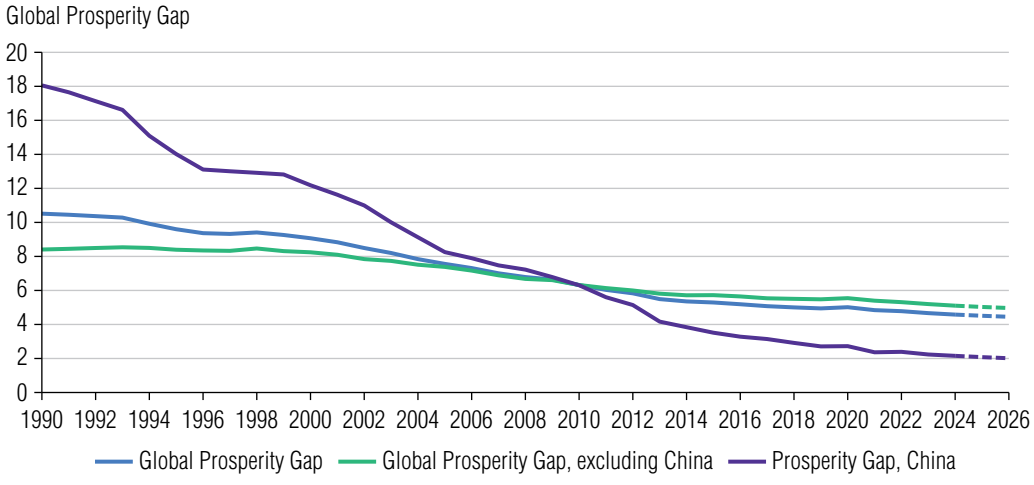
Why has the Prosperity Gap been narrowed in East Asia and Pacific, but not in Sub-Saharan Africa?

The economies of the East Asia and Pacific region have achieved remarkable progress in narrowing the Prosperity Gap (refer to figure 2.9). In 1990–2026, the average Prosperity Gap in the region has been reduced at an annualized rate of 4.4 percent. Indeed, the progress in China alone is key to explaining the trends in the Global Prosperity Gap since 1990. Because of the size of the population and the marked improvements in average welfare in China during the past few decades, the Global Prosperity Gap would show a much more modest decline since 1990 if data on China were not included (refer to figure 2.11). In the 1990s, the world would have experienced no progress in reducing the Global Prosperity Gap if data on China were excluded.

Compared with East Asia and Pacific, Sub-Saharan Africa has reduced its regional Prosperity Gap at a much more modest pace in 1990–2026, by approximately 0.7 percent annually. This is consistent with analysis that highlights the stagnation in poverty reduction in Africa. Structural inequalities and low and volatile economic growth in Africa are barely able to keep pace with population growth (Sinha et al. 2024).

FIGURE 2.11

Without China, the progress in closing the Global Prosperity Gap would be much more modest



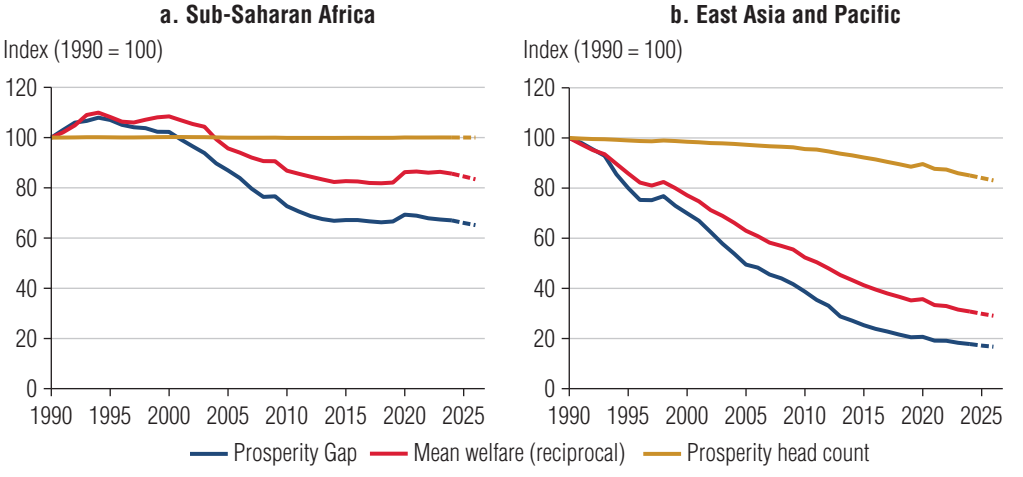
Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: The dashed lines at 2025–26 indicate nowcasted values.

The experiences of the two regions can be compared by decomposing the change in the respective regional Prosperity Gaps over the period. Whereas the decomposition illustrated in figure 2.8 breaks down the trends in the Prosperity Gap into growth in mean welfare and changes in inequality both within and between economies, figure 2.12 shows a simpler decomposition that allows for easier comparison across the two regions. It shows an index of trends in the Prosperity Gap in 1990–2026 and an index of trends in mean welfare. To allow for a comparison between growth in mean welfare and the resulting narrowing in the Prosperity Gap, the reciprocal index of mean welfare is shown, similar to the method applied in the previous decomposition. Additionally, figure 2.12 shows the index of trends in the prosperity head count defined as the number of people living below the prosperity standard of $28.00-a-person-a-day (in 2021 PPP terms).

Substantial growth in mean welfare has contributed substantially to the reduction in the regional Prosperity Gap in East Asia and Pacific across the decades. However, in Sub-Saharan Africa, mean welfare growth has been an inconsistent contributor to such progress. In the 1990s, mean welfare decreased in the region. This was followed by a decade of positive trends in mean welfare in the 2000s. Since 2010, there has been little progress in mean welfare (refer to chapter 1, figure 1.5). Improvements in inequality contributed to the decline in the Prosperity Gap in both regions, but mean welfare advanced much more rapidly in East Asia and Pacific, thereby contributing to greater narrowing in the Prosperity Gap there.

FIGURE 2.12

Substantial differences in mean welfare growth may explain significant differences in the progress in narrowing regional Prosperity Gaps



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The dashed lines at 2025–26 indicate nowcasted values.

The lack of improvement in the prosperity head count—that is, individuals and households crossing the $28.00 threshold—in Sub-Saharan Africa since 1990 reflects the fact that the $28.00-a-person-a-day threshold is still only an aspiration for almost everyone across the region. In East Asia and Pacific, meanwhile, substantial progress was achieved in lifting people above the threshold, particularly in recent decades.

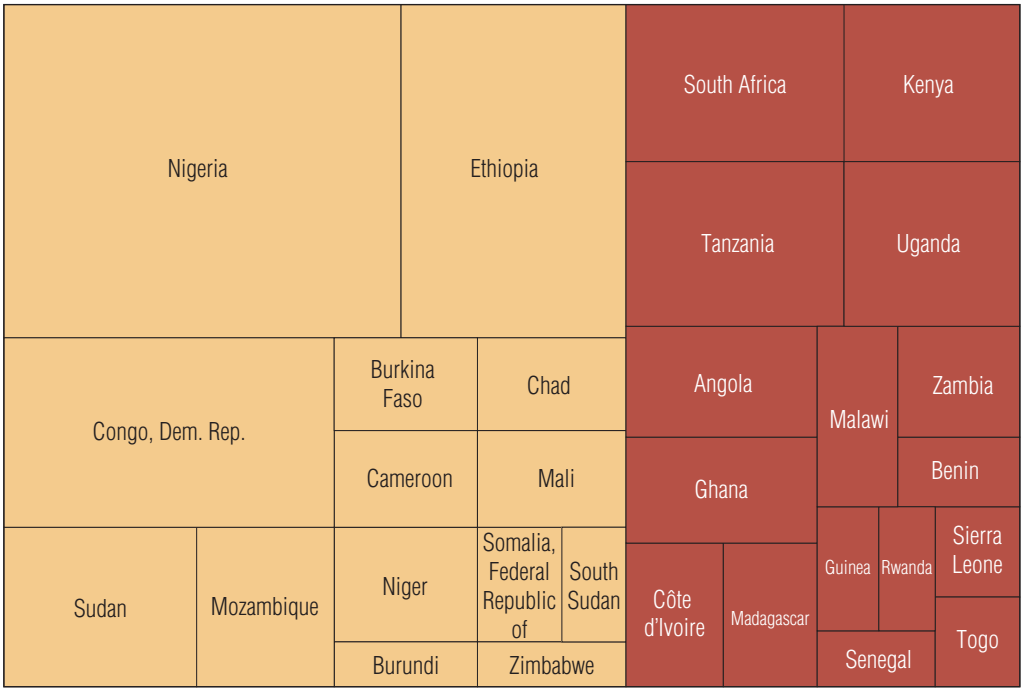
A few populous economies account for much of the Prosperity Gap in Sub-Saharan Africa

Sub-Saharan Africa consists of 48 economies, but the region is dominated by a handful of populous economies. Three economies alone—Nigeria, Ethiopia, and the Democratic Republic of Congo, in order of population size—account for more than one-third of the region's population and a disproportionate share of the region's Prosperity Gap, 40 percent (refer to figure 2.13).

FIGURE 2.13

A few populous economies account for a disproportionate share of the Prosperity Gap in Sub-Saharan Africa

a. Population shares (%)

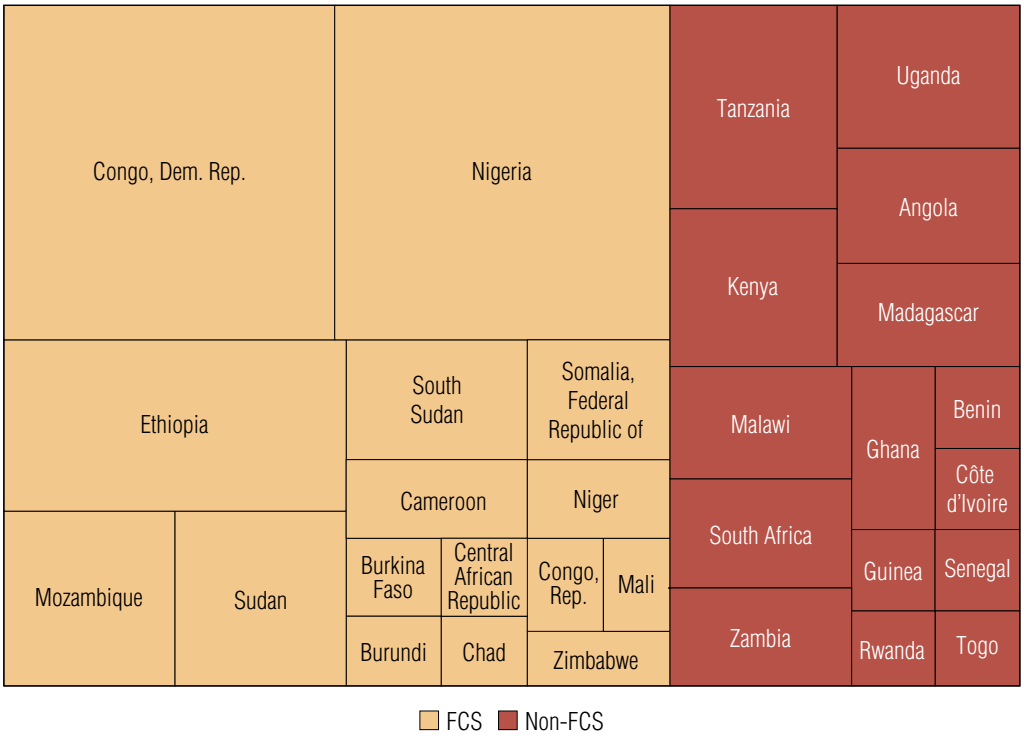


(continued)

FIGURE 2.13

A few populous economies account for a disproportionate share of the Prosperity Gap in Sub-Saharan Africa *(continued)*

b. Shares of regional Prosperity Gap (%)



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: FCS = fragile and conflict-affected situation.

The three most populous economies in the region share a second characteristic. All three are each currently caught up in a fragile and conflict-affected situation (FCS) (refer to chapter 1, figures 1.11 and 1.12). Although this chapter makes no projections on the expected inequality or Prosperity Gap in coming years, issues impacting global projections of extreme poverty can be expected to influence the Prosperity Gap in FCS economies. The FCS economies in the region that face the weakest welfare growth prospects explain, together, 65 percent of the regional Prosperity Gap.

The Democratic Republic of Congo, Ethiopia, and Nigeria represent 40 percent of the regional Prosperity Gap. The Democratic Republic of Congo contributes disproportionately, accounting for 9 percent of the population, but 16 percent of the Prosperity Gap of Sub-Saharan Africa. By contrast, the contribution of Ethiopia and Nigeria to the Prosperity Gap is more nearly in line with their shares in the regional population. Ethiopia accounts for

10 percent of the population and 8 percent of the gap, while Nigeria accounts for 18 percent and 16 percent, respectively.

Similarly, the contribution of Mozambique to the regional Prosperity Gap is equivalent to almost twice its population share, while the contribution of South Sudan is almost three times its population share. Richer economies, such as Cabo Verde, Mauritius, and the Seychelles, contribute significantly less than their population shares to the regional Prosperity Gap. Côte d'Ivoire and Senegal contribute approximately half their population shares.

Progress in shared prosperity is slowing

The evidence in this chapter points to genuine but incomplete progress on both dimensions of shared prosperity. The number of high-inequality economies fell from 70 in 2000 to 42 in 2024, and, even in economies that remained above the threshold throughout the period, the mean Gini index improved from about 51 to about 46. The Global Prosperity Gap has narrowed by more than half, from 10.5 in 1990 to 4.5 in 2026. Yet, these headline gains conceal a more sobering fact. One in five people worldwide are still living in high-inequality economies. The share of the world's extreme poor living in high-inequality economies nearly doubled between 2000 and 2024, and nearly one in three are outside China and India.

The regional pattern sharpens the concern. The Prosperity Gap in East Asia and Pacific has been narrowed by more than 80 percent between 1990 and 2026, demonstrating that rapid, broad-based progress is possible within a generation. The gap in Sub-Saharan Africa, by contrast, is at 11.1, more than twice the global average today and close to the global average in 1980. The shortfall is concentrated in a few populous economies in a fragile and conflict-affected situation. The MENAAP region has exhibited little improvement since 2015. The task ahead therefore involves not simply to sustain global momentum, but to extend it to the economies in which high inequality is most persistent, poverty is deepest, and the conditions for progress, including peace and stability, are weakest.

Annex 2A. Country-year data to assess high inequality

This annex describes the construction of the country-year dataset used to produce the count of high-inequality economies and the related figures in this chapter.

The indicator is defined as the number of economies with a Gini index above 40 based on the most recent household survey available in each economy. The underlying dataset covers 169 economies in which at least one relevant household survey was conducted between 2000 and 2024 and collected from the Poverty and Inequality Platform (PIP). Economies in which no

survey has been conducted since 2000 are excluded. National estimates are used throughout, with one exception. Because no nationally representative survey is available on the country, Argentina is the only case in which an urban-only survey is used.

Table 2A.1 shows the coverage of the Gini index since 2000. It covers the 169 economies and 1,764 survey-year observations. The coverage differs by welfare concept; however, consumption-based surveys span more economies (100), but represent fewer total observations (584). Income-based surveys cover fewer economies (69), but represent more frequent observations (1,180), reflecting the greater regularity in the surveys administered in richer economies.

A country-year panel for 2000–24 is constructed by generating the full set of years for each economy and filling gaps by carrying forward the most recent observed Gini index. For years prior to an economy's first available survey, the first observed value is applied retroactively to earlier years during which no survey exists. A Gini index is thus available on each economy for every year in the panel. This means that the classification associated with an economy remains unchanged until new survey data emerge, at which point the economy may appear to cross the threshold in a single year even if the underlying change occurred gradually over the intervening period. The continuous coverage achieved using this methodology thus has a price. Apparent transitions may merely be a reflection of data updates rather than of economic change. Threshold-based counts should therefore be read as tracking information that becomes available rather than tracking only changes in economic conditions as they occur.

TABLE 2A.1

Statistics on the Gini index from the Poverty and Inequality Platform, 2000–24

Type	Economy count	Survey count	Share of LICs and LMICs (%)	Average Gini index
Consumption-based	100	584	66	36.2
Income-based	69	1,180	7	37.2
Total	169	1,764	42	36.9

Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: Consumption-based = Gini indexes computed from consumption/expenditure surveys. Income-based = values computed from income surveys. Economy count = number of economies, with each economy classified according to its most recent preferred welfare concept during 2000–24 and counted once. Survey count = the number of economy-year survey observations based on the preferred welfare concept for that economy and year. Share of LICs and LMICs for the consumption and income rows is computed based on each economy's most recent preferred welfare concept since 2000. Average Gini index = the population-unweighted mean of survey-year Gini indexes in each column. The total row includes all 169 economies, each counted once. LIC = lower-income economy; LMIC = lower-middle-income economy.

Annex 2B. Limitations in current measures of inequality

Box 2.1 and annex 2A introduce the key properties of the Gini index. They each note that household survey data exhibit several well-documented measurement limitations that impact cross-country comparisons. This annex elaborates on five of these challenges: the choice of welfare concept, changes in survey design that influence comparability over time, the underrepresentation of top incomes, issues related to bottom-coding, and the use of the household as the unit of measurement. Each of these challenges affects the level of measured inequality and the comparability of estimates across economies and over time. Many of the issues are also relevant in the case of poverty measures.

Measures by consumption or income affect the level of inequality and cross-country comparability differently

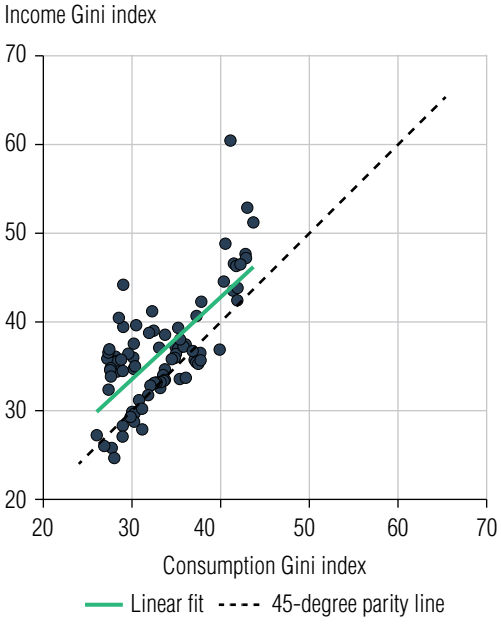
The overview of high-inequality economies in this chapter is based on welfare measures available through nationally representative household surveys in each economy. In some economies, the welfare measure is consumption; in others, it is income. This availability is not random. Wealthier economies and economies in Latin America and the Caribbean typically rely on income-based surveys irrespective of income classification, while lower-income economies, particularly those in South Asia or Sub-Saharan Africa, predominantly use consumption-based surveys.

This matters because the two measures do not yield the same results. Consumption-based Gini values are systematically lower than income-based Gini values because consumption smooths out short-term income fluctuations. Consumption is also more equally distributed than income because of saving behavior and a natural lower bound in consumption measures. Figure 2B.1 illustrates this in economies for which both measures are available in the same survey year. Most observations represented in the figure lie above the 45-degree parity line, confirming that income inequality generally exceeds consumption inequality. The fitted line has a positive slope, showing that more-unequal distributions of consumption also tend to be associated with more-unequal distributions of income.

The implication for cross-regional comparisons is noteworthy. Because economies in Latin America and the Caribbean primarily rely on income-based measures, while economies in Sub-Saharan Africa predominantly use consumption-based measures, part of the observed gap in average Gini values between the two regions reflects differences in welfare concepts rather than differences in the underlying distribution. Deudibe et al. (2026) find that converting consumption-based welfare measures into income-equivalent welfare measures would result in the classification of more economies as highly unequal. Most of these additional high-inequality economies would be in Sub-Saharan Africa. Indeed, following such an adjustment, Sub-Saharan Africa would be more unequal on average than Latin America and the Caribbean, the reverse of the outcome suggested by unadjusted survey data (refer to map 2B.1).

FIGURE 2B.1

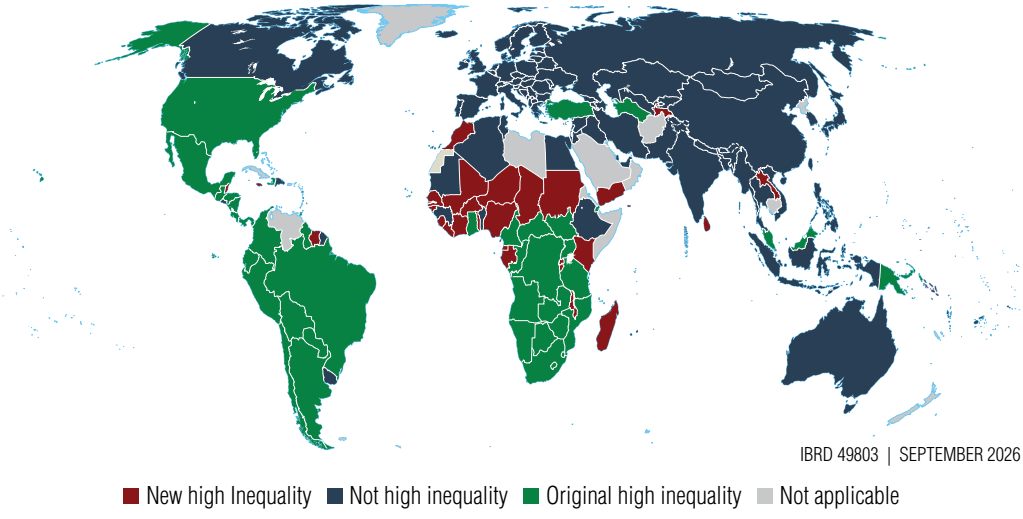
Income inequality typically exceeds consumption inequality



Source: Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: The figure shows the estimated relationship between income- and consumption-based Gini indexes in economies for which surveys exist that report both welfare aggregates in the same year. The dashed 45-degree line marks parity between the two measures (income Gini index = consumption Gini index). The solid line shows an ordinary least squares fit of income Gini indexes to consumption Gini indexes across matched pairs.

MAP 2B.1

More economies would be classified as highly unequal if income-based measures were available for all economies



Source: Deudibe et al. 2026.

Consumption and income are not linked by a fixed relationship. Precautionary savings, limited access to credit, and differences in the ability of households to smooth temporary income shocks may all affect how closely current consumption tracks current income. In addition, measured consumption can be sensitive to the method used to capture price changes, particularly if the incidence of inflation varies across goods, locations, or households. Because these factors differ across economies and over time, the gap between consumption- and income-based measures also varies, reinforcing the need for caution in the comparison of inequality based on different welfare concepts across economies.

Inequality measures may also be affected by changes in survey design

Survey comparability depends on a range of methodological characteristics: the sampling process and sampling frame, the design of a questionnaire, the construction of the welfare aggregate, and the price deflation methods used to convert nominal values into real terms across space and time. If any of these features change between survey rounds, as may occur if statistical systems are updated in an economy, an observed change in the Gini index across two survey periods may reflect a methodological revision rather than a shift in the underlying distribution.

The PIP contains metadata on the comparability of estimates on economies over time, thereby allowing users to identify the consecutive survey pairs that are considered methodologically consistent and those that are not. The analysis in this chapter of inequality trends draws on this comparability information where relevant, and spells of consecutive high inequality are interpreted within the context of this limitation (Castañeda Aguilar et al. 2026; World Bank 2026).

Survey-based measures underestimate inequality at the top of the distribution

Survey-based measures tend to underestimate top incomes (refer, for instance, to Atkinson et al. 2011). High-income households are less likely to participate in surveys, and those that do may underreport income from capital, dividends, and other nonlabor sources that are difficult to capture in household questionnaires.

Attempts at correcting for these missing top incomes usually rely on using either (1) administrative tax data or (2) national accounts data. Such corrections consistently yield higher inequality estimates relative to unadjusted survey data (Andreescu et al. 2025). The method used to implement these corrections matters. Applying various correction methodologies using tax data on four Latin American economies shows that different methods can result in different levels, rankings, and changes in inequality across the economies (Lustig and Vigorito 2025).

Whether correcting for top incomes would substantially alter the trends reported in this chapter, as opposed to the levels, remains a subject of active empirical debate (Lakner and Milanović 2016; Lustig and Vigorito 2025). There is a risk, however, that the observed decline in measured inequality over time partly reflects a measurement artifact. As economies develop and financial markets deepen, top incomes may become increasingly difficult to capture in household surveys, which could cause measured inequality to narrow even in the absence of true distributional improvement (Korinek et al. 2006).

Methodological issues at the bottom of the welfare distribution also impact inequality

At the other end of the welfare distribution, methodological issues related to extremely low values also influence inequality measures. The Prosperity Gap, for example, is designed to be particularly sensitive to low values of consumption or income. While consumption-based measures have a natural lower bound at some low positive value, income-based measures can and do include zero and nonnegligible negative values. Organizations differ in how such data points are handled and whether distributions are bottom-coded or truncated (Yonzan et al. 2026). The methodological choice in the way to handle low values, including the threshold established for correcting data, affects the levels of and, possibly, the trends in measures of inequality and shared prosperity.

For the data available in the PIP, a bottom-coding threshold of $0.28 (in 2021 PPP terms) is applied (Castañeda Aguilar et al. 2026; Yonzan et al. 2026). This threshold has been chosen because it is not overly intrusive on the surveys, but adequately addresses the impact of small values on distribution-sensitive measures of inequality and shared prosperity. Introducing the threshold has a negligible effect on mean welfare (whether income or consumption) and Gini indexes, although it meaningfully influences the estimated Prosperity Gap in a handful of economies, mostly two decades past.

Measuring welfare at the household level obscures inequality within households, introducing bias in both directions

Existing measures of poverty and inequality rely on the household as the primary unit of analysis, implicitly assuming that consumption or income is distributed evenly among members of a given household (Haddad and Kanbur 1990). A growing body of evidence suggests this assumption is not valid, particularly in the case of household composition by sex and age (Doss 1996; World Bank 2018). Failing to account for within-household inequality may result in underestimates of true inequality (Jolliffe et al. 2025). At the same time, most measures of inequality do not account for the fact that some goods, such as shelter, can be shared among household members without reducing the availability to other household members (Deaton and Paxson 1998). Treating all consumption as private goods

rather than partially public goods would overestimate individual-level inequality. These two sources of bias operate in opposite directions, and their net effect on measured inequality is an open empirical question, the response to which varies across settings. Allowing (some) inequality within the household results in greater equivalence in the importance of within-country inequality and between-country inequality in global measures. Providing for the sharing of resources within a household (for instance, the fact that housing, electricity services, and so on are enjoyed by all rather than only one household member) reduces inequality because poorer households tend to be larger, and this increases their per capita welfare relatively more.

Notes

1. The World Bank Poverty and Inequality Platform (PIP) contains statistics derived from household surveys in 172 economies as of September 2026. These economies covered approximately 97.5 percent of the global population in 2024. The analysis in this report uses information for the 169 economies in PIP for which there is a survey at least as recent as 2000. These latter economies represented approximately 97.4 percent of the global population in 2024. Refer to Poverty and Inequality Platform, World Bank, https://pip.worldbank.org/home.
2. These data are presented as a sensitivity check to illustrate the strength of the dependence of the global share on the classification of a few large economies. The classifications of China and India are also based on consumption surveys, which typically yield lower measured inequality than income-based surveys and may capture concentration at the top less fully (refer to box 2.1 and annex 2B).
3. Among economies that have ever been classified as high inequality, the mean longest spell length is essentially the same whether they are regularly surveyed (surveyed nearly every year) or infrequently surveyed (fewer than 10 surveys in 25 years), that is, more than 17.6 years and 17.1 years, respectively. The persistence of high inequality is therefore not an artifact of the frequency of surveys.
4. Adjusting the Gini index of each economy by population yields the same downward trend. Both the simple and the population-adjusted average Gini index fell by about five points in 2000–24. The population-adjusted mean was roughly one to two points higher throughout, indicating that the more populous economies in the group were somewhat more unequal than the smaller ones. However, the two series change in parallel. So, the decline is not an artifact associated with an average driven by small economies.
5. The Prosperity Gap was initially defined using a global prosperity standard of $25.00-a-person-a-day in 2017 PPP terms. When the international poverty lines were updated to reflect 2021 PPP (Foster et al. 2025), the prosperity standard was also updated, to $28.00.
6. If China is excluded from the trends in the Global Prosperity Gap, improvements in the gap are much more modest. In this case, the gap has declined from 8.4 in 1990 to 5.0 in 2026 (refer to figure 2.11).
7. This is the ratio of each economy's share of the Global Prosperity Gap relative to each economy's share of the global population. If all economies had the same Prosperity Gap, this ratio would be 1 for all. In economies in which the Prosperity Gap is greater (smaller) than the global average, this ratio will be above (below) 1. Sorted by their contribution to the Global Prosperity Gap relative to their population size, the 10 economies are South Sudan, Mozambique, the Democratic Republic of Congo, Zambia, the Central African Republic, Malawi, Burundi, the Federal Republic of Somalia, the Republic of Yemen, and the Republic of Congo.

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3

The Livable Planet: Tracking Progress

Summary

- *Rising temperatures, ecosystem loss, food insecurity, and limited access to clean water and sanitation all constrain whether development gains can be achieved and sustained. This chapter monitors five indicators that, together, track the livable planet pillar of the World Bank mission—people at high risk from climate-related hazards, greenhouse gas (GHG) emissions, the extent of key ecosystems, food and nutrition insecurity, and access to water, sanitation, and hygiene (WASH)—and finds that progress is uneven. Several indicators are moving in the wrong direction.*
- *Across all five indicators, the populations most affected are often the same. The poorest people and poorest countries have contributed least to global emissions. Yet, they are the most vulnerable to climate-related hazards, depend most heavily on degrading ecosystems, experience the highest levels of food insecurity, and are least likely to have access to safe water and sanitation.*
- *Global GHG emissions are at record levels, even as economic growth is becoming less tightly linked to emissions in many countries.*
- *In the poorest countries, the poverty-reduction benefits of growth far outweigh the costs of additional emissions. The scope for reducing emissions is greatest in wealthier countries, where emissions are high and the incidence of extreme poverty is low.*
- *Ecosystem loss, food insecurity, and gaps in access to WASH reinforce this pattern, compounding vulnerability precisely in places and among populations that possess the least capacity for coping. Degrading ecosystems undermine livelihoods and informal safety nets. Inadequate water and sanitation erode health and human capital.*
- *These challenges converge most acutely in Sub-Saharan Africa, where climate vulnerability, food insecurity, and gaps in basic services are severe.*

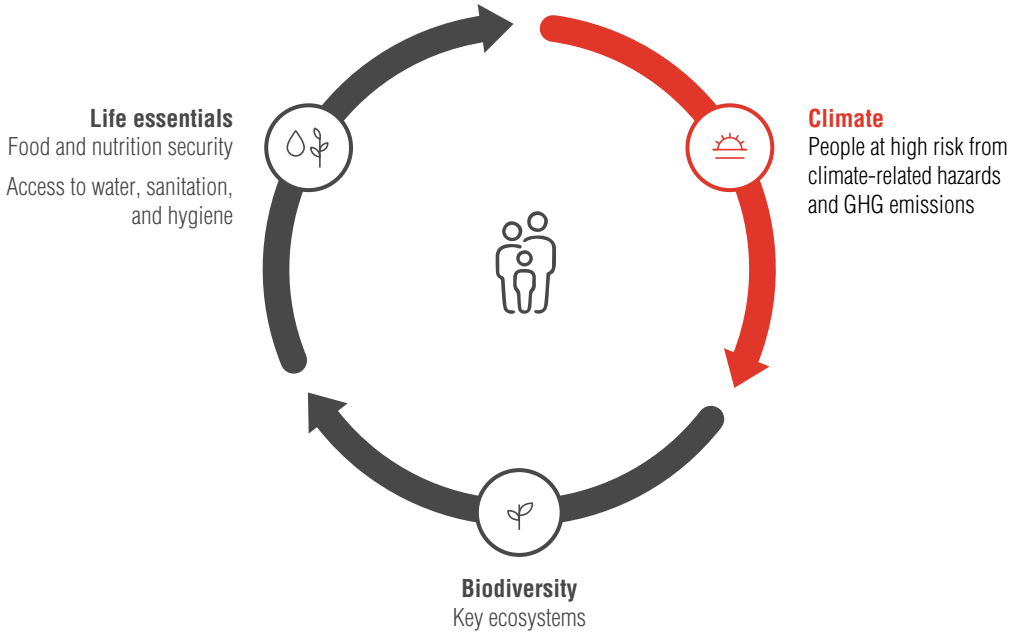
A reproducibility package is available for this book in the Reproducible Research Repository at https://reproducibility.worldbank.org/catalog/659.

Introduction to the vision of a livable planet

The World Bank's mission to end extreme poverty and boost shared prosperity on a livable planet recognizes that poverty reduction depends on environmental conditions. Rising temperatures, forest loss, food insecurity, and limited access to clean water and sanitation constrain poverty reduction and compromise the durability of any gains.

This chapter monitors five indicators that together track the livable planet pillar of the World Bank vision (refer to figure 3.1). Each captures a different dimension of the challenge: (1) the share of people at high risk from climate-related hazards and (2) the annual emissions of GHGs track the challenges in climate adaptation and mitigation; (3) the extent of key ecosystems monitors the state of nature and biodiversity; and (4) the prevalence of food and nutrition insecurity, together with (5) access to WASH, serves as a proxy for access to life's most basic essential needs.

FIGURE 3.1
Five dimensions of a livable planet



Source: Original figure for this publication.
Note: GHG = greenhouse gas.

The indicators of the five dimensions of the challenge are interconnected. GHG emissions intensify the hazards to which the poor are exposed. Ecosystem degradation undermines the food systems and water cycles on which the poor depend. Food insecurity and WASH deprivation compound each other through shared pathways of disease, malnutrition, and diminished human capital. A deterioration in any one indicator increases the difficulty of making progress on the others. The same groups are often affected across indicators: the poor and near-poor in low-income and lower-middle-income countries, who have the least capacity to absorb shocks and the fewest alternatives if systems fail.

This chapter is primarily a monitoring exercise. It describes what the indicators show, the directions in which they are moving, and the way they are connected to poverty and shared prosperity. It provides a comprehensive treatment of all five indicators. It also incorporates four major data releases that were not available for *Poverty, Prosperity, and Planet Report 2024* (World Bank 2024b), as follows: the Emissions Database for Global Atmospheric Research 2025 report covering global emissions through 2024 (Crippa et al. 2025); *The State of Food Security and Nutrition in the World 2026* (FAO et al. 2026); the World Health Organization–United Nations Children's Fund Joint Monitoring Programme 2025 report covering household WASH access in 2000–24 (JMP 2025); and the Global Nature Watch 2024 tree cover loss analysis (WRI 2025). Some indicators vary little from one year to the next. Others do not change because the underlying data have not been updated. If the data have not changed materially since 2024, this is noted explicitly. Readers can thus distinguish genuine updates from findings that are carried forward.

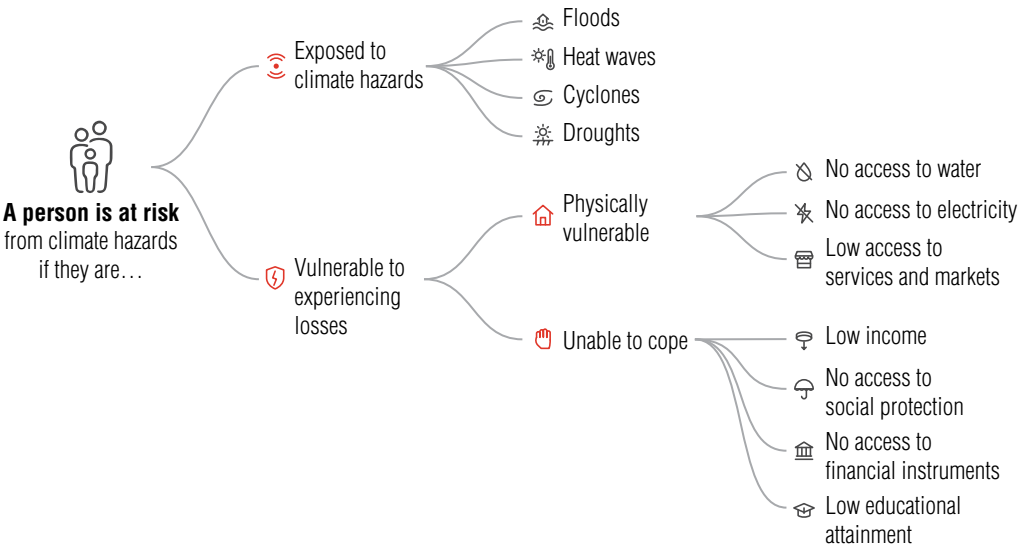
People at high risk from climate-related hazards

Unpacking exposure, vulnerability, and risks

The climate risk indicator tracks individuals who are exposed to at least one of four key climate hazards—floods, droughts, cyclones, and heat waves—and who are identified as highly vulnerable along at least one of these dimensions. Vulnerability is understood in two ways. Physical vulnerability reflects limited mobility and restricted access to basic infrastructure, such as water and electricity. Economic vulnerability is proxied by low income, limited education, and lack of access to financial services or social protection (refer to figure 3.2). The analysis draws on data from 103 economies, covering 86 percent of the global population. Coverage gaps remain, particularly in small island states, which face some of the most severe climate pressures.

FIGURE 3.2

Describing the great risks people face from climate-related hazards



Source: Original figure for this publication.

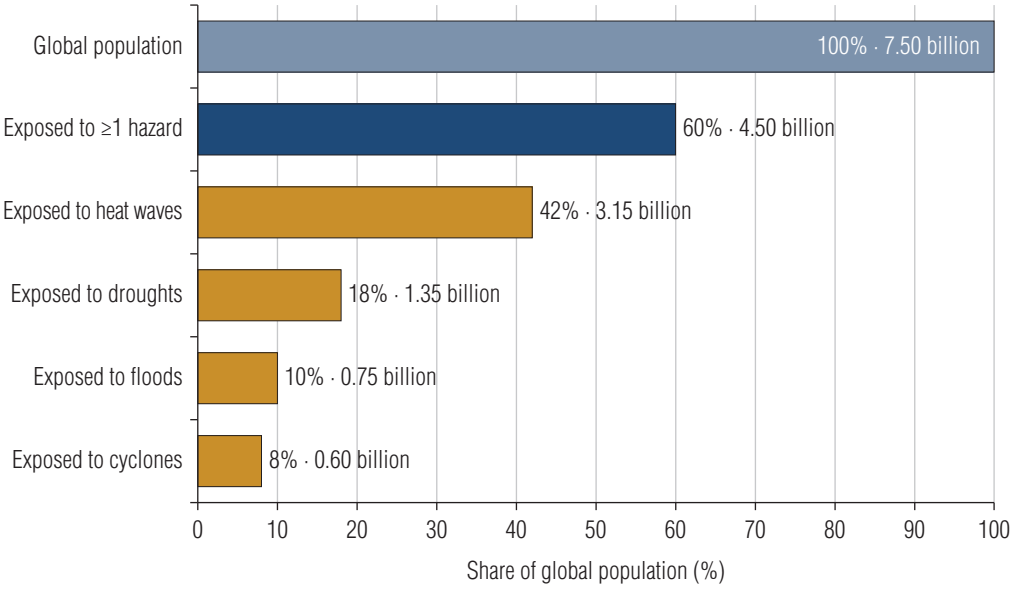
Around 4.5 billion people are living in areas exposed to major hazards

Around 4.5 billion people, approximately 60 percent of the global population, live in places where a damaging climate event is expected at least once during their lives. Heat waves account for the largest share. They affect 42 percent of people worldwide. Droughts follow, at 18 percent, and floods and cyclones affect 10 percent and 8 percent, respectively (refer to figure 3.3). Because climate change is intensifying the frequency and severity of extreme events, these shares are expected to climb.

Regional patterns differ sharply. South Asia has the highest proportion of exposed population, at 88 percent, followed by East Asia and Pacific, at 68 percent. Heat wave exposure drives many such results. Four in five South Asians are living under significant heat risk, while the share in East Asia and Pacific is half the population. More than 1 in 10 people are exposed to flooding in East Asia and Pacific; the Middle East, North Africa, Afghanistan, and Pakistan (MENAAP); and South Asia. Drought, meanwhile, is more prevalent across Europe and Central Asia, Latin America and the Caribbean, North America, and Sub-Saharan Africa. Behind these aggregate numbers lie substantive within-region differences. Box 3.1 illustrates the example of Latin America and the Caribbean, where existing data allow the exposure to multiple climate hazards to be analyzed at a granular level within countries and even within selected cities.

FIGURE 3.3

Exposure to major climate hazards



Sources: Data from Agricultural Stress Index System, Historic Drought Frequency (Global–1 kilometer), Global Information and Early Warning System, Food and Agriculture Organization of the United Nations, https://www.fao.org/giews/earthobservation/asis/index_1.jsp?lang=en; Bloemendaal, de Moel, et al. 2020; Bloemendaal, Haigh, et al. 2020; Deltares 2021; Environmental Stress Index, max 5-day heat wave, Climate Change Knowledge Platform, World Bank, internal dataset, accessed April 2024, 02.input/heatwave_cckp/; Hersbach et al. 2020; Sampson et al. 2015; Schiavina, Freire, et al. 2023a; Schiavina, Melchiorri, et al. 2023b.

Note: People are exposed to any climate hazard if they live in locations in which agricultural drought affects more than 30 percent of rural cropland at least once every 39 years, floods exceed 0.5 meters with an annual probability above 1 percent, 5-day average maximum wet-bulb temperature exceeds 33°C at least 1 percent of the time, or tropical cyclones have a 1 percent or greater annual probability of reaching category 2 or higher.

Exposure by income group follows an inverted-U curve. Lower-middle-income economies bear the greatest burden, at 73 percent exposure rate, followed by upper-middle-income economies, at 55 percent. Rates are lower in both low-income (41 percent) and high-income economies (32 percent), though the hazards differ. Drought dominates among low-income economies, whereas heat waves are most prevalent in middle-income economies. Nonetheless, climate hazards are not always impartial about who they affect, rich or poor, young or old, women or men (refer to box 3.2).

BOX 3.1

A closer look at Latin America and the Caribbean

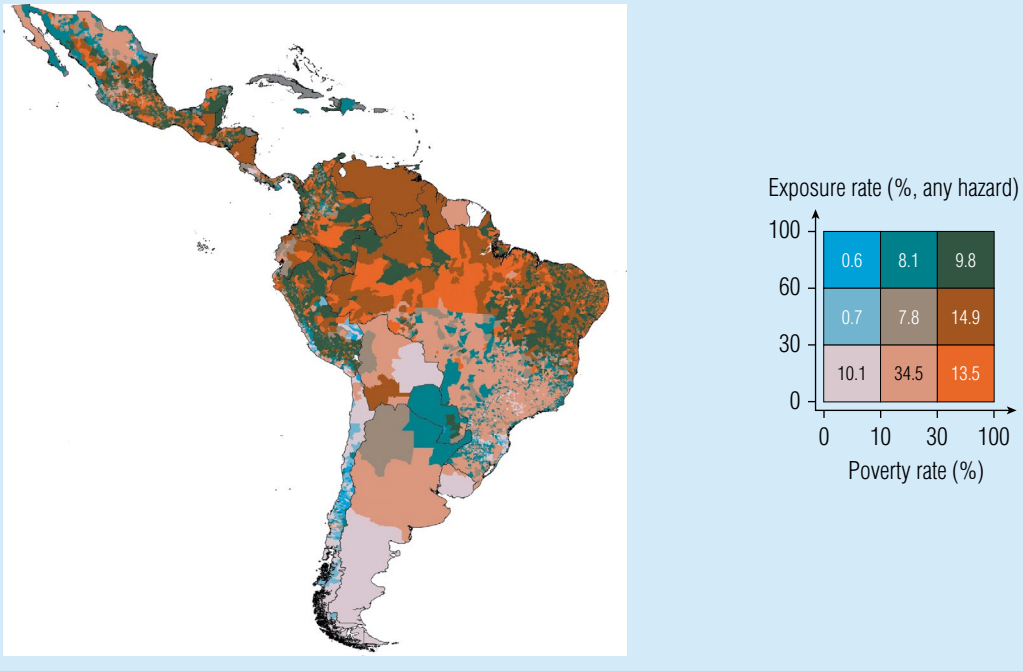
More than one-third of the population of Latin America and the Caribbean, around 240 million people, were living in areas exposed to at least one of five major climate hazards in 2020: droughts, heat waves, cyclones, floods, and landslides. Drought is the most widespread of these, affecting 13.4 percent of the Latin American and Caribbean population.

The poorest households face disproportionately greater exposure. Nearly 45 percent of poor households are exposed to at least one hazard, compared with 34 percent among nonpoor households. The gap is most pronounced in the case of drought and landslides because poverty tends to be geographically concentrated in areas of fragile, steep, or arid terrain.

Subnational analysis reveals distinct hotspots in which poverty and climate exposure converge (refer to map B3.1.1). These hotspots, home to roughly 64 million people, or 10 percent of the regional population (estimated at approximately 673 million people), include the Caribbean coast of the Yucatán, parts of Mexico's southern and Gulf coasts, the Central American Dry Corridor, northeast Brazil, the upper Amazon, and the Chaco region.

MAP B3.1.1

Subnational data reveal hotspots of poverty and climate exposure



(continued)

(continued)

BOX 3.1

A closer look at Latin America and the Caribbean *(continued)*

MAP B3.1.1

Subnational data reveal hotspots of poverty and climate exposure *(continued)*

Source: de la Fuente et al. 2026.

Note: The legend shows the joint distribution of climate hazard exposure and poverty across first, second, and third administrative divisions (central, provinces, and municipalities). Climate exposure is measured as the share of the population among which the probability of experiencing one or more severe climate hazard exceeds a predefined threshold, following Doan et al. (2023). Poverty is measured using the $6.85 poverty line (in 2017 purchasing power parity terms). Each color reflects the percentage of the grid cell population that is both exposed to climate hazards and living in poverty.

In cities such as Barranquilla and Cali in Colombia, low-income residents are significantly more highly concentrated in flood-prone zones, where they are driven by land scarcity that pushes the urban poor to peripheral areas with higher exposure. Mexico illustrates the scale of the challenge. There, 61 million people living in poverty face exposure to at least one hazard, typically heat, drought, or landslides.

BOX 3.2

The 2026–27 El Niño shows how climate shocks can set back development outcomes

The 2026–27 El Niño event is exceptional, already approaching record levels of intensity in the modern era and expected to strengthen through late 2026. Its impacts are likely to extend well into 2027. The pattern varies sharply by region. Droughts and wildfires are more prevalent in some areas, and heavy rainfall, floods, and landslides in others. Agriculture, water availability, hydropower, fisheries, transport, and energy systems are all being affected.

Food and nutrition security is a particular concern. Agricultural disruption can lead to tight food supplies and rising prices, which have serious consequences especially among poor and vulnerable households. It has been estimated that a 5 percent rise in food prices increases the risk of severe child wasting by 14 percent in low- and middle-income economies (Headey and Ruel 2023). Children born under El Niño conditions may also face a heightened risk of impaired growth, with potentially lasting effects. These pressures can fall disproportionately on women and girls because households adjust through

(continued)

BOX 3.2

The 2026–27 El Niño shows how climate shocks can set back development outcomes
(continued)

reduced food intake, increased unpaid care work, and, in some cases, school withdrawal. Landless households, pastoralists, informal workers, displaced people, and other vulnerable groups have fewer assets to buffer these shocks.

Water shortages threaten irrigation and drinking water supplies, while disruptions to hydropower and fisheries may affect energy and livelihoods. Transport disruptions, including through the Panama Canal, may raise the cost of food, fertilizer, and fuel, particularly among small island states and low-income food-importing economies. Changes in disease transmission, wildfire smoke, heat waves, and school closures illustrate how a single climate phenomenon may propagate across multiple development outcomes. These effects can also reinforce gender inequalities because women often play central roles in household food provision, water collection, natural-resource management, and household coping with shocks.

The broader lesson is that acute climate shocks are capable of leaving lasting development scars. Although El Niño is transient, its effects can persist through lost assets and lost income, malnutrition, interrupted schooling, ecosystem damage, and reduced fiscal space. In a warmer world, these shocks may compound existing climate stresses and render progress in the longer-term planet outcomes tracked in this chapter more difficult to sustain.

Around 2.8 billion people are living under highly vulnerable conditions

In 2024, 2.8 billion people, 35 percent of the global population, were considered highly vulnerable to climate in at least one physical or economic dimension (refer to figure 3.2). This headline number captures the scale of the challenge, but it masks an important reality. People become vulnerable along different pathways, and many face a mix of disadvantages across multiple dimensions simultaneously.

The single largest driver of vulnerability is lack of social protection, which affects 1.6 billion people. This means that one in five people worldwide have no formal safety net on which to rely if a climate hazard strikes. Financial exclusion is the second most widespread dimension, affecting 980 million people, followed closely by education vulnerability, at 900 million. Income vulnerability—that is, living on less than the extreme poverty threshold (refer to chapter 1)—affects about 10 percent of the world's population. Lack of access to electricity is a burden on

570 million people, and 410 million people enjoy only limited access to safe water, as defined by this climate vulnerability indicator. This is distinct from the broader WASH measure, under which 2.1 billion people lack safely managed drinking water. The comparison between the 10 percent figure for income vulnerability and the 35 percent figure for overall vulnerability carries an important implication. The majority of highly vulnerable people are living above the extreme poverty line. Many are in households that have escaped monetary poverty, but have no social protection, no access to financial services, or little education and therefore few means to absorb a climate shock. These gaps are not confined to any income group. They can affect middle-class households as well (refer to chapter 1). The consequences of climate hazards therefore extend beyond the poor and put at risk both the durability of a previous escape from poverty and the economic security characteristic of middle-class status.

These dimensions do not operate in isolation. A smallholder farmer in Sub-Saharan Africa, for instance, may simultaneously face income poverty, lack of social protection, limited education, and no access to financial services. This means that a single drought may undermine livelihoods that are not supported by a layer of protection. Such overlapping vulnerabilities, rather than any single factor, determine how heavily a climate shock weighs on households and how long recovery lasts. Understanding the dimensions driving vulnerability and the ways they may overlap is essential to designing interventions that reduce climate risk rather than addressing symptoms in isolation. In this sense, multidimensional poverty is also a source of climate vulnerability. The same deficits that constrain development can also determine whether a climate hazard becomes a major welfare shock.

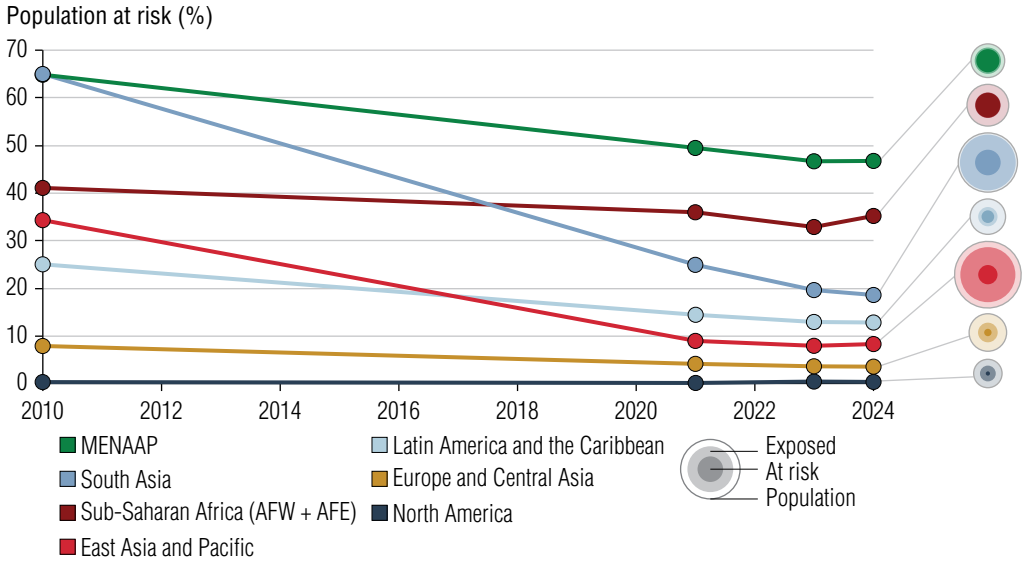
About 1.5 billion people are highly vulnerable and highly exposed to climate-related hazards

In 2024, 17.3 percent of people globally were experiencing high risk from climate-related hazards. MENAAP and Sub-Saharan Africa stand out with the highest percentage of people at risk, at 47 percent and 35 percent, respectively (refer to figure 3.4). In both regions, the shares of people who are at risk and the shares of people who are exposed are similar, meaning that vulnerability is nearly universal among people living in hazard-prone areas. In South Asia, the population at risk has declined substantially, to below 20 percent, since 2010, driven by a reduction in vulnerability. The remaining regions all show rates below 15 percent, reflecting, primarily, low vulnerability among people. Most of the people at risk and exposed to hazards in these regions are in the East Asia and Pacific region and in the Latin America and Caribbean region. Low exposure and limited vulnerability are characteristic of Europe and Central Asia and of North America.

Since 2010, global progress in the high climate risk indicator has been mixed. While the high-risk share declined from 1 in 3 people in 2010 to 1 in 5 people in 2021, the absolute number of exposed individuals rose by 461 million. This trend highlights the urgent need for policies that not only manage exposure, but address the root causes of vulnerability (Brunckhorst et al. 2026).

FIGURE 3.4

Large populations are exposed to extreme weather events in South Asia and in East Asia and Pacific, and vulnerability is high in Sub-Saharan Africa



Source: Data from World Bank 2024a.

Note: The trends in the share of people at risk only reflect changes in vulnerability. The underlying calculations assume that fixed shares of people are exposed to hazards. Because of data availability limitations, the same set of countries may not be included within each region in all years. Concentric circles depict the overall population in the data sample (lightest color), the share of that population exposed to any type of hazard (intermediate color), and the share of that population that is exposed to any type of hazard and that is also vulnerable along at least one dimension (darkest color). All regions include three circles, but, in the case of regions in which high shares of the population are exposed, the lightest circle is not easily visible. The vertical placement of circles is ordered by the share of people at risk in 2024. AFE = Africa Eastern and Southern; AFW = Africa Western and Central; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

The analysis in this section focuses on climate-related hazards as a primary dimension in measuring risk in a livable planet. However, climate hazards are not the only environmental stressors shaping global welfare. Air pollution, water stress, and land degradation impose additional and often overlapping burdens that interact with climate risks to compound the development constraints facing low-income communities and economies. Box 3.3 examines who bears the brunt of these broader environmental burdens, drawing on new subnational evidence from across regions. The findings are consistent with those documented here. Exposure to environmental hazards is systematically greater in poorer countries and, within countries, is concentrated in poorer areas. There is one important nuance. Indoor exposure and outdoor exposure to air pollution are two separate cases. Nonetheless, the climate hazard evidence and the environmental hazard evidence together point to the same underlying conclusion. The communities and economies contributing least to global emissions and environmental degradation are the ones that are absorbing most of the associated costs.

BOX 3.3

The burden of environmental hazards is not shared equally

Climate hazards—floods, droughts, heat waves, and cyclones—are not the only environmental risks shaping welfare outcomes in the developing world. Air pollution, water stress, and land degradation impose additional and often overlapping burdens that interact with climate hazards to create a more severe drag on development that falls most heavily on the poorest communities and economies. Environmental challenges disproportionately affect developing economies, thereby undermining progress toward reducing poverty and improving living standards. In low-income economies, an alarming 79 percent of the population is exposed simultaneously to air pollution, water risks, and land degradation, while fewer than 1 percent are free of all three environmental stressors (Damania et al. 2025). In contrast, in high-income economies, 43 percent of the population is not exposed to any stressors, and only 1 percent is troubled by all three. This demonstrates that addressing environmental challenges is not merely desirable. It is smart development.

Approximately 75 percent of the global population is exposed to at least one acute environmental or climate hazard (refer to figure B3.3.1). More than half face a climate hazard specifically, while hazardous air pollution and high water stress each burden roughly 37 percent of people globally. These hazards are not evenly distributed. Land degradation affects around 10 percent of the global population overall, but is most acute in Sub-Saharan Africa. Water stress is most widespread in South Asia and in the Middle East and North Africa. In South Asia, nearly everyone faces at least one serious hazard. In many low-income economies and economies caught up in a fragile and conflict-affected situation, these threats overlap and reinforce each other, creating a persistent constraint on welfare and development.

More than half the people in low-income economies and 80 percent of people in lower-middle-income economies are exposed to at least land degradation, hazardous air pollution, or high water stress where they live. Among high-income countries, the share is 1 in 10. Pollution tends to be highest in low- and middle-income economies because these economies generally rely more on polluting industries and technologies. About 80 percent of people exposed to unsafe levels of fine particulate matter ($PM_{2.5}$) outdoors live in these economies (Rentschler and Leonova 2023).[a] Climate hazards are also disproportionately concentrated in middle-income economies.

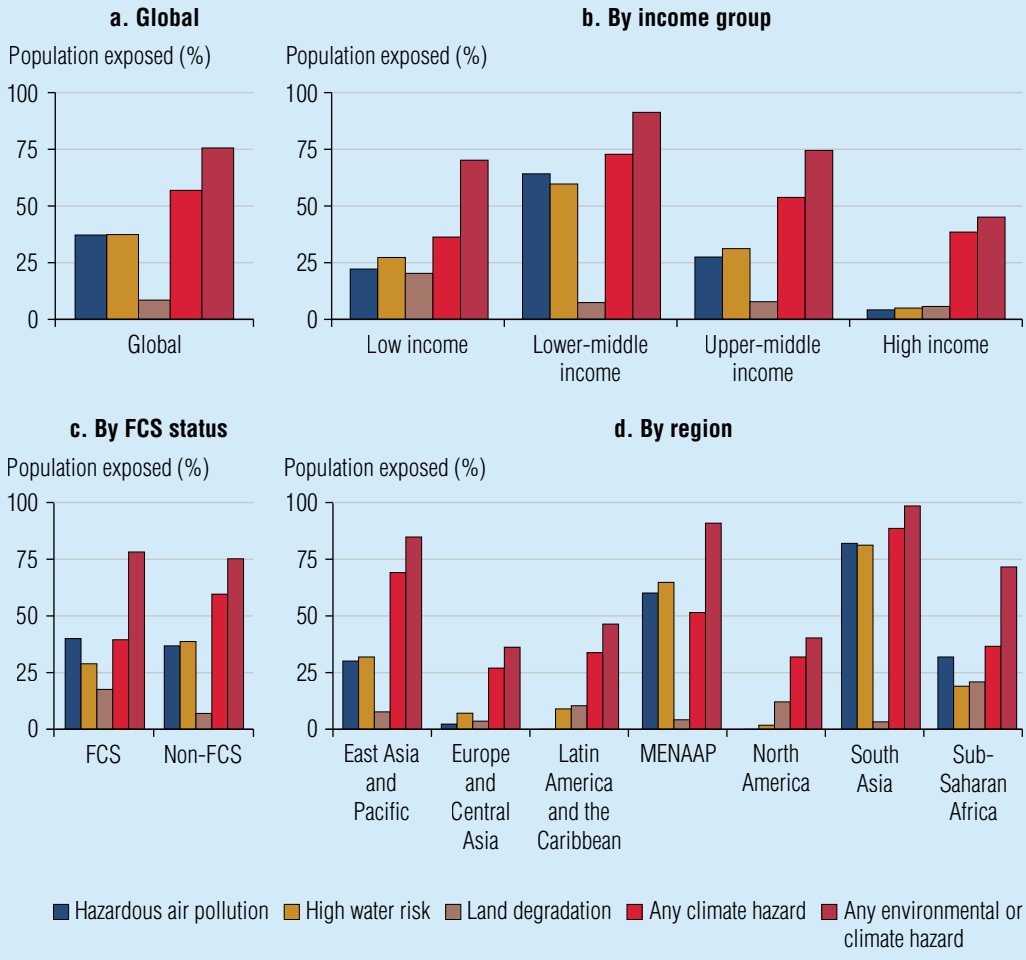
(continued)

BOX 3.3

The burden of environmental hazards is not shared equally *(continued)*

FIGURE B3.3.1

Greater shares of the population are exposed to environmental or climate hazards in low- and middle-income economies than in high-income economies



Sources: Data from Agricultural Stress Index System, Historic Drought Frequency (Global–1 kilometer), Global Information and Early Warning System, Food and Agriculture Organization of the United Nations, https://www.fao.org/giews/earthobservation/asis/index_1.jsp?lang=en; Bai et al. 2025; Bloemendaal, de Moel, et al. 2020; Bloemendaal, Haigh, et al. 2020; Deltares 2021; Environmental Stress Index, max 5-day heat wave, Climate Change Knowledge Platform, World Bank, internal dataset, accessed April 2024, 02.input/heatwave_cckp/; Hersbach et al. 2020; Kuzma et al. 2023; Sampson et al. 2015; Schiavina, Freire, et al. 2023a; Schiavina, Melchiorri, et al. 2023b; Shen et al. 2024.

(continued)

(continued)

BOX 3.3

The burden of environmental hazards is not shared equally *(continued)*

FIGURE B3.3.1

Greater shares of the population are exposed to environmental or climate hazards in low- and middle-income economies than in high-income economies *(continued)*

Note: People are exposed to any climate hazard if they live in locations in which agricultural drought affects more than 30 percent of rural cropland at least once every 39 years, floods exceed 0.5 meters with an annual probability above 1 percent, 5-day average maximum wet-bulb temperature exceeds 33°C at least 1 percent of the time, or tropical cyclones have a 1 percent or greater annual probability of reaching category 2 or higher. *Hazardous air pollution* refers to annual mean outdoor particulate matter ($PM_{2.5}$) concentrations above 35 micrograms per cubic meter, the hazardous threshold of the World Health Organization. *High water risk* refers to values above the high-risk threshold on the water risk index, which covers physical quantity, physical quality, and regulatory and reputational risks. (Refer to Water Risk Atlas, Aqueduct, World Resources Institute, https://www.wri.org/data/aqueduct-water-risk-atlas.) *Land degradation* refers to areas experiencing a long-term (1980–2022) decline in ecosystem function, specifically where net primary productivity is falling because of factors other than changes in temperature and rainfall. FCS = fragile and conflict-affected situation; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

The case of air pollution is more nuanced. Poorer economies exhibit higher exposure rates. Within economies, however, the relationship between income and outdoor air pollution can run in the opposite direction. In many settings, outdoor $PM_{2.5}$ exposure increases with income, particularly in places where transport is a major source of pollution (Behrer and Heft-Neal 2024). In West Africa, dust from the Sahara and from the Sahel region dominates pollution levels, weakening the link between household income and air pollution exposure. But outdoor exposure tells only part of the story. Poorer households are far more likely to cook with solid fuels, driving indoor air pollution well above the levels outdoor monitors capture. These households generally lack access to air purifiers or other protective measures. So, while outdoor pollution may be similar across income groups locally, poorer households face substantially higher total exposure once indoor sources are included, and they possess fewer means to reduce it (Jack and Ryan 2026).

Taken together, these findings extend and reinforce the poverty-planet nexus documented throughout this chapter. The burden of environmental degradation in all its forms, not only climate hazards, is systematically skewed toward those with the least capacity to absorb it.

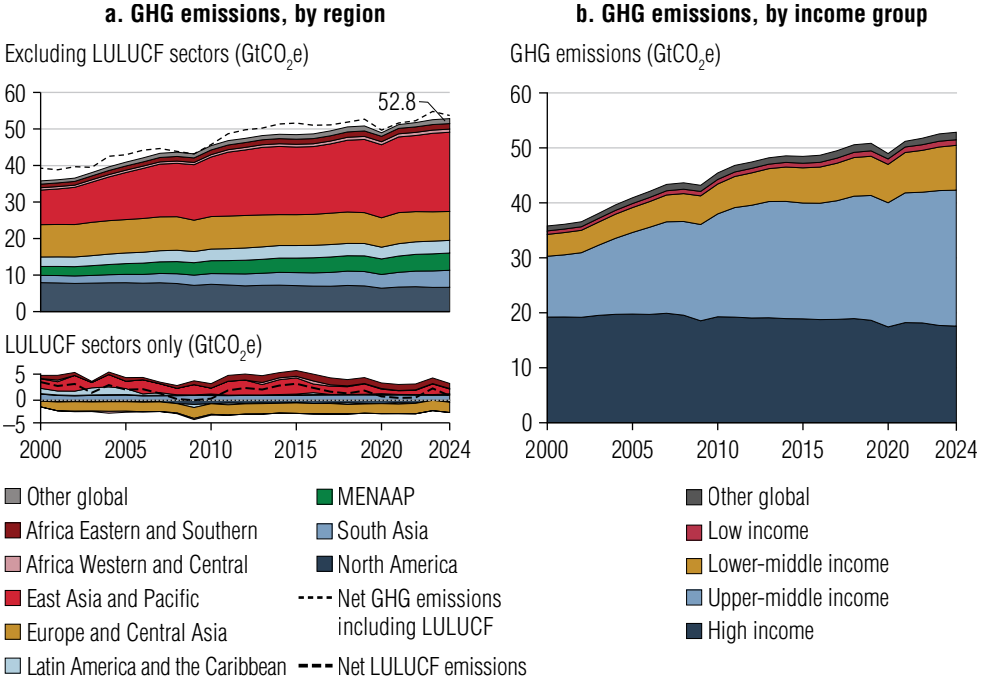
a. $PM_{2.5}$: fine inhalable air pollution particles that measure 2.5 micrometers or less in diameter.

Global greenhouse gas emissions

The indicator described in this section tracks total annual GHG emissions from energy, industry, and agriculture. Emissions associated with land use, land use change, and forestry (LULUCF) are shown separately because they are more variable over time and may be either a net source of GHG or a sink absorbing more GHG from the atmosphere than they release. The processes that drive LULUCF emissions are also different relative to those that drive emissions from energy and production. The trends discussed below therefore refer to GHG emissions, excluding LULUCF emissions. Global GHG emissions, excluding LULUCF emissions, reached 52.8 metric gigatons of carbon dioxide equivalent ($GtCO_2e$) in 2024 (refer to figure 3.5), the highest level on record, but only 0.6 percent above the global GHG in 2023. They are now approximately 48 percent greater than they were in 2000 because they have grown by an average of nearly 1.6 percent annually. With only two exceptions (the 2007–09 global financial crisis and the 2020 COVID-19 shock), emissions have risen continuously since 2000. LULUCF emissions, meanwhile, have remained slightly positive on net over the past several decades, despite substantial year-to-year variation. Limiting warming to 1.5°C is now considered out of reach without a period of overshoot (that is, by reducing emissions each year by more than the annual target). Both the peak level of warming and the duration of the overshoot are important because the amount and length of time that global temperatures are above the safe target limit raises the risks to people, economies, and ecosystems (UNEP 2026).

FIGURE 3.5

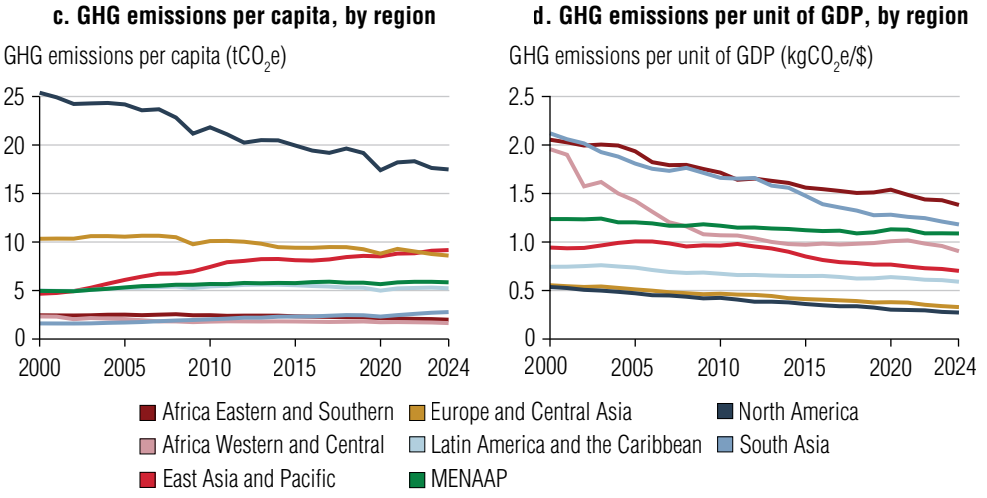
GHG emissions have grown over the past two decades, but economic activity is becoming less emission intensive



(continued)

FIGURE 3.5

GHG emissions have grown over the past two decades, but economic activity is becoming less emission intensive *(continued)*



Sources: Original figure for this publication based on data from Crippa et al. 2025; EU Forest Observatory on Deforestation and Forest Degradation, European Union, https://forest-observatory.ec.europa.eu/; World Development Indicators World Bank, https://datatopics.worldbank.org/world-development-indicators/.
Note: Panels a and b: *Other global* reflects (a) aviation and maritime transportation emissions that are not assigned to a country; (b) nontropical forest, also not generally attributable to countries; and (c) remaining residuals between the global emissions numbers reported in 2025 by M. Crippa, D. Guizzardi, F. Pagani, et al. (GHG Emissions of All World Countries 2025, Joint Research Centre Science for Policy Report, European Union). The sums of country-level emissions were reported by the same authors. Panel b: Fixed income-group classifications for 2025 are used. GHG = greenhouse gas; $GtCO_2e$ = metric gigatons of carbon dioxide equivalent; $kgCO_2e/\$$ = kilograms of carbon dioxide equivalent per US dollar; LULUCF = land use, land use change, and forestry; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan; tCO_2e = metric tons of carbon dioxide equivalent.

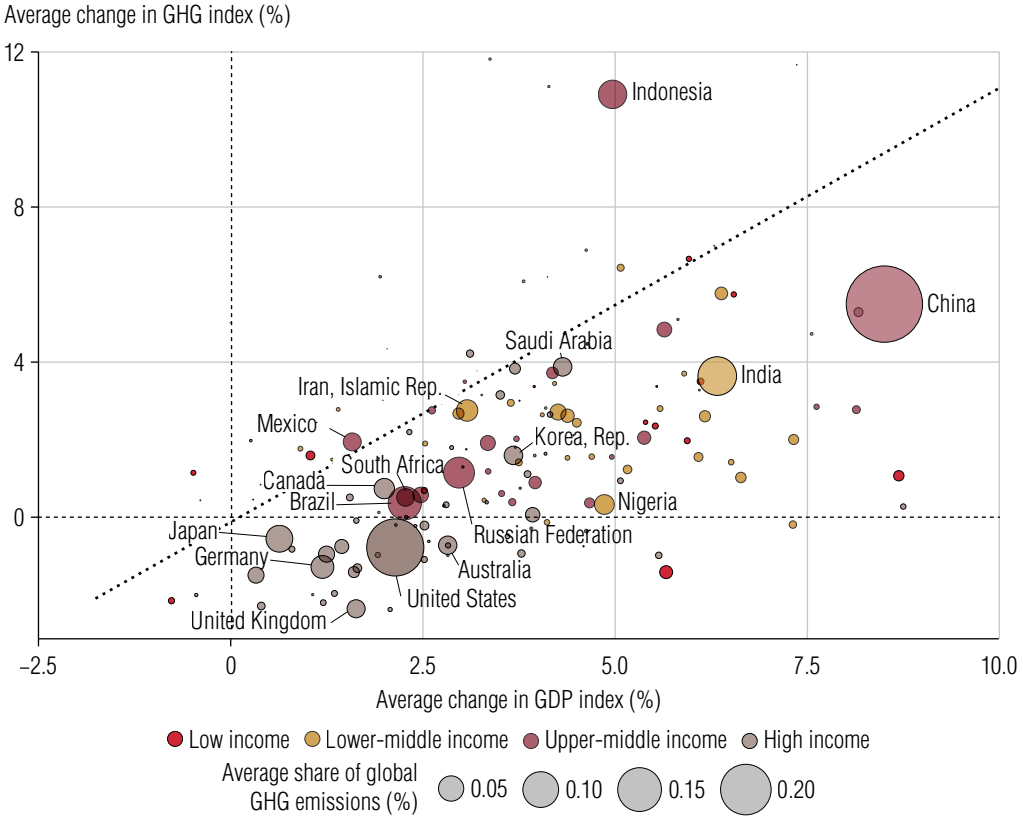
Economic growth is increasingly accompanied by lower emissions

For much of the past century, economic growth was closely associated with a rising use of fossil fuels and increasing GHG emissions. This relationship is changing. Decoupling—the weakening of the link between economic growth and GHG emissions—is evident across a growing number of economies. It is not automatic, however. Cleaner technologies, energy transitions, infrastructure, efficiency improvements, and policy choices all shape whether growth translates into higher emissions. The experience across economies therefore shows that there is no single emissions pathway associated with rising incomes.

Growth in many major economies has begun to decouple from GHG emissions. Australia, Germany, the United Kingdom, the United States, and several other high-income countries have achieved economic growth, while stabilizing or reducing emissions (refer to figure 3.6). China and India have also experienced relative decoupling. In 2001–22, relative to the growth of the economies, emissions there grew at a substantially slower pace, thereby lowering emissions intensity. Overall, while emissions intensity has fallen across most major emitters, these improvements have not yet been sufficient to produce a sustained decline in global emissions.

FIGURE 3.6

Growth and GHG emissions are becoming less closely linked in many economies



Source: Based on 2000–22 data from World Bank 2025b.

Note: The figure shows the average decoupling of growth from emissions across economies in 2001–22. GHG = greenhouse gas.

Several forces determine the differences in emissions intensity across economies. Population and income growth tend to raise the demand for energy, while the structure of economic activity affects the level of the emissions intensity associated with growth. Efficiency improvements, cleaner power, electrification, and shifts toward less carbon-intensive sectors can offset these pressures. High-income countries have generally gone furthest in doing so, whereas rapidly growing middle-income economies face a larger challenge because energy demand is still rising quickly (Chepeliev et al. 2027).

Economic development is nonetheless possible in a context of low emissions no matter the income of an economy. Analysis of 93 economies covered by World Bank Country Climate and Development Reports finds that low-emissions pathways could reduce global GHG emissions by around 70 percent by 2050, while exerting neutral or positive effects on GDP in most

economies (World Bank 2025a). Higher-income economies may deliver the largest near-term reductions, but lower-income economies have an opportunity to avoid locking into carbon-intensive technologies and infrastructure. The challenge is therefore not whether economic growth and emissions can be decoupled, but whether decoupling can occur sufficiently rapidly and broadly to guide global emissions onto a sustainable downward trend.

Reductions in extreme poverty and in GHG emissions need not entail a trade-off

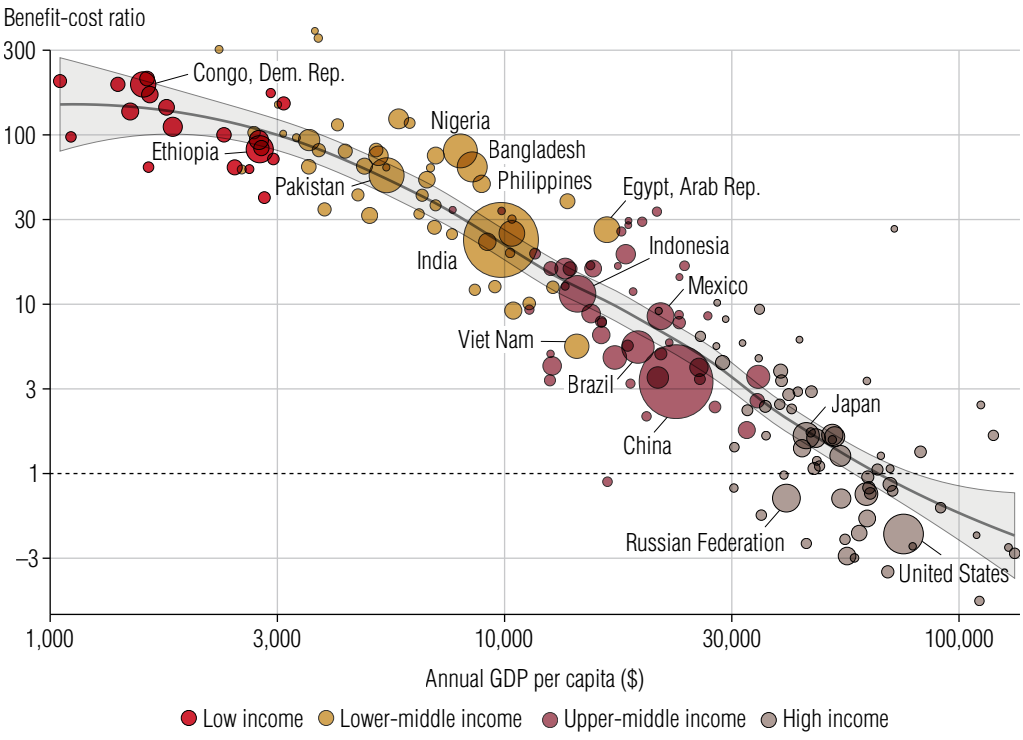
Global emissions are concentrated among a relatively small number of large economies, while low-income economies contribute only a small share. In 2024, Brazil, China, the European Union, India, the Russian Federation, and the United States together accounted for 62 percent of global GHG emissions. Sub-Saharan Africa's emissions were the lowest of any region, at approximately 1.6 metric tons of carbon dioxide equivalent (tCO_2e) per capita in Western and Central Africa and 2.0 tCO_2e per capita in Eastern and Southern Africa. This asymmetry is central to the relationship between emissions and poverty reduction. The economies with the greatest need for more economic growth are generally not the economies driving global emissions.

Against this backdrop, the goal of reducing poverty while reducing GHG emissions is not in inherent tension. Estimates indicate that the economic growth needed to eradicate extreme poverty would add less than 5 percent to global emissions relative to the levels of 2019, a marginal increase that reflects the extremely low consumption footprint of the global extreme poor (Wollburg et al. 2023). The estimate is based on historical relationships between economic growth and carbon intensity. Cleaner technologies, renewable energy, electrification, and more efficient buildings and transport offer a new pathway toward future poverty reduction in a context of declining emissions.

The balance between the poverty reduction benefits of growth and the future poverty costs of associated emissions differs sharply across countries. Hallegatte et al. (2026) compare the number of people who will escape poverty across economies as a result of a greater economic output of 1 percent in 2026 against the number of people worldwide who will fall into poverty by the end of the century through the added emissions associated with the 1 percent higher growth in 2026. Among the poorest economies, the poverty reduction benefits of economic growth far exceed the future poverty costs associated with additional emissions, often by a factor of 100 or more (refer to figure 3.7). This is because extreme poverty is severe and responsive to economic growth, whereas the emissions of these economies are too small to impose large future poverty costs on the world. In contrast, in wealthy economies in which poverty rates are already relatively low, the direct benefits of poverty reduction that are associated with additional economic growth tend to be smaller or even negative.

FIGURE 3.7

Growth in poor economies reduces poverty far more than it increases emissions-related poverty



Source: Hallegatte et al. 2026.

Note: Benefit in the benefit-cost ratio refers to the number of people who will exit poverty by the end of the century in a particular economy if GDP grows by 1 percent in the economy in 2026. *Cost* refers to the number of people worldwide who will fall into poverty by the end of the century as a result of emissions from 1 percent GDP growth in the same economy in 2026. Bubble sizes are proportional to current population.

These differences highlight that the relationship between economic growth, emissions, and poverty varies considerably across economies. This underscores the importance of analyzing both the immediate and the longer-term outcomes in development. The downward slope of the curve in figure 3.7 indicates that the benefit-cost ratio declines steadily as GDP per capita rises. This reinforces the argument that the urgency of decarbonization is amplified by development and that international expectations should be calibrated accordingly.

Key ecosystems

The key ecosystems indicator tracks the extent of forests, wetlands, mangroves, coral reefs, savannas, and other biomes that perform critical functions for climate regulation and human welfare. The indicator is currently being updated. The baseline measure for the year 2000 shows that there are approximately 7,860 million hectares of these ecosystems, which cover roughly

60 percent of the earth's total land area. The systems are unevenly distributed across the globe. Large shares are concentrated in a relatively small number of countries in regions, such as Latin America, Sub-Saharan Africa, and parts of East Asia and Pacific.

Key ecosystems are crucial along multiple pathways. They support livelihoods directly through forests, fisheries, freshwater, soils, and other natural resources; underpin agricultural productivity through pollination, soil fertility, water regulation, and pest control; buffer communities against floods, droughts, and other shocks; regulate disease and ecological stability; and act as globally important carbon sinks. Biodiversity loss can weaken ecosystem stability in ways that are difficult to predict, including through changes in disease dynamics and ecological interactions. Renewable natural capital represents more than 30 percent of total wealth in low- and lower-middle-income countries, while ecosystem-dependent sectors, such as fisheries, support hundreds of millions of livelihoods worldwide. Forests alone absorb approximately 2.4 billion metric tons of carbon dioxide (CO_2) per year, roughly one-third of the CO_2 released annually from the burning of fossil fuels (FAO 2025). Estimates indicate that forests removed about 1.3 $GtCO_2e$ in 2024, but forest fires contributed even more (2.2 $GtCO_2e$). The LULUCF sector is thus a net GHG source of 0.9 $GtCO_2e$. This reversal shows how ecosystem degradation can convert a climate asset into a climate liability within a single year (Crippa et al. 2025).

Primary tropical forest cover suffered a record-breaking setback in 2024

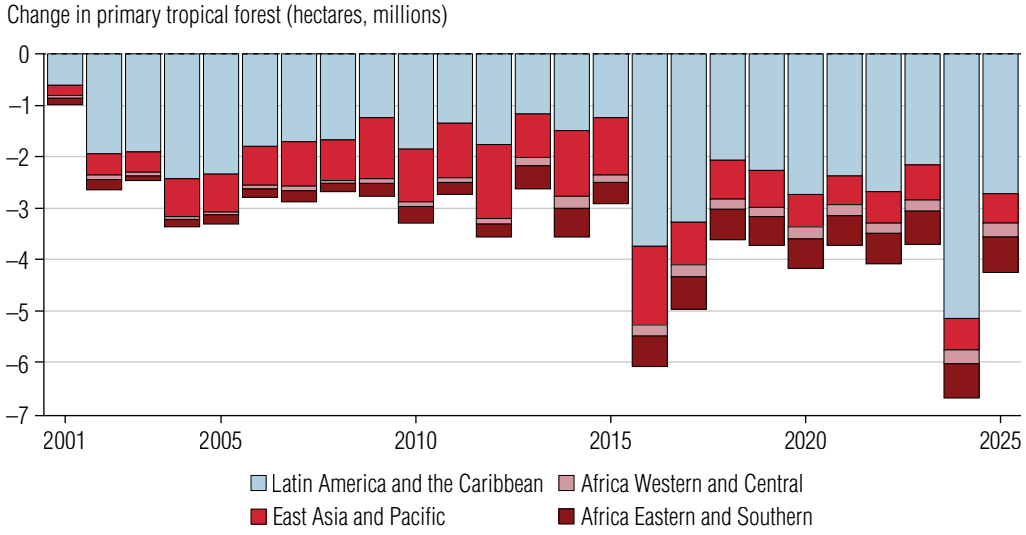
About 9 percent of global primary tropical forest cover was lost in 2001–25 in aggregate, a long-run trend with substantial regional heterogeneity (refer to figure 3.8). But 2024 marked a sharp deterioration. The Global Nature Watch analysis recorded the worst year in tropical primary forest loss since monitoring began (WRI 2025). Tropical regions lost 6.7 million hectares of primary rainforest, nearly twice the 2023 losses and an area approaching the size of Panama. For the first time on record, fires, not agriculture, were the leading cause of tropical primary forest loss, accounting for nearly half of all destruction. In geographical terms, Bolivia's primary forest loss jumped 200 percent, making it the second-largest source of tropical forest loss globally, overtaking the Democratic Republic of Congo for the first time (WRI 2025). In 2025, losses returned closer to the more recent annual average trend, representing a partial, but significant recovery.

Permanent agriculture remains the largest driver of primary forest loss over the long run, accounting for 73 percent of loss in 2002–25. The 2024–25 episode therefore illustrates both the vulnerability of the indicator to short-term shocks and the possibility of reversal through deliberate action.

The forest trends must be viewed within the broader ecosystem picture. Coral reef degradation is acute in East Asia and Pacific, where bleaching events driven by ocean warming are more frequent and more severe than historical baselines. Wetland loss is a global phenomenon affecting freshwater availability and coastal protection. Tropical deforestation remains concentrated in Latin America and Sub-Saharan Africa, where the overlap between ecosystem loss and poverty is most acute.

FIGURE 3.8

Primary tropical forest cover suffered a record-breaking setback in 2024



Source: Forest Change (dashboard), Global Nature Watch, World Resources Institute, https://globalnaturewatch.org/dashboards/global/?category=forest-change.

The paths of connection between ecosystem health and poverty reduction

Renewable natural capital—the living components of ecosystems that generate a continuous flow of goods and services as long as they are not depleted more quickly than they regenerate—represents more than 30 percent of the total wealth in low- and lower-middle-income economies. This means ecosystem degradation is not only an environmental loss, but a direct erosion of the asset base on which development depends. Among the rural poor within these economies, the share in wealth is greater still. Ecosystems are the primary asset among the rural poor, the main source of food, income, and resilience, functioning as an informal safety net for those without access to formal financial systems or social protection.

One direct path of connection between ecosystem health and poverty reduction is livelihoods. Deforestation-driven changes in local hydrology reduce agricultural yields even in areas not directly cleared. Damania et al. (2025) estimate that this mechanism generates $379 billion in annual agricultural losses globally. Fishing communities that depend on coastal and reef systems face collapsing stocks as ecosystems degrade. The 200 million jobs globally in the fisheries value chain are disproportionately held by the rural poor in developing countries. In Indonesia, fishery income–mangrove elasticity is estimated at 5.3 percent–9.8 percent per 1 percent of mangrove area lost. Protecting mangroves is valued at $12,364–$22,861 per hectare annually, compared with only $7,610 for the aquaculture that often replaces the mangroves (Yamamoto 2023). Pastoralists in degraded savannas find less forage for their

herds, accelerating asset losses. Forest-dependent communities lose nontimber forest products, freshwater regulation, and the natural buffering against floods and droughts that intact ecosystems provide.

A second path is the role of ecosystems as a buffer against poverty during climate shocks. Analysis across 23 countries finds that rural households compensate for declining incomes during drought years by increasing the harvesting of wood and other forest products from nearby forests by 30 percent (Noack et al. 2019). In healthy, intact forests, this response can be sustainable, provided that the ecosystem has sufficient time to recover between climate shocks, preserving the buffer for future use. More biodiverse forests can also fully offset the reduction in crop income caused by a severe drought. A recent analysis finds that the most diverse forests can provide food and materials to compensate fully for income lost from a bad drought year. If forests degrade or disappear, the informal insurance they provide disappears with them, rendering households more vulnerable to poverty transitions in bad weather years. The record forest loss documented in 2024 is therefore simultaneously a biodiversity concern, a GHG emissions concern, and evidence of the gradual weakening of the informal safety net on which hundreds of millions of the world's poorest depend.

A third path connects ecosystems directly to food security and WASH indicators. Healthy ecosystems underpin agricultural productivity through pollination, soil fertility, water regulation, and pest control. While fertilizers may partially substitute for ecosystem-provided soil services, overuse imposes costs: Excessive fertilizer application causes crop damage and ecosystem degradation that is estimated at up to $3.4 trillion annually worldwide (Damania et al. 2025). This tension between the agricultural intensification needed to produce more food on less land and the ecosystem damage that intensification can cause is central to the relationship between ecosystems and food insecurity indicators. Sectors exhibiting a smaller pollution footprint, such as forestry, renewable energy, and sustainable agriculture, generate more jobs per dollar invested than polluting sectors (Damania et al. 2025). In many developing economies, protecting and restoring key ecosystems can support the job-rich, resilient growth on which durable poverty reduction depends.

Food and nutrition insecurity

A mixed picture: Marginal improvement from a troubling peak

Currently, 26.8 percent of the global population is facing moderate to severe food and nutritional insecurity.[1] This share is measured as the percentage of people worldwide who are living in a household in which at least one adult is exposed to a low-quality diet or is forced to reduce the quantity of normal consumption during a year because of a lack of resources. The share has remained essentially unchanged. An estimated 28.0 percent of the global population, or 2.3 billion people, experienced moderate or severe food insecurity in 2024, a marginal decline from the 28.4 percent in 2023. This is 335 million more people than in 2019, before

the COVID-19 pandemic, and 683 million more than in 2015, when the United Nations Sustainable Development Agenda was adopted.

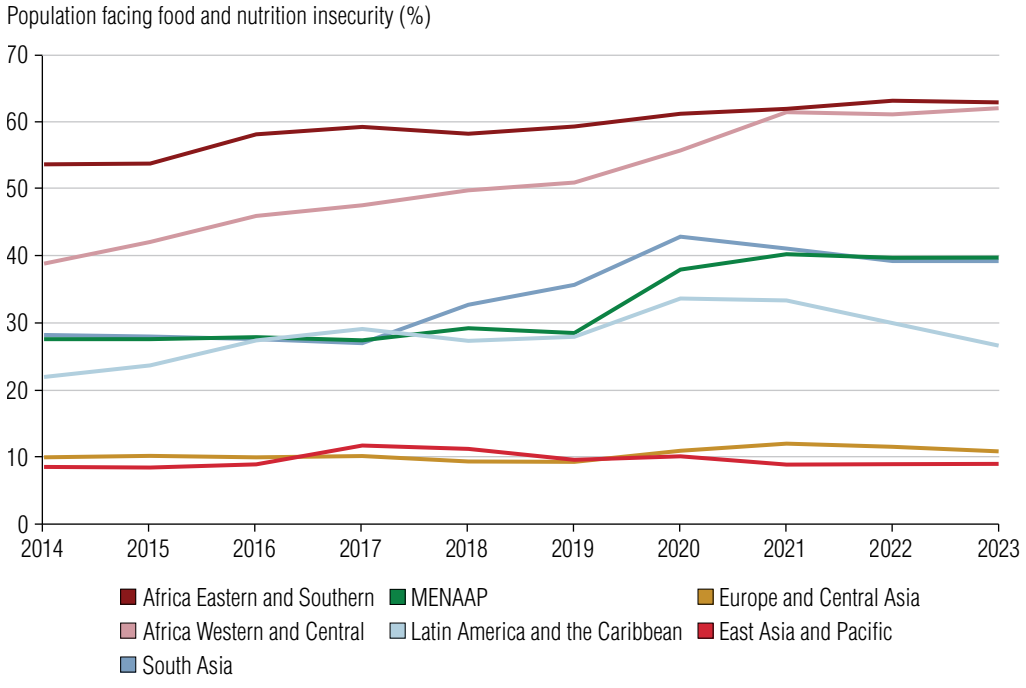
An estimated 7.8 percent of the world's population suffered from hunger in 2025, a modest decline relative to 2024 and 2023, when the shares were 8.1 percent and 8.6 percent, respectively. This is an important improvement, but it is fragile. The most recent estimates are above the prepandemic levels. The high food inflation of recent years has contributed to the slow recovery. According to projections, 510 million to 520 million people could still be chronically undernourished in 2030, of whom nearly 60 percent will be living in Africa.

The regional background behind these global aggregates is deeply uneven (refer to figure 3.9). Notable improvements in terms of a decline in food insecurity are evident in South Asia and in Latin America and the Caribbean. Africa and MENAAP have not recovered from the COVID-19 shock.

An indicator that is complimentary to the food and nutrition insecurity measure is the prevalence of undernourishment. Here, some achievements have been impressive. In South Asia, undernourishment fell from 19.5 percent to 10.6 percent between 2004–06 and 2023–25. This was a decline of nearly 100 million people. In Latin America and the Caribbean, the

FIGURE 3.9

Food insecurity trends have improved since COVID-19 in some, but not all, regions



Source: Data from FAO et al. 2026.

Note: MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

prevalence of undernourishment dropped from 8.5 percent to 5.1 percent over the same period, a decline of more than 13 million people. Whereas in Sub-Saharan Africa, the prevalence of undernourishment was stubborn, only slightly increasing, from 22.1 percent in 2004–06 to 22.3 percent in 2023–25, the highest rate of all regions. But with high population growth, stagnant prevalence translates into many more malnourished people: from 165.9 million to 277.4 million over the period (refer to chapter 1).

Food and nutrition insecurity are revealed in the poor physical growth of children. Stunting, which captures chronic malnutrition among children, imposes lasting costs on human capital through its effects on cognitive development, educational attainment, and physical capacity for work, and it is associated with substantially reduced earnings in adulthood (Galasso and Wagstaff 2019). As of 2024, 150.2 million children under age 5 were stunted. This is a prevalence of 23.2 percent, down from 180.4 million children (26.4 percent) in 2012. Nonetheless, the world is not on track to meet the 2030 target of a 40 percent reduction to 108 million children under age 5 who are stunted. The number of children affected by wasting and underweight (a subset of those stunted) is largely unchanged since 2012, at 6.6 percent and 5.5 percent, respectively. These nutritional outcomes connect directly to the WASH indicator. A child can consume adequate calories yet still be stunted if chronic exposure to fecal contamination triggers repeated diarrheal episodes that impair nutrient absorption.

The three drivers of food crises: Conflict, climate extremes, and macroeconomic shocks

Conflict is the dominant driver of acute food crises. The prevalence of acute food insecurity has remained persistently high for five consecutive years, fluctuating between 21 percent and 23 percent across the 47 countries and territories experiencing food crises (FAO and WFP 2026). The vast majority (80 percent) of the population living in acute food insecurity reside in economies with protracted crises, a total of 33 countries and territories. This underscores the difficulty of escaping acute food insecurity.

Climate extremes, including droughts, floods, and heat waves, are the second major driver, particularly in Sub-Saharan Africa and South Asia, where smallholder agriculture is dependent on rain. The exposure to climate hazards also affects jobs and income generation. A large share of the extreme poor among workers depend on agriculture. Their livelihoods are especially sensitive to climate variability and ecosystem degradation.

The third major driver, macroeconomic shocks, including elevated food inflation, has undermined purchasing power and access to healthy diets, especially among low-income populations. FAO et al. (2026) estimate that 2.6 billion people could not afford a healthy diet in 2024, and affordability was narrowing in Africa and many low-income economies even as the global number of those affected falls. By contrast, investments that raise agricultural productivity, improve irrigation and water security, and strengthen market access can simultaneously support food security, resilience, incomes, and employment.

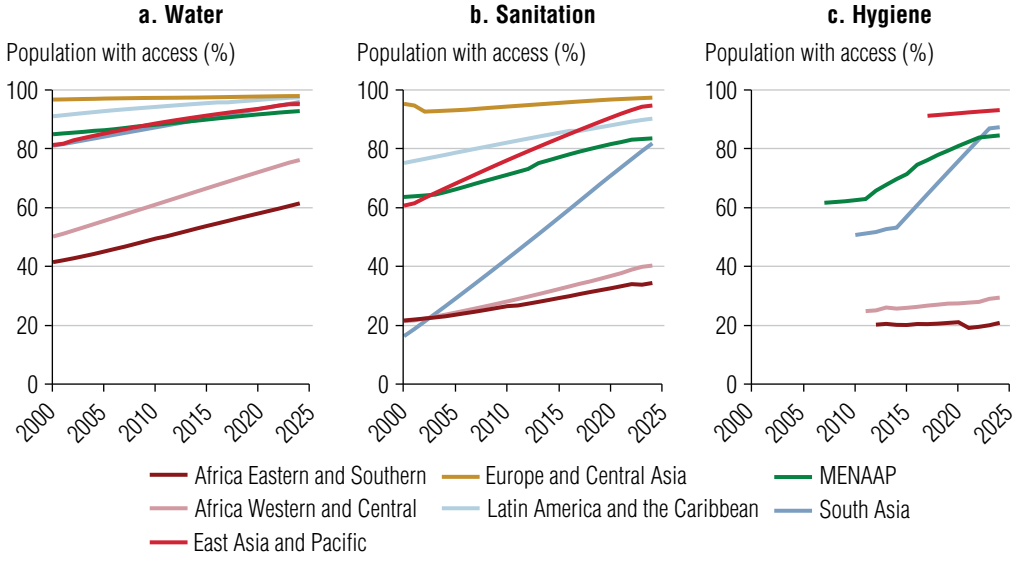
The current macroeconomic shock environment has been compounded by the conflict in the Middle East that began in early 2026, creating short-term risks and a projected rise in poverty (refer to chapter 1, box 1.2). The World Food Programme estimates that the conflict could potentially push 45 million additional people into acute hunger by mid-2026 (WFP 2026).

Water, sanitation, and hygiene

This indicator tracks household access to WASH across three service levels, ranging from basic access to the higher standard of safely managed services. Access to basic drinking water signifies access to water from an improved source within a 30-minute round trip. Basic sanitation indicates that improved facilities are not shared with other households. Basic hygiene refers to the existence of a handwashing facility with soap and water at home. Currently, 91.4 percent of the global population has basic access to drinking water, 82 percent have basic access to sanitation, and 78 percent have basic access to hygiene. The gains in the past two decades have been substantial, reflecting sustained investment and policy effort, but they are a low bar in consideration of the importance of WASH to development (refer to figure 3.10).

FIGURE 3.10

Access to drinking water, sanitation, and hygiene is improving, but there are lagging regions, particularly Sub-Saharan Africa



Source: JMP 2025.

Note: Water refers to drinking water from an improved source, provided that the total time required to collect the water, including queuing and the round trip, does not exceed 30 minutes. *Sanitation* indicates improved facilities that are not shared with other households. *Hygiene* is the availability of a handwashing facility with soap and water at home. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

Access to drinking water can be measured on a ladder of services. At the lowest rung, 9 percent of the global population lacks even basic access. These people cannot reach a structurally protected source, such as a piped supply, borehole, or protected well, within a 30-minute round trip. Among this population, 106 million people drink directly from untreated surface sources, such as rivers, lakes, and ponds. A much larger share—roughly one in four people, or 2.1 billion—lacks safely managed drinking water, a higher standard requiring that water be clean, available on premises, and reliably accessible if needed. Between 2015 and 2024, 961 million people gained access to safely managed drinking water, raising global coverage from 68 percent to 74 percent.[2] This progress is far from sufficient. On sanitation, 1.2 billion people gained access to safely managed services over the same period, lifting coverage from 48 percent to 58 percent. Open defecation is practiced by 429 million fewer people and has been eliminated in urban areas. Yet, 3.4 billion people still lack safely managed sanitation, including 354 million who continue the practice. On hygiene, 1.6 billion people gained access to basic services between 2015 and 2024, and global coverage rose from 66 percent to 80 percent. Nonetheless, 1.7 billion people are still without basic hygiene at home, including 611 million with no facility of any kind (JMP 2025).

Across the 94 countries with comparable data, water quality, measured by the absence of contamination, is the most common factor limiting access to safely managed drinking water, acting as the primary barrier in slightly more than half of all countries. Accessibility (whether water is available on-premises) and availability (whether the supply is reliable when needed) each constrain progress in roughly one quarter of countries. Progress in water quality has lagged behind the other two components. Infrastructure investments could expand physical access and improve reliability in relatively discrete steps. Ensuring that water is safe to drink requires ongoing pollution management, continuous monitoring, and sustained institutional capacity. This implies that quality improvements are slower, costlier, and more complex relative to the expansion of coverage alone.

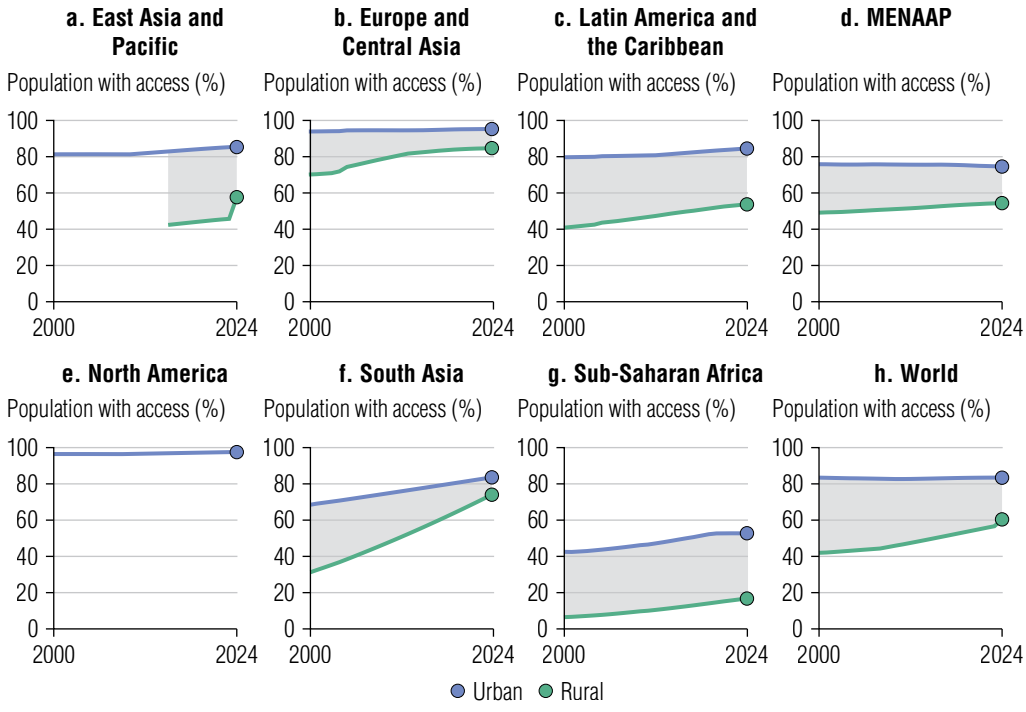
Where the gaps are largest

The inequalities in WASH access are stark and systematic. People are more than twice as likely to lack basic drinking water and sanitation and more than three times as likely to lack basic hygiene in low-income economies than elsewhere. Safely managed drinking water coverage is 38 percentage points lower in fragile settings than in other contexts.

Despite overall progress since 2000, access to safely managed drinking water remains deeply unequal between urban and rural populations across all regions. The divide is stark. Among urban residents, 83 percent had access in 2024 compared with only 60 percent among rural populations, leaving roughly one in four rural people worldwide without safe water (refer to figure 3.11). The inequality is most severe in Sub-Saharan Africa, where only 17 percent of rural residents have access, against 53 percent of urban residents, a gap of 36 percentage points and the lowest rural figure globally. Wide gaps also persist in Latin America and the Caribbean and

FIGURE 3.11

Access to safely managed drinking water is much lower in rural areas



Source: JMP 2025.

Note: MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

in MENAAP, where rural access has stagnated at around 54 percent, while urban populations enjoy rates of 75 percent–84 percent. Europe and Central Asia is a notable exception. There, the gap is nearly closed as urban and rural populations both approach universal access. The data make clear that location is one of the most powerful determinants of access to safe drinking water. Rural communities are consistently and substantially left behind.

The poverty-WASH nexus

WASH deprivation affects efforts in poverty reduction through several simultaneous pathways. Waterborne illness reduces labor productivity and school attendance. Cognitive development in children is impaired during critical periods by exposure to contaminants, such as arsenic and lead. Women's economic participation is constrained by both the time cost of water collection and the menstrual health consequences of inadequate sanitation facilities. Without adequate sanitation and hand hygiene, investments in water supply are systematically undermined. Contamination reenters the system at the household level, perpetuating cycles of disease even if infrastructure has evolved. Sanitation programs, in particular, remain chronically underfunded across many low- and middle-income economies, weakening the returns to broader water investments.

The view across all five indicators

Progress across the five indicators has been uneven, and some indicators are moving in the wrong direction. Access to WASH services continues to improve. There were measurable gains in safely managed water and sanitation coverage over 2015–24. However, large gaps persist in the poorest and most fragile economies. Food insecurity has stabilized, but at an elevated level, and the risk of reversal threatens. The prevalence of moderate or severe food insecurity has declined gradually since the pandemic-era peak, except in Africa. Key ecosystems are shrinking. In 2024, tropical primary forest loss reached the worst level on record. Fire is overtaking agriculture as the dominant driver for the first time and temporarily converting the land sector from a carbon sink to a carbon source. The share of people at high risk from climate-related hazards—approximately 1.5 billion—is the indicator most directly responsive to progress in development. Climate hazards are becoming more dangerous because climate change is generating extreme weather events at a pace that is outstripping the rate of decline in vulnerability. GHG emissions are at record levels and rendering global temperature goals more difficult to reach, even as declining emissions in a growing number of economies demonstrate that progress is possible.

One of the most important findings that emerges from an examination of the trends in all five indicators is that the populations most affected by each one are often in the same regions. The poorest people and the poorest economies did not cause global emissions to reach record levels, but they are affected the most by the climate hazards that are being intensified by the emissions. Their economic health is dependent on the ecosystems that are disappearing at a record clip. They are the most likely to go hungry if harvests fail or food prices spike. They are the least likely to have safe water and sanitation to protect their children from illness and support the human capital accumulation on which sustained poverty reduction depends. Investments in climate resilience are therefore also investments in poverty reduction.

Monitoring as a measure of the conditions for poverty reduction

Across all five indicators, data gaps are largest precisely where attention is most needed: in low-income and fragile and conflict-affected situation economies and in rural areas. Ecosystem monitoring captures area, but not quality. A hectare of degraded secondary forest is not equivalent to a hectare of intact primary forest in terms of carbon storage, biodiversity value, or the ecosystem services communities depend on. Food and nutrition monitoring captures caloric access better than nutritional quality, though expanding indicators on the cost and affordability of healthy diets are beginning to close that gap. WASH monitoring has strengthened substantially. The report of the World Health Organization–United Nations Children's Fund Joint Monitoring Programme for Water Supply and Sanitation (JMP 2025) now covers 160 economies, up from 95 in 2015. However, the safely managed tier remains the most difficult to measure in the lowest-income settings. The climate hazard risk indicator requires spatially resolved hazard data be

combined with household microdata on vulnerability. This is a technically demanding exercise that depends on national survey infrastructure precisely where the risk is greatest. Geospatial, satellite, administrative, and other digital data can help fill some of these gaps, including by improving hazard monitoring and early warning where household survey data are limited.

These measurement gaps matter in policy. Monitoring the five indicators is not a technical exercise detached from the poverty and prosperity agenda. It is a measure of the conditions under which poverty reduction must occur. A livable planet is not a parallel goal alongside ending poverty. The livable planet must be maintained to achieve and sustain poverty reduction.

Notes

1. The statistics in this section are drawn from FAO et al. (2026).
2. Safely managed drinking water refers to drinking water from an improved source that is accessible on the premises, available if needed, and free from fecal and priority chemical contamination. Basic drinking water access refers to drinking water from an improved source, provided that the total time required to collect the water—including queuing and the round trip—does not exceed 30 minutes.

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4

Tackling Poverty and Vulnerability Requires More Jobs and Better-Paying Jobs

Summary

- *Labor income accounts for the large majority of the household income of the poor. Where the share can be measured directly, it represents close to two-thirds of the household income among the poorest 40 percent of the welfare distribution. Human capital is the main asset of the poor, and, for many, the only asset. The routes into acquiring other assets, physical or human, are largely closed to the poor. Poverty reduction therefore runs through the labor market. This occurs along two margins: how much the poor work and how much they earn when they work.*
- *Rising earnings per worker have greatly contributed to poverty reduction. In 2003–24, growth in earnings per worker accounted for almost all welfare growth (that is, growth in consumption or income per capita) across every quintile. Increases in employment contributed little, and, among the poorest 60 percent, declining employment rates lowered per capita welfare growth. Efforts to raise employment remain crucial nonetheless because, for a household in which the only asset is labor, the employment of more labor is an opportunity to reduce poverty. More jobs are the first path to reducing poverty.*
- *The poor work almost as much as the nonpoor, but poor households generally have more dependents relative to nonpoor households. Employment rates among the poor cluster between 58 percent and 61 percent of working-age adults, against about 67 percent among the nonpoor. The gap is small or absent in poorer economies and wide in richer economies. Poor workers also work fewer hours than nonpoor workers in most countries among wage workers and the self-employed alike, a pattern that points to underemployment rather than to a preference for*

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shorter hours. Each poor worker supports roughly three times as many dependents as a worker at the top of the distribution. So, similar employment rates translate into far lower labor income per household member among the poor.

- *Barriers to employment among the poor are visible and growing. Gender-specific constraints are a key barrier. Employment among women is lowest and the gender employment gap widest in the lower middle of the global welfare distribution. Employment among the poor has been declining. In 2003–24, it fell in 88 of 138 economies and grew less or fell more among the poor than among the nonpoor in 99 of 137 economies.*
- *Closing employment gaps in poor households would reduce poverty by around a fifth. Raising employment in poor households to 75 percent of working-age adults—the rate poor men already attain and the level of two decades ago—lowers the poverty rate from 10.8 percent to 8.6 percent at the $3.00 line and from 51.3 percent to 42.0 percent at the $8.30 line.*
- *Better-paying jobs are the second path to reducing poverty. Poor people earn too little for three reasons: low human capital, concentration in activities with the lowest returns, and lower returns for the same work. At the $3.00 line, 66 percent of poor workers are in agriculture, and 79 percent in self-employment. Raising educational attainment among the poor to the nonpoor average would cut the extreme poverty rate by 45 percent; moving the poor into wage work, by 21 percent; and out of agriculture, by 18 percent.*
- *More jobs and better-paying jobs reach different poor people. Higher earnings do most for the poorest, most of whom work, but earn little. Higher employment rates do most for the near-poor in the lower middle of the distribution, where many adults in poor households—particularly women—do not work. Progress on both margins is needed.*
- *Panel evidence on 41 economies shows that the same change in a household's employment does not pay off equally everywhere. If the share of a household's working-age members in wage employment rises by 10 percentage points, the household's chances of escaping poverty improve by more than 2.0 percentage points in richer economies, but by only 0.8 points in the poorest economies, where self-employment yields a return close to that of wage work. Self-employment also reduces the risk of falling into poverty in rich and poor economies alike. So, the work that protects a household is not always the work that raises the household out of poverty.*

Introduction

Human capital is the main asset of the poor, and, among many of the poor, it is the only asset. Households at the bottom of the welfare distribution hold little land, capital, or savings. What they can draw on is their capacity to work and the human capital embodied in work (Bandiera et al. 2022; World Bank 1990). Whether such a household escapes poverty depends on whether its members work and enjoy decent earnings. Creating enough good

jobs is a complex challenge in every economy, and making the jobs agenda inclusive of the poor is more difficult still. The poor often live in rural or remote areas, bring less education and fewer skills to the labor market, and work in a narrow range of low-return activities.[1] The barriers between the poor and a decent income from work are higher than those the nonpoor face.

If the goal is to maximize the contribution to poverty reduction of policies that create jobs and raise what the jobs pay, two questions must be answered. The first is the employment question: whether the poor work and how much they work. The second is the earnings question: how much the poor earn for the work they do. These questions correspond to the two channels through which labor reduces poverty: more jobs and better-paying jobs. The central message of the chapter is that progress against poverty requires both. Raising employment among the poor would substantially reduce poverty, and the chapter quantifies by how much, but a large share of the poor already work, and, for these people, what matters is how little they earn. Each channel leads to a solution of only part of the problem.

The chapter addresses these two questions in turn. On employment, it shows that the poor work nearly as much as the nonpoor, that their employment rates have nonetheless been declining over the past two decades, that specific barriers hold the rates down, and that narrowing the resulting gap to a realistic benchmark would remove roughly a fifth of measured poverty at both the $3.00 and the $8.30 poverty lines (in 2021 purchasing power parity terms). Notwithstanding this potential, growth in employment has contributed far less than growth in earnings per worker to the poverty reduction of the past two decades. On earnings, the chapter asks why poor people earn so little when they work. It identifies three reasons: their low human capital; their concentration in activities with the lowest returns, such as agriculture and nonfarm self-employment; and the lower returns to the same work in poorer countries. It estimates by how much poverty would fall if each barrier were relaxed. Even where the poverty rate does not fall, such gains matter. The chapter shows that higher labor income, whether from more employment or higher earnings, considerably reduces the depth of poverty.

Two features define the scope of the analysis. First, the evidence is drawn from household surveys that report how much households earn and spend, but present little information on the firms that might employ household members. The chapter therefore examines the labor market from the household perspective: who works, at what, and for what return. The quantities and earnings the surveys record are realized outcomes, the joint result of the labor households supply and the demand for this labor, but they describe neither side of the market individually or thoroughly. The chapter does not model the decisions that generate the supply and demand: how household members are allocated between paid work and other uses of their time or how firms decide to create jobs. The approach represents a choice of focus, not a judgment that either side is less important. Household surveys do capture some production units, but these are the microenterprises that are run by the households directly and that

rarely employ anyone beyond household members. They differ fundamentally from formal firms. A full account of how jobs are created would draw on firm-level data the chapter does not analyze.[2] The focus on the poor is also a broader undertaking than may appear. Gauged by the higher of the chapter's two main poverty lines, $8.30-a-person-a-day, the poor are about half the world population.

The second feature that defines the scope of the analysis is measurement, which is a primary contribution of the chapter. Within the above confines, the chapter quantifies claims about the poor and their work that are commonly made in general terms: how much the poor work, how much less they earn if they work, and how much of the measured poverty is accounted for by each gap in work or in earnings. The measurement relies on household surveys harmonized so that a household's place in the welfare distribution and the labor-market status of its members can be observed together and in a consistent manner to be compared across more than 130 economies and followed over the two decades from 2003 to 2024: the kind of recurrent monitoring of the poor's circumstances that this report series was built to sustain. The chapter probes beyond the familiar observation that the poor are concentrated in agriculture and self-employment in three ways: global simulations of how far poverty would fall if employment or earnings among the poor rose to realistic benchmarks estimated across the developing world rather than in a single country, a within-country comparison of the hours the poor and the nonpoor work, and panel evidence on the labor market transitions that move households into and out of poverty.[3] Each of these methods is brought to bear on the question the chapter sets out to answer: how to maximize the impact of the jobs agenda on poverty reduction.

People earn most of their income from work, especially the poor, whose human capital is often their only asset

For most people, labor income is the most important component of income. This is especially true among the poor. Middle-class and richer households draw on a diversified portfolio as they earn rents from land and other physical and financial capital, in addition to income from their own work. The poor have little to fall back on beyond their own labor because labor is nearly the only productive asset the poor own. This observation is not new. As Fields (2011) puts it, the main and often the sole asset of the poor is their labor. Understanding poverty thus requires an understanding of labor markets. The policy corollary is equally well established. *World Development Report 1990* identifies the first element of an antipoverty strategy as the effort "to promote the efficient use of the poor's most abundant asset: labor" (World Bank 1990, iii), and the framing has anchored the World Bank's approach to poverty ever since.

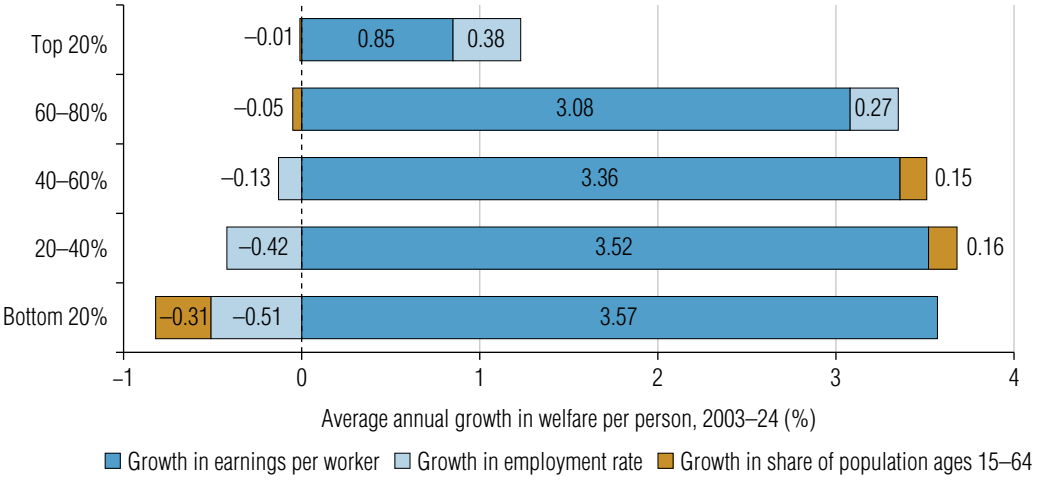
Rising earnings per worker have greatly contributed to poverty reduction

Through which margin has labor delivered welfare growth among the poor: more household members in work or higher earnings for each worker? To answer this question, this chapter decomposes the growth in welfare per person over the last two decades into the parts attributable to three components: growth in welfare per worker, growth in the rate of employment among working-age adults, and growth in the share of the population that is of working age.

Figure 4.1 reports the result. In every quintile, growth in earnings per worker—the dark blue component—accounts for almost all the growth in welfare per person between 2003 and 2024.[4] The contribution of the changing share of the working-age population is small throughout.[5] The contribution of employment is small as well, and, among the poor, it is negative. Across the bottom three quintiles, the employment term is subtracted from welfare growth. It turns positive only among the upper two quintiles. Earnings do not merely lead. Among the poorest households, they must more than compensate for an employment margin that is contracting.

FIGURE 4.1

Earnings per worker drove welfare growth in every quintile; employment contributed negatively to welfare growth among the poor



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.
Note: Each bar decomposes average annual growth in welfare (consumption or income) per person, 2003–24, into three additive components: earnings per worker (household welfare, divided by the number of workers), the employment rate among working-age adults, and the working-age share of the population. *Working age* is defined as ages 15–64. A robustness check using ages 25–64 is reported in annex 4F. The population is divided into five welfare quintiles, from poorest to richest.

The employment decline that reduces welfare growth is documented country-by-country below. Employment rates among the poor fell in most of the world over this period, and they fell below the rates among the nonpoor.[6]

That the employment term is negative among the poor is not only an accounting fact. It represents a missed opportunity. Had employment among the poorer 60 percent simply held steady rather than contracting, welfare growth among these households would have been greater, and poverty would have been reduced more than it was. The historical record is therefore not evidence that raising employment is ineffective. The counterfactual constructed below shows the opposite, that is, closing the employment gap would reduce poverty substantially. The record shows instead that this potential has gone unrealized.

Asset ownership is largely out of reach for poor households; so, efforts to increase income from work are crucial to poverty reduction

In low- and middle-income economies as in high-income economies, income from the poor's own work—wage labor, together with self- and farm employment—accounts for the large majority of the household income of the poor (Gasparini et al. 2011; Leibbrandt et al. 2010; Piketty 2014).

The evidence is derived from two distinct literatures. The first measures income shares directly in settings where labor and capital income are separately recorded: harmonized household surveys in Latin America (Gasparini et al. 2011), comparable series in South Africa (Leibbrandt et al. 2010), and tax-based decompositions in rich economies, where the bottom half of the distribution earns income almost entirely from labor (Piketty 2014). In these data, capital income is a measured category and is close to zero at the bottom of the income distribution. Across 18 Latin American countries, it averages under 3 percent of total income, and the richest quintile accounts for roughly four-fifths of what little is recorded (Gasparini et al. 2011). In South Africa, it contributes about 1 percent of income in the poorest decile (Leibbrandt et al. 2010). The harmonized surveys assembled in the World Bank's Global Monitoring Database (GMD) permit the same direct decomposition.[7] In Latin America and the Caribbean, the only region in which the GMD currently supports the labor-capital split, labor income accounts for close to two-thirds of total income among the poorest 40 percent of the distribution. This figure is a lower bound on the labor share because pensions (and possibly remittances) are classified as nonlabor income in the underlying data. Pensions are more naturally understood as deferred labor income, reflecting past contributions from work. Treating them as such would raise the measured share.

The second literature decomposes rural incomes into farm and nonfarm components (Banerjee and Duflo 2007; Davis et al. 2010, 2017; Haggblade et al. 2010). Here, capital income does not appear as a separate category. Across 41 surveys in Sub-Saharan Africa, onfarm activity alone supplies about half the income of the poorest quintile, and nonfarm wage employment only

8 percent (Davis et al. 2017). In rural India, the lowest quintile draws more than a quarter of its income from agricultural wage labor, the lowest return form of work, a share that falls to 2 percent at the top (Haggblade et al. 2010).

The sectoral focus of this literature is relevant because most of the poor are working in agriculture, but sector of work is not the same as source of income. Farm income is mixed income. It is the joint return to household labor, land, tools, livestock, and seeds. Household surveys in agrarian settings cannot separate the labor return from the capital return because wages for family farm labor and the rental rate for family-owned land or equipment are difficult to measure or estimate. This literature therefore does not yield a single clean quantitative labor income share for the poor. But, among poor households, the capital component embedded in farm income is small because their holdings of land, tools, and savings are minimal (Banerjee and Duflo 2007)—not literally zero, but minor. In sum, even though the decomposition cannot be made precisely, farm income among the poor is mostly a return to labor.

Poor households do not have diversified income sources because the routes into asset ownership are largely closed to them and because human capital is difficult to build. The first obstacle is the cost of acquiring productive assets in the presence of imperfect credit markets. Investing in physical or human capital typically requires an outlay that must be financed up front. Where credit markets are imperfect, borrowing to finance this investment requires collateral the poor do not have. Households with wealth that falls below the threshold at which investment becomes feasible therefore cannot invest and remain confined to supplying labor. The resulting distribution of who owns capital and who supplies labor reproduces itself across generations (Carter and Barrett 2006; Galor and Zeira 1993). Empirical evidence bears this out. Wealth is far more concentrated than income. Land, in particular, is distributed more unequally than income in nearly every country in which both can be measured. So, the assets that generate nonlabor income are precisely those the poor are least well positioned to accumulate. The limited credit that reaches poor households is thus often rationed at high cost (World Bank 2005).[8]

The second obstacle concerns the poor's single asset. Human capital is difficult for poor households to accumulate, and the disadvantage is transmitted from parents to children. Intergenerational mobility in education—the degree to which children's schooling can exceed the schooling of their parents—is markedly lower in developing economies than in high-income economies, and, within the developing world, the prospects of upward movement from the bottom of the distribution have narrowed among more recent cohorts (Narayan et al. 2018). The mechanisms operate early and cumulatively. Steep wealth gradients in schooling persist across the developing world (Filmer and Pritchett 1999). More than half the children in low- and middle-income economies cannot read and understand a simple text by age 10 (World Bank 2018). Childhood stunting—concentrated among the poor—permanently impairs cognitive development and adult earnings (Victora et al. 2008), and gaps in skills open up before school begins and are compounded with age (Heckman 2006). The result is a self-reinforcing cycle:

Poverty erodes the human capital that is the poor's principal asset, which depresses what their labor can earn, which then perpetuates the poverty that began the sequence.

Because the routes to other assets are closed and human capital is slow to build, the welfare of poor households shifts with their labor income alone. Efforts to increase employment are crucial for exactly this reason. For a household in which the only asset is labor, employing more labor is a direct route out of poverty.

Employment rates are slightly lower among the poor than among the nonpoor, and poor households show higher dependency ratios

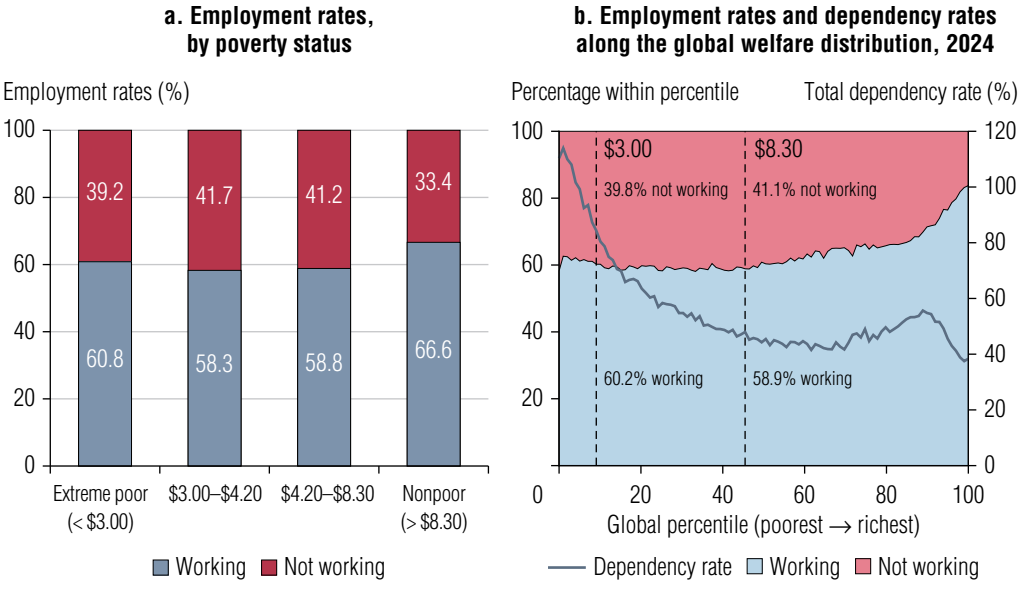
This subsection takes up the first of the chapter's two major questions, how much the poor work. The answer has two parts: whether working-age adults are working at all and, among those working, how many hours they work. The poor fall slightly short of the nonpoor on both counts. Across the global welfare distribution, employment rates among the poor are only modestly below the rates among the nonpoor, and poor workers work somewhat fewer hours. The rest of the chapter turns to the second major question: the type of work the poor do and the earnings from this work.

Among the poor, the share of working-age adults in employment clusters between roughly 58 percent and 61 percent regardless of how poor they are. The share reaches about 67 percent only among the nonpoor—a gap of some 6 percentage points (refer to figure 4.2, panel a). The pattern holds across the entire distribution. Figure 4.2, panel b, traces employment rates by global welfare percentile in 2024. The rates rise from the bottom of the distribution to the top, but the increase is small compared with the enormous differences in welfare between the poorest and the richest percentiles.[9]

What matters for household welfare is not only the share of adults who work, but how many people each worker must support. On this measure, the poor and the nonpoor diverge sharply. Figure 4.2, panel b, plots the total dependency ratio: children ages under 15 and adults ages more than 65 per 100 working-age adults across the global welfare distribution. The ratio falls steeply as welfare rises, from about 110 at the poorest percentiles to about 38 at the top. A working-age adult near the bottom supports roughly three times as many dependents as one near the top. This dependency gradient reflects the demography of poverty (refer to chapter 1). Poor families have more children both because higher-fertility households are more likely to be poor and because low-income countries are at an earlier stage of the demographic transition, where the share of children is structurally high. Similar rates of employment among adults therefore translate into different labor income per household member. So, the 6-point participation gap understates the disadvantage the poor face in converting work into welfare for the entire household.

FIGURE 4.2

The poor work almost as much as the nonpoor, but each poor worker supports far more dependents relative to nonpoor peers

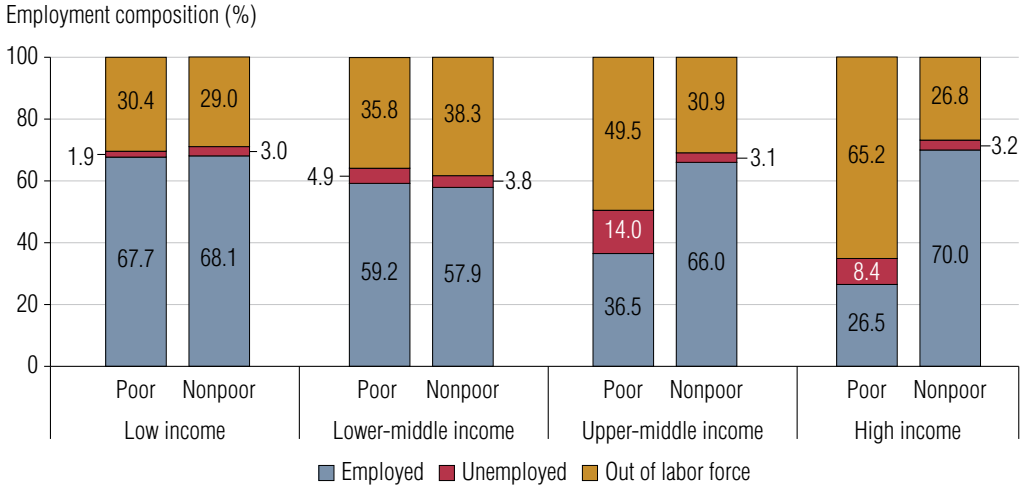


Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.
Note: Employment rates give the share of the working-age population in work. Working-age population is defined as ages 15–64. Panel b: The dependency rate is the number of dependents (ages 0–14 and 65+) per 100 working-age adults [(0–14) + (65+)] / (15–64) × 100. The global welfare distribution ranks individuals by household consumption or income per capita. Vertical dashed lines denote the $3.00- and $8.30-a-person-a-day poverty lines (in 2021 purchasing power parity terms).

The near-parity of the employment rate between the poor and the nonpoor is a global average. Grouping countries by income level yields a simple typology of the employment gap. At the $3.00 line, the poor work about as much as the nonpoor in low-income economies (67.7 percent against 68.1 percent) and slightly more in lower-middle-income economies (59.2 percent against 57.9 percent). The gap widens with country income. Employment among the extreme poor falls to 36.5 percent in upper-middle-income economies and to 26.5 percent in high-income economies, against roughly 66 percent and 70 percent among the nonpoor (refer to figure 4.3). The counterpart is inactivity rather than unemployment. The share of people out of the labor force among the poor rises from about 30 percent in low-income economies to 65 percent in high-income economies. A plausible hypothesis is that, where social protection is absent, the poor must work to survive, whereas safety nets and higher reservation wages in richer economies make nonparticipation feasible. Two cautions apply. First, the extreme poor in high-income economies are a small and selected group. So, their measured employment rate is based on few observations. Second, the relationship is descriptive, not causal. With these caveats, the pattern is clear. The employment gap between the poor and the nonpoor is small or absent in poorer countries and wide in richer countries.

FIGURE 4.3

Employment composition of the poor and the nonpoor, by country income group



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Each pair of bars gives the share of the working-age poor and nonpoor who are employed, unemployed, or out of the labor force, by country income group. Poverty is defined at the $3.00-a-person-a-day line (in 2021 purchasing power parity terms).

Barriers to employment among the poor are visible and have been growing over the last two decades

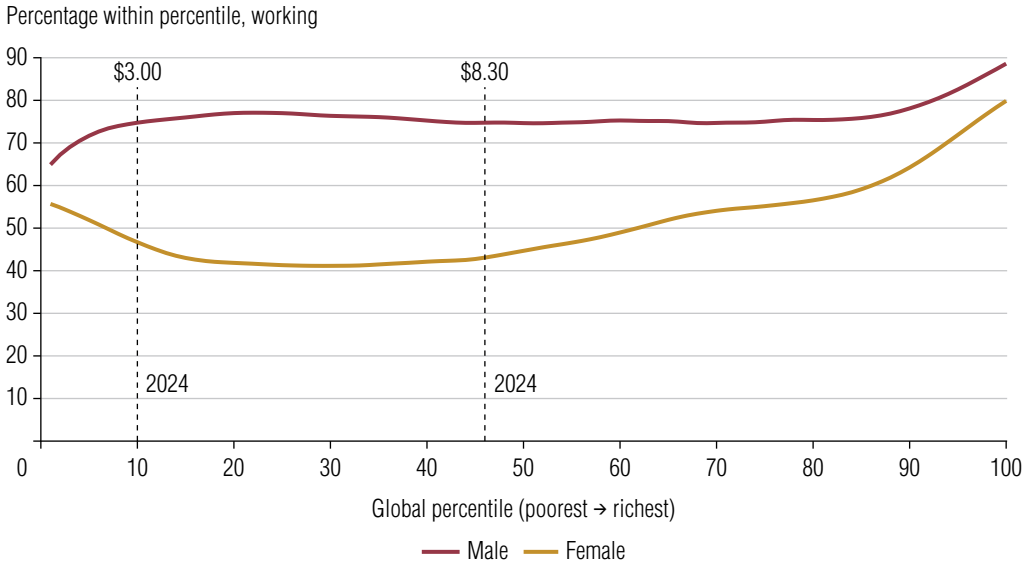
While joblessness is not an obstacle specific to the poor, this section shows that the picture is more complex. The poor face distinct or exacerbated barriers to finding jobs, and their employment rate has expanded less or declined more relative to the rate among the nonpoor. Indeed, increasing the rates at which the poor are working would reduce poverty considerably.

Gender-specific constraints are a key barrier to more employment among the poor

The labor market participation patterns described above differ by gender (refer to figure 4.4). Male employment rates are high and relatively flat across most of the global welfare distribution, rising only in the top percentiles. Female employment rates across countries trace a U-shape. Relatively high at the lower income levels, the rates fall to their lowest levels across the lower middle of the distribution and rise again across roughly the upper half. The gender gap that separates the two profiles is widest in the lower middle of the distribution—around the 20th to 40th percentiles—and narrows at both ends, closing partially among the poorest and converging toward parity among the richest.

FIGURE 4.4

Female employment follows a U-shape, and the gender gap is widest in the lower middle of the distribution



Sources: Calculations based on Bussolo, Lakner, et al. 2026; Global Monitoring Database (version September 2026), internal database, World Bank.
Note: The figure plots the share of men and women in work within each percentile of the global welfare distribution in 2024. Working-age population is defined as ages 15–64. Vertical dashed lines denote the $3.00- and $8.30-a-person-a-day poverty lines (in 2021 purchasing power parity terms).

This shape is well established in the literature on female labor force participation and economic development (Boserup 1970; Durand 1975; Goldin 1994). The theory is that, at low incomes, female participation is relatively high because the need to secure subsistence outweighs the low returns to women's work and because of the dominance of subsistence agriculture, which has low barriers to entry. The theory posits that, as incomes rise, the income effect dominates and participation falls because women's wages at this higher level are too low to pull women into the labor force. At higher incomes, the substitution effect dominates as rising wages and education draw women back into employment. However, the relationship is correlational rather than causal. Many countries, particularly in the Middle East and South Asia, sit well below the curve and do not demonstrate a U-pattern in the country development path over time (Gaddis and Klasen 2014). Moreover, trends in female labor force participation rates across regions are inconsistent with the U-shape suggested by the cross-sectional pattern (Klasen 2019).

The gender employment gap reflects constraints that fall specifically on women and interact with the conditions of poverty. Available and affordable childcare, safe and affordable transport, and prevailing social norms about women's roles all shape whether women in poorer households can take up any employment and, if they do, the type of employment

they can pursue. These constraints bind women differently along the distribution relative to men (Bussolo et al. 2024; Field and Vyborny 2022; Jayachandran 2021). They are visible in a snapshot of who is working today. The next subsection turns to the record over time, in which the barriers to employment show up as a two decades-long decline in the share of the poor who work.

Employment rates among the poor have been declining

Over the last two decades, employment rates among the poor have fallen in most of the world, and they have fallen more quickly—or risen more slowly—among the poor than among the nonpoor in the same countries.

Figure 4.5 sets out the evidence country-by-country. Panel a plots the employment rate of the $8.30-a-person-a-day poor in each economy in 2024 against the corresponding level in 2003. The points below the 45-degree line are countries in which employment among the poor declined. The majority of the points lie below the line, indicating the employment among the $8.30-a-person-a-day poor fell between 2003 and 2024 in 88 of 138 economies. Panel b compares the annualized change in employment among the poor with the change among the nonpoor in the same economy. The majority lies below the 45-degree line in 99 of 137 economies, indicating that employment rates expanded less or contracted more among the poor than among the nonpoor.

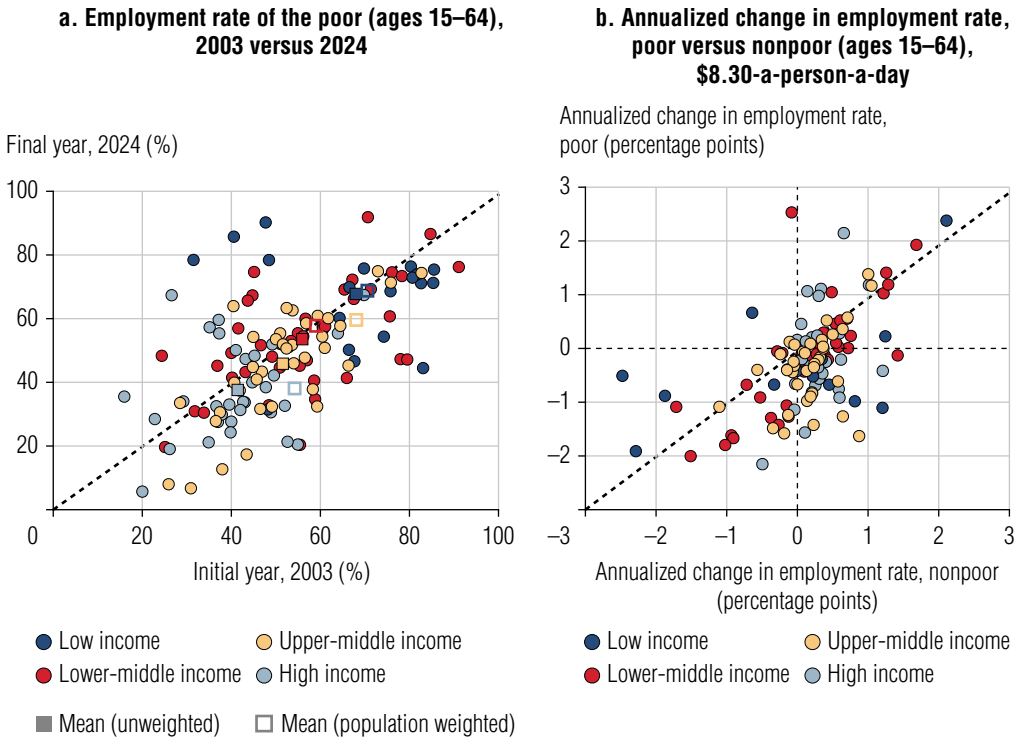
The decline does not reflect whether young people stay longer in school. Splitting the working-age population into a 15–25 group and a 25–64 group shows that the two-decade fall in employment is larger among the younger group, consistent with rising school enrollment—a welcome development. But a decline of about the same magnitude is also present among the 25–64 group. So, longer schooling does not account for the decline (refer to annex 4F).

Several mechanisms may explain this decline, none of which is explicitly tested here. One explanation is compositional. More and better work will reduce poverty, and, so, as poverty falls, as observed in this time period, there may be a compositional effect driving the decline in employment rates among the poor. Thus, in later years, one could expect that households that are in poverty are more entrenched in terms of the lack of access to work. The pattern of employment across the distribution in 2024 does not offer support to a compositional effect driven by two decades of poverty reduction. Employment is slightly higher among the extreme poor, at 60.8 percent, than among households between the extreme poverty line and $4.20-a-person-a-day (58.3 percent) (refer to figure 4.2, panel a).

The uneven pace of structural transformation is a second mechanism. As agriculture's share in employment falls, the nonagricultural sector often creates too few jobs to absorb the workers leaving agriculture. Across emerging and developing economies, more rapid

FIGURE 4.5

Employment rates among the poor have declined in most countries, widening the gap between the poor and the nonpoor



Sources: Calculations based on Bussolo, Lakner, et al. 2026; Global Monitoring Database (version September 2026), internal database, World Bank.

Note: The *poor* are defined at the $8.30-a-person-a-day line (in 2021 purchasing power parity terms). Each point is an economy. In panel a, points below the 45-degree line are economies in which the employment rate among the poor fell between 2003 and 2024 (88 of 138 economies). In panel b, the axes show annualized changes in the employment rate among the poor and the nonpoor. Points below the 45-degree line are economies in which employment grew less or fell more among the poor than among the nonpoor (99 of 137 economies).

productivity growth has, on average, accompanied a falling rather than a rising employment-to-population ratio. The decline is steepest early in development, when agriculture's employment share is still high (Ohnsorge et al. 2026; Rodrik 2016). Because the poor are concentrated in agriculture, they are the first to be affected if the frequency with which labor leaves agriculture outpaces the ability of other sectors to absorb the labor. A third, more tentative channel is technological. Skill-biased technical change and automation may lower the relative demand for less well educated workers, though, in developing countries, the evidence bears more on the widening skill premium than on the levels of employment.

Fourth, the gender-specific constraints taken up in the previous subsection bind most tightly among the poor. The same demand-side shortfall underlies the parallel decline in women's participation because capital-intensive services create few jobs for women leaving a contracting agricultural sector (Deshpande and Singh 2024). These mechanisms are not mutually exclusive.

The country-by-country changes illustrated in figure 4.5, panel b, also indicate why the potential of the employment margin has been difficult to realize. The changes cluster near zero among the poor and the nonpoor alike. So, in most economies, employment rates shifted within a narrow band over two decades.

Closing employment gaps among poor households would reduce poverty by around a fifth

The subsections above establish that employment among the poor has been falling and that specific, identifiable barriers—the gender gap prominent among them—hold it down. This raises a quantitative question: How much would poverty decline if these barriers were relaxed? This question is answered by simulating the poverty effects of a rise in employment among poor households to a realistic benchmark.

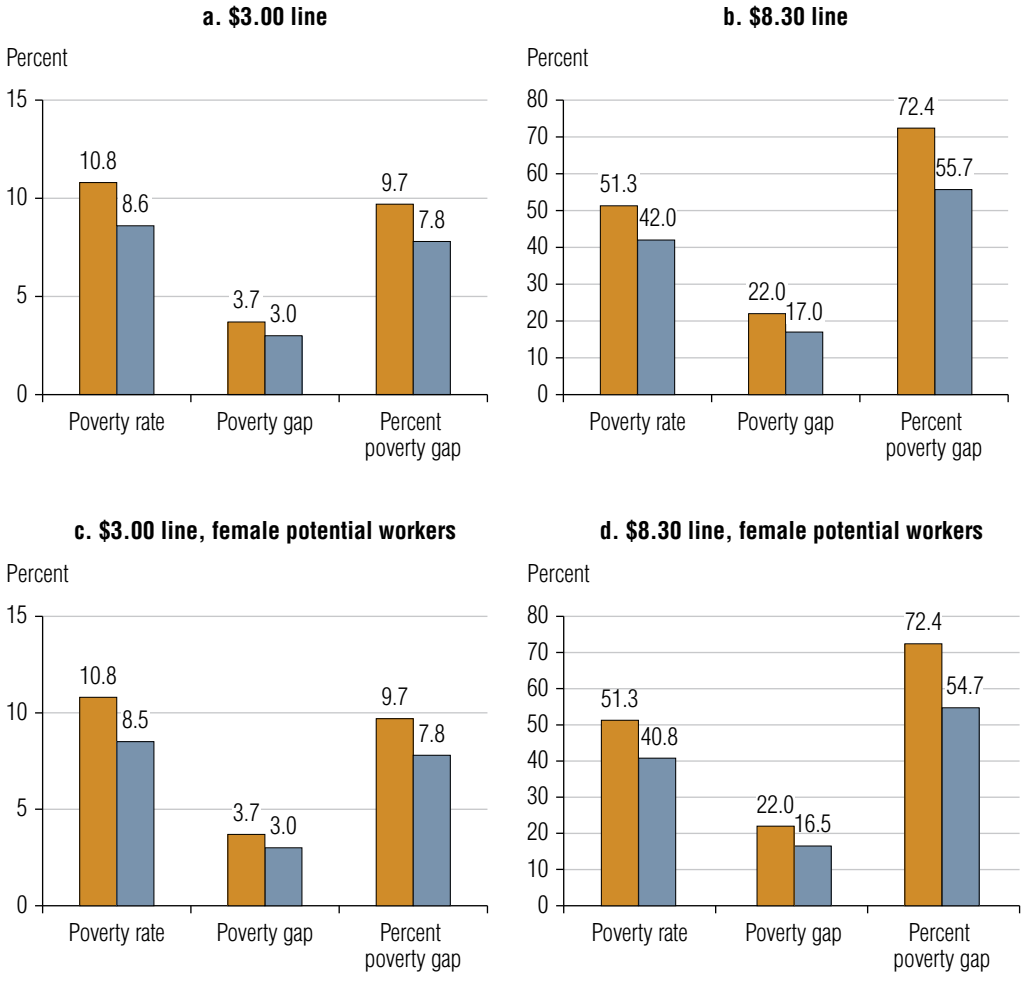
The benchmark is an employment rate of 75 percent among working-age adults in poor households. This is achieved by assigning currently nonworking adults to work—each at the household's own observed welfare per worker—until the household reaches the rate. This is purely an accounting exercise. It does not consider general equilibrium effects. So, wages do not change, and no existing worker is displaced. A 75 percent target is not arbitrary. Three independent considerations determine this target. It is approximately the level that would restore the employment the poor have lost over the last two decades. It is also the rate at which men in poor households already work. So, reaching it amounts to closing the within-household gender gap. It is likewise the employment rate prevailing among the top quintile of the global distribution. Restoration, gender equalization, and convergence to richer households thus point to the same benchmark, and the increment it implies—about 15 percentage points above the current rate of roughly 60 percent—is consistent with levels that have actually occurred.[10]

Closing the gap to this benchmark significantly reduces poverty at both international poverty lines (refer to figure 4.6). At the $3.00 line, the poverty rate falls from 10.8 percent to 8.6 percent, a reduction of about a fifth. At the $8.30 line, it falls from 51.3 percent to 42.0 percent, also about a fifth. The poverty gap and the percent poverty gap fall by similar or somewhat larger proportions at each line. The percent poverty gap is the poverty rate, multiplied by the average percent increase in income

a poor person requires to reach the poverty line (refer to annex 4B). These are large effects for a single margin. They confirm that the employment deficit among the poor is consequential. Shifting participation to a level the poor themselves attain among men and attained more broadly two decades ago would lift a substantial share of households out of poverty.

FIGURE 4.6

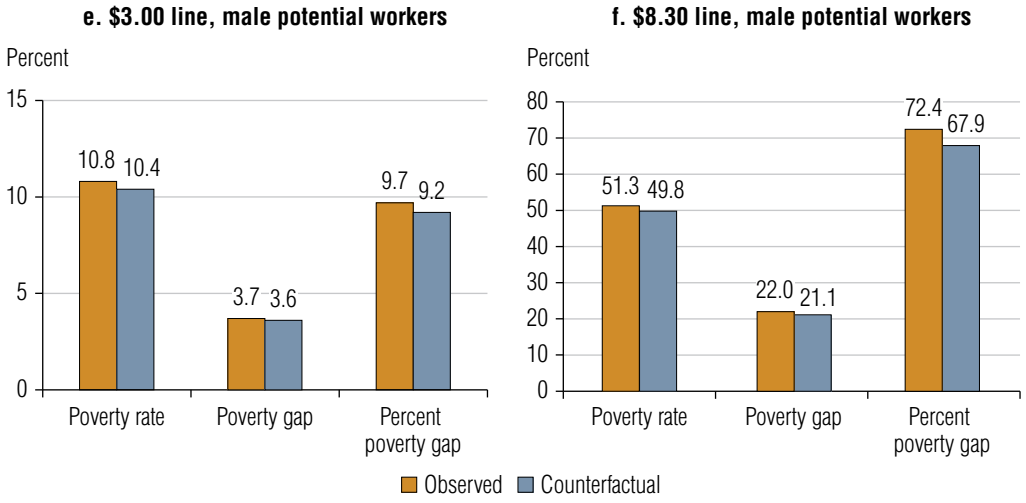
Closing employment gaps among poor households to a 75 percent benchmark reduces poverty by about a fifth, and raising women's employment alone does as much



(continued)

FIGURE 4.6

Closing employment gaps among poor households to a 75 percent benchmark reduces poverty by about a fifth, and raising women's employment alone does as much *(continued)*



Sources: Calculations based on Bussolo, Lakner, et al. 2026; Global Monitoring Database (version September 2026), internal database, World Bank.

Note: In panels a and b, the counterfactual assigns nonworking adults (ages 20–64) in poor households to work, each at the household's observed welfare per worker, up to a household employment rate of 75 percent (in a gender-blind fashion). The observed bars show the baseline, and the counterfactual bars show the simulated outcome in the poverty rate, poverty gap, and percent poverty gap. Poverty lines are $3.00- and $8.30-a-person-a-day (in 2021 purchasing power parity terms). The exercise holds wages, sector composition, and the number of existing workers fixed. Panels c to f apply the same benchmark to women and to men separately. Nonworking women (men) are assigned to work, each at the household's own observed welfare per worker, until women's (men's) employment in the household reaches 75 percent.

The aggregate reduction is shared across countries, though unevenly. Applied country-by-country, the counterfactual lowers the poverty rate everywhere, but the size of the reduction varies systematically with how poor the country is to begin with (refer to annex 4C). The largest poverty reductions—on the order of 20 to 25 percentage points—occur in countries at moderate observed poverty levels. The reductions are smaller in countries in which poverty is already low because few households are poor to begin with, so few can be lifted across the line. They are smaller again in countries in which poverty is deep because most poor households sit far below the line, and welfare per worker is often too low for an added worker to carry a household across the line. This pattern is specific to the poverty rate, which registers only households that cross the poverty line. The poverty gap and the percent poverty gap, which account for welfare gains among poor households whether or not the households cross the line, fall roughly in proportion to the observed levels of the gaps across the full range of countries, including the poorest.

One feature of the result warrants comment. The simulation reduces poverty more at the $8.30 line than at the $3.00 line. The reason depends on the sorts of households each version reaches. The $8.30 simulation additionally mobilizes workers in households between the two lines, where a larger share of working-age adults is currently not working. Much of this capacity is represented by women. As the above subsection on gender-specific barriers shows, women's employment is lowest across the lower middle of the distribution. So, it is there that raising household employment to the benchmark draws in the largest number of new workers.

Two variants of the simulation apply the benchmark to women and to men separately and show how much of the result resides in women's employment. One assigns nonworking women to work until 75 percent of working-age women in the household are employed; the other does the same for men, each on the terms of the household-level exercise (refer to figure 4.6, panels c–f). Raising women's employment to the benchmark lowers the $3.00 poverty rate from 10.8 percent to 8.5 percent and the $8.30 poverty rate from 51.3 percent to 40.8 percent; raising men's employment lowers the corresponding rates from 10.8 percent to 10.4 percent and from 51.3 percent to 49.8 percent. The poverty gap measures follow the same pattern. At the $3.00 line, the percent poverty gap falls from 9.7 percent to 7.8 percent under the women's variant and to 9.2 percent under the men's. The men's variant is small because most men in poor households already work at or above the benchmark. For the same reason, the women's variant adds more workers than the household-level exercise. In the latter, men's employment above the benchmark counts toward the household rate. So, fewer women need to be drawn in to reach the benchmark, whereas the women's variant raises women's employment to the benchmark regardless of how many men work.[11] The two variants are therefore separate exercises rather than a split of the household-level result. Their effects do not sum to the household-level result, and the women's variant lowers poverty slightly more relative to the household-level exercise. The poverty reduction available through more work among the poor is thus, in practice, poverty reduction through more work among women.

The exercise is a deliberately optimistic benchmark reached by assumption rather than by an analysis of the likely impacts of the policies that would tend to attain the benchmark. Even on these favorable terms, increases in employment alone reduce poverty by only a fifth. This effect is modest because the simulations assume that the additional workers earn the household's own observed welfare per worker.[12] If these earnings are low, the impacts on household welfare are limited.

Better-paying jobs represent the second path to poverty reduction

The employment counterfactual in the above section does more than measure what raising participation could achieve. By moving the quantity of work to a realistic upper bound, it isolates what employment cannot do. Even if nonworking adults are put to work, poverty falls by about a fifth, but it is not eradicated. The remaining poverty cannot be attributed to the poor

who are not working because, in the counterfactual, employment rates are at 75 percent. This turns the statement that the poor earn too little from a near-tautology to a finding. That the poor have low income is true by definition. That their poverty survives once their labor matches the quantity of labor richer households supply is not. The poverty that remains is the poverty more work does not remove.

The earnings shortfall that remains is large. Dividing the percent poverty gap by the poverty rate recovers the average percent increase in income the poor require to climb to the poverty line. After the employment counterfactual, the percent poverty gap at the $3.00 line is 7.8 percent, and the poverty rate is 8.6 percent, implying that the average poor person would need to raise their earnings by about 91 percent to cross the line. At the $8.30 line, the corresponding rise is 133 percent.[13] Even if 75 percent of its working-age adults in every poor household is employed, escaping poverty would require the earnings of the poor to double at the lower line and more than double at the higher line.

Among the poorest, almost none of the poverty that remains represents a problem of participation. As the above subsection on employment rates shows, the extremely poor already work at rates close to the rates among the nonpoor. So what holds them below the poverty line is the price of their labor (their earnings) rather than the quantity of their labor. Earnings can rise by two means: through a higher return to the work the poor already do or through a move into more productive activities. The rest of this section examines the barriers that stand in the way of such a rise.

One qualification of the quantity-versus-price framing concerns the intensity of work, that is, the hours the poor supply, which the participation rate does not capture. Box 4.1 discusses this qualification in detail.

BOX 4.1

Hours and underemployment: The intensive margin

The employment rate captures whether a person works, not how many hours the person works in a given period, that is, it captures the extensive margin, not the intensive margin. The empirical literature has approached the intensive margin in two ways. The first compares average hours across countries at different income levels. The cross-country evidence is contested. Bick et al. (2018), using a harmonized sample of about 50 economies, find that hours worked per adult fall in richer economies. Gethin and Saez (2026), drawing on a far larger set of economies representing most of the world's population, find, instead, that the cross-country relationship is close to flat. Their result is mildly bell-shaped. National income explains little of the variation in hours. The matter is unsettled.

The second approach, more relevant here, compares hours within economies across the earnings distribution: whether poorer workers work more or fewer hours than richer workers in the same economy. Direct evidence is thin. Bick et al. (2018)

(continued)

BOX 4.1

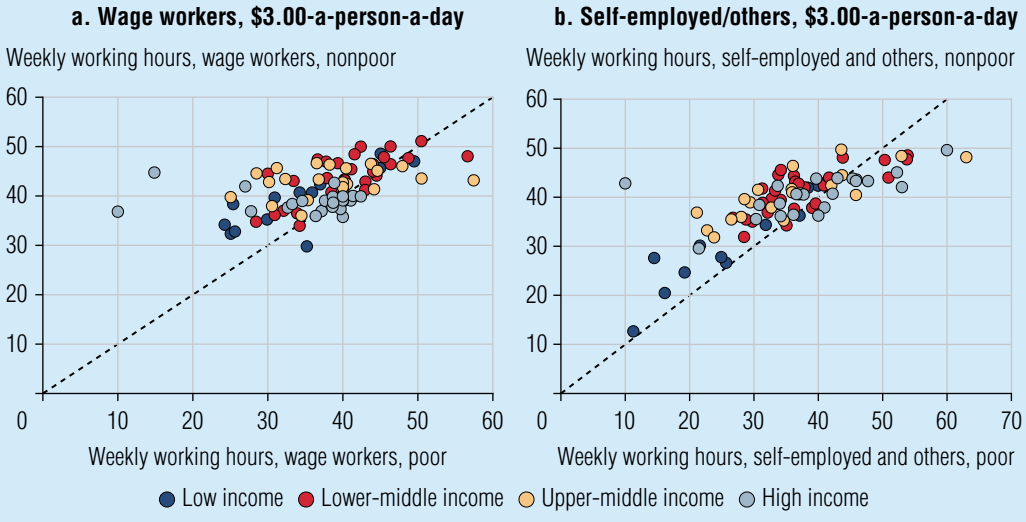
Hours and underemployment: The intensive margin *(continued)*

appear to be the main source, but it points one way. They estimate an elasticity of hours worked with respect to the hourly wage of about –0.09. As the hourly wage falls, hours rise, a gradient strongest in the poorer economies and fading, sometimes reversing, in the richer economies. The intuition is that, where pay per hour is low, workers must work longer to reach a subsistence income.

The Global Monitoring Database supports a direct comparison of hours by poverty status, country-by-country. Figure B4.1.1 plots mean weekly hours of poor against nonpoor workers at the $3.00 line, for wage workers (panel a) and for the self-employed (panel b). A point above the 45-degree line marks an economy in which the nonpoor work longer hours relative to the poor. In most countries, the poor work slightly fewer hours than the nonpoor in both panels. So, the deficit is not a by-product of the poor's concentration in self-employment, and it is widest in the low-income economies (the points of which lie furthest from the line). The hours of the self-employed are more dispersed

FIGURE B4.1.1

Poor workers work slightly fewer hours than the nonpoor among wage workers and the self-employed alike ($3.00 line)



Sources: Calculations based on Bussolo, Lakner, et al. 2026; Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Each point is an economy. The axes are the mean weekly working hours of poor and nonpoor workers below the $3.00-a-person-a-day line (in 2021 purchasing power parity terms). Points above the 45-degree line are economies in which the nonpoor work more hours relative to the poor.

(continued)

BOX 4.1

Hours and underemployment: The intensive margin *(continued)*

than the wage hours—low in the poorest economies and high in some richer ones—because self-employment hours are also the most difficult to measure; part of the spread is noise. The patterns are similar at the $8.30 line.

The gradient runs against the finding of Bick et al. (2018). The negative elasticity of hours to the hourly wage implies that the poorest, paid least per hour, work the longest hours, most of all in the poorest countries. The comparison by poverty status, in the present sample of economies, shows the reverse and, most clearly, where this elasticity should be strongest.

Two considerations bear on the divergence. Poverty status is a household measure, shaped by the number of dependents and earners as much as by any one worker's wage. The comparison here, meanwhile, splits workers at a single poverty line rather than along the wage distribution across which Bick et al. (2018) estimate. So, a gradient in hours by poverty status need not follow the gradient by wage. The composition of the poor's work does not account for the divergence because the same shortfall appears among wage workers alone (refer to figure B4.1.1, panel a), the population on which the Bick et al. (2018) elasticity is estimated; but it does bear on how the shortfall should be read. The poor are concentrated in self-employment and agriculture, where the hours available are limited by demand and by season and where hours per worker run about 10 percent below the hours in nonfarm activities (Gollin et al. 2014). Workers pressed to earn a subsistence income therefore cannot always find the additional hours. Fewer hours under this constraint point to underemployment more than to a preference for shorter hours.

Time-related underemployment is the standard term for this phenomenon. The International Labour Organization (ILO 2013) defines it as the situation of people in work who want to work and who are available to work more hours than their employment provides. A worker content with fewer hours is not underemployed. The measurement is difficult and partly conceptual. How many hours a person usually works depends on the reference period and on the type of employment, including wage versus self-employment. The literature often treats self-employment as disguised unemployment. According to this view, low-productivity informal work is taken up because regular full-time wage employment is unavailable (Breza and Kaur 2025; Donovan et al. 2023). So, a low intensive margin reflects a structural inability to obtain regular, full-time work more than it reflects a preference for a specific hours count.

This discussion also highlights that the distinction between employment as a quantity of work and earnings as the price of this work is clean in principle,

(continued)

BOX 4.1

Hours and underemployment: The intensive margin *(continued)*

but not in the data. The per worker earnings measure used throughout the chapter bundles the price of an hour with the number of hours worked. So, part of the poor's lower earnings according to this measure is the smaller number of hours the poor work, not merely the lower price they receive for the labor and the hours. The intensive margin therefore belongs to the employment side of the argument, too. Beyond increasing employment rates, raising the hours of those who already work, but who obtain fewer hours of work than the number they are willing and ready to supply, would also increase labor income and thus reduce poverty. The line between more jobs and better jobs is less clean under this perspective than first appears.

Barriers that shape earnings among the poor: Low human capital, concentration in low returns activities, and low returns to work

Across much of the developing world, most work is self-employment, and wage jobs are scarce (Breza and Kaur 2025; World Bank 2012). The scarcity is part of the reason the work of the poor pays so little: it isolates them in lower-return self-employment. The literature on structural transformation describes how higher-return work is created as economies develop. Two elements of that account bear most directly on the poor. The first is productivity in agriculture, where most of the poor work. Higher yields raise the incomes of farming households directly, which makes agricultural productivity an important source of poverty reduction in its own right. Rising farm productivity also generates the surplus that allows households to diversify into work outside farming and sustains the growth of the rest of the economy. The second is the expansion of firms outside agriculture, which determines whether those who take up work outside farming are absorbed into higher-paying work or into the informal activities described above in the discussion of the employment decline (Cusolito and Maloney 2018). Cross-country evidence also relates the composition of growth to the pace of poverty reduction: a given rate of growth reduces poverty more quickly if it is accompanied by a movement of workers and earnings toward nonagriculture than if its sectoral composition is neutral (Bourguignon 2003; Bussolo, Brunckhorst, et al. 2026; Loayza and Raddatz 2010; Ravallion 2022). Finance constrains both processes through the growth of the firms that might hire the poor and through the working capital of the farms and enterprises most of the poor already run (de Mel et al. 2008; Didier and Cusolito 2024). The full transformation unfolds over decades rather than years.

Neither process is observed in household surveys. The same is true of the market structures and demand-side frictions that shape the processes. This subsection considers instead what

the surveys do record by taking up two of the three barriers to higher earnings that the surveys reveal: low human capital and concentration in the activities with the lowest returns. The third barrier, the lower returns to the same work in poorer countries, is examined in the subsection below on labor market transitions in panel data.

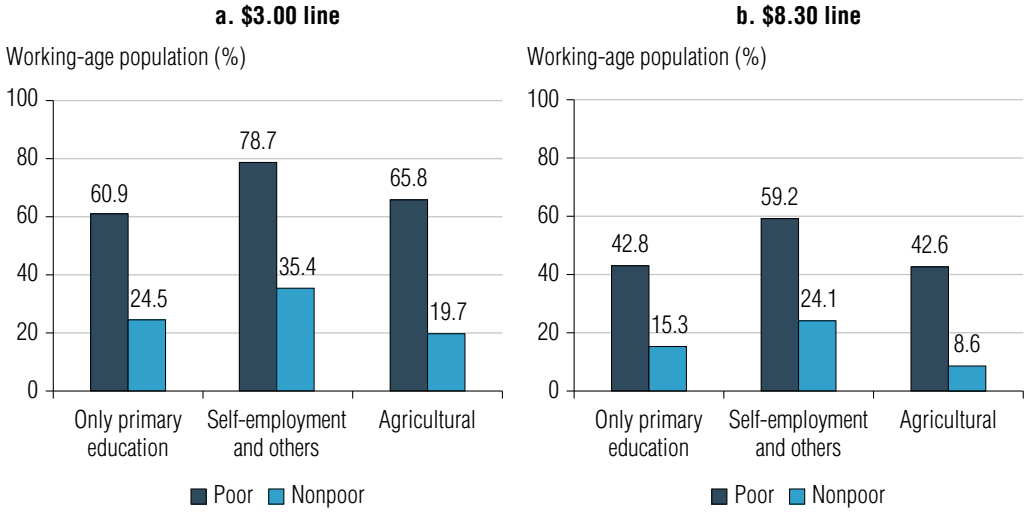
The first barrier reaches back to the self-reinforcing relationship described above: Poverty depresses the human capital the poor are able to apply to their work. This low human capital constrains what the work can earn, and the low earnings leave little of what is needed to build the human capital of the next generation.

Low human capital and concentration in low-return activities

Figure 4.7 quantifies the first two of the barriers, that is, the human capital the poor bring to the labor market and the concentration of the poor in low-return work. In each case, the poor are concentrated in the positions in which earnings are lowest. The gaps are present at both lines, but sharpest at the $3.00 line. At the $3.00 line, 61 percent of the poor have only primary education, versus 25 percent among the nonpoor; 79 percent are in self-employment rather than wage work, versus 35 percent; and 66 percent work in agriculture, versus 20 percent. At the $8.30 line, the corresponding gaps are smaller—43 percent versus 15 percent on primary education; 59 percent versus 24 percent on self-employment; and 43 percent versus 9 percent on agriculture—because the $8.30-a-person-a-day poor are a less deprived population, though the gaps remain substantial on every count.

FIGURE 4.7

The poor have less education, are more often in self-employment and agriculture, and are more sharply disadvantaged at the $3.00 line



Sources: Calculations based on Bussolo, Lakner, et al. 2026; Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Bars show the share of the working-age poor and nonpoor with only primary educational attainment, in self-employment (including related informal arrangements), and in agricultural employment in 2024. The poverty lines are $3.00- and $8.30-a-person-a-day (in 2021 purchasing power parity terms).

Two points about this concentration emerge upon observation of the country-by-country results in annex 4D relative to the global aggregate shown in figure 4.7. First, the concentration is a within-country fact, not a by-product of the concentration of the poor in poor countries. In nearly every economy examined, poor workers, relative to the nonpoor, are less well educated, more often self-employed, and more often in agriculture. Second, the poor are concentrated in low-earning positions. Thus, welfare per worker rises with schooling, is higher in wage work than in self-employment, and is higher outside agriculture than in agriculture in virtually every economy, although the largest proportional gaps occur in the poorest economies.

Yet, agriculture is not a single occupation. Farming households differ along two dimensions that the single category conceals: the share of their income that derives from the farm and the share of what they grow that they sell. Among small-scale farming households in Ethiopia, Nigeria, Tanzania, and Uganda that cultivate fewer than five hectares, about 58 percent draw a substantial share of their income from farming and sell less than half of what they produce. Another 14 percent farm principally for the market, and 25 percent earn most of their income outside the farm. The first group is the largest in each of the four countries and larger still at the bottom of the distribution: about 67 percent of households in the poorest quintile fall within it (Ouedraogo et al. 2026). The poor are concentrated not simply in agriculture, but in the part of agriculture least well connected to markets.

The disadvantage is sharper among women, and it strikes twice. The subsection on gender-specific barriers shows that poor women work far less often than poor men. Among those who do work, the employment is more highly concentrated in the lowest return positions, more frequently in self-employment, which includes operating a small business or working in a household enterprise, and in agriculture and, less often, in wage work (Lo Bue et al. 2022) (refer to annex 4D). A poor woman is thus less likely to work and, if she does work, is more likely to be in a job that pays the least.

Low educational attainment, self-employment, and work in agriculture often overlap. The same lack of schooling that directly lowers earnings also sorts workers into self-employment and into agriculture. So, the poor tend to be disadvantaged on all three counts at once. This is the reason the concentration documented here is the starting point of the earnings argument, not the conclusion. The concentration establishes where the poor work, not the cost of each position. The self-employed earn less than wage workers (as proxied by welfare per worker), but they also differ in age, location, and other characteristics. The raw earnings gap between the two thus mixes the returns to and the worker composition of the type of work. Isolating the returns—comparing otherwise similar workers on either side of each divide—is the task of the next subsection.

Earnings in higher-return work and the resulting decline in poverty

The concentration documented above raises a quantitative question: How much more would the poor earn in higher-return work? Three counterfactual scenarios answer the question, one for each dimension along which the poor are concentrated. The first raises the schooling of the poor to the nonpoor average. The second moves the poor from self-employment into wage work.[14] The third moves them from agriculture into other sectors. Each is a switch, that is, a counterfactual reassignment that predicts what a worker would earn on the destination terms,

while leaving the worker's characteristics unchanged. The methodology for constructing these counterfactuals is set out in annex 4D.

This exercise does not assign a poor worker the average pay of wage workers, workers outside agriculture, or workers with more schooling. Each switch removes one of the barriers that separate poor workers from the nonpoor—less schooling, exclusion from wage work, and confinement to agriculture—and asks what this particular worker, with their own age, location, and other recorded characteristics, would earn once the barrier is lifted. The distinction matters because the two groups—the self-employed and wage workers—differ in composition. Relative to wage workers, the self-employed include many more young and less well educated workers. The raw difference between average earnings thus mixes the returns to the type of work with the characteristics of the people doing the work. Measured this way, raising the education of poor workers to the nonpoor average increases the predicted earnings of the poor workers by about 40 percent; the move from self-employment to wage work, by about 16 percent; and the move from agriculture to nonagriculture, by about 36 percent. These comparisons hold constant only what the surveys record. Workers also differ in ways surveys do not capture, such as in health, the quality of the schooling they have received, and the contacts that open doors to better-paying work. Where these unrecorded differences help explain who reaches such work in the first place, the estimated gains will overstate what removing the observed barriers alone would deliver. Applied across the population, each switch assigns every poor worker in the relevant group the earnings predicted according to their own profile, and poverty is recomputed (refer to figure 4.8).

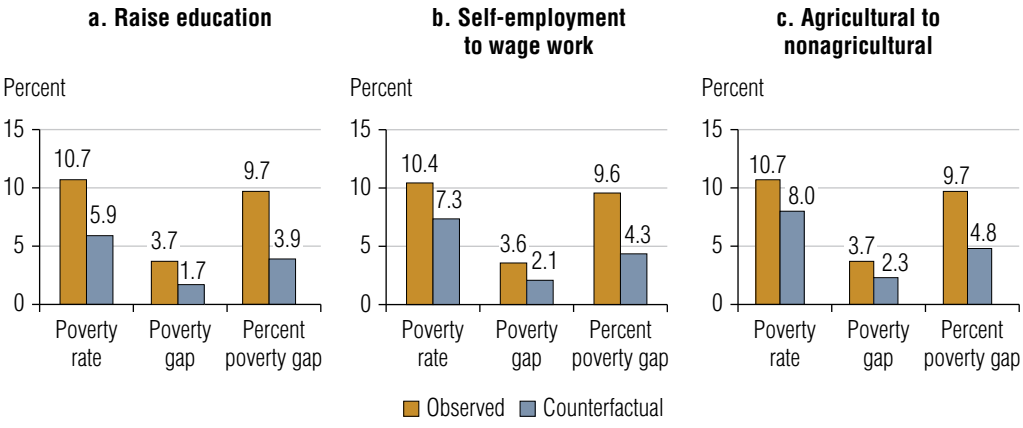
The exercise is partial equilibrium. The destination wages are held fixed, and no incumbent is displaced. The reassigned workers thus fill additional jobs rather than compete for existing jobs. The simulation has two versions. In the first, only poor people below the $3.00 line are treated, and the change in the poverty rate is evaluated at the same line. The second reflects the same operation for the $8.30 line.

If poor workers below the $3.00 line are the treated group, raising education reduces the $3.00 poverty rate the most, by 45 percent (from 10.7 percent to 5.9 percent), and the poverty gap and percent poverty gap by 54 percent and 60 percent, respectively. The move from self-employment to wage work reduces the poverty rate by 21 percent, and the move out of agriculture, by 18 percent, with comparable reductions in the two gap measures. Education does more for two reasons. It reaches a broader group (that is, all poor workers below the nonpoor education level, not only those in one sending sector), and the premium is the largest of the three.

Extending the treated group to poor workers below the $8.30 line leaves the ordering unchanged, but shrinks the poverty rate reductions (refer to figure 4.9). Education lowers the $8.30 poverty rate by 20 percent (from 52.9 percent to 42.2 percent); the move to wage work, by 10 percent; and the move out of agriculture, by 7 percent. The share of poor workers below the nonpoor education level in self-employment or in agriculture thins as the line rises, leaving fewer available for each switch. The gap measures still fall substantially in all three cases. The per worker gain does not weaken at the higher line, even if the poverty rate, which counts only line crossings, moves less.

FIGURE 4.8

At the $3.00 line, each earnings counterfactual reduces the poverty rate, the poverty gap, and the percent poverty gap

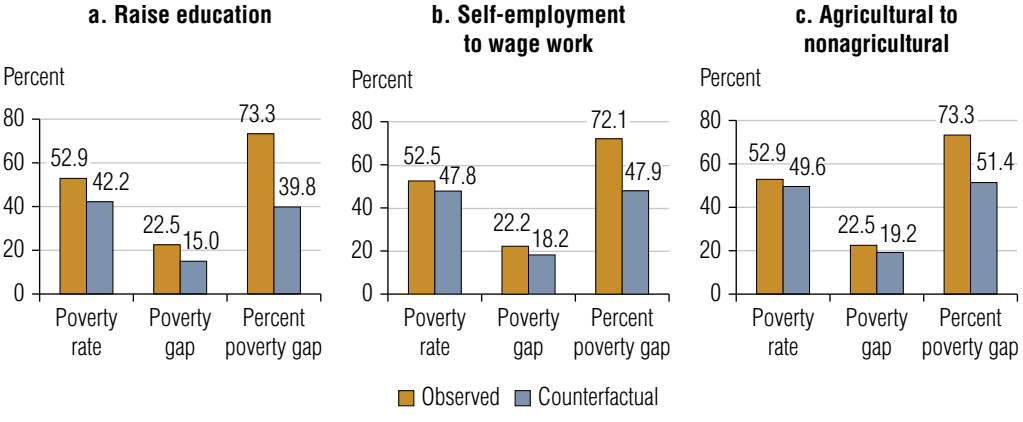


Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Each panel shows observed and counterfactual poverty at the $3.00 line (in 2021 purchasing power parity terms) for the poverty rate, poverty gap, and percent poverty gap. Each counterfactual assigns poor workers in the origin group the earnings predicted for their profile on the destination terms, through Mincer regressions, holding other characteristics fixed (refer to annex 4D). The observed baselines differ slightly across panels because each is estimated on the subset of countries having sufficient workers in the origin group.

FIGURE 4.9

At the $8.30 line, the poverty rate reductions are smaller, but the poverty gap and percent poverty gap still fall substantially



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Each panel shows observed and counterfactual poverty at the $8.30 line (in 2021 purchasing power parity terms) for the poverty rate, poverty gap, and percent poverty gap. Each counterfactual assigns poor workers in the origin group the earnings predicted for their profile on the destination terms, through Mincer regressions, holding other characteristics fixed (refer to annex 4D). The observed baselines differ slightly across panels because each is estimated on the subset of countries having sufficient workers in the origin group.

That education delivers the largest reduction does not make education the most readily attainable, and the three switches differ in the horizon over which they could be realized. Raising the education of the poor is slow, and the returns arrive only as cohorts pass through school into work.[15] Expanding wage or nonagricultural employment can, in principle, occur more quickly through growth in labor demand, though which sectors might absorb the poor and on what scale is far from straightforward. Moreover, the frictions that keep wage work scarce still apply (Breza and Kaur 2025; Donovan et al. 2023). The route with the shortest horizon, which is therefore particularly important in the short run, is one the switches do not cover: raising the returns to the work the poor already do, especially the yields in smallholder farming, which employs two-thirds of the extreme poor who work. This route does not require that cohorts pass through school or that wage employment expand, and the growth of agricultural productivity has historically reduced poverty among the poorest by more than growth elsewhere (Christiaensen et al. 2011). As farm households spend their higher incomes, demand also rises for the goods and services of local nonfarm enterprises, creating work outside farming as well (Haggblade et al. 2010). Raising productivity within agriculture and moving into higher-return work outside agriculture are thus not competing routes. Gains from the first may arise sooner, while gains from the second depend on how quickly firms outside agriculture expand. The counterfactuals reveal how much poverty each switch would remove, not how quickly or readily the outcome could be brought about.

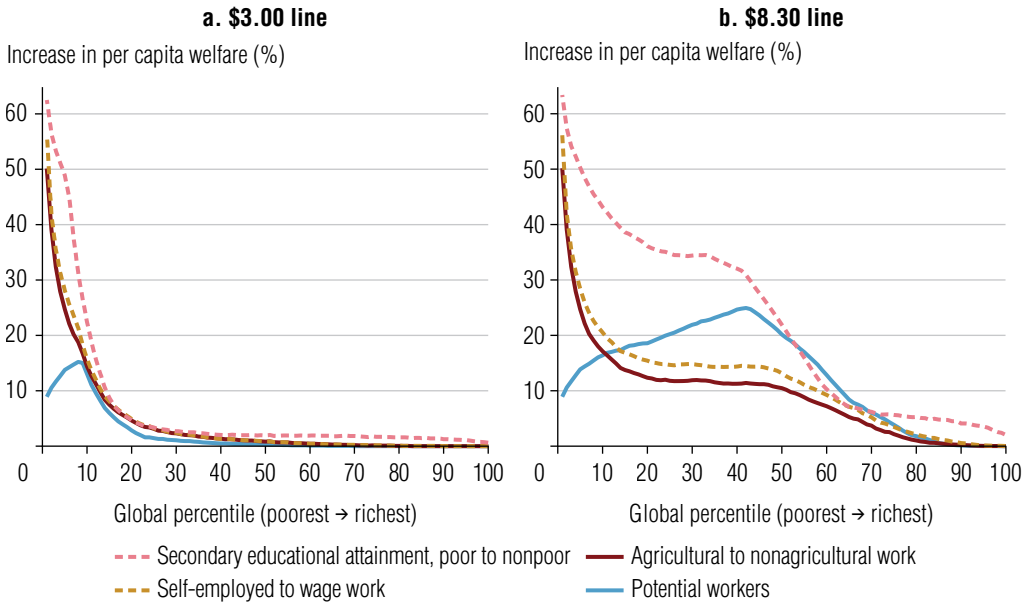
The incidence of the gains across the distribution

So far, the simulations have been summarized according to their effect on poverty overall. The summary leaves open where in the distribution the gains fall, that is, whether they reach the poorest households or the households closer to the poverty line. The growth incidence curve answers this question. For each point along the welfare distribution, from the poorest percentile to the richest, the curve shows by how much a simulation raises welfare in percentage terms. Comparing the various curves reveals that the earnings simulations and the employment simulation concentrate the gains among different parts of the poor population.

The three earnings simulations raise welfare the most among the poorest and by a wide margin. At the first percentiles, the gain exceeds 50 percent, declining steadily as welfare rises (refer to figure 4.10). Each simulation assigns a poor worker the earnings their characteristics would command with more education, in wage work, or outside agriculture. Because similar characteristics receive similar predictions, the gain is roughly the same in absolute terms among poor workers throughout the distribution. The same absolute gain is worth proportionally more, however, to a worker who started with less. Consider two poor workers whose simulated earnings each rise by $1.00 a day. For the one who was earning $1.00, the earnings double; for the one who was earning $2.00, the earnings rise by half. The curve therefore peaks at the poorest percentiles and declines as welfare rises.

FIGURE 4.10

Growth incidence curves of the four counterfactuals: Earnings switch peak at the bottom; the employment shock forms a hump



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.
Note: Each curve is a percentage growth incidence curve: the proportional increase in welfare at each percentile of the global welfare distribution under a counterfactual, relative to the baseline. The four counterfactuals are as follows: raising household employment to 75 percent, moving poor workers from agriculture to nonagriculture, moving poor workers from self-employment to wage work, and raising the education of poor workers to the nonpoor average. The percentiles refer to the baseline distribution. The poverty lines are $3.00- and $8.30-a-person-a-day (in 2021 purchasing power parity terms).

The employment simulation operates differently. It raises the quantity of work a household supplies rather than the price the household's labor commands. The gain thus depends on how many workers the household adds relative to how many it already has. A household with three members in work that puts a fourth to work raises its welfare by a third. Among the households the simulation reaches, increases of about this size are the rule, that is, close to 30 percent to 40 percent, whatever the household's level of welfare. This is unlike the earnings simulations, in which the proportional gain falls as welfare rises.

The curve is shaped instead by how many households the simulation reaches at each welfare level because only those households that already have at least one worker and employ fewer than 75 percent of their working-age adults are affected, while the other households gain nothing. The share is lowest among the poorest households, among which more households either have no worker at all or already employ most of their working-age adults. The share rises to a plateau through the lower middle of the distribution and falls to zero at the poverty line, because only poor households are treated. The curve accordingly forms a hump: low at the bottom, highest across the lower middle, and tapering above the line.

The two sets of simulations reach different poor people. This is the central message of the incidence analysis. Which margin does more—putting more household members to work or raising what workers earn—depends on where the poverty line is drawn. At the $3.00 line, the earnings curves lie above the employment curve across almost the whole range of the poor, and the employment hump is narrow and low. Among the extreme poor, the binding constraint is the price of labor rather than the quantity of labor at every point below the line. At the $8.30 line, the employment hump is broad, peaking around the 40th percentile and rising above the earnings curves through much of the lower middle. The households it reaches are disproportionately those with working-age women out of work because employment among women is lowest across the lower middle (refer to the subsection on gender-specific barriers to employment and box 4.2).

BOX 4.2

Poor women: Fewer are in work, and those who work are paid the least

The chapter's employment result is largely about women. This box brings the findings on women together and adds one piece the main text does not report: how the working poor are distributed across activities by gender. The disadvantage among women are compounded: Fewer poor women than poor men work, and those who do work are concentrated in activities that pay least.

The first main disadvantage is described in the text above. Women's employment is lowest across the lower middle of the global distribution (refer to figure 4.4). The 75 percent benchmark of the employment simulation is the rate men already attain, so reaching it means employing more women. The two variants of the simulation show that raising women's employment to the benchmark reduces poverty by about a fifth, while raising men's barely affects poverty (refer to figure 4.6, panels c–f). The gains reach households in the lower middle, which are disproportionately those with working-age women out of work (refer to figure 4.10).

The second main disadvantage is documented in annex 4D. Among the working poor, women are more concentrated than men in self-employment and in agriculture, the two positions with the lowest returns. Near the $3.00 line, employed poor women are 15 to 20 percentage points less likely than employed poor men to hold a wage job, and about 10 percentage points more likely to work in agriculture (refer to annex 4D, figures 4D.4 and 4D.5). The earnings simulations do not separate this disadvantage out. Each predicts a single gain for the poor as a group, averaging over women and men.

The two disadvantages are compounded and become amplified. Following the current pattern of women's work, if more women work, this means more workers are involved in activities that pay least. So, the poverty reduction the employment route can deliver depends on where the additional women can work, not only on how many women take up work. The constraints on women's employment—childcare, transport, negative social norms, and the shortage of demand for women's labor outside agriculture—therefore govern both the quantity of women's work and the returns to the work.

The implication is not that one route is superior, whether the quantity of work or the returns, but that the two reach largely different groups. Raising earnings delivers the largest gains to the poorest households. Raising employment delivers the largest gains to the near-poor higher up, where more households have working-age adults, many of them women, who are not in work. This is what the incidence analysis adds to the chapter's argument: More work and better-paying work are two pathways that serve different parts of the poor population, not alternatives between which to choose.[16]

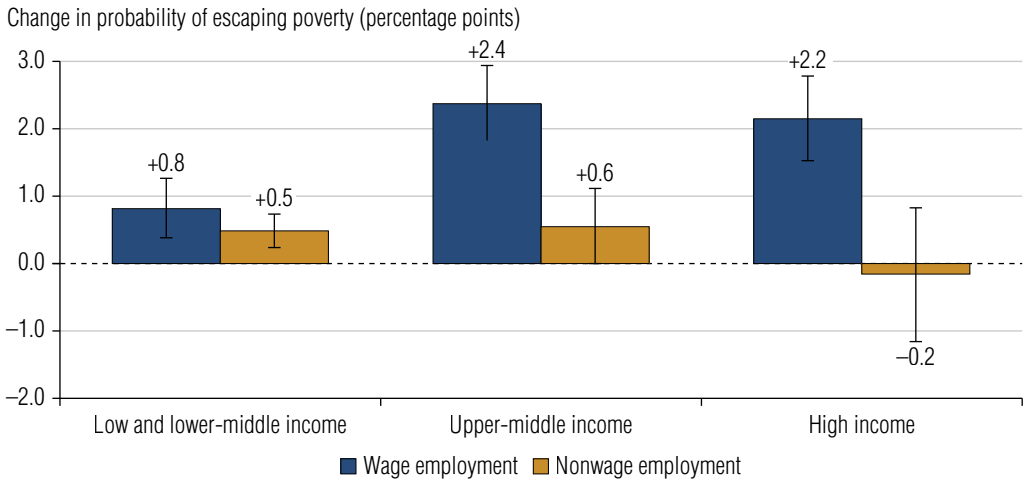
Lower returns in poorer economies: Panel data evidence on labor market transitions

The simulations described so far ask what poverty would look like if poor workers had access to work with higher returns, holding everything else fixed. Panel data, which follow the same individuals over time, allow the hypothetical shifts to be set against real shifts: the labor market transitions individuals have actually made and the poverty changes they have actually experienced. Evidence from nationally representative panels in 41 economies across East Asia, Europe, Latin America, South Asia, and Sub-Saharan Africa, with windows of two to seven years, links shifts in the employment composition of households to the movements of households into and out of poverty (Bussolo, Torre, et al. 2026).[17] Because poverty is a household outcome and the relevant margin in poorer settings is often the reallocation of working-age members across activities rather than any single worker's job change, the analysis tracks the shares of a household's working-age members in wage employment, nonagricultural self-employment, agriculture, and nonemployment. The evidence validates and qualifies the results described above: (1) What a given transition delivers depends heavily on the country setting, and the ordering the simulations assume—wage work above self-employment and nonagriculture above agriculture, the ranking known in the literature as a job ladder—holds in some settings but not others.[18] (2) The transitions poor households actually undergo differ by setting as well, and much of the movement in poorer economies is sideways rather than upward. (3) Employment performs a function the simulations do not model, namely, not only escape from poverty, but protection against falling into poverty.

The first finding is that the returns to a shift into wage employment are far larger in richer economies than in poorer economies. If the share of household members in wage employment increases by 10 percentage points, the probability of escaping poverty rises by about 2.4 percentage points in upper-middle-income economies and 2.2 percentage points in high-income economies, but by only 0.8 percentage points in low- and lower-middle-income economies (refer to figure 4.11). Nonwage work exhibits (almost) the opposite gradient. In low- and lower-middle-income economies, a comparable shift into nonwage employment raises the probability of escaping poverty by 0.5 percentage points, not far below the return to wage employment in the same economies. In upper-middle-income economies, meanwhile, the effect is statistically indistinguishable from zero, and, in high-income economies, it is negative. The route out of poverty thus differs by setting. Where wage jobs pay well, they do the lifting, and, where they do not, the advantage of wage work over other forms of work is small. This pattern is consistent with the productivity differences between rich and poor economies that persist even among formal firms in the same sector (Hsieh and Klenow 2009; Restuccia 2019).

FIGURE 4.11

The same shift into wage employment lifts households out of poverty in richer economies far more than in poorer economies



Source: Bussolo, Torre, et al. 2026.

Note: The figure illustrates the change in the probability of escaping poverty (percentage points) if the share of household members in wage or nonwage work rises by 10 percentage points. Bars: ordinary least square coefficients (×10) from linear probability models of exiting poverty (poor at baseline, nonpoor at endline) on the change in the household share of working-age (15–64) members in wage employment and in nonwage employment (self-employment in agriculture, self-employment in nonagriculture, and employer, consolidated into one variable). Poverty status is measured against the income-group–specific poverty line (in 2021 purchasing power parity terms). Whiskers are 95 percent confidence intervals. Sample: initially poor households.

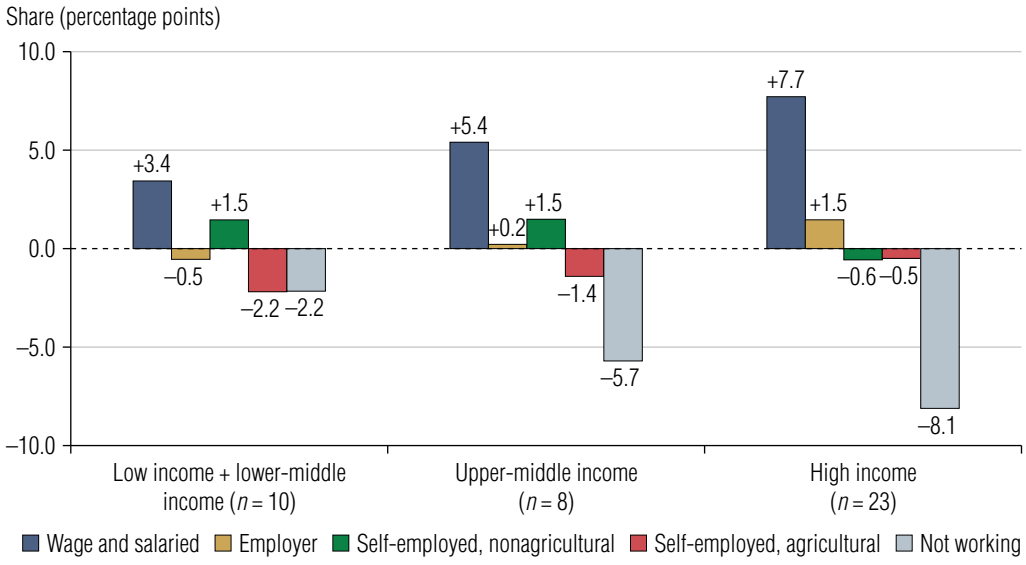
Where wages track productivity, the same transition yields a larger poverty-exit return in a richer economy. This compounds a disadvantage on the same margin because a rising share of wage employment is a marker of structural transformation (Breza and Kaur 2025): poorer economies have both less wage work and lower returns to wage work.

Disaggregating nonwage work into its components—employer status, agricultural self-employment, and nonagricultural self-employment—demonstrates that the ranking of activities by contribution to poverty exit differs by income group. In upper-middle-income economies, employer status contributes most to poverty exit, followed by wage employment, and both dominate self-employment. But, even there, the lower rungs invert: Agricultural self-employment contributes more to exit than nonagricultural self-employment, the contribution of which is statistically indistinguishable from zero. In the high-income European economies, only wage employment matters; no form of self-employment raises the probability of exit. In both low- and lower-middle-income economies, the ordering is reversed outright: Nonagricultural self-employment contributes more to poverty exit than wage employment, in part because much of what is recorded as wage employment in these settings is informal and low-productivity (Fields et al. 2023). The ranking of activities that the simulations assume is therefore a feature of more highly developed labor markets, not a universal one.[19]

The second finding concerns the transitions poor households actually achieve. Poor households edge toward employment everywhere, but how much and from where differ by income level. Among households that start poor, the increase in the share of working-age members in wage employment rises with country income: about 3.4 percentage points in low- and lower-middle-income economies, 5.4 in upper-middle-income economies, and 7.7 in high-income economies (refer to figure 4.12). The source of the movement differs even more than the size of the movement. In upper-middle- and high-income economies, essentially all the movement is drawn from nonemployment. The not-working share falls by 5.7 and 8.1 percentage points, respectively, while the remaining employment statuses largely offset one another. In low- and lower-middle-income economies, by contrast, poor households reallocate across activities as much as into work: Agriculture sheds 2.2 percentage points and nonemployment an equal 2.2, while wage employment and nonagricultural self-employment absorb the movement.[20] Part of the observed churn is thus sideways, that is, across agriculture, nonagricultural self-employment, and spells out of work, rather than up a single ladder, consistent with the cycling between marginal employment and nonemployment documented by Donovan et al. (2023) and the fragmented activity portfolios of poor households described by Banerjee and Duflo (2007).[21] This is the dynamic counterpart of a point the simulations make statically: A transition counts as an improvement only if it raises the returns to work, and, in poorer settings, a meaningful part of the observed movement does not do this.

FIGURE 4.12

Where household labor reallocates differs by country income level



Source: Bussolo, Torre, et al. 2026.

Note: The data are based on nationally representative household panel surveys in 41 economies. They show the mean change in the share of working-age adults (15–64) in each labor market state over the panel window by country income group, averaged across economies with equal weights. The states are wage employment, employer, nonagricultural self-employment, agricultural self-employment, and nonemployment. Poverty status is measured against the income-group–specific poverty line (in 2021 purchasing power parity terms). Sample: initially poor households.

A final finding is that the transitions that lift households out of poverty are not the same as those that keep households from falling into poverty. Nonagricultural self-employment is the clearest case. It protects against entry into poverty among every country income group, including the high-income economies, where it does nothing to move the poor out of poverty, and its point estimates generally exceed those of wage employment. Employment serves two distinct functions, that is, a route out of poverty and a guard against falling into poverty. The activities that serve one need not serve the other. Built on cross-sectional data, the simulations model only the first function. The panel evidence shows that the second matters as well and that it runs through different activities.

Taken together, these findings sharpen the chapter's argument. What employment can do about poverty depends not only on access to work, but on what work pays. The transitions that are realized agree with the simulations that returns are central. But what a given transition delivers depends on the setting. The same move into wage employment pays far more in a richer economy than in a poorer one. The activities that lift households out of poverty differ across countries. What self-employment accomplishes in poorer economies is what wage work accomplishes in richer economies. Employment protects households from falling into poverty and lifts them out of poverty. The activities that guard against poverty are not always the ones that do the lifting. There is, in short, no single composition of employment that serves the poor everywhere. What works depends on the stage of development and on whether the aim is escape or protection.

Final remarks: Poverty reduction requires both more jobs and better-paying jobs

This chapter opens with an observation: Human capital is the main asset of the poor, and, among many of the poor, it is the only asset. Whether a poor household can escape poverty depends on two questions about the labor of the household: how fully the household members work and how much they earn from work. The evidence assembled here responds that progress requires movement in both dimensions. Raising employment among the poor to a realistic benchmark would remove roughly a fifth of measured poverty. Yet, a large share of the poor already work, and, for these poor, the binding constraint is the low returns to their labor rather than the quantity of the labor. More jobs and more better-paying jobs are not competing strategies. The contrast between them is sharper in the framing than in the evidence.

Two considerations soften the contrast. First, among the poor, a better job is, in large part, a new job, that is, wage employment in place of self-employment, work outside agriculture in place of work within agriculture, and occupations that become available with more schooling (Bandiera et al. 2022). Moving a worker into work with higher returns raises the returns to the worker's labor and adds a more productive job at the same time: a single reallocation that is at once more and better, not two strategies to weigh against each other. The trade-off that remains

lies within this better jobs route: whether to raise the returns to the work the poor already do or to move the poor into work that returns more. Rather than more against better, this is where the policy choice is actually drawn.

Second, even if work does not generate higher returns, obtaining work is an improvement. In a household with an adult out of work, more work raises welfare by an amount corresponding to whatever the poor earn from their work. For these poor, more is already better.

Considered from these two angles, the agenda is less a choice between the amount of the poor's work and the productivity of the poor than a choice about the effort needed to raise both by drawing in adults who are not working and by lifting the returns on the work others already do.

The evidence on hours blurs the division between quantity and earnings from a third angle. Earnings per worker—the measure on which the poor's disadvantage is assessed throughout the chapter—are the product of the pay an hour commands and the number of hours worked. The poor work somewhat fewer hours than the nonpoor (refer to box 4.1). So, part of what registers as lower earnings is in fact a smaller quantity of work. The quantity margin is therefore wider than participation alone. It includes the underemployed worker who would supply more hours, not only the adult drawn into work. Raising the hours would thus reduce poverty through the same channel as raising employment.

The evidence presented in this chapter is derived from household surveys that record who works and at what, but not the firms that might hire the workers. The chapter gives, by design, an account from the household perspective. Several of its central findings can be understood only based on evidence on how jobs are created. Wage work is scarce, and a large share of the poor's self-employment reflects the absence of wage work. Absorbing the poor into sectors generating higher returns would require that these sectors expand severalfold. The same move into wage work pays far more in a richer economy because the returns reflects the productivity of the firms and the economy a worker joins, not the worker alone. Whether the poor can reach better-paying work depends on whether such work is created. What determines its creation—the allocation of capital and finance, the strength of competition, and the adoption of new technology—lies outside the evidence presented here, though the literature on each is substantial (Didier and Cusolito 2024; Hsieh and Klenow 2009; World Bank 2026). Artificial intelligence (AI) is the newest entry on that list, and its incidence is the least settled. Exposure to generative AI is far lower in low- and middle-income economies than in high-income economies—about 4.5 percent of jobs against 14.2 percent, because employment in poorer economies is concentrated in agriculture, manual work, and enterprises of fewer than 10 people (World Bank 2026). Less exposure to displacement is not the same as standing to gain, however. The structure that limits displacement also limits access to new work and to productivity gains. The mechanism that would matter the most for the poor is not the creation of high-skill jobs, but the use of these tools to raise returns on the activities that the poor already undertake. Whether poor workers would capture such gains is unresolved. *World Development Report 2026* (World Bank 2026)

offers cross-country rather then within-country distributional evidence. On who gains inside a country, it describes mechanisms and case evidence, including that the firms best placed to act on AI advice are those already performing well. The sign of the specific impact of AI on the employment and earnings of poor households is therefore still an open question. The data assembled in this chapter that link labor market outcomes to poverty status across the world's population is the kind of evidence that could be used to answer the question once measures of AI exposure and adoption can be brought in.

The time horizon is long on every margin. Education among the poor yields returns only as cohorts pass through school into work. The disadvantages associated with lack of education are transmitted across generations. Upward mobility from the bottom is still difficult among recent cohorts. The expansion of employment opportunities, more rapid in principle, has, in practice, progressed little. The employment rates among the poor have barely changed over the past two decades. This and other evidence implies that an agenda for poverty reduction and for development in such a context must be both ambitious and targeted at the long term. Progress will be counted in cohorts and generations rather than months or years.

Annex 4A. Data and methodology

Data sources and coverage

This annex describes the data presented in the chapter. The main data combine harmonized household survey microdata from the Global Monitoring Database with official poverty and welfare estimates from the World Bank's Poverty and Inequality Platform (PIP).[22] The GMD provides the underlying microdata used for poverty monitoring across low-, middle-, and selected high-income economies and contains harmonized information on welfare, demographic characteristics, labor market outcomes, education, and household composition. To improve the coverage of the global population, the analysis supplements GMD microdata with harmonized tabulations from the Luxembourg Income Study (LIS) database for nine high-income economies where comparable microdata are not available within the GMD framework.[23] Together, the GMD and LIS sources provide near-global coverage of 96 percent of the world population and 96 percent of low- and lower-middle-income economy populations, enabling the construction of globally comparable profiles across the welfare distribution.

The analysis covers 150 economies across three reference years—2003, 2013, and 2024—that capture the trends in global poverty and living standards over the last two decades (refer to table 4A.1). Because nationally representative household surveys are not available annually in all countries, surveys collected in nearby years are aligned to a common reporting year before being pooled for analysis.

TABLE 4A.1

Coverage of the profiling database

Reference year	Economies	Share of global population (%)	Population share of low-income and lower-middle-income economies (%)	Average survey gap (years)
2003	150	96.02	95.82	1.63
2013	150	95.65	95.70	1.02
2024	150	95.43	95.66	2.59

Source: Original table for this publication.
Note: The average survey gap is the population-weighted absolute difference between the survey year and the reference year.

Expansion of harmonized labor market information

A major contribution of the current profiling database is the substantial expansion of harmonized labor market information within the GMD. Historically, the GMD was developed primarily to support global poverty monitoring. The harmonization effort thus focused on welfare aggregates and core demographic characteristics. Although labor information was collected in many household surveys, harmonization was conducted selectively and with varying degrees of completeness, particularly among surveys from the early 2000s.

Over the past several years, regional and global GMD teams undertook a comprehensive effort to harmonize labor market variables across a larger set of household surveys. This involved reviewing original questionnaires, survey documentation, and national coding structures; harmonizing employment concepts; constructing internationally comparable classifications; and validating outputs against survey reports and official labor statistics.

Particular attention was assigned to three labor dimensions: labor force status, employment status, and sector of work. Harmonizing sector-of-work information required the extensive mapping of country-specific industry classifications to ISIC Revision 4, often involving reviews of detailed survey documentation and national classification systems to ensure comparability across countries, survey vintages, and regions.[24]

The effort substantially expanded the availability of labor market information. The coverage of harmonized labor indicators rose from approximately 70 percent to more than 90 percent of the population represented in the profiling database, greatly improving representativeness and enabling consistent analysis across countries and over time. Despite these improvements, the harmonization of labor indicators remains more challenging than the harmonization of demographic variables because of differences in survey design, labor definitions, reference periods, and the implementation of international statistical standards.

Demographic alignment and population reweighting

The objective of the profiling exercise is to describe the characteristics of the global population in a common reporting year. Because household surveys are conducted in different years and population structures evolve over time, survey weights are first recalibrated to represent the demographic composition of the reporting year.

For each survey, original household weights are adjusted through iterative proportional fitting. The calibration aligns weighted population totals to externally benchmarked demographic distributions corresponding to the reporting year and performed separately for each country and reference year. The calibration targets are gender (male and female) and five age-groups (0–14, 15–24, 25–44, 45–64, and 65+). Population benchmarks are taken from official demographic projections for the reporting year.[25]

Let w_i denote the original survey weight. Calibrated weights, w^*, are obtained by minimizing the distance between original and adjusted weights, subject to the demographic calibration constraints. The resulting weights reproduce population totals in the reporting year, while preserving the joint distribution of characteristics observed in the survey. Unless otherwise noted, all estimates throughout the chapter use these calibrated weights.

Welfare alignment with official PIP estimates

Following demographic alignment, welfare distributions are adjusted to reproduce the official PIP estimates for the reporting year. Let y^s denote welfare observed in survey year s. Welfare values are adjusted using the growth factors embedded in the official PIP lineup methodology to allow the calibrated-weight welfare distribution to reproduce official PIP mean welfare estimates and official PIP poverty estimates for the reporting year t. The adjustment preserves household welfare rankings within each survey, while updating welfare levels to be consistent with official poverty monitoring statistics.

The procedure is illustrated by a concrete case. A survey collected in 2020 and aligned to 2024 first receives demographic adjustments to reflect the 2024 population structure. Welfare values are then adjusted to reproduce official 2024 PIP mean welfare and poverty estimates.

Construction of the global welfare distribution

Beyond poverty-based classifications, the chapter analyzes characteristics across the global welfare distribution. To facilitate comparisons over time, global percentile groups are defined using a harmonized set of welfare thresholds constructed separately for each reference year from the World Bank's global welfare distribution database, which covers 218 economies and contains 1,000 welfare bins per country.[26] Welfare values are based on the PIP lineup methodology.

The resulting thresholds define the welfare cutoffs corresponding to each percentile of the global population in the reference year. Individuals in the profiling database are assigned to percentile groups according to the position of their welfare level relative to these global thresholds. This approach differs from the construction of percentiles within countries. Thus, all individuals are evaluated against the same global welfare distribution, enabling direct comparisons across countries, regions, and income groups.

An important implication is that percentile thresholds are derived from the full global distribution of 218 economies, whereas the profiling database covers a somewhat smaller subset on which harmonized demographic and socioeconomic variables are available. Consequently, percentile groups within the profiling sample do not represent exactly 1 percent of the world population.

Sample definitions and variable-specific coverage

The analysis uses different reference populations depending on the characteristic under examination. Demographic indicators, including poverty status, age structure, gender composition, household composition, and geographic location, are calculated using the full population represented in the profiling database. Educational attainment is restricted to individuals ages 15 or older. Labor market indicators are calculated for the working-age population ages 15–64, a restriction that improves comparability across countries with different schooling patterns, retirement systems, and labor market institutions.

For labor force participation and employment indicators, the reference population consists of all individuals ages 15–64 on whom labor market information is available. For sector of employment, occupation, employment type, and industry analyses, the reference population is further restricted to employed individuals ages 15–64. Individuals who are unemployed, outside the labor force, or have missing employment status are excluded.

An additional challenge is that household surveys differ in the reference period used to collect labor information. While many surveys follow the International Labour Organization standard of measuring employment status based on work performed during the seven days preceding the interview, others use the previous month, the previous 12 months, or measures of usual economic activity (refer to table 4A.2). Differences in recall periods can affect measured levels of labor force participation, employment, unemployment, and sectoral composition. Shorter recall periods capture current labor market conditions more accurately, but may be more sensitive to temporary fluctuations. Longer recall periods may better reflect usual employment arrangements, but may not capture current conditions as precisely.

To maximize comparability, harmonized labor indicators are constructed using standardized definitions wherever possible. The chapter therefore focuses on broad labor market categories—labor force participation, employment status, employment type, and sector of work—that are generally more comparable across surveys relative to detailed measures, such as hours worked, earnings, or job tenure (refer to table 4A.3).

TABLE 4A.2

Number of economies, by recall period for the labor module

Indicator, recall period	2003	2013	2024
Labor force, current activity (7-day)	147	146	142
Labor force, usual activity (12-month)	2	4	5
Sector, current activity (7-day)	130	117	113
Sector, usual activity (12-month)	5	11	16
Employment status, current activity (7-day)	134	125	124

Source: Original table for this publication.

TABLE 4A.3

Coverage of key profiling variables

Variable	Reference population	Countries	Population coverage (%)	Coverage of $8.30 poor (%)	Missing (%)
Gender	Total population	150	99.98	99.98	0.02
Age	Total population	150	99.51	99.88	0.49
Urban/rural	Total population	150	96.32	99.77	3.68
Education	Population ages 15–64	143	93.14	91.99	6.86
Labor force status	Population ages 15–64	144	97.53	97.78	2.47
Sector of work	Employed ages 15–64	135	90.03	94.91	9.97
Employment type	Employed ages 15–64	137	93.75	94.69	6.25
Working hours	Employed ages 15–64	101	59.36	75.48	40.64

Source: Original table for this publication.

Note: Coverage of 4-digit ISIC is limited because many surveys report industry at only the 1- or 2-digit level. National adaptations of industrial classifications and differences across ISIC revisions further complicate harmonization to globally comparable 4-digit ISIC Revision 4 codes. Refer to ISIC (International Standard Industrial Classification of All Economic Activities) (dashboard), Statistics Division, Department of Economic and Social Affairs, United Nations, https://unstats.un.org/unsd/classifications/Econ/ISIC.cshtml.

Missing data and coverage assessment

Core demographic variables—welfare, age, gender, and household composition—are available for nearly all observations and countries and achieve close to full population coverage (refer to box 4A.1). Coverage is lower on labor market variables, particularly labor force status, employment status, and sector of work, where information is missing because of nonresponse or because the variable was not collected in the underlying survey instrument. For each profiling variable, the chapter documents the number of economies represented, the share of the global population covered, the share of the global poor covered, and the share of missing observations. Unless otherwise noted, estimates are calculated using all available observations for the relevant characteristic. Sample coverage thus varies across figures and tables. This approach maximizes global representation, while avoiding the distortions that would arise from restricting all analyses to the smaller subset of surveys with complete information on every variable.

BOX 4A.1

Defining jobs, employment, and employment status

Labor market outcomes are central to understanding how individuals and households generate income and escape poverty. The chapter uses jobs as the primary lens through which economic opportunities are examined. Labor indicators reported in the chapter are derived from harmonized household survey data contained in the Global Monitoring Database. Wherever possible, data harmonization follows internationally recognized standards established by the International Labour Organization, while preserving comparability across a large and diverse set of survey instruments.

Labor force status. Labor force status classifies people into three categories: (a) employed individuals who worked for at least one hour during a specific reference period (usually the previous seven days), including individuals temporarily absent from a job, regardless of whether work was formal or informal, paid or entailed work in a household enterprise, such as farming or a small business where there is no explicit paycheck attached to the work; (b) unemployed individuals who were not employed, but who were actively seeking employment, including those waiting to start a new job; and (c) individuals not in the labor force who were neither employed nor actively seeking employment.

Employment status. Employment status characterizes the relationship between workers and the economic unit in which they work. In the chapter, the focus is on two categories: wage workers, that is, people who are employees (regardless of formal status or contract status), and the self-employed, which consists of workers who are working either in their own business or in a business that belongs to another household member (a household enterprise) and that is (typically) not associated with a regular paycheck.

Sector of work. The sector of work classifies employed individuals according to the principal economic activity of their main job during the reference period. National industry classifications are mapped to the International Standard Industrial Classification of All Economic Activities (ISIC Revision 4) wherever possible.[a]

Working hours. Hours are the number of hours worked in the main job during the reference period, typically the previous seven days. Questions on the hours worked vary considerably across surveys, including differences in recall periods, the treatment of secondary jobs, the treatment of temporary absences, and the reporting of seasonal work. Cross-country comparisons of working hours should arguably be interpreted with greater caution than employment status or labor force participation indicators.

(continued)

BOX 4A.1

Defining jobs, employment, and employment status *(continued)*

Measurement considerations. Labor indicators are inherently more difficult to compare internationally than demographic or educational variables because survey instruments differ in reference periods, questionnaire design, treatment of seasonal work, and implementation of international standards. A particularly important issue is the transition from the standards adopted by the 13th International Conference of Labour Statisticians (ILO 1983) to those adopted by the 19th International Conference of Labour Statisticians (ILO 2013). Under the earlier framework, subsistence production (where output was mostly consumed by the household and not sold) was classified as employment because it fell within the System of National Accounts production boundary. Under the revised framework, *employment* is more narrowly defined as work performed for pay or profit, while own-use production is not classified as employment. As countries gradually adopt the revised standards, the change in employment rates between surveys may reflect a definitional change if data are not used with caution. Wherever possible, labor indicators are measured in the chapter based on the earlier employment definition. Thus, for example, people and households involved in subsistence farming are generally considered employed.

a. Refer to ISIC (International Standard Industrial Classification of All Economic Activities) (dashboard), Statistics Division, Department of Economic and Social Affairs, United Nations, https://unstats.un.org/unsd/classifications/Econ/ISIC.cshtml.

Annex 4B. The percent poverty gap

Three poverty measures recur in the chapter: the poverty rate, the poverty gap, and the percent poverty gap. The first two are standard. The third is less familiar and is defined here.

Let y_i denote the welfare of person i, and let z be the poverty line. The poverty rate H is the share of the population with welfare below z. It records whether a person is poor, but reveals nothing about how far below the line the individual falls. The poverty gap (PG) weights each poor person by the shortfall from the line as a fraction of the line, as follows:

$$PG = H \times \left(\frac{1}{N_z}\right) \sum_{i \in N_z} \left(\frac{z - y_i}{z}\right) \tag{4B.1}$$

where N_z denotes the set (and number) of poor people, those with $y_i \leq z$. The PG measures the average depth of poverty in the units of the line.

The percent poverty gap (PPG) normalizes each poor person's shortfall by their own welfare, as follows:

$$PPG = H \times \frac{1}{N_z} \sum_{i \in N_z} \left(\frac{z}{y_i} - 1 \right) \times 100 = H \times API \tag{4B.2}$$

The term $(z/y_i - 1) \times 100$ is the percent increase in person i's own welfare required to reach the line. The PPG thus has a simple interpretation. It is the poverty rate, multiplied by the average percent increase (API) needed to bring each poor person to the poverty line. This decomposition into $H \times$ API is used directly in the counterfactual exercises of the chapter, where a simulated income distribution $y^{\bullet}$ yields $PPG(y^{\bullet}) = H(y^{\bullet}) \times API(y^{\bullet})$, separating the change in poverty into the part operating through the poverty rate and the part operating through the average shortfall among those who remain poor.

The own-welfare normalization makes the PPG sensitive to the depth of poverty in a way the PG is not sensitive. Because z/y_i rises without bound as y_i approaches zero, a person deep below the line contributes disproportionately to the average. Someone at 10 percent of the line requires a 900 percent increase to reach it, while someone at 90 percent of the line requires only an 11 percent increase. The PPG therefore rises steeply if the welfare of the poorest is extremely low and falls sharply if their welfare improves even by amounts too small to move the poverty rate.

The PPG is the poverty measure that corresponds to the Prosperity Gap of Kraay et al. (2023), and it is closely related to the Watts index, which sums log shortfalls $\ln z - \ln y_i$ rather than proportional ones. It is not, however, the squared poverty gap, or FGT_2, of Foster et al. (1984). FGT_2 achieves distribution sensitivity by squaring the line-normalized shortfall, $[(z - y_i)/z]^2$, which remains bounded for each individual. The PPG normalizes by own welfare, $z/y_i - 1$, which is unbounded as $y_i \to 0$. Both are distribution sensitive among the poor, but through different weighting, and they are not interchangeable. Where the chapter reports proportional reductions in the PPG, the relevant object is the change in this own-welfare-normalized measure, not in FGT_2.

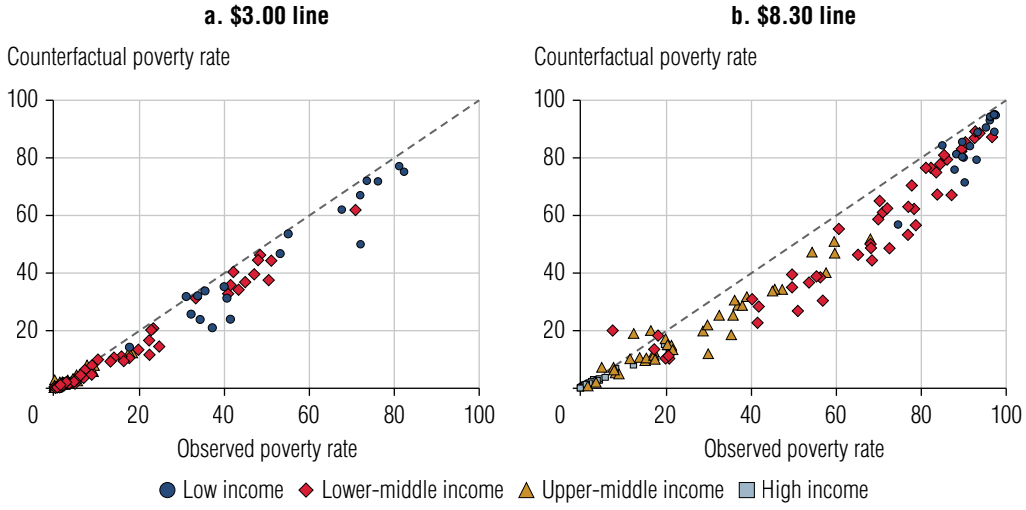
Annex 4C. The employment counterfactual, country-by-country

The chapter reports the employment counterfactual as a global aggregate. Applied separately to each economy, the aggregate reduces the poverty rate in every economy, but the magnitude of the reduction varies with the economy's observed poverty level, and the pattern differs across poverty measures. This annex documents and explains the variation.

Figure 4C.1 plots, for each economy, the counterfactual poverty rate against the observed poverty rate at each poverty line. Points lie below the 45-degree line wherever the

FIGURE 4C.1

Counterfactual versus observed poverty rate, by economy



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

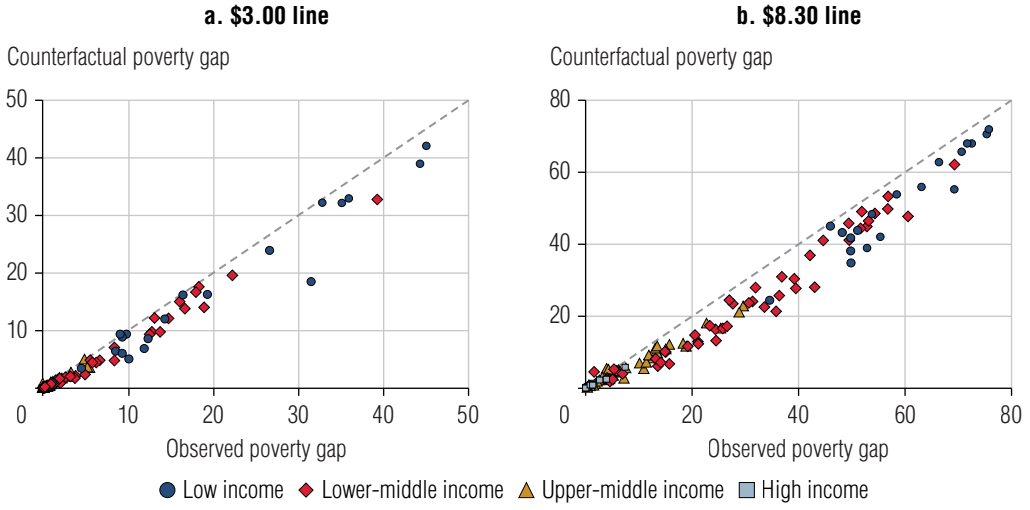
Note: Each point is an economy. Points below the 45-degree line denote a reduction in poverty. Poverty lines are $3.00- and $8.30-a-person-a-day (in 2021 purchasing power parity terms).

counterfactual reduces poverty, which is everywhere. The vertical distance from the line—the size of the reduction—is largest at observed moderate poverty, reaching 20 to 25 percentage points (roughly 30 percent to 55 percent observed poverty at the $3.00 line, and 40 percent to 70 percent at the $8.30 line), and shrinks toward both extremes. Where observed poverty is low, few households remain to be lifted out of poverty. Where it is deep, points are close to the 45-degree line, and most households are so far below the line that the welfare added by an additional worker earning the household's own low welfare per worker does not carry the household across the line.

The convexity—large reductions at moderate poverty, small ones at the extremes—is specific to the poverty rate because the poverty rate registers only households that cross the line. The poverty gap and the percent poverty gap behave differently. Figures 4C.2 and 4C.3 show that both fall roughly in proportion to their observed levels across the full range of economies, with no flattening in the case of deep poverty. The reason is that these measures account for any welfare gain to a poor household whether or not the gain lifts the household across the line. In a deep-poverty economy where the counterfactual leaves most households below the line, the poverty rate barely moves. However, the gap and percent poverty gap still narrow because the added earnings reduce the distance to the line among the households that remain poor.

FIGURE 4C.2

Counterfactual versus observed poverty gap, by economy

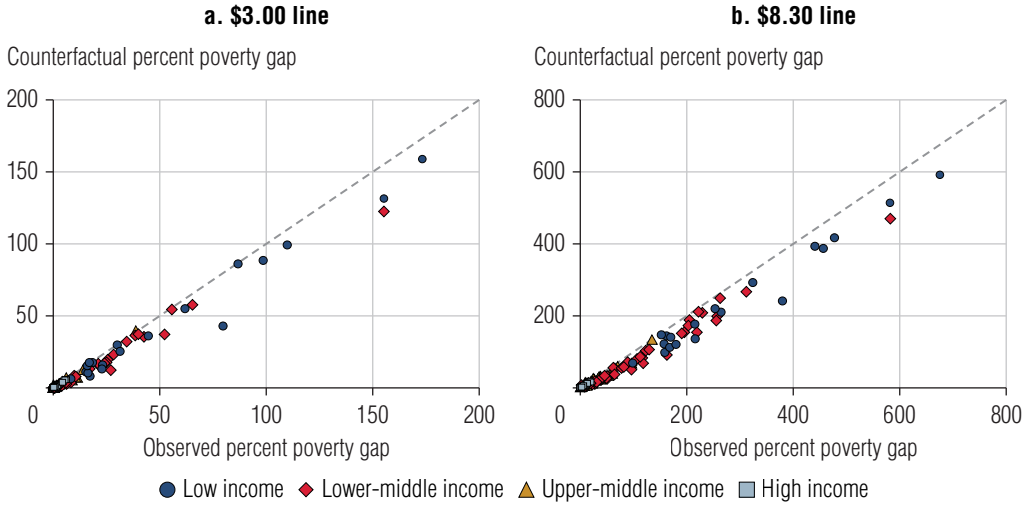


Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Each point is an economy. Poverty lines are $3.00- and $8.30-a-person-a-day (in 2021 purchasing power parity terms). Unlike the poverty rate, the poverty gap reduction tracks observed levels roughly proportionally, including in deep-poverty economies.

FIGURE 4C.3

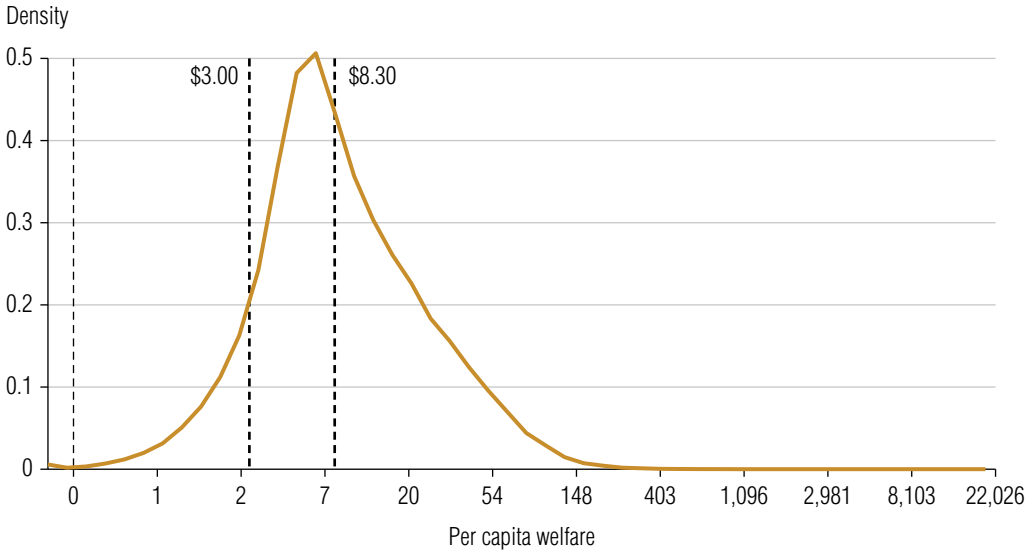
Counterfactual versus observed percent poverty gap, by economy



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Each point is an economy. The poverty lines are $3.00- and $8.30-a-person-a-day (in 2021 purchasing power parity terms). As with the poverty gap, the reduction tracks observed levels roughly proportionally, including in deep-poverty economies.

FIGURE 4C.4
Global distribution of welfare per capita, 2024



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.
Note: The figure illustrates the kernel density of welfare per capita across the global population in 2024, plotted on a logarithmic scale with axis labels in original units. Vertical dashed lines denote the $3.00- and $8.30-a-person-a-day poverty lines (in 2021 purchasing power parity terms).

The source of the convexity is visible in the shape of the global welfare distribution (refer to figure 4C.4). Most of the global population is living at welfare levels between $3.00 and roughly $20.00 a day, and the density peaks slightly below the $8.30 line; about a 10th of the population lies below $3.00. Where a poverty line cuts this distribution governs how many households may move across it under a given proportional welfare gain. The $3.00 line sits in a thin part of the distribution, with little mass on either side. A welfare boost therefore lifts relatively few households across the line. The $8.30 line sits close to the peak, where the density slightly below the line is high. The same proportional boost thus moves many households across the line. The country-level convexity in the poverty rate is the cross-country counterpart of this mechanism. This means the poverty rate's response to a welfare gain depends on the size of the population mass that sits in the immediate vicinity of the line.

Annex 4D. Barriers to earnings: Country-level evidence and methodology

The chapter establishes, for the world as a whole, that poor workers have less education and are more often in self-employment and in agriculture relative to the nonpoor. This annex

shows that each pattern holds within economies in nearly every economy observed and reports the unconditional earnings differences associated with the self-employment and agricultural divides. These unconditional differences are descriptive, that is, they compare average welfare per worker across groups without holding worker characteristics fixed. They thus combine the returns to each type of work with differences in the education, age, and location of the workers in this work. The conditional estimates that isolate the returns are reported in the chapter.

Education

Below the $8.30 line, the majority of workers have completed only primary education or less, and, in virtually every economy, the rate of secondary completion is lower among the poor than among the nonpoor. The widest gaps are in low- and lower-middle-income economies (refer to figure 4D.1, panels a and b). The welfare per worker with secondary educational attainment is above the welfare per worker with lower educational attainment in virtually every economy (refer to figure 4D.1, panel c).

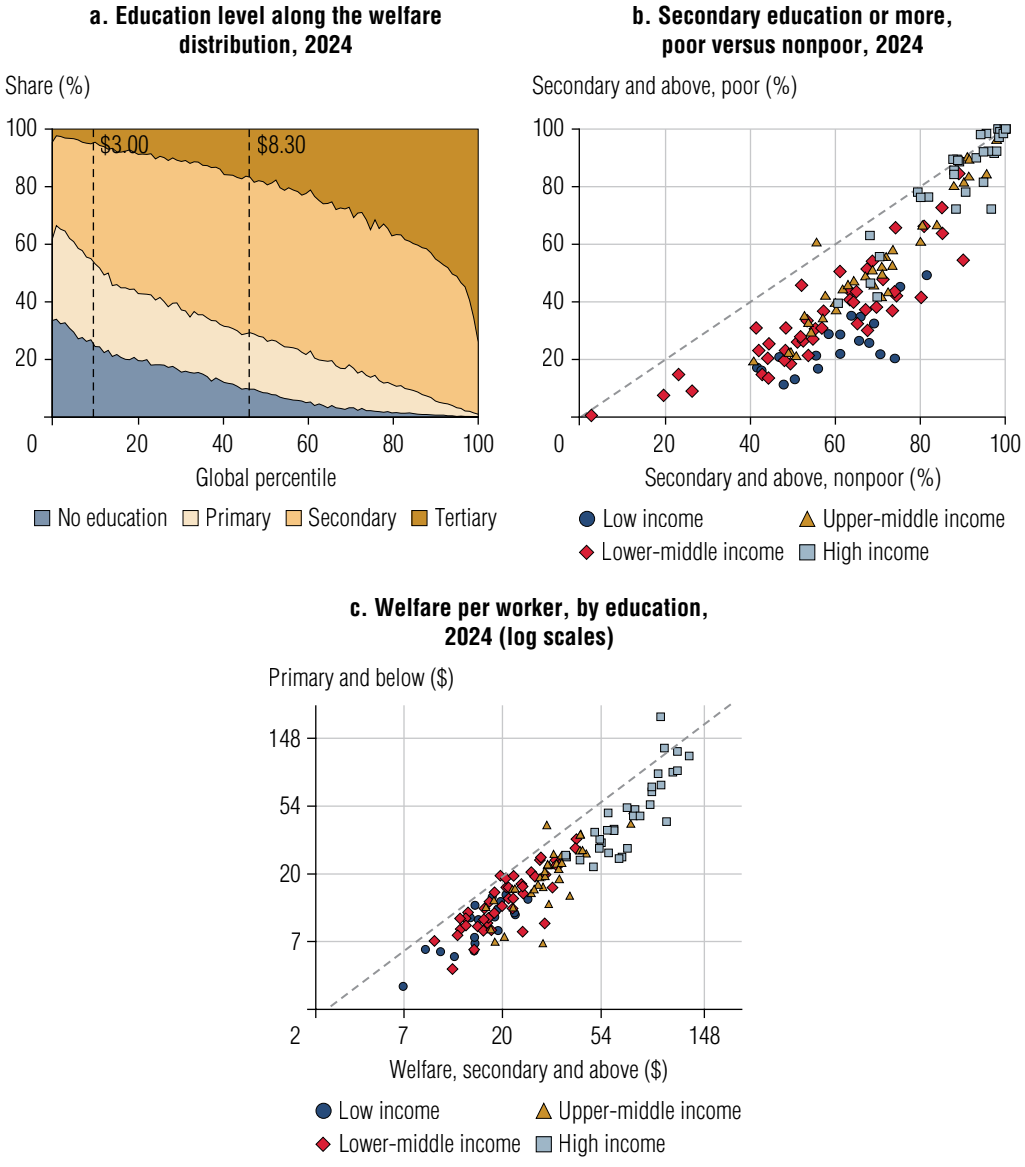
The human capital gap extends beyond schooling. Childhood stunting, which directly impairs cognitive development, is consistently more prevalent among the poor. There is a twofold to sevenfold difference between the poorest and richest quintiles in the country evidence. Broader summary measures that combine education with health show the same gradient across countries.[27]

Self-employment

Self-employment accounts for the large majority of employment below the $8.30 line. Wage employment rises steeply with income, reaching roughly 80 percent of employment at the top of the distribution (refer to figure 4D.2, panel a). In nearly every economy, the poor are more highly concentrated than the nonpoor in self-employment (refer to figure 4D.2, panel b). The welfare per self-employed worker is below the welfare per wage worker in virtually every economy. The largest proportional gaps are in low- and lower-middle-income economies (refer to figure 4D.2, panel c). The proportional reading requires care. The welfare comparison is plotted on logarithmic axes. Vertical distance from the 45-degree line is thus the ratio of the two welfare levels, not the dollar difference, and a smaller proportional gap at higher welfare levels still corresponds to a large absolute difference. The gradient is consistent with a substantial body of evidence that self-employment in low-income settings is often a residual activity, undertaken for want of access to wage work rather than by choice. Margolis (2014) estimates that roughly two-thirds of self-employment in the developing world reflects the absence of a better alternative, and Breza et al. (2021) provide causal evidence that a substantial share of agricultural self-employment reflects labor market rationing (refer also to Fields 2019). On this reading, the barriers to wage employment behind the pattern—thin local labor markets, few firms, transport and information constraints—are themselves barriers to higher earnings among the poor.

FIGURE 4D.1

Educational attainment among poor and nonpoor workers, by country

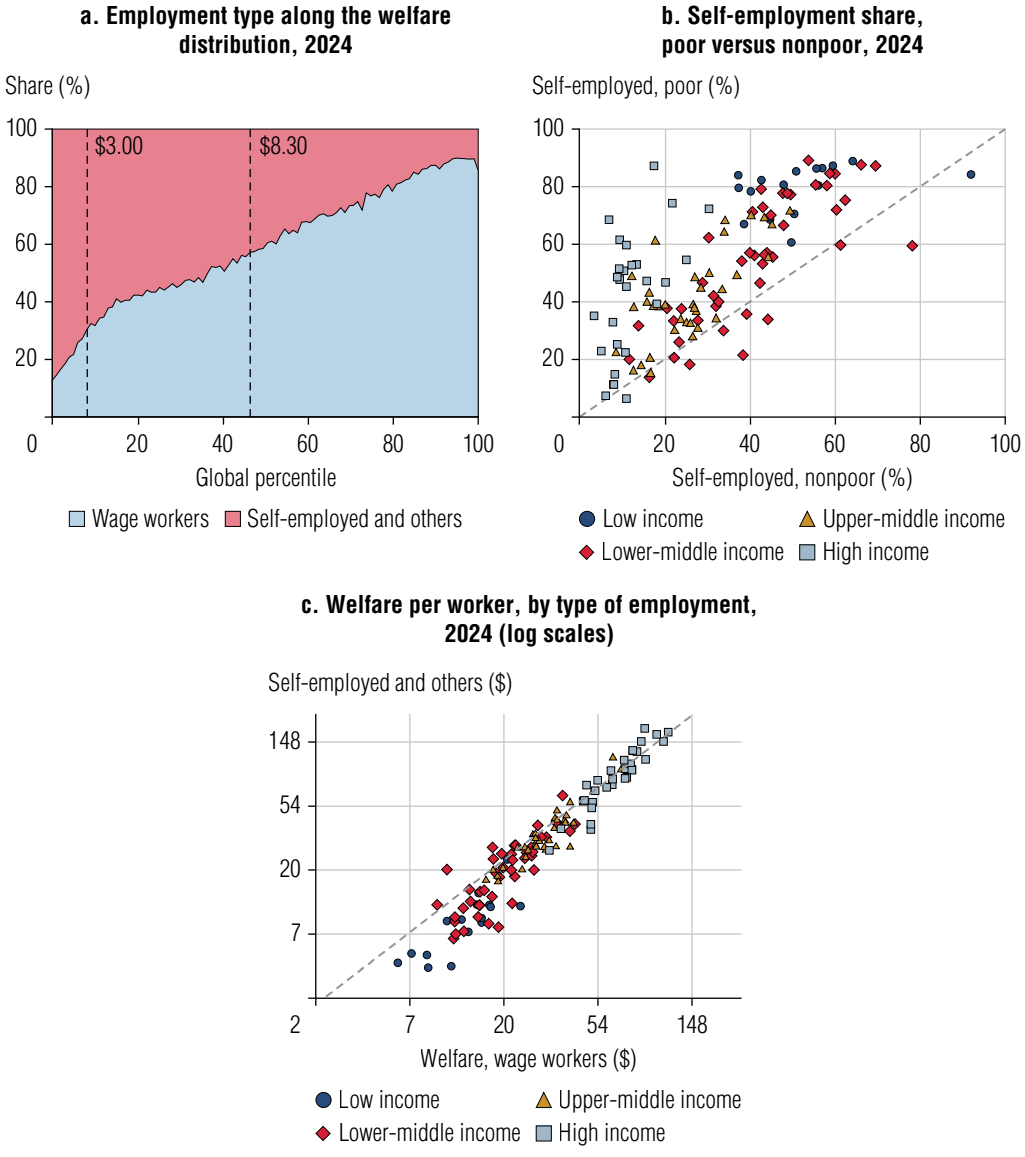


Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Poverty is defined at the $8.30-a-person-a-day line (in 2021 purchasing power parity [PPP] terms). In panels b and c, each point is an economy. In panel c, both axes are logarithmic and in 2021 PPP terms; the 45-degree line marks equal welfare per worker for those with primary and below education and for those with secondary and above education.

FIGURE 4D.2

Self-employment: The concentration of the poor and the welfare gap, by type of work



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

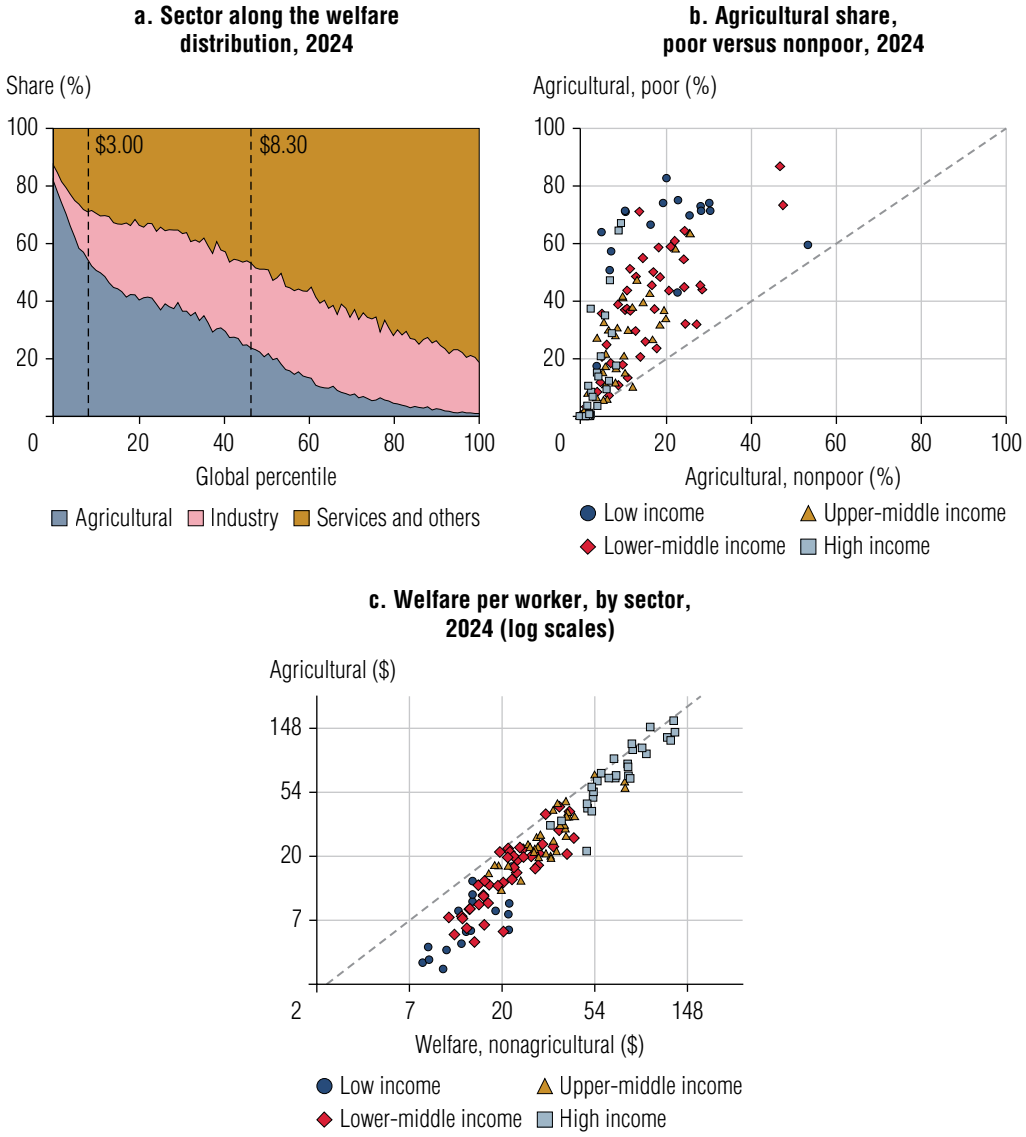
Note: Poverty is defined at the $8.30-a-person-a-day line (in 2021 purchasing power parity [PPP] terms). In panels b and c, each point is an economy. In panel c, both axes are logarithmic and in 2021 PPP terms; the 45-degree line marks equal welfare per worker in self-employment and wage employment.

Agriculture

Agriculture's share of employment declines steeply with income. Below the $8.30 line, it accounts for roughly 40 percent to 60 percent of employment, and, above the median, it is negligible (refer to figure 4D.3, panel a). In virtually every economy, poor workers are more highly concentrated than the nonpoor in agriculture (refer to figure 4D.3, panel b).

FIGURE 4D.3

Agriculture: The concentration of the poor and the sectoral welfare gap



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Poverty is defined at the $8.30-a-person-a-day line (in 2021 purchasing power parity [PPP] terms). In panels b and c, each point is an economy. In panel c, both axes are logarithmic and in 2021 PPP terms; the 45-degree line marks equal welfare per worker inside and outside agriculture.

Welfare per agricultural worker is systematically below welfare per nonagricultural worker, and the largest proportional gaps are in the poorest economies (refer to figure 4D.3, panel c). The agricultural welfare gap is proportionally wider than the self-employment gap (the cluster of dots representing the countries sits further below the 45-degree line), which anticipates the larger conditional premium to leaving agriculture. The same logarithmic-scale qualification applies: Low- and lower-middle-income economies sit farthest from the line. In the former, agricultural welfare is the smallest fraction relative to nonagricultural welfare. Meanwhile, richer economies sit closer to the line, yet at far higher welfare levels. So, even the smaller proportional gap in the richer economies represents a large absolute difference.

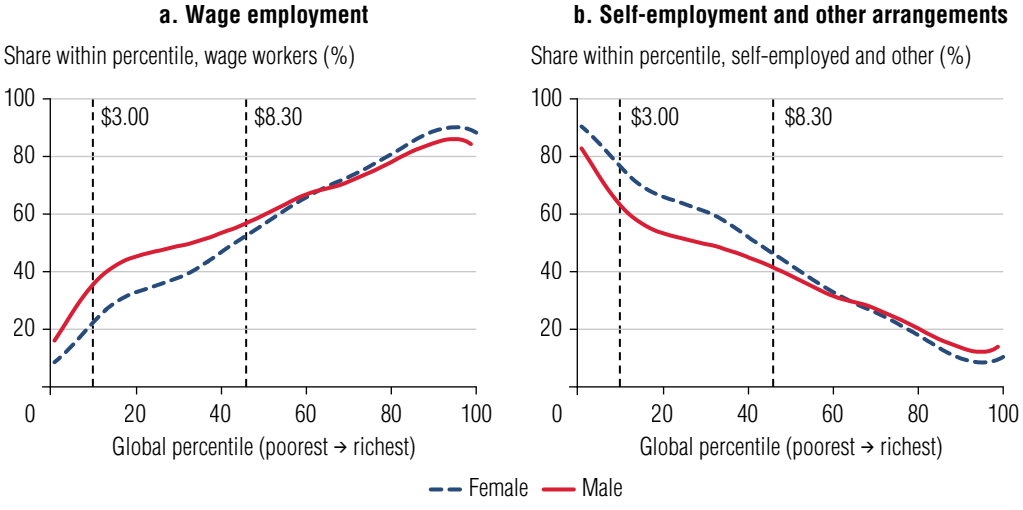
Gender

The concentration documented above is more pronounced among women than among men and in a way that compounds a disadvantage established in the chapter. As the text shows, poor women work for pay far less often relative to poor men. Among women who do work, the composition of the employment is also worse. Poor women are more highly concentrated than poor men in lower-return types of work and sectors. The disadvantage is therefore twofold: a lower probability of working at all and, conditional on working, a higher probability of working in the activities that pay the least.

On the type of employment, poor women are less likely than poor men to hold wage jobs and more likely to be in self-employment, including nonremunerated labor contributions to family microenterprises (refer to figure 4D.4). The gap in wage employment is on the order of

FIGURE 4D.4

Employment type across the welfare distribution, by gender, 2024



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: The figure shows the share of employed men and women in wage employment and in self-employment within each percentile of the global welfare distribution, 2024. Vertical dashed lines denote the $3.00- and $8.30-a-person-a-day poverty lines (in 2021 purchasing power parity terms).

15 to 20 percentage points near the $3.00 line. It narrows as welfare rises and reverses among the richest workers, where women slightly overtake men in wage employment, a crossing that reflects the entry of educated women into professional and public sector work at the top of the distribution.

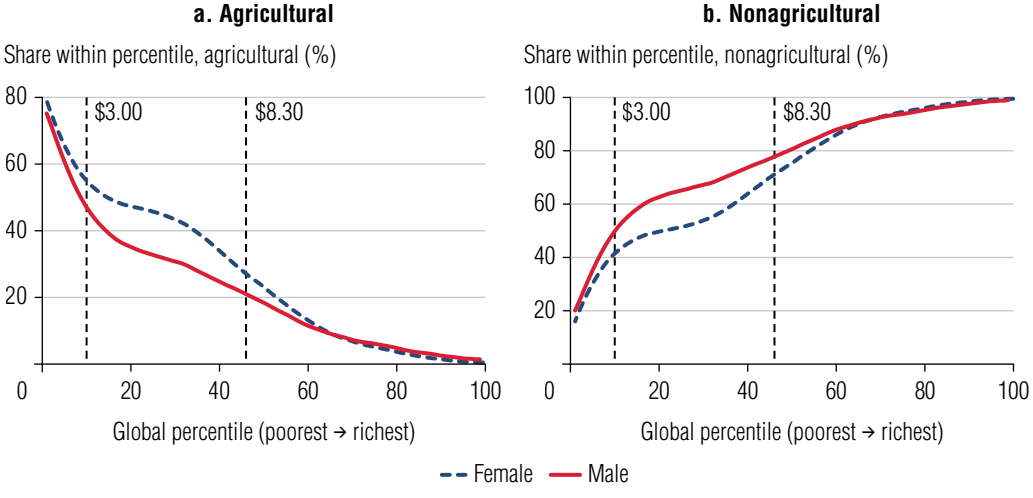
On sector, poor women are more highly concentrated than poor men in agriculture by roughly 10 percentage points at the bottom of the distribution, though the two converge toward the middle (refer to figure 4D.5, panel a). The mirror image holds outside agriculture, but with a further distinction the figure does not fully resolve. Within nonagriculture, men are concentrated in industry across the distribution, while women move into services and overtake men toward the top there. Figure 4D.5, panel b, merges industry and services into a single nonagricultural category. So, the within-nonagriculture pattern is noted, but not displayed. The policy-relevant range is the lower half of the distribution, where the gender difference in the composition of work is largest and where, combined with the lower participation described in the text, poor women are farthest from the higher-return work available to the nonpoor.

Estimating the conditional premiums and the participation penalty

The concentration patterns documented so far are descriptive. They establish where the poor work and that the activities in which the poor are concentrated are associated with lower average earnings. They do not, on their own, establish how much of this earnings difference

FIGURE 4D.5

Sector of employment across the welfare distribution, by gender, 2024



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

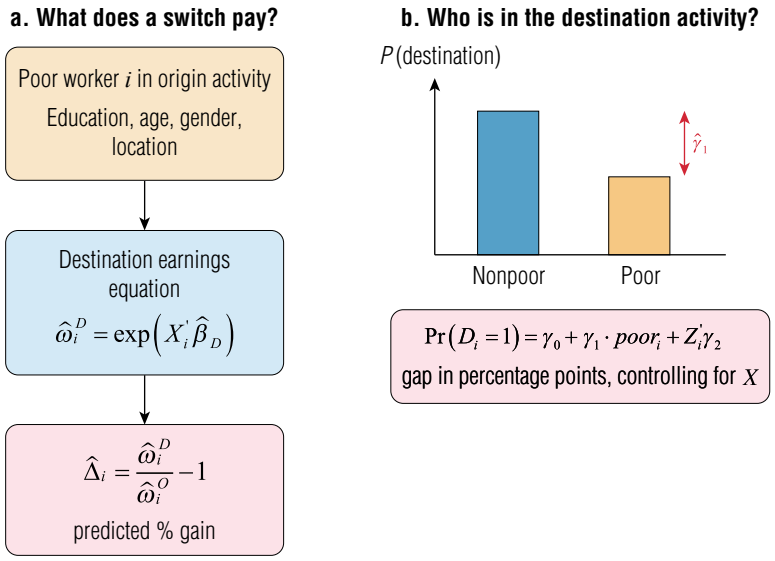
Note: The share of employed men and women in agriculture and in nonagriculture within each percentile of the global welfare distribution, 2024. Nonagriculture combines industry and services. Vertical dashed lines denote the $3.00- and $8.30-a-person-a-day poverty lines (in 2021 purchasing power parity terms).

represents returns to the activity rather than a reflection of the workers who are in the activity. The unconditional welfare gaps reported above combine the two. Isolating the returns requires a counterfactual that holds worker characteristics fixed, while varying the activity, and a measure of how much less likely the poor are to be found in the higher-return activity to begin with. This subsection sets out the two objects used in the main text and in the earnings counterfactuals: a conditional premium, that is, the predicted earnings gain from moving a worker into a higher-return activity, and a conditional penalty in participation, that is, the gap between poor and nonpoor workers with the same observable characteristics in the probability of being in the activity. Figure 4D.6 describes how these two objects are constructed.

For the two counterfactual reassignments of a poor worker from one activity to another (which, for brevity, is called a switch), holding their characteristics fixed and applying the destination activity's earnings schedule, the premium is a price comparison. Two Mincer earnings equations are estimated, one on each side of the divide (for example, one on agricultural earners, and one on nonagricultural earners), each regressing log earnings on education, age, gender, and location and estimated on all observed earners, poor and nonpoor together.

FIGURE 4D.6

Construction of the conditional premium and the participation penalty



Source: Original figure for this publication.

Note: The figure represents a schematic of the two objects that are defined in this annex and that are illustrated for the agriculture-to-nonagriculture case (origin: agriculture; destination: nonagriculture). Panel a: the conditional premiums. Two earnings equations are estimated, one per activity, on all observed earners; a poor worker's characteristics X_i are run through both; $\hat{\Delta}_i$ is the ratio of predicted destination earnings to predicted origin earnings, minus one, averaged across poor workers. Panel b: the participation penalty. A linear probability model of involvement in the destination activity is estimated for all workers; $\hat{\gamma}_1$, the coefficient on the poverty indicator, is the conditional gap in destination participation between otherwise similar poor and nonpoor workers.

The characteristics of a given poor worker are then run through both equations, and the predicted gain $\hat{\Delta}_i$ is the ratio of predicted destination earnings to predicted origin earnings, minus one. The worker's own characteristics are held fixed. The change is in the earnings schedule applied. The premium thus answers the question: What would this worker earn if the destination activity's earnings structure applied to the worker's unchanged profile? The set of $\hat{\Delta}_i$ is averaged across poor workers to give a country-level premium.

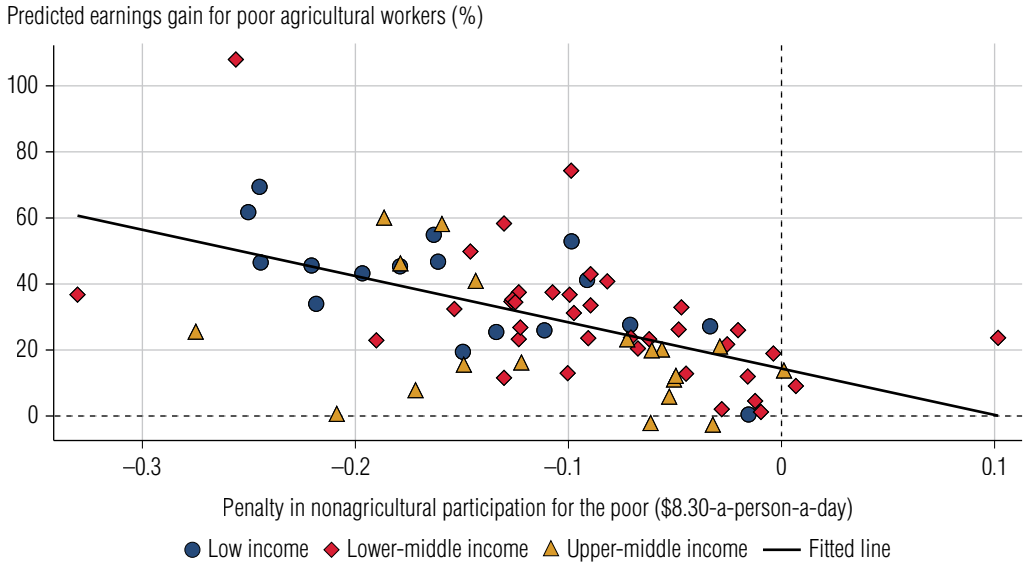
The education switch is constructed differently because education is a characteristic of the worker rather than a property of the activity. Here, a single Mincer equation is estimated, and the counterfactual changes the worker's education endowment, raising it to the nonpoor average or to secondary completion, while holding the worker's other characteristics at the poor average and applying the same earnings schedule to both the actual and the counterfactual endowment. The premium is the resulting predicted percentage gain. In contrast to the sectoral and employment-type switches, which swap the earnings schedule and hold characteristics fixed, the education switch swaps a characteristic and holds the schedule fixed. It therefore uses one equation rather than two. The preferred specification estimates this single equation with education-level dummies and an education-by-gender interaction. The returns to schooling are therefore allowed to differ by gender rather than constrained to a common coefficient.

The penalty is estimated separately from a linear probability model of participation in the higher-return activity, for instance, the probability of working in nonagriculture regressed on a poverty indicator and the same observable characteristics, across all workers.

The coefficient on the poverty indicator, $\hat{\gamma}_1$, is the conditional gap in participation between otherwise similar poor and nonpoor workers. It is a descriptive object: a residual gap that persists after controlling for education, age, gender, and location and that is consistent with a barrier to entry, but does not establish one. The chapter's language reflects this, describing the poor as concentrated in lower-return activities rather than as barred from higher-return activities. The premium and the penalty are derived from different models and are not mechanically linked. An economy may exhibit a large penalty and a small premium, or the reverse. Figure 4D.7 plots the two against each other for the agricultural case. In almost every economy, the poor are underrepresented in nonagriculture, and the predicted gain from switching is large and positive. Thus, both objects are sizable. The country income groups are interspersed rather than clustered, indicating that this is a feature of poor workers rather than of poor economies. The two are negatively related across economies, a pattern consistent with a common underlying friction, but partly attributable to shared selection. Where the poor are more highly concentrated in agriculture, poor agricultural workers tend to have weaker observable characteristics, which lowers their predicted agricultural earnings and raises the predicted gain. So, the exercise relies on the levels, not on the relationship.

FIGURE 4D.7

Conditional participation penalty and the predicted earnings gain from leaving agriculture, by economy, 2024



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Each point is an economy. The horizontal axis is the conditional penalty $\hat{\gamma}_1$, the percentage-point gap in nonagricultural participation between poor and nonpoor workers with the same education, age, gender, and location (poverty at the $8.30 line, in 2021 purchasing power parity terms). The vertical axis is the average predicted percentage earnings gain among poor agricultural workers from moving to nonagriculture. Economies in which agriculture is a marginal share of employment and high-income economies are excluded.

Three features of the construction signal that the estimated premiums should be read as upper bounds on the true returns to switching. First, the earnings variable is welfare per worker—household consumption, divided by the number of workers, allocated to the household's majority sector—rather than an individual wage. This bundles labor and nonlabor income. The majority-rule allocation creates a wedge in mixed-sector households that is signed against the smaller sector, typically agriculture, biasing its measured earnings downward and the predicted gain from leaving agriculture upward. Dropping economies where agriculture employs fewer than 10 percent of workers where the wedge is largest leaves the qualitative pattern unchanged. Second, the estimates document association rather than causation. The conditional penalty thus captures the sorting of the poor across activities, not the mechanism. Third, the destination equation is estimated on workers observed in the destination activity, who may be positively selected on characteristics not observed in the data. If so, predicted destination earnings overstate what a switching worker would actually earn, again biasing the premium upward. All three considerations push in the same direction. So, the reported magnitudes bound the true returns from above rather than below, and the qualitative finding—that sizable conditional premiums survive the controls—is the robust one.

Annex 4E. Growth incidence curves: Construction and interpretation

This annex sets out how the growth incidence curves are constructed and what accounts for their differing shapes across the four counterfactuals.

The common framework

The growth incidence curve, introduced by Ravallion and Chen (2003), plots the proportional growth in welfare at each percentile of the distribution. Let $Q_0(p)$ be the baseline quantile function. Sort all individuals by baseline per capita welfare and read off the welfare level at percentile p. Let $Q_1(p)$ be the counterfactual quantile function, constructed the same way after the shock and the reranking. The curve is as follows:

$$GIC(p) = \frac{Q_1(p)}{Q_0(p)} - 1 \tag{4E.1}$$

The curve is anonymous. Each quantile function records the welfare level at a percentile of its own distribution. So, $GIC(p)$ compares the welfare of whoever occupies percentile p after the shock to the welfare of whoever occupied it before, without following any individual household across the two. The two occupants of percentile p are, in general, different households.

Each counterfactual changes the welfare of the treated households according to a rule and leaves the rest unchanged. The treated households are poor at the $3.00 or the $8.30 line, and, for some counterfactuals, additionally in a given sector or type of employment. The rule either multiplies their welfare by a factor (in the employment counterfactual), or assigns each poor worker a predicted earnings level (in the three earnings counterfactuals). The population is then reranked, and the curve plotted.

The reranking is what makes the curve positive well above the poverty line (beyond percentile 10 at $3.00, and percentile 45 at $8.30), even though every counterfactual acts only on poor households. Treated households earn more. The counterfactual distribution therefore shifts right, and the welfare threshold at each percentile rises. A treated household moves up in rank, while an untreated household, its own welfare unchanged, is overtaken and falls in rank. A treated household near the line can pass many untreated households and land far above the line. The gains shown above the line are thus not gains among the nonpoor. At a percentile above the line, $Q_1(p)$ is the welfare of a formerly poor household that climbed into that rank, thereby exceeding $Q_0(p)$, the welfare of the household that used to sit there.

An approximate decomposition

It is useful to think of the curve as a product of two factors. Consider the household occupying percentile p after the shock. If it is treated, its welfare is its baseline welfare, times

the multiplier; if untreated, its welfare is unchanged. Approximating the untreated occupant as coming from a baseline rank close to p so that the associated welfare is close to $Q_0(p)$ and the contribution to the ratio is close to one, and averaging over which type occupies the percentile, one obtains the following approximation:

$$GIC(p) \approx (\text{multiplier at } p - 1) \times (\text{share of households at } p \text{ that were treated}) \qquad (4E.2)$$

The approximation is not exact. An untreated household occupying percentile p after the shock came from a higher baseline percentile $p + k$, having fallen in rank. So, its welfare is $Q_0(p + k)$, and its contribution to the ratio is $Q_0(p + k)/Q_0(p) > 1$, not one. The displacement k is small only if the baseline distribution is locally flat or the shock is modest. Where Q_0 is steep, equation 4E.2 understates the contribution of untreated occupants and overstates the dilution. The anonymous curve is fundamentally a comparison of two sorted distributions rather than a household-level object, and equation 4E.2 reimports a fixed-identity reading. It is a qualitative guide, not an identity.

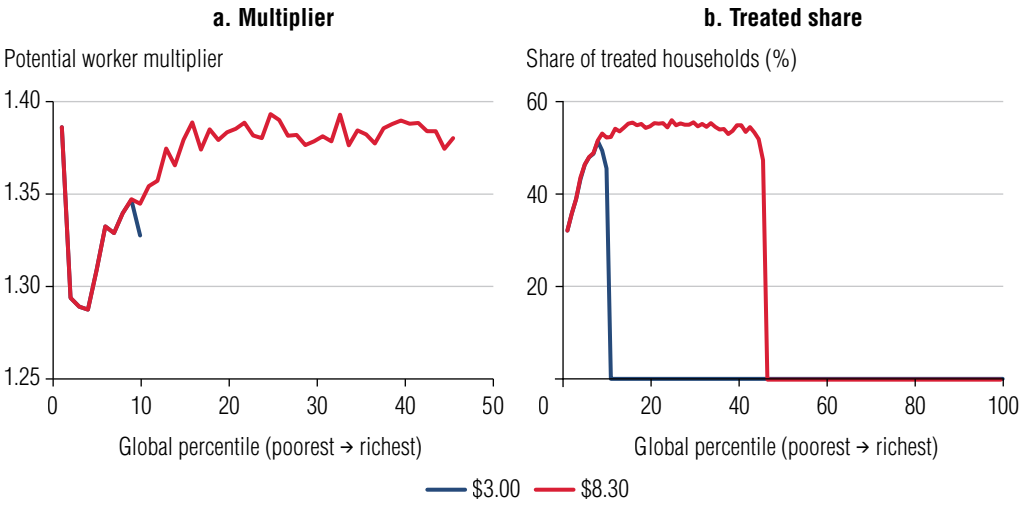
What the approximation gets right is the qualitative shape, which two ingredients suffice to determine: (1) the multiplier among treated households as a function of the welfare level, and (2) the treated share, that is, the share of households at a given welfare level that were shocked. The curve rises with each ingredient. Holding the treated share fixed, a larger multiplier means the treated households that end up at percentile p exceed the baseline welfare at p by more; so, $Q_1(p)/Q_0(p)$ is larger. Holding the multiplier fixed, a larger treated share means more of percentile p is occupied by these multiplied-up households rather than by untreated households that merely fell in rank; so, again, the ratio is larger. The two factors move in opposite directions across the distribution, and their interaction produces the observed shapes.

The employment counterfactual

The multiplier. The shock raises each poor household below the target employment rate of 75 percent up to that rate, multiplying the household's per capita welfare by the worker-count ratio 0.75 n_{max}/n_{curr}, where n_{curr} is the household's current number of workers, and n_{max} is the number that would work if every working-age adult worked. Poor households already at or above 75 percent are left unchanged. Because per capita welfare is multiplied by this ratio, the household's proportional gain is the multiplier, minus one, and the baseline welfare level cancels. The level of poverty of the household does not affect the percentage gain; only the worker ratio has an effect. Setting aside a spike in the bottom one or two percentiles (an average dominated by a few large households with many idle adults and an extreme worker ratio, best treated as a small-cell outlier), the multiplier rises from about 1.29 in the bottom percentiles to a plateau near 1.38 (refer to figure 4E.1, panel a). The variation is small: the multiplier is close to constant, around a 30 to 40 percent increase, across the range of the poor.

FIGURE 4E.1

The two factors behind the employment growth incidence curve, by global percentile (75 percent target)



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Both panels refer to the counterfactual wherein household employment is raised to 75 percent. Panel a: the multiplier, the ratio of counterfactual to current workers (0.75 *n*max/*n*curr) for treated households, averaged over poor households; the vertical axis is truncated, so the true variation is small, roughly 1.29 to 1.39. Panel b: the treated share, the share of poor households eligible for treatment (at least one current worker, employment rate below 75 percent), for the $3.00 and $8.30 variants. The poverty lines are $3.00- and $8.30-a-person-a-day (in 2021 purchasing power parity terms).

The treated share. A poor household is treated if it has at least one current worker and its employment rate is below 75 percent.[28] The treated share at a given welfare level is the share of households residing there that meet these conditions. It is not constant across the poor range (refer to figure 4E.1, panel b). It is lowest at the bottom—about 32 percent at the first percentile—and rises to a plateau near 50 percent to 55 percent through the lower middle. Two groups account for the low share at the bottom: households with no current worker and households with employment rates already at or above 75 percent. Even among the poorest, a nontrivial number already employ at least three-quarters of their working-age adults and are therefore not treated. Above the poverty line, the treated share falls to zero because households there are outside the counterfactual. The share drops near percentile 10 in the $3.00 variant and near percentile 45 in the $8.30 variant.

The resulting hump. With the multiplier close to constant, the shape of the curve follows the treated share, and the product of the two produces a hump. At the bottom, the curve is positive, but moderate because the treated share is at its lowest, that is, a substantial share of the poorest households are ineligible, having no worker or already employing three-quarters or more of their working-age adults. Through the lower

middle, the curve is highest where the treated share is on a plateau and the multiplier is at full value. At and above the line, the curve falls as the treated share drops to zero and the percentiles are increasingly occupied by untreated households with unchanged welfare. The proportional gain shown at each percentile is smaller than a fully treated percentile would show. In equation 4E.2, where the treated share is near one-half, the curve reaches only about half of the multiplier, minus one. The untreated households at that welfare level dilute the average.

The two employment variants

The mechanism is the same at both lines. The variants differ only in the range of the households treated. Below the $3.00 line, the two treated-share profiles coincide. So, the variants apply the identical shock there, and they differ only where the treated share drops to zero. For the $3.00 variant, it drops slightly after percentile 10. The hump is therefore narrow. The treated share rises out of the bottom, reaches a plateau briefly, and is cut off at the line. For the $8.30 variant, the plateau extends to about percentile 45 before the share drops. So, the hump is broad, sustained across the lower half, and peaks around percentile 40. The difference between the two curves is thus the width of the treated-share plateau, which is set by where each poverty line cuts the distribution, not a difference in the size of the per household shock.

The earnings switch: The largest gains are among the poorest

The three earnings counterfactuals do not scale a household's existing earnings by a factor. They assign each poor worker a predicted earnings level. For the sector and employment-type switches, the worker's own characteristics are valued under the destination earnings equation. The worker is therefore repriced as if working in the higher-return segment. For the education switch, the characteristics are valued under a single equation whereby education is raised to the nonpoor average. In each case, the worker is moved into a common pricing of characteristics. Because the pricing is common, the absolute earnings gain is broadly similar across poor households, but not identical, because characteristics differ and are valued accordingly, though they are of comparable magnitude. The poorest households start from the lowest baseline earnings. The same absolute gain is thus largest in proportional terms at the bottom. Because the curve plots proportional gains, the earnings curves are highest at the first percentiles—exceeding 50 percent—and decline as the baseline rises. This is in contrast with the employment shock. Where per capita welfare is multiplied by a worker ratio, the proportional gain is the ratio, minus one, regardless of the household's level of welfare. The shape follows the treated share rather than peaking at the bottom. Among the three switches, education is the strongest, for the reasons established in the main text. It treats the broadest population, which thins out less steeply across the distribution relative to the case of agriculture or self-employment, and it carries the largest conditional premium of the three.

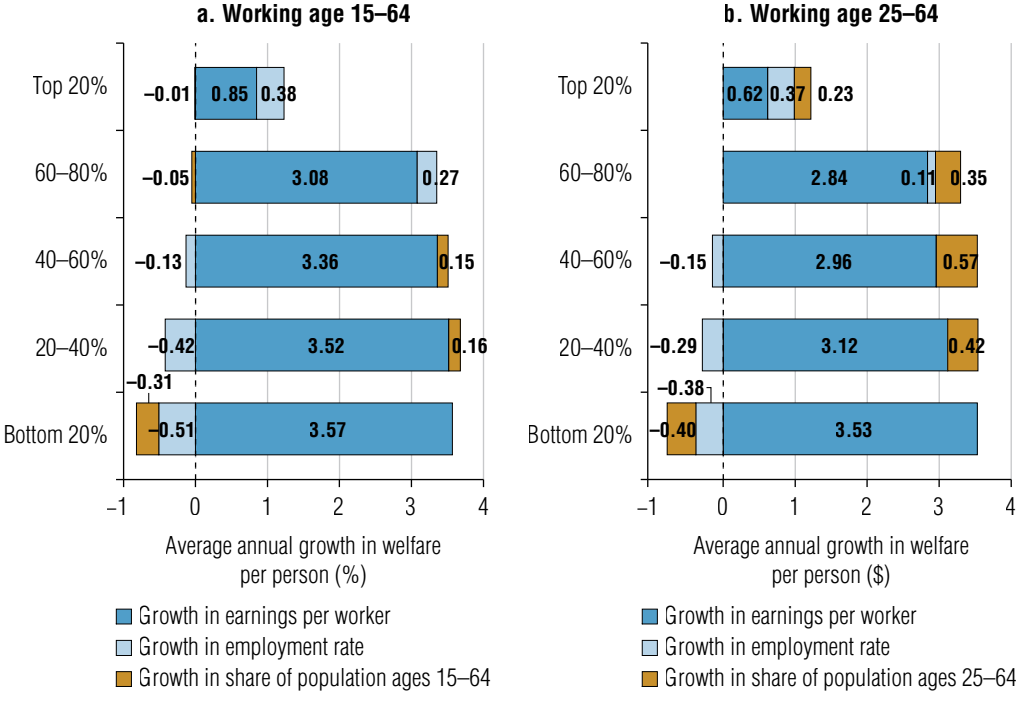
Annex 4F. The employment decline among the poor and the role of more time in school

School enrollment among young people has risen over the past two decades, a welcome development that mechanically lowers measured employment among 15- to 24-year-olds. If the decline in employment among the poor documented in the main text were driven by young people staying in school longer, it would carry a different interpretation: not a loss of work, but an investment in human capital. This annex tests that possibility by repeating the two main exercises on a working-age population restricted to ages 25–64, an age range in which enrollment plays almost no role. The conclusion is unchanged in both cases.

The first exercise is the decomposition of welfare growth (refer to figure 4F.1). Under the narrower age definition, growth in welfare per worker remains the dominant source of welfare growth across the distribution, contributing 3.53 percentage points annually in the bottom

FIGURE 4F.1

Earnings per worker have contributed to poverty reduction, 2003–24



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: Each bar decomposes average annual growth in welfare (consumption or income) per person, 2003–24, into three additive components: earnings per worker (household welfare, divided by the number of workers), the employment rate among working-age adults, and the working-age share of the population. In panel a, *working age* is defined as ages 15–64. In panel b, it is defined as ages 25–64. Quintiles are of the population ranked by welfare per person.

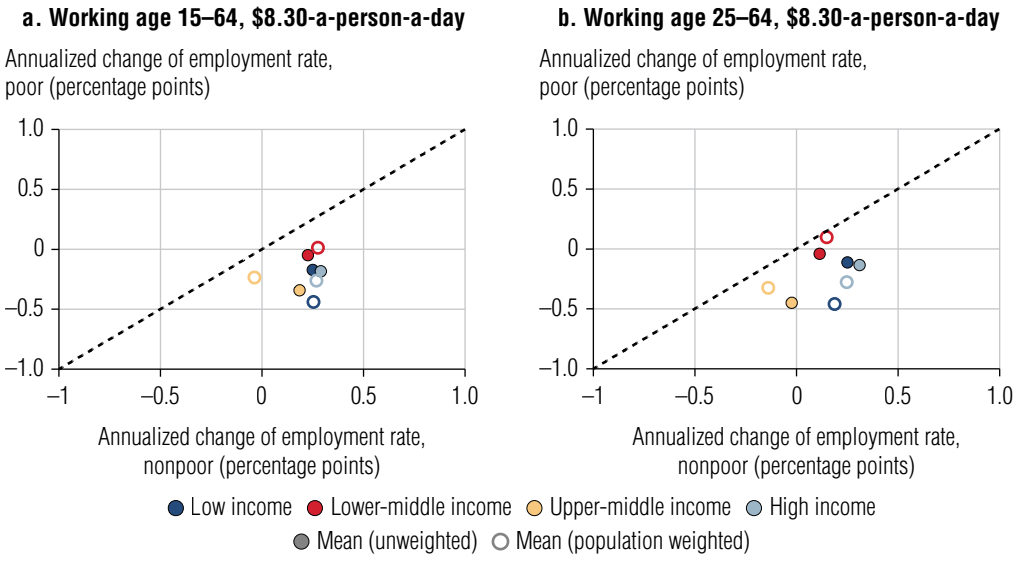
quintile and 3.12 points in the second quintile. Changes in the employment ratio continue to subtract from welfare growth among the lower three quintiles, by 0.38 and 0.29 percentage points in the bottom two. The negative employment contribution among the poor is therefore not an artifact of counting students as nonemployed.

The second exercise is a country-by-country comparison of employment growth among the poor and the nonpoor (refer to figure 4.5). Restricting the working-age range to 25–64 leaves the pattern intact. Employment grows less or falls more among the poor than among the nonpoor in 90 of 136 economies, against 99 of 137 on the wider definition. Figure 4F.2 also reports the averages by country income group. Across low-, lower-middle-, upper-middle-, and high-income economies alike, every income-group average lies below the 45-degree line, and employment rates generally declined among poor adults even where they rose among the nonpoor. The same holds under both age definitions.

Longer schooling among young people therefore does not account for the fall in employment among the poor. The decline is present and of similar magnitude among adults old enough for enrollment to be irrelevant.

FIGURE 4F.2

Annualized change in employment rate, poor versus nonpoor, by income group



Source: Calculations based on the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: The *poor* are defined at the $8.30-a-person-a-day line (in 2021 purchasing power parity terms). Each point is an income group. The axes are annualized changes in the employment rate of the poor and the nonpoor. The points below the 45-degree line are income groups among which employment among the poor grew less or fell more than among the nonpoor.

Notes

1. Refer to chapter 1 for more details on poverty profiles and the trends in poverty.
2. How jobs are created and by which firms is the subject of the forthcoming *World Development Report* on jobs. The constraints on this firm side of the market are documented elsewhere: the productivity differences that separate firms and economies (Hall and Jones 1999; Hsieh and Klenow 2009; Restuccia 2019); the financing constraints that limit the growth of firms and of household enterprises (de Mel et al. 2008; Didier and Cusolito 2024); the scope for services-led development (Nayyar et al. 2021); and technology, automation, and artificial intelligence as emerging determinants of labor demand (World Bank 2026).
3. The global simulations are descriptive exercises. Each asks how much measured poverty would fall if one feature of the poor's work were different, holding the rest of the observed distribution as it is. None evaluates a policy or the responses a policy might generate. The purpose is to show where the largest gains reside, a question separate from the question about how policies might realize the gains. There are four simulations: an employment simulation that raises the share of working adults in poor households to a benchmark of 75 percent, and three earnings simulations, one for each dimension along which the poor are concentrated. One variant applies the employment simulation to women and to men separately. All hold wages fixed and displace no existing worker. So, each represents an upper bound, and each changes one margin only. The employment simulations hold welfare per worker fixed. The earnings simulations hold the quantity of work fixed.
4. Welfare here is household consumption or household income, according to the core welfare measure of the underlying survey. The decomposition divides welfare in two ways: welfare per person, by all household members, and welfare per worker, by the members in work. Welfare per worker is used throughout as a proxy for earnings per worker because labor is the dominant source of income among these households. The harmonized welfare aggregate is the variable available on a consistent basis across the full set of surveys, whereas individual earnings are missing from many of the surveys and not fully harmonized in the rest of the surveys. So, a measure built on individual earnings would cover far fewer economies.
5. This conclusion accords with the decomposition literature on poverty reduction, which reaches the conclusion through a different method. Analyzing changes in poverty across a range of developing countries, Inchauste et al. (2014) find that growth in labor income (L x w) is the dominant proximate contributor and, within labor income, that earnings (w) rather than employment (L) drive this result: "the increase in workers' earnings was relatively more important in reducing poverty than the increase in the number of workers or in the number of jobs. … It was workers' [earnings] growth that made the difference rather than higher employment rates" (Inchauste et al. 2014, 54–56). Their analysis cannot disentangle whether earnings rose through improved job quality, higher productivity, or longer hours, a question the present chapter takes up directly in the sections that follow.
6. Refer to figure 4.1. This figure carries an implication for inequality. Because the bottom four quintiles all grew more quickly than the top quintile, inequality within this sample fell over the period, driven especially by the gains in the middle of the distribution. The pattern echoes the Lakner–Milanović elephant curve (Lakner and Milanović 2016). The sample comprises low- and middle-income economies and excludes high-income economies. Including the latter would add the affluent trunk of the global distribution. So, the result here describes falling inequality within the developing world rather than across the world as a whole. Refer to chapter 2 for more discussion on global inequality patterns.
7. The GMD is the principal data source for nearly all the quantitative analysis in this chapter. It is a collection of nationally representative household surveys harmonized to common definitions of welfare, demographics, and labor market indicators.
8. Whether credit constraints and the lumpiness of investment generate self-perpetuating poverty traps rather than slow convergence remains an open empirical question. The canonical model is that

of Banerjee and Newman (1993), in which borrowing constraints and a single lumpy investment produce multiple equilibriums and an S-shaped relation between current and future assets. Balboni et al. (2022) document such an S-shape among ultrapoor women in rural Bangladesh, with an asset threshold below which households decumulate. The broader evidence is mixed. Kraay and McKenzie (2014) find few clean instances of asset-threshold traps, and Karlan et al. (2026) report that the Bangladesh result is sensitive to the treatment of zero-asset observations and may reflect location-specific growth rather than wealth thresholds. The distinction matters less for the argument here than the observation common to these studies, namely, that the constraints binding the poorest often include low human capital and limited mobility, alongside the shortage of physical capital.

9. The gap is not a matter of open unemployment. Measured unemployment is low—on the order of 3 percent to 4 percent—and similar across poverty groups. It is consolidated with nonemployment in the figures because, in low- and middle-income settings, the binding margin is labor force participation rather than the rate at which active job-seekers fail to find work. The poor who are not working are, for the most part, not unemployed in the formal sense, but are outside the labor force, a distinction that matters because the barriers to participation differ from the frictions that generate unemployment.
10. Working status is missing in some household members in the underlying surveys. Households with missing status are left untreated. So, the counterfactual reaches a smaller share of households than full data coverage would allow, and the reported poverty reductions are underestimates. The same applies to the earnings counterfactuals described in this chapter. (Refer to annex 4A for details on GMD coverage.)
11. Because the women's variant sets a target for women's employment alone, in households where men already work above the benchmark, overall household employment can end above 75 percent once women reach the benchmark. The women's variant thus does not hold to the household-level target, and figure 4.6, panels c–f, cannot be read as components of panels a and b.
12. The assumption is favorable, most visibly in the women's variant. A new woman worker is credited with the earnings of her household's existing earners, mostly men, whereas the activities that working poor women actually hold pay less.
13. The poverty gap gives the same picture in terms of the line rather than in terms of own income. After the employment counterfactual, the poverty gap, divided by the poverty rate, is about 35 percent at the $3.00 line and 40 percent at the $8.30 line. Thus, the average poor person remains at this percentage distance below the line.
14. Whether informal self-employment is chosen or imposed is debated. One argument views it as an evasion of regulation. The other as an effect of the exclusion from better work. The heterogeneity of informal activity reconciles the two arguments because different types of such activity are associated with different drivers. At the lower end, where the poor are, the balance tilts toward exclusion given that most small informal units fall outside regulation because they are small (not to escape the regulation) and because a large share of the poor's self-employment reflects the absence of wage work rather than a preference for such work (Breza et al. 2021; Bussolo and Sharma 2022; Margolis 2014). This absence is not a matter of preference, but of demand-side rationing whereby wage jobs are too few to go around, and self-employment is the residual left to the poor (Breza and Kaur 2025).
15. The returns to education also depend on the demand for skilled workers. If the supply of graduates expands, but demand does not increase, the education premium can be reduced. In Latin America and the Caribbean, a large increase in graduates has been accompanied by declining returns to education, suggesting that there are limits to supply-side-only educational improvements. The evidence is not causal, but it qualifies the assumption, maintained in the counterfactual, that destination returns are unchanged.
16. All four curves remain positive well above the poverty line (beyond the 10th percentile at $3.00 and the 45th at $8.30), even though each counterfactual acts only on poor households. This reflects reranking rather than any gain to the nonpoor. A poor household with rising welfare overtakes households formerly above the line. So, at a percentile above the line, the curve compares whoever

occupies that rank after the shock with whoever occupied the position prior to the shock. The gains shown above the line accrue to formerly poor households that climbed into these ranks. The formal construction of the curves and the decomposition of the employment hump are set out in annex 4E.

17. The sample covers 41 economies: 10 low- or lower-middle-income economies, 8 upper-middle-income economies, and 23 high-income economies, using the World Bank fiscal year 2022/23 income classification. It represents approximately 4.3 billion people (52.9 percent of the world population and 55.3 percent of world employment). (Note that there is no coverage for the MENAAP region, and the 23 high-income economies are in Europe.) Poverty status is assessed against the poverty line corresponding to each economy's income classification, that is, $3.00-, $4.20-, and $8.30-a-person-a-day (in 2021 purchasing power parity terms) in low-, lower-middle, and upper-middle-income economies, respectively, and $29.40 for the high-income group. So, escaping poverty means crossing the standard applicable to the economy's own income level.
18. The job ladder ranks types of work by average earnings and treats movement between the types as climbing or descending. A transition is an improvement only if it moves a worker to a higher-paying rung. The term originates in the labor economics literature on career wage growth through job change (Topel and Ward 1992). The application used here follows Fields et al. (2023), who rank work status by mean real earnings and study transitions up and down the ladder using panel data. The panel evidence demonstrates that this ordering is not universal.
19. This is not an artifact of restricting attention to poor households. In full-sample regressions of the change in log per capita income on the same transitions, nonagricultural self-employment again matches or exceeds wage employment in the low- and lower-middle-income groups. In the richer groups, the outcomes diverge: self-employment raises incomes across the distribution, but not the probability that a poor household escapes poverty.
20. A parallel panel analysis of small-scale farming households in Ethiopia, Nigeria, Tanzania, and Uganda, using the livelihood types described above, reaches a consistent conclusion: The households that leave poverty are those with incomes that shift away from farming toward activities outside farming, rather than those that enlarge or commercialize their farms. Refer to Ouedraogo et al. (2026) for the estimates and the underlying typology.
21. Compared with the 49 country sample in Donovan et al. (2023), the panels here are longer (two to seven years versus two to three quarters), nationally representative, including rural areas, and extend to lower-income levels. Donovan et al. (2023) confirm in supplementary analyses that their results hold for rural areas and for at least one country below $3,400 GDP per capita (Rwanda), but their core sample remains predominantly urban and middle income.
22. Refer to Global Monitoring Database, internal database, World Bank; Poverty and Inequality Platform, World Bank, https://pip.worldbank.org/home.
23. LIS economies are Australia; Canada; Germany; Israel; Japan; the Republic of Korea; Taiwan, China; the United Kingdom; and the United States. Refer to 2025 data of LIS Database (Luxembourg Income Study Database), LIS Cross-National Data Center in Luxembourg, http://www.lisdatacenter.org/our-data/lis-database/.
24. Refer to ISIC (International Standard Industrial Classification of All Economic Activities) (dashboard), Statistics Division, Department of Economic and Social Affairs, United Nations, https://unstats.un.org/unsd/classifications/Econ/ISIC.cshtml.
25. Population figures are based on population projections of World Population Prospects (dashboard), Population Division, Department of Economic and Social Affairs, United Nations, https://population.un.org/wpp/.
26. Refer to 1000 Binned Global Distribution (dataset), World Bank, https://datacatalog.worldbank.org/search/dataset/0064304/1000-binned-global-distribution.
27. The World Bank's Human Capital Index Plus (HCI+), launched in 2026, combines education, health, and accumulated work experience on a 0–325 scale, by which each additional point corresponds to roughly 1 percent higher expected future earnings. Low-income countries score about 116 against about 254 among high-income economies. The chapter cites HCI+ for the cross-country education

and health gradient. Its employment component is built partly on the assumption that unemployment and underemployment are concentrated among the poor, a premise the chapter treats with caution (refer to box 4.1). In low-income settings, the poor can rarely afford not to work, and the evidence that their hours are lower is weak. Refer to HCI+ (Human Capital Index Plus) (dashboard), Human Capital Project, World Bank, https://humancapital.worldbank.org/hciplus/methodology/.

28. Households with no current worker are excluded because the multiplier 0.75 n_{max}/n_{curr} is undefined if $n_{curr} = 0$.

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Poverty, Prosperity, and Planet Report 2026: Jobs at the Center of Poverty Eradication assesses global progress toward ending extreme poverty and boosting shared prosperity on a livable planet. After three decades of historic gains, extreme poverty reduction has stalled. In 2026, an estimated 811 million people, 1 in 10 worldwide, are living on less than $3.00 a day, while nearly half of humanity is living on less than $8.30 a day. Poverty is increasingly concentrated in Sub-Saharan Africa and fragile and conflict-affected situations, where rapid population growth, insufficient economic growth, and exposure to various shocks make progress extremely difficult.

Through the deeply probing lens of poverty, prosperity, and planetary sustainability, the report finds that the number of economies with high inequality is falling. Yet, many people, including a growing share of the extreme poor, are still living in highly unequal economies. And progress in closing the Global Prosperity Gap—an indicator that combines the tracking of both progress in average income and improvements in equity—has also slowed. Climate hazards, ecosystem degradation, food insecurity, and inadequate water and sanitation are threatening the gains in development, especially among those people and households with the fewest resources to withstand and recover from shocks. Ending extreme poverty would add relatively little to the cost or impacts of global emissions, demonstrating that poverty reduction and climate protection are not competing goals.

Placing jobs at the center, the report offers new evidence on how employment and earnings shape household welfare. Using survey data linking poverty with labor market outcomes, it offers a global profile of poor and nonpoor workers and examines pathways out of poverty through job opportunities. Poor people work nearly as much as the nonpoor but earn less, work fewer hours, and support more dependents. And one in three poor people have no employment. Both more jobs and better-paying jobs will reduce poverty, but the effects of each reach different groups. Increasing earnings matters most for the poorest, while increasing rates of employment, particularly among women, benefits the near-poor the most.

Poverty reduction requires that access to income-generating opportunities expands and that the returns to the work poor people already perform increase. This report—by tracking where poverty is concentrated, the progress on inequality, and the status of measures of a livable planet, combined with a unique profile of the work of the poor—seeks to inspire a data-driven agenda for reinvigorating global progress in these many dimensions.

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ISBN 978-1-4648-2342-8

SKU 212342

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